

Kalyan Jewellers (KALYANKJIL)

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To

1. National Stock Exchange of India Ltd.
Exchange Plaza
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Bandra –Kurla Complex
Bandra (E), Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400 001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam

Sub.: Transcript of the earnings call Q1 of FY 2022-23

We have enclosed the Transcript of the earnings call Q1 of FY 2022-23. The same is also available on the website of the Company.

Kindly take the same into your records.

Thanking you

Yours faithfully

For Kalyan Jewellers India Limited

Company Secretary & Compliance Officer
Jishnu R G

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"Kalyan Jewellers India Limited
Q1 FY 23 Earnings Conference Call"

August 04, 2022

Disclaimer:

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MANAGEMENT : M R. RAMESH KALYANARAMAN - EXECUTIVE
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MR. ABRAHAM GEORGE - HEAD OF INVESTOR

RELATION AND TREASURY, KALYAN
JEWELLERS INDIA LIMITED
MODERATOR: MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Moderator Ladies and gentlemen, good day and welcome to the Q1 FY23 Earnings Conference
Call of Kalyan Jewellers India Limited.
Kalyan Jewellers India Limited
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This conference call may forward looking statements about the Company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to present.

As a reminder, all lines will be in the listen-mode, and there will be an opportunity for you to ask questions after the presentation complete. Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touchstone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, sir.

Rahul Agarwal Thank you. Good afternoon, everyone. And thank you for joining us on the Kalyan Jewellers India Limited Q1 FY23 earnings conference call.

We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Swaminathan, CFO; Mr. Sanjay MEHROTRA, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relation and Treasury. Mr. Sanjay Raghuraman, who is the CEO, is unable to join the call today due to some personal exigencies.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the Company's website and stock exchanges. We will begin the call with opening remarks from Management, following which we will have the forum open for question and answers session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I will now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman Thank you. And good afternoon, everyone. The recently concluded quarter has been yet another positive one for Kalyan Jewellers, and we are witnessing continued robust momentum in both footfalls and revenue across all our markets in India and Middle East.

We launched our first franchised showroom in our Aurangabad during the recently concluded quarter. And as we speak, the store is performing as per our expectations. We are on track to launch the remaining pilot franchisee stores before the start of the festive season.

We have built a meaningful pipeline of additional franchise stores on the back of very encouraging response from the potential franchisee partners. Given the robust pipeline of franchisee showrooms and stability in the operating model of the already launched showroom, we believe we can advance the launch of the next set of franchise showrooms.

In the Middle East, we continue to see strong momentum driven largely by the overall economic recovery in the region and return of tourist traffic. We remain confident on the market and will be looking for calibrated expansion through internal accrual from the region.

Our online vertical Candere continues to show traction and it'll be embarking on the next phase of growth, starting with the launch of the first physical showroom before the start of the festive season.

Mr. Vinod Rai has been formally appointed as the Independent Chairman by the Board of Directors with effect from July 1st, 2022.

Before I pass on to our CFO, Swaminathan, who will take you through the financial highlights of the quarter, I would like to highlight about the remarkable
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Page 3 of 14 transformation in the profitability of the business when compared to the pre-COVID period.

Our consolidated PAT over the four trailing quarters has been approximately INR 380 crore compared to INR 140 crore, INR 150 crore achieved the few years prior to COVID.

Let me conclude by saying that we are confident about the current financial year. Our Q1 performance has been impressive with a continued traction during the current quarter, along with the robust store expansion plan for the rest of the year, we are extremely excited about the revenue growth, as well as the overall profitability of the business.

Over to you, Swaminathan. Thank you.

V. Swaminathan Thank you, Ramesh. Good afternoon. We are really happy to be talking to you all after great quarterly performance. For the recently concluded quarter, our company reported a consolidated revenue of INR 3,333 crore, a growth of over 104% compared to the corresponding quarter of the previous year. Consolidated EBITDA was INR 260 crore, versus INR 69 crore in the corresponding quarter of the previous year, a growth of 283%. Consolidated PAT was INR 108 crore versus a loss of INR 51 crore in the corresponding quarter of the previous year.

Now, let me give you the breakup of the Q1 performance, starting with India. For the recently concluded quarter, our India revenue was INR 2,719 crore versus INR 1,274 crore when compared with corresponding quarter of the previous year, a growth of 113%. Our India Q1 EBITDA was INR 218 crore versus INR 50 crore when compared with the corresponding quarter of the previous year, a growth of 336%. Our India PAT was INR 95 crore compared to a loss of INR 43 crore in the corresponding quarter of the previous.

Now let me share some information about our Middle East business. Our Middle East revenue for the quarter came in at INR 574 crore compared to INR 340 crore in the corresponding quarter of the previous year, a growth of 69% . Middle East EBITDA was INR 47 crore versus INR 18 crore for the same period of the previous year, a growth of 161%. Middle East profit came in at INR 14 crore for the quarter compared to a loss of INR 9 crore in the corresponding quarter of the previous year.

Moving on our e-Commerce business. Our e-Commerce initiative Candere posted revenue of INR 44 crore was INR 24 crore in the corresponding quarter of the previous year, a growth of 83%. The quarter recorded loss of INR 1.2 crore versus profit of INR 31 lakhs for the corresponding quarter of the previous year.

Coming back to KJL, during the quarter, we had no bullion sale and our gold coin sale to retail and corporate customers was approximately INR 13 crore, which is approximately 0.46% of o

ur total revenue. During the quarter, we opened four showrooms, including [Technical Issues] (Inaudible)

With this, I'm done with the summary of financials, and now open the floor for questions. Thank you.

Moderator The first question is from the line of Aniket Sethi from ICICI Securities. Please go ahead.

Aniket Sethi It's again nice to see the comment on good new consumer recruits in your presentation after it was skipped in the previous quarter. So, two questions there. First part, wanted to understand is this largely pertaining to the non-south market, essentially what I'm also trying to understand is what would be the difference in contribution from new consumers, rather new customers in your south versus non-south markets on a same-store level basis?

The second part is, while I understand it's more of a secular trend, the new consumer recruits, but do some factors lead to acceleration in specific quarters?

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Page 4 of 14 Ramesh Kalyanaraman Yes, so the growth from new consumer has been very similar across both the markets, south and non-south. And the difference in overall growth rates is because of the impact of lockdown in the base period.

Aniket Sethi Okay. You mean the base period had had some impact of lockdown and rather the sequential quarter. And that's why the gain from new consumers were lower. Is that what you are pertaining to?

Ramesh Kalyanaraman Yes, yes, yes, yes. So, this year we see more new consumers from non-south markets. That will be because of the lockdown impact.

Aniket Sethi Understood.

Ramesh Kalyanaraman And also, because we are opening new stores, basically in the non-south market, the new customer growth will be more there.

Aniket Sethi Okay. And what the understanding is let's say, see, you were beginning rather the share of new consumers from unorganized players would be higher. It's slightly difficult to gain share from the branded players but given that thing is that the gains from non-south markets should be higher from the south markets on a like for like basis. Is that understanding, right?

Ramesh Kalyanaraman No. Can you repeat that question again?

Aniket Sethi South market let's say from a industry perspective, the organized -- the share of organized players is estimated to be higher in the south market versus the non-south market. And a lot of your new consumer recruits would be coming from the unorganized market as well, the share would be higher from those particular segment. That should be a key advantage for some of the new consumer recruits from your non-south markets in Mumbai.

Ramesh Kalyanaraman See, there are two things. First of all, even though in the organized segment, south is like more organized than non-south, but we have still got a majority or a good quotient of non-south -- what do you call, unorganized players in south also. So, we are gaining market share from there, but when you come to non-south, yes, the unorganized to organized shift is more aggressive there, because there is more vacuum from unorganized players. And again, we have opened new showrooms there last year in non-south markets and south markets. So, we will get a new customer growth in the stores which we opened last year.

Aniket Sethi Understood. Understood. Got it. Understood. That's helpful. Second on the franchising bit, can you share some details on how are you selecting your franchising partners, rather the franchise partners. Are these parties are these the interested parties in the jewelry business, or are you are looking mainly at financial investors?

Ramesh Kalyanaraman Yes, so we are not looking for franchise partners to get involved in the day-to-day operations at all. So, we don't give any preference in

experience in the industry because of that. But we have a process put in place where it'll be multi-stage background checks and threshold for net worth, etcetera. And we have a consultant

who does the job for us.

Aniket Sethi Okay. And till now, how many, let's say, -- is this like you -- are you fine with a single franchising and he is expanding your store, or it's more like every store is a different franchise all together?

Ramesh Kalyanaraman It is different which we have signed. So, we have signed six LOIs. And we have not signed more than that now because we are just waiting for the first set of franchise to open and get operated. On the franchise which have already opened in Aurganabad, it is performing like what we wanted.

Aniket Sethi Understood.

Ramesh Kalyanaraman But we have a pipeline of other franchisee partners who are interested to work with us. We have put them on hold because we want to just get settled more with the Kalyan Jewelers India Limited
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Page 5 of 14 existing franchise, which is already there and what we are planning to open in the next couple of months.

Aniket Sethi And all the franchising is done in the non-south, right?

Ramesh Kalyanaraman Everything is non-south. So not only franchise, all the stores planned for this financial year, are in non-south, almost all the stores.

Aniket Sethi Got it on. On the OpEx bit, given expansion, you'll see some operating leverage. So if just on the ad expense, if you can just clarify. So, you had broadly INR 200 crore of India expense in FY20, the last normally year. So, any guidance you have on the absolute numbers given you don't look to enter any new cities, or we should continue to look at this number from a percentage of sales basis?

Ramesh Kalyanaraman So we should -- if you look at Q1, it was at 2.2%, but on a year level, I think we should be looking for what, a 2%, that's our target.

Aniket Sethi 2% on a yearly -- okay, got it.

Ramesh Kalyanaraman Anything between 1.8% to 2%. So, our target is 1.8% but keep it as 2%.

Aniket Sethi Got it. If I can just squeeze one last question on the Jewellery hallmarking bit any incremental updates you can share on all the compliance. So, whether it has increased or all same versus what it was sometime back?

Ramesh Kalyanaraman So they are keeping on fine tuning the hallmarking procedure wherein there was some loophole where 22 karat and 21 -- 22 and 19 were made compulsory hallmarking. So, people used that gap wherein the 20 karat et cetera were sold without hallmarking. So that gap is also being solved now. So, a couple of months before that is also solved. So, they are tightening the process, and we expect that further, there'll be -- what do you call, strengthening -- strengthened processes, et cetera. And next 12 month, I think it'll be fully set. That's what we feel because with the increase in duty, surely government will also understand that that should be also tightened. So, there'll be more incentive to actually tighten the process.

Moderator The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi So I have three questions. The first question which comes to my mind that Candere has been growing much faster, but surprisingly, you have booked the losses of about INR12 million in this quarter. So, if can quantify, what is it exactly is that OpEx is going up and because of that, this is in nature or it's one-time, we have taken some correction?

Ramesh Kalyanaraman So Candere as you rightly said, it has been growing in the range of 80% year-on-year, right from when we acquired it. And now we are looking for the next set of -- or the next phase of expansion where we have already started investing in upgrading the software, upgrading th

e team, I guess, marketing expense, et cetera, because we are gearing to the next phase of expansion. As I told you, we are planning to open the first physical showroom before Diwali this year. And we are looking forward for that.

Shirish Pardeshi So this store again, will be in non-south market or it'll be in metros?

Ramesh Kalyanaraman Yes, it's in Mumbai. It's in Mumbai.

Shirish Pardeshi My second question, on Slide 36 when I see, it's hearting to know that the non-south revenue has moved up from 30% to 34%. I think, directionally it is picking up, but I was bit surprised that studded has not moved in that ratio. I mean, studded has moved from 20% to 24% in this quarter. So, any thoughts how you look at the rest of the year for non-south revenue and the studded portion to move up?

Ramesh Kalyanaraman Yes. So, if you look at Q4 versus Q1, so Q4 versus Q1, the studded ratio is almost stable, it is around 24%. Even though actually Q4, the non-south revenue mix was higher than Q1. But of course, we know that year-on-year is not the right comparison because of the disruption. And the thing which you are seeing is year-on-year wherein the markets were completely uneven, the opening, the closing, etcetera, due Kalyan Jewelers India Limited
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Page 6 of 14 to the disruption of COVID. So, if you look at quarter-on-quarter, it is more or less stable at 24%.

Shirish Pardeshi Yes, I got that, Ramesh. My only point, what I was trying to say that...

Ramesh Kalyanaraman How to increase it, right?

Shirish Pardeshi Lot of energy to get our studded portion up and even non-south, so what is it that we are -- we can expect in the balance of years?

Ramesh Kalyanaraman Okay, so we have constant push to increase the studded shares, and the studded share will be higher, mostly in the non-south markets. And usually, Q3 and Q4 are more non-south-heavy, and Q1 and Q2 are south-heavy. So, if you look at Q3 and Q4, do more studded in a usual scenario. And again, all the new stores which we are opening, we are opening in the non-south markets, which is going to take your studded higher, and subsequently margins will also be higher. That's our target.

Shirish Pardeshi Okay. In the domestic business, the growth is superb, but if you can say that how much was the grammage growth, that would be really helpful.

Ramesh Kalyanaraman Grammage is almost stable Q4 to Q1.

Shirish Pardeshi No, what is that number?

Ramesh Kalyanaraman Number -- okay, I'll just give it to you, in kilogram. You can go forward. I will come back to you and give that number.

Shirish Pardeshi Yes. My last question is on -- of course, we have seen the gold medal loan is one of the thing which is impacting. and we have seen that the cost is also coming down, but margin is not moved. I mean, we are still at 7.9% with the recovery which will happen. I think maybe after five, six quarters, we have seen a normalized quarter and we had good season also. I'm sure, in the second half season will be much, much more better, sharper, but what is it that at this time we can expect 8.5% to 9% EBITDA?

Ramesh Kalyanaraman So here, first of all, 8% EBITDA in Q1, Q1 is a more south-heavy quarter. Q2 will also -- we think that it'll be in the similar lines, but Q3 and Q4, we estimate to have a better margin than Q1 and Q2.

And to your question where it'll reach 9%, as we have told before, once the non-south revenue mix increases, the gross margin will increase and the EBITDA margin will also go up. So, if you look at -- our expansion will be focused in the non-south markets, and that is where -- or that is the direction where we are going to go also.

Shirish Pardeshi Okay. The last question, you did say in the beginning that we have opened the

Aurangabad store. A

nd you did say that there are some more stores which will come in the franchise own company operated model.

Ramesh Kalyanaraman Yes.

Shirish Pardeshi So if you can tell some timelines, whether this will be before the season, next season, or it will be during the season or post Quarter 3, Quarter 4?

Ramesh Kalyanaraman The pilot franchise stores, we had plan for six numbers. Now one was already done. Rest five will be done before Diwali.

Shirish Pardeshi Okay. Before Diwali. And can you share a month's experience? What is it that you have experienced in Aurangabad?

Ramesh Kalyanaraman It just -- meaning -- regarding the store success, there is no challenge at all, because we have been expanding over new markets for the past many years. So, the only area was to fit in the working, what do you call, dimensions, where -- it is well on track. It is now more than a month now and the operating model, which we had set has got stabilized.

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Page 7 of 14 Shirish Pardeshi So my question was -- let me redesign the question. Is it more of a yellow metal demand, which is happening because that's a Tier 2 market, we can say that. Or what is the local consumption pattern? Is it pure gold? It's a studded gold or it is purely studded.

Ramesh Kalyanaraman No. So studded ratio, usually outside South India is more than 30%. But in Tier 2 markets -- in South India, it's in the range of 21% to 22%. So, this being a non-metro and a Tier 2 market, it is in between the south and the usual non-south percentage. So, in short, it is between 22% and 30%. But that was estimated as well.

And regarding your, the volume, it was 4,000 kg. And just for you to understand, we actually try maximum to increase our studded ratio. So, we, as a brand, more than volume, of course, we target on our revenue and also we try to push to the studded where we do not focus on more of a gold volume, we focus on revenue growth because we also, as a brand, push studded jewelry.

Moderator The next question is from the line of Nillai Shah from Moon Capital.

Nillai Shah Sir, I have a few questions. The first one is, just if you can qualitatively talk about how the trend is panning out in July and maybe starting of August without getting into numbers, that'll be helpful.

Ramesh Kalyanaraman So July as we speak, the momentum is very good. It is actually -- the footfall, the momentum, the consumer sentiment, etcetera are extremely positive. And in Middle East also, the trend is being very positive as we speak, and we expect a good season.

Nillai Shah Okay. That's good to know. The second bit is on the interest cost. Now, given that our metal gold loan component is moving up, which you had highlighted last quarter, and will that more than offset any interest cost increase that you will see because of the environment at this point of time? Which is to say that on a sequential basis here on, should we be expecting a marginal drop in interest cost for the company every quarter?

Ramesh Kalyanaraman Yes, so if you look at, there has been some interest hike in the recent past for the non-gold loan quotient in Q1. And we should also expect that there is some hike in the interest rates, but of course, as you rightly said, we were at INR 1,500 crore gold loan in the last financial year, which is now INR 1,600 crore. And as we speak, it is INR 1,650 crore. And that will negate most of the cost increase because of the rent. And we can expect a minimal, what do you call, reduction in interest because there's a interest cost hike, which is happening now when compared to last year.

Nillai Shah Yes. So, it'll offset that interest rate hike is all I wanted to know. Yes, so that's good

to know.

Ramesh Kalyanaraman Yes, it should go in some also.

Nillai Shah Got it. Moving onto the balance sheet, your P&L seems to be on track, you delivered last few quarters of strong growth and the margins also seems to be seen on track. So, if you just can talk a little bit about the ROE profile of the company, strictly on the basis of calculation, annualized, it's about 12% at this point in time. But if I was to, let's say, remove some of the fixed assets, which are probably been used for collateral against your gold metal loan, you are clocking ROEs of about 14% or so, and ROCEs, which are probably in the ballpark of 14% to 16%, does this mean that at the store operating level, ROEs ex-franchising would be upwards of 20%?

Ramesh Kalyanaraman Okay. So, I will answer part by part, where yes, ROE is now at 12%, and yes, there are collateral, which has been mortgaged in banks for our exposure, which is a traditional way of getting bank loans in our country, especially in our sector. When we move on to franchise, where our own store expansion is lesser than the franchise, and we have more liquidity in the system in terms of reduction of own store expansion, when we go and reduce the bank loans, this collateral will come out and it'll shortly help us to have some free cash which will return, which will again, increase our ROI.

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Page 8 of 14 Nillai Shah Got it. But can you confirm whether at the store level today you are running with ROEs, which are in excess of 20%?

Ramesh Kalyanaraman Yes. Correct.

Moderator The next question is from the line of Pankaj Bobade from Affluent Assets.

Pankaj Bobade Sir, congrats on a very good set of numbers. Just wanted to understand, given that the like-to-like comparison for last same period last quarter would not be the right one, the thing is that whether this momentum of, say, approximately 3% PAT margin would be sustainable going forward, or do we see anything, I mean, it coming down at some lower level?

Ramesh Kalyanaraman No, so Q1 if you look at -- Q1, has been very good. And if you look at our four quarters, because -- why I am telling four quarters is because we have got undisrupted four quarters together post-COVID, for the first time. So, if you look at the PAT number there, it is INR 380 crore plus. Which is like 2.5x when compared to our FY 2020 PAT. So, EBITDA margins are at 8%. Gross margins are getting stabilized at around 15% to 15.5%, and Q3 and Q4 are better EBITDA margins because better gross margins. So, I think it should be more than sustainable.

Pankaj Bobade So my second question would be in one of the last calls, you had mentioned that with the franchisee business model coming into play, our margins would expand. Can you please throw more light on the same? How would it happen?

Ramesh Kalyanaraman Yes, so margins will expand at the PBT level, meaning not on the EBITDA level, because as you know, franchisee, the EBITDA margins will come down because we are not going to get the whole growth margin to our books, but -- because it's a FOCO model at the GP level, and the EBITDA level, it'll be lesser, but on a PBT level, it'll expand.

Pankaj Bobade But as you mentioned in previous participant's answer that you are looking for an investor who would not be in day-to-day -- would not be interfering in day-to-day operations of that specific franchising.

Ramesh Kalyanaraman Yes.

Pankaj Bobade So how -- means, he would be just investing in the location -- I mean, the property, right?

Ramesh Kalyanaraman He will be investing in the inventory and the CapEx and we will be managing the store for them. And it's a gross margin share, where the OpEx will be borne by them, except the salary cost.

Pankaj Bobade OpEx will be borne by them and...

Ramesh Kaly

anaraman PBT level – in short now, in short, the PBT levels will be same or more than the PBT levels now for the existing stores .

Moderator The question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar So I just wanted to understand, first up, I mean, number of stores, we are looking to open both on the owned side, as well as the franchisee side in FY23?

Ramesh Kalyanaraman Yes, so if you look at our expansion, it is going on track. We already opened four showrooms in Q1, out of which three are in the non-south, out of which one with franchised. We are getting very good response from the franchisee partners. So, there might be a chance – change in the composition between the franchise and owned store. Expansion plans are on target. We will see how it gets stabilized. And then we will come back to you on the exact composition between franchise and owned store. As we speak, the plan is to have 12 owned stores and 6 franchise stores for this year.

Deepak Poddar Okay. So total 18. And this composition is subject to change maybe on the interest, on how the franchisee are performing, right?

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Page 9 of 14 Ramesh Kalyanaraman So as you know, franchise, we don't want to lose the opportunity of the prospective franchisee coming on board. There might be a chance in composition between franchise and owned store. It'll depend upon the stability at first. And the first store is already stabilized, but we are waiting for the next set of showroom also to get opened and then decide on whether to change the composition or not. But even if it happens, it is good because as you know, PBT levels, it's the same. And we might have to convert a few of our owned stores, which is planned, to the franchisee people, but it'll be only delay by a quarter or buy a couple of months.

Deepak Poddar Okay. So -- fair enough, that I understand. And you did mention that PBT level is same for owned versus franchisees store, right?

Ramesh Kalyanaraman Yes. Maybe better also.

Deepak Poddar Okay. And for owned store, what's the CapEx per store generally, on an average?

Ramesh Kalyanaraman So there are – like, owned store, it is INR 30 crore on inventory and INR 4 crore to INR5 crore on CapEx. Franchisee, usual bucket is INR20 crore on inventory and INR 3 crore to INR 4 crore or INR2 crore to INR 3 crore on CapEx. But there are franchisee partners who come for a bigger bucket size also. So that -- only then we'll be able to convert our owned store to franchise, right? Because if they commit a INR 20 crore for a INR 30 crore store, it cannot happen.

Deepak Poddar But in case of franchisees that -- the CapEx of INR 3 crore to INR 4 crore, as well as the INR 20 crore inventory is being funded by them, right?

Ramesh Kalyanaraman Yes, correct.

Deepak Poddar So ideally the -- for us, it would be only 12 stores into INR 35 crore, right? That's the...

Ramesh Kalyanaraman The expansion plan is that, and as I told you -- mentioned before, it'll depend upon the franchisee -- again, the next set of franchisee getting stabilized.

Deepak Poddar Correct. And sir, my last query is on your revenue growth. Largely, I think this first quarter is -- was a low based last year, right? So ideally a 20% revenue growth seems little conservative given the fantastic performance we have delivered this quarter,

right? So, just wanted to understand the same from you.

Ramesh Kalyanaraman Yes. So yes, as you rightly said, according to us, Q1 has been good, Q2 momentum and traction, as we speak continues to be extremely strong, both in India and Middle East. With respect to showroom launches for the year, we have already opened 4 stores, already announced 10 more stores before Diwali, and also we are going t

o get

the full year impact of the 18 stores, which we opened last financial year. And as I mentioned, we launched our first franchise, it is just getting stabilized, it was almost stabilized, it is again, going to give a additional capital efficient leg of showroom expansion. All put together, yes, we are extremely excited about the current year revenue and the way forward.

Deepak Poddar Right? So, there's upside this to this 20% growth that we have been seeing, right, on FY23 overall basis on a revenue growth. Because as I see it, a 25%, 30% revenue rate is quite possible for us.

Ramesh Kalyanaraman See, we don't want to give any perfect guidance on the number, but I gave you a overview, right? So, we will not be able to give a perfect guidance because -- you have got the message, what I meant, right?

Moderator The next question is on the line of Hemant, an individual investor.

Hemant Yes, congratulations set of numbers. I have couple of questions.

Ramesh Kalyanaraman Thank you.

Hemant First of all, I would like to know like you are targeting almost all the franchise stores to be -- to get opened in non-south. So, is there any particular reason behind it?

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Ramesh Kalyanaraman Yes, so non-south, as you know, gives us a better gross margin. The gross margin gap between south and non-south is in the range of 8% to 10%. That is one reason.

Second is that we are very well penetrated in the south. We are there in almost all the Tier 1, Tier 2 cities. We are not very well penetrated outside South India. We have a lot of vacant markets there. That is why we are planning only for non-south markets.

Hemant Okay, sir. Sir, my second question is any kind of sub revenue target you have in mind that the previous participant asked, like, I think you can do more than 20% of revenue growth. So, any ballpark number, maybe a range?

Ramesh Kalyanaraman Unfortunately, you know our limitation. We will not be able to give any guidance. But on the whole, you would've got what exactly drives us this year and what plans we have and what has happened in Q1, and at percent, what is the status? So, we are really excited.

Hemant Even if you can't provide a specific number, maybe a range will help, actually.

Ramesh Kalyanaraman No, no, no. That is -- we're not -- I'm very sorry.

Analyst Okay. Not a problem, sir. One more question from my side, like, it may sound actually weird, but I would like to know like any spurt in the gold prices, how does it affect the company? On the one hand, there is inventory gain, and on the second hand there may be a slow in demand. So how does it impact you overall?

Ramesh Kalyanaraman So on a consumer side, as you know, consumers have seen gold price going up, coming down, the fluctuations are already seen and consumers exactly know that gold is a long-term asset and a really good asset. And as gold here is not only seen as an investment, but also as a part of custom and ritual. So, on a consumer point of view, there is no impact. And consumer comes with a budget. If the gold price is very high, the volume, which he is going to buy, he or she, will be lesser. If the gold price is low, then the volume which he or she is going to buy will be higher, but the budget is not going to any. So, there is no impact or zero impact for a consumer point of

view.

For the company, we don't take any prices or price gain on our inventory.

Moderator The next question is from the line of Prathamesh Agrawal from Varanium Capital.

Prathamesh Agrawal Congratulations for a very good set of numbers. I had this one query. So, what are -- what is the guidance on the -- not a fixed number, but a ballpark average that we want to maintain on ads and promotional expenses?

Ramesh Kalyanaraman Yes, so Q1, we had a 2.2% of our revenue was spent for ad and promotion. And we -- it depends -- it varies quarter to quarter. So, plan is to restrict it between 1.8% to 2%.

Prathamesh Agrawal Okay. So, we want maintain it as a percentage, rather than an absolute, right?

Ramesh Kalyanaraman Yes, because we'll need to do that. If you have -- at different stages, you will have to -- you will have to invest in marketing depending upon the revenue and the revenue contribution from different regions or a market at a particular time.

Moderator The next question is from the line of Vaibhav Gogate from Ashmore Group.

Vaibhav Gogate Could you explain seasonality in this business?

Ramesh Kalyanaraman Yes, so seasonality Q1 and Q2 are more of south heavy. Q1 comes with Akshaya Tritiya. And Q3 is -- Q3 and Q4 are more non-south-heavy. Q3 starts with Dhanteras and Diwali and the wedding season. So, if you look at quarter wise, Q3 usually is the best quarter, second comes Q1, third comes Q2 and last comes Q4. The usual scenario. Almost Q2 and Q4 used to be similar.

Moderator The next question is from the line of Chetan Shah from Jeet Capital.

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Page 11 of 14 Chetan Shah Just one small quick question. This is specific to our, our franchise business model. If I have understood this correctly, we are kind of experimenting in a particular region, non-south area, and see how this is evolving. So, if you can give us some flavor that next two to three timeframe, how you want to take this forward, and what are the two or three important parameters you'll be tracking to take this on a fast track going forward. That will be very helpful from your side, please.

Ramesh Kalyanaraman So if you look at as of now, we already have signed 6 LOIs. We opened one store, and that is getting stabilized, stabilized in the way it is -- the operating model is stabilized. Otherwise, store opening or revenue at a store or walk-in, that is not what I mean, because that is all usual scenario wherein, we usually open 18, 20 stores a year. So, this particularly because it's a new operating model, that is why we highlighted that it has got stabilized. And our plan is to go aggressive on expansion through this model. But why we are holding it on now is just for the pilot franchise stores, which is the 6 franchise stores, which we want to open, we want to exactly understand whether the stability is there in the operating model, so that then we can accelerate the plant and go aggressive on expansion plan through this new window.

And for our understanding, there is a good pipeline franchisee people who are interested, and we have put them on hold because we want these stores to get stabilized. But I will give -- I will be able to give you more clarity on the progress by the end of this quarter.

Moderator The next question is from the line of Pankaj Bobade from Affluent Assets.

Pankaj Bobade Sir, first thing I would like to ask you is what is our target ROE going forward as our franchise business model stabilizes? So where do we want to take it from around 12% to 14% to what level?

Ramesh Kalyanaraman Yes, so all our new showrooms, the ROE is around 20%. So, the more new showroom comes, then it'll get averaged from the 12%, which is there today. And in

between, as I told before, we have planned to -- meaning once the franchisee gets stabilized and once we go really aggressive on the franchisee expansion, once we don't use the full cash flow which comes for store expansion, there will be reduction in our bank exposure, which will take out certain securities, which again, comes in as cash access to the company, which will again, further improve our ROEs. So that is our target.

Pankaj Bobad

e So how many of our stores are so called old stores, which are contributing less?

Ramesh Kalyanaraman We have -- meaning, only 1 store of franchise. Rest, everything is owned.

Pankaj Bobade No, no. You mentioned that out of -- we have 158 stores right now. The new stores are contributing 20% plus. The old one, which are contributing less, I just wanted to have a rough approximate number, how many are those?

Ramesh Kalyanaraman No, no, not -- I didn't mean like that because why it's told 20% is because the overhead expenses are borne by the existing stores. So, the corporate overheads are not increasing when we increase the number of stores. That is why we are highlighting that new stores are 20% ROE, and operating leverage will start stepping in. So, did I make it clear?

Pankaj Bobade Yes. I got your point. I just wanted to have a rough number. Okay, how many are the new ones, which has started -- which are contributing better?

Ramesh Kalyanaraman So all the new stores are contributing how we need it because of the -- of course, the revenue which we estimate from a store, gets achieved. So, it is not that one particular store contributes more.

Pankaj Bobade Okay. My second question is that we have a battery of celebrities for endorsement, I mean for advertisements. So, our A&P is relatively quite a high number, which is in -
- which is a normal thing in jewelry business. But I have seen in some parts of -- especially central India, where the local stores are using their own customers as sort of celebrities to advertise. So have you looked at this angle, which maybe probably
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Page 12 of 14 reduce your A&P. Maybe it may even dilute, but I just wanted to have -- request you to have a look at that thing.

Ramesh Kalyanaraman So I understood your question. So, in marketing, if you see, Kalyan as a brand, we are able to scale up throughout the country, which is very rare in the jewelry segment. We started from south, and we are able to penetrate into almost all the parts of this country. And that is because of the strength of the brand, which we have created over the past many years.

And we are well stabilized with our existing models for marketing and brand promotion. And the percentage of marketing expense, which we do is in very similar lines with the industry standard. It is in the range of 2%, 2.2%, is what the industry spends. It is more than that, in fact.

So, to answer you, whether we can use our consumer for marketing, we still do that on a micro level, but that cannot, anyway, substitute the macro level marketing which we do.

Moderator The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar Sir, I just wanted to understand on the debt side, how do we see debt build up going forward?

V. Swaminathan Our gross debt level is same as March numbers, which is INR 3,365 crore. And this will be stable as we go and complete this year.

Deepak Poddar But if I've seen interest cost, it's been declining since last three quarters. I presume it might be because of the change in mix of your gold versus your normal loan, right?

V. Swaminathan Yes, it is.

Deepak Poddar Okay. So current interest costs of INR 70 crore, INR 75 crore, is that the range you're looking at, I mean, in spite of this higher interest hike?

V. Swaminathan No, the number which you are saying, it includes lease interest, which is IndAS numbers. If you look at our financial cost -- that is bank interest, it'll be around INR 50 crore per quarter.

Deepak Poddar And that's likely to remain stable, right? I mean, in spite of that rate hike?

Ramesh Kalyanaraman Yes. So if you look at our interest, as I told -- mentioned before, you can expect that it can

be marginally lesser than the last financial year because the gold metal loan quotient is increasing then compared to last years. Even though the interest cost there, has been increased by the banks, that will be negative because of the gold loan quotient, which we are increasing. So, when compared to the last year, you can expect a marginal decrease in the total interest bucket.

Deepak Poddar Net-net, after the impact of these two.

Ramesh Kalyanaraman After the impact, yes.

Moderator The next question is from the line of Prathamesh Agrawal from Varanium Capital.

Prathamesh Agrawal Sir, just one question. So, since we are -- I think that second half will be north-heavy, so what can we achieve, like 16.5%, 17% kind of level in the second half from a gross margin perspective, like with also previously stated in calls that whenever the studded mix ratio tends to move around 27%, 28%, we normally tend to make margins in that range. So would the exit for the year could come around 16.5%, 17%.

Ramesh Kalyanaraman So, if you see, the studded ratio before, pre-COVID, when even the studded ratio was 24%, we used to achieve a margin between 16% to 17%. If the south, /non-south revenue mix is 35/65. But now because of because of the new studded products, which we have launched wherein the gold content is high, the 24% studded ratio is actually -- it should have been 27% to get the same 16%, 17% margin. Last year, Q3 was 16% margin.

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Prathamesh Agrawal Okay. So, you are saying in a sense that because of the newer product mix, I think, you'll have to make that mix 27% to kind of achieve a 16%.

Ramesh Kalyanaraman So when that mix goes to the range of 26%, 27%, then the margins will be in the range of 16% to 17%.

Prathamesh Agrawal Okay. Do we expect that level by at least Quarter 4 or till that time we'll have clarity on non-south stores, franchise stores as well as -- since the entire store opening for this year is in non-south markets?

Ramesh Kalyanaraman So the focus is on non-south markets. Studded ratio usually is very high there. So -- and Q3, Q4 are more non-south-heavy. Studded ratio should grow because of that. And last Q3, the margins were 16%. And our focus is also to grow the non-south revenue.

Moderator The next question is from the line of Prashant, an individual investor.

Prashant Sir, congratulations on a good set of numbers. Most of my questions have been answered. Just two financial questions. For this quarter, what has been the cash flow from operations before tax?

Ramesh Kalyanaraman Can you repeat the question?

Prashant What has been the ca -- what is the cash flow from operations before tax on a consolidated basis?

Ramesh Kalyanaraman Okay. Just give me moment. I'll just tell you. You can go to the next question.

Prashant Okay. And my next question is on the advertising and promotion expenses. It has been explained that we are very much in line with the industry, but as we -- so my -- other, the other way to look at it is that as we grow in the top line, do we still keep the same percentage or the absolute number will be same, so the percentage will kind of taper down?

Ramesh Kalyanaraman No, we will surely bring down the percentage. That's why from 2.2% then we -- our target is 1.8% to 2%. It will be further brought down when the top line -- so it is not that consistently we'll be spending 2%.

Prashant Okay. Okay. And on the cash flow side, sir?

Ramesh Kalyanaraman Yes. One second.

V. Swaminathan Yes. Our cash flow for the quarter is about INR 190 crore.

Shirish Pardeshi INR190 crore. So, I guess, the buildup in inventory has been used to -- because the -- if we see, the profit before taxes around INR 400 crore, a
t depreciation and so...

V. Swaminathan No, you're talking about quarter or the full year, sir?

Prashant Quarter.

V. Swaminathan Okay.

Analyst So, I mean is there a buildup in inventory in anticipation of business in the coming quarters?

V. Swaminathan So this -- you understand, as the season comes or our new shops being opened, there'll be a continuous moment in inventory, which will be requiring buildup of inventory.

Moderator Ladies and gentlemen, due to time constraints that was the last question for today. I now have the conference over to Mr. Ramesh Kalyanaraman, Executive Director, for closing comments.

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Page 14 of 14 Ramesh Kalyanaraman Thank you. Thank you very much for the -- for participating in this call. And we really look forward for a fantastic year ahead starting from Q2. So Q1, we are really excited and the way forward also, we are really excited.

Thank you very much and see you all soon.

Moderator Thank you. On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

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SEC/85/2022-2023 November 15, 2022

1. National Stock Exchange of India Ltd.

Exchange Plaza

Plot No. C/1, G Block

Bandra –Kurla Complex Bandra (E),

Mumbai 400 051

Symbol: KALYANKJIL 2. BSE Limited

Corporate Relationship Dept.

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai 400001

Maharashtra, India

Scrip Code: 543278

Dear Sir/Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the second quarter and half year ended 30th September 2022 is attached herewith.

Kindly take the same into your records.

Thanking You

Jishnu RG
Company Secretary & Compliance Officer

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Conference Call"

November 10, 2022

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MR. SANJAY MEHROTTRA – HEAD (STRATEGY & CORPORATE AFFAIRS), KALYAN JEWELLERS INDIA LIMITED

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MR. ABRAHAM GEORGE – HEAD (INVESTOR RELATION & TREASURY), KALYAN JEWELLERS INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Kalyan Jewellers Q2 FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you, sir.

Rahul Agarwal: Good evening, everyone. And thank you for joining us on the Kalyan Jewellers India Limited Q2 and H1 FY23 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, who is the CEO; Mr. Swaminathan – CFO; Mr. Sanjay Mehrottra – Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on Company's website and stock exchanges. We will begin the call with opening remarks from Management, following, we will have the forum open for questions and answers session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening, everyone. The recently concluded quarter has been very good. It was really exciting for Kalyan Jewellers. We achieved robust momentum in footfalls and revenue across all our markets, and we are continuing to see strong profitability trend and meaningful expansion of our return ratio post-COVID.

We recorded consolidated revenue growth of more than 20% in Q2 as compared to the same period in the previous financial year. Moreover, our revenue as a company has meaningfully expanded through COVID with Q2 consolidated revenue having grown at a CAGR of more than 18% over the last three years.

If I now sit back and look at our business over the last year and aggregate the last four quarters, Kalyan has achieved revenue in excess of Rs 13,000 crore and PAT in excess of Rs 420 crore.

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Now let me spend some time on the current quarter. We are extremely excited with the way the quarter has started despite a very high base last year. We tracked the festive season as Diwali day minus 30 days, and in this period, we have witnessed a revenue growth of approximately 25% versus a prior year. This has been driven by very strong customer walk-ins across all the markets. What has also been really encouraging was a share of new customers during the festive period. It is in excess of 35%.

As indicated on the previous call, operating model at the existing five franchise showrooms have stabilized, and we are extremely satisfied with the business traction on ground. We are aggressively pursuing the next phase of franchised showroom expansion. As of now, we are at various stages of discussions with 50 odd potential franchisee partners and have signed the next set of six LOIs in India, and the first LOI for the Middle East Market.

While discussing driving strong day-to-day execution, we have developed a strategy and roadmap to further improve the profitability of the business and build a robust return on capital profile.

First area of focus is to expand showroom network

predominantly through the more capital

efficient FOCO model enabling us to utilize sizable part of the profits earned to pay down the cash credit facilities and to reward the shareholders.

The second area of focus is to convert some of the existing owned showrooms in South India to franchised showrooms and redeploy the capital to grow the higher margins non-south markets aggressively.

Thirdly, we will reduce invested capital in the Middle East and improve its return profile by converting some of the existing owned showrooms to franchised ones and simultaneously expand the showroom network through the franchise model. Our international operations will be predominantly franchisee driven in the next three years.

Finally, diverse non-core immobile assets which will be released due to the reduction in working capital cash credit and also divesting certain non-core mobile assets, thereby, lightening the balance sheet. We will update you on the progress in these matters periodically.

Now, let me hand it over to Sanjay to take you to the financial highlights of the quarter. Thank you.

Sanjay Raghuraman: Good evening, everybody, and thank you, Ramesh. I am really happy to be talking to you all after a great quarterly performance. For this just concluded quarter, our Company reported consolidated revenues of Rs 3,473 crores, a 20% growth compared to the corresponding quarter of the previous year. Consolidated EBITDA came in at Rs 266 crores versus Rs 228 crores in the corresponding quarter of the previous year, a 54% growth.

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I shall now give you the breakup of the Q2 performance starting with the India numbers. Our India revenue came in at Rs 2,841 crores for this quarter versus Rs 2,503 crores when compared to the corresponding quarter of the previous year. And India Q2 EBITDA came in at Rs 222 crores versus Rs 201 crores when compared with the corresponding quarter of the previous year. And India PAT came in at Rs 95 crores compared to Rs 68 crores in the corresponding quarter of the previous year.

Moving now to talk about our Middle East business. Revenue in the Middle East came in at Rs 601 crores for the quarter compared to Rs 360 crores in the corresponding quarter of the previous year. EBITDA for the Middle East business came in at Rs 47 crores versus Rs 26 crores in the same period of the previous year. Lastly, Middle East profits came in at Rs 14 crores in the quarter compared to Rs 35 lakhs in the corresponding quarter of the previous year.

Talking now about our e-commerce business. Candere posted revenues of Rs 37 crores in the quarter versus Rs 32 crores in the corresponding quarter of the previous year. The quarter recorded a loss of Rs 3 crores versus the profit of Rs 54 lakhs in the corresponding quarter of the previous year.

During the just concluded quarter, we had no bullion sale, and gold coin sale to retail and corporate customers came in at about Rs 13 crores, about 0.5% of total revenues. We opened five new outlets in the quarter, four in Kalyan Jewelers and the first offline outlet in Candere during this quarter taking the total stores opened during the first half of the current financial year to nine.

With this, I am now done with the summary of the financials, and we can now open the floor for questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I have got couple of questions and need some clarification. We have opened five new franchise stores in India. Correct?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: At various point of time, it would have done its sales, but maybe if you can highlight what is the contribution in the current quarter we have got of these five franchise?

Ramesh Kalyanaraman: Yes

. So, it is very minimal. So, hard to share the number because it's a very competitive information.

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Shirish Pardeshi: Second on, again, some data points. In that 20% growth what we have reported in the quarter, what is the absolute grammage growth we have experienced?

Ramesh Kalyanaraman: So, the revenue growth will be higher than the volume growth because, you know, that the gold prices have moved by 5 to 6%. So, it should be in that level.

Shirish Pardeshi: So, if it is 20%, maybe two-third is volume?

Ramesh Kalyanaraman: But you should reduce standard quotient where the volume has gone up, meaning the revenue has gone up. So, that will also have to --

Shirish Pardeshi: Maybe if you have handy, what is the gold tonnage growth we have experienced in this quarter?

Ramesh Kalyanaraman: So, it will be in the range of 5 to 7%.

Shirish Pardeshi: 5 to 7%?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: And just you touched upon the studded portion would have been close to about 28, 29% now?

Ramesh Kalyanaraman: The ratio you mean?

Shirish Pardeshi: Yes.

Ramesh Kalyanaraman: So, studded ratio for Q2 will be in the range of what, 26%.

Shirish Pardeshi: 26. So, it's moved from 24 last quarter to 26.

Ramesh Kalyanaraman: Yes. 25.6 if you want to be accurate.

Shirish Pardeshi: 25 point?

Ramesh Kalyanaraman: 25.6 is the studded ratio.

Shirish Pardeshi: That's really helpful. My larger question is that in this quarter, I mean, the quarter three, we have seen a very strong wedding season, and there are various numbers which are floating out. But it comes to a hard number, which is 41 days muhurat, which is there for wedding.

Ramesh Kalyanaraman: Yes.

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Shirish Pardeshi: So, how do you see this demand on the ground? And per se where I am more interested is that where do you see the interaction with the client, and maybe if you can offer what kind of footfall or advance interest which we have seen in terms of the client interaction?

Ramesh Kalyanaraman: So, here, of course, yes, there is going to be lot of weddings in November, December, but most or we would have absorbed a lot of wedding demand in October as well. It should be there, but November, December I think the momentum is still there as we speak. As I have mentioned, we have actually a revenue growth of around 25% if you look at Diwali minus 30 days. That's how we look at it, and that is partially because of this wedding demand.

Shirish Pardeshi: No, the reason why I am asking because this muhurat is really going to be till say around 17th, 18th of December.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: So, there is some demand which is coming, and this one observation, since we have been tracking the industry. All these big bang weddings which are supposed to happen in Jan, Feb, March which got some postponed in the month of April and May, but the larger portion is going to come now.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: So, in terms of your consumer interaction, do you really see the high ticket wedding jewelry, whether it is studded or even in gold which is getting picked up?

Ramesh Kalyanaraman: So, if you look at the high-ticket wedding, there is a natural growth for the high ticket products, majorly because the unorganized segment are not now focusing too much on the higher ticket products. Because you know, during COVID they had liquidity issues etc., where they had to reduce their inventory levels. So, they basically reduced inventory levels in the non-stable products like high ticket size. So, there is a demand or there is a higher growth in those kind of products in general.

Shirish Pardeshi: Yes. So, that's what we found. So, I just wanted to reconfirm on those.

Ramesh Kalyanaraman: Yes. You are correct.

Shirish Pardeshi: Second on the gold metal lo

ans. Where do we stand now? And what is the aspiration which we want to close it by March?

Ramesh Kalyanaraman: Earlier we had actually guided towards Rs 1,800 levels. We have achieved that. As of now, we have Rs 1,819 as on 30th September, we have Rs 1,819 crore of gold metal loan. Probably, at

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the current level of sanction limits, we should be settling at these levels, maybe another Rs 50 crore higher. That's it.

Shirish Pardeshi: And my last question on the margin. I think, directionally, we have seen the market leader is also expanding its studded ratio, and we are also gaining lot of traction and momentum in the non-south market. Of course, the franchise operation will tell us where we want to head. But in the medium to long term, say, can we achieve, say, March or maybe next four quarters should be excess of 8.5, 9%? I mean, I am not asking for guidance, but directionally, do you think we should be achieving that target?

Ramesh Kalyanaraman: So, first, if I tell about Q2, the gross level, actually, at the gross level, the margins have improved year-on-here, and even with the high competitive intensity prevailing the market. And the EBITDA margins, there is a drop when compared to the last year, and it is majorly driven

because of some lower ad spend in the base year because we were just coming out of the Covid Wave 2. And in this quarter, we also have a one-time promotion which has been done, and if these two are negated, actually, the EBITDA margins would have been in the range of 8.1 to 8.2%. I think you should look at it that way because very hard for me to give a guidance. So, I wanted to tell you that the EBITDA margins in this quarter or the quarter which just ended would have been in the range of 8.1 to 8.2% if these two things were negated. So, that is the clarity which I want to give.

Shirish Pardeshi: No, you touched upon the same thing. In fact, if I have seen your number, and the observation is that as a company level, our ad expense has gone up by 43% while domestic expense has gone up by 46%. And when I look at the sales promotion expenses, which has gone up by 13.8%, while in the domestic market, it is 7.7%. So, I just wanted to understand, is this ad spend is because of the season and we are seeing the strong current and of course, that will help the franchise also to get the confidence? Was that the necessity or it will continue in the quarter three and quarter four also?

Ramesh Kalyanaraman: So, Q2, the ad expenses were high because we launched the campaigns in India and Middle East a bit early, because Diwali was coming a bit early this time. So, September by around the second week itself we started our campaign.

Shirish Pardeshi: But is it going to be recurring?

Ramesh Kalyanaraman: It should be in the range of what, 1.8 to 2% is what we generally look for on ad expense.

Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Few questions from my side. Ramesh, one thing about demand, let's say, for the second half, normally, I don't get into too much of quarterly and half term stuff, but it's a very peculiar

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situation. So, when I look at the gold prices, let's say, exit September 30th, and I think about that, let's say, it stays where it is for the next six months, you know, for your basis it looks like there is no gold inflation. So, just wanted your top down view on consumer behavior that, let's say, in a scenario of no gold inflation, just the volumes can make it, make up, let's say, and get to a good sort of a double digit growth?

Ramesh Kalyanaraman: Yes. So, if you look at our Diwali minus 30 days, Manoj, we have grown by around 25%, right, and majorly, it is volume driven, right? Because the price has not been moving when compared to

last Diwali. And the footfalls are very high. The footfalls are very high. Diwali was like mad wherein I would also tell you that we should not expect that Q3 ends up with 25%, because Diwali has been like a revenge shopping. The market has been very vibrant during Diwali time, and we are happy that we could actually grab the revenue. But even otherwise, we are very confident about Q3. And like I always say, when prices actually are lesser, the volume increases and vice versa, because people come with a budget.

Manoj Menon: Fair point. Cost stability driving volumes. Understood. And also you mentioned about, understood, a very heartening to hear. Now second on the franchising bit, you know, just one qualitative comment for the record would be helpful, you know, what's the sort of color of franchisees which you are having? What I mean by what sort of background they come with? What are the selection criteria you use? Are they existing jewelers? You know, are they auto dealers? Do they come from, let's say, apparel retail? I don't know. I am just trying to understand what sort of, you know, let's say criteria you use when you select a franchise, and the current ones what you have or maybe you can talk qualitatively the pipeline which you have, you know, what sort of background they come from?

Sanjay Raghuraman: So, as we have shared before, we have worked with one of the top four consultants to kind of set up a template to help us shortlist franchisees. And like you said, from our experience, we have found that the kind of people who are having like affiliation to do this are from the retail background either from the auto business or from the two-wheeler business or from existing franchisees of textile brands etc. So, it's an assortment of all of that.

Manoj Menon: Fair point. Sanjay, do you already have, let's say, someone with jewelry background etc. or no?

Ramesh Kalyanaraman: So, first of all, Manoj, Ramesh here. Let me highlight that an existing jeweler franchise does not bring in any additional benefit as we are working on a FOCO model. You know that, okay. I know where you are coming from. If you are checking whether the same franchise is working for KJ and its peer group, both of us are right in saying yes and no, reason being no partner will work with the same competition brand in the same entity, right? But yes, we are working with associates of franchisees of our peers.

Manoj Menon: Loud and clear, sir. I will not push this envelope anymore. Understood that. And Ramesh, third, I am sorry if I missed that. When I go back, you know, 30 days back on the quarterly

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announcement, you put it on Exchanges in the first week of October. There is one line which spoke about, you know, which basically called out gross margin pressure during the September quarter, essentially to do with the customs duty pass through. So, you will get the trips, right. So, is there a quantification which you have? That's point number one. Let's say, for example, you have to give x percentage or x quantum higher discounts because of this substantial gain which unhedged players would have got one off. Point number two, you know, a general comment about competitive intensity otherwise.

Ramesh Kalyanaraman: Yes. So, first thing, Manoj, competitive intensity has increased. The gold rate meaning the board rate continued to remain under pressure throughout the quarter. The board rate is decided by the local associations everywhere across the country, and there have been pressure in the board rate itself. That is majorly because of the customs duty one time advantage which the other organized one-store, two-store kind of jewelers would have got. So, they were completely passing it over to the customer, and we also had to do that. So, there is no one-time advantage because of that, and the continued competition intensity was there throughout the quarter.

Manoj Menon: I'm sorry, sir. Actually understood, I got the answer for the second one, but the first one what I was asking was, you know, because of the custom duty entry somebody who was, let's say, unhedged would have got the one-time inventory gain which, you know, that particular competitor may have chosen to use it as a discounting tool. Obviously, you being a hedged player, you know, didn't have that luxury. So, it has to come from your P&L. So, I am just trying to understand is there some sort of a quantification you have that you have to give this extra discounts, maybe because that is the one-time which happened only in September quarter? So, just trying to understand that so that I don't have to assume that, you know, this will recur in the next 12 months, 24 months.

Ramesh Kalyanaraman: Yes. So, Manoj, what is happening, how is an organized meaning or unorganized or a regional player giving that one timer to the customer, he is actually bringing down the gold rate, board rate which he displays. Okay. That is done through associations. So, we also had to follow the same board rate in the markets. In short, we also had to give away that as a discount. So, it will not come as a discount. Customer will not even know that he has been discounted, but it is actually given away to the customer.

Manoj Menon: Sir, it is not counterintuitive because if I am that XYX player who's unhedged and I got the gain, I would have loved to tell the consumer that I am giving you, you know, let's say, lower making charges or something else, so that it's also, you know, customer recruitment tool for me.

Ramesh Kalyanaraman: Yes. You are right. So, what happens is that players, not all players do like what we are doing wherein they don't reduce the board rate to the so-called player, right? There are players who keep a premium on gold rate. Of course, the premium has come down drastically, but there are players who keep a premium on that so-called gold rate, right. So, that is actually a competition

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win for them, but when they compare to Kalyan Jewellers, it's not a win, because we also sell it at the same board rate of their.

Manoj Menon: Understand. And one last thing, I found in your investor presentation on the slide about strategy ROC, there is one comment. If I remember correctly, it's I think the last line, which talks about, you also mentioned briefly in your opening remark about divestment of some non-core assets movable as well as immovable. Could you elaborate a bit on it because there is also a comment about which is on the presentation about their corporate aircraft divestment possibility?

Ramesh Kalyanaraman: Yes. So, we have signed a mandate to an agency to sell their crafts. And a longer-term plan is as I have mentioned in the presentation, our expansion will be majorly driven by franchisee. It is a FOCO model, very asset light, capital light, and this will actually bring in lot of cash in the books, and that will be again used for producing our cash credit, which will take out the assets which we have mortgaged the collateral and which can again be liquidated to further improve the return ratios.

And moreover, you know that there are a lot of indirect benefits in you going and reducing your cash credit facilities. It is not that we claim to be a debt-free company. It is actually to bring in more negotiations on table in terms of cash credit facilities, better bank facilities. You can improve your gold loan facility. You can reduce your collateral which you are given. Your ratings are going to improve. So, there are a lot of indirect benefits as well. And of course, your ROCEs will also get better meaning your return on capital will also be better. And we will also start rewarding the stakeholders.

Manoj Menon: And also, if you recall, few months back, you know, there is again an

exchange release about,

you know, likely refinancing options which you are considering. Could you just update on where are we at this point?

Ramesh Kalyanaraman: So, the international bond you mean, right?

Manoj Menon: Yes.

Ramesh Kalyanaraman: Yes. So, that is still on wherein the market now is meaning we will not be able to do it right now, but it is still on. And it really now sinks to the long-term plan also meaning the three-year plan which we have put in the presentation. Because anyway we are going to retire the debts, and if bond comes in, that retirement for the banking purpose will happen very, very swiftly meaning immediately so that the collateral all comes out, and we can go in liquidating assets etc. So, the bond is still on, but we are waiting for the markets to get settled.

Moderator: Thank you. The next question is from the line of Ratish Varier from Sundaram Mutual Fund.

Please go ahead.

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Ratish Varier: Thanks for the opportunity. Just one clarification, sir, this one of the participants asked you about margins where you mentioned couple of one-offs for the quarter, and you mentioned if you exclude all that, we are looking at 8, 8.5% margin. Just to understand them better, are we trying to say that as you get into the second half because upfronting has happened in terms of our spending, we will move towards 8, 8.5% margins? Thanks.

Ramesh Kalyanaraman: Yes. So, I don't want to give a forward-looking statement, but yes, if without the adjustment relating to the advertisement and promotion, the EBITDA margins would have been in the range of 8.1 to 8.2% in the quarter which just ended.

Ratish Varier: So, are we trying to say that we have upfronted these expenditures for the quarter? Because you also mentioned Diwali is ahead, so we would have done some spending.

Ramesh Kalyanaraman: For the ad expenses, yes. Yes. Some of the ad expenses, yes, but relating to promotions, no, because it's onetime.

Ratish Varier: Ad expenses for the full year we should consider between 1.8 to 2% as we have been mentioning earlier, isn't it?

Ramesh Kalyanaraman: Yes. That is the target for the brand.

Ratish Varier: Just to add one more clarification, when earlier participant Manoj asked you about, you know, the gold price, you mentioned, right, the unorganized or smaller players have produced the gold price and they are sold, and we also in parallel had to do that somewhere. So, we are, you know, from a Kalyan brand per se where the positioning comes in here when we also have to follow what our competitors do? We just wanted to understand where the branding comes into play then in that per se?

Ramesh Kalyanaraman: So, it is actually we charge a premium in terms of making charge etc. That is all a very hidden kind of charges wherein customer really looks at the product design, the product portfolio which we offer etc. But when it comes to a gold rate itself, it is very hard for a consumer to say that okay, the product is better, and we pay a gold rate better than a competition, because we are competing with regional players who have a good brand value in the specific markets. So, to some extent actually, we have negated the impact of the board rate pressure because of the charge of premium in making charge which we had.

Moderator: Thank you. The next question is from the line of Nillai Shah from Moon Capital. Please go ahead.

Nillai Shah: So, the question that I had essentially is, first of all, you spoke about festive-to-festive 35, 36 days growth being 25%. That is obviously much higher than what we have seen in the past and what you have kind of guided for or alluded to in the past also. This leads to operating leverage

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obviously. So, you expect this stronger book to drive margins much stronger over the next two quarters? Or will

I some of it be taken away by higher ad spends?

Ramesh Kalyanaraman: So, first of all, it is just to correct, of course, it is Diwali minus 30 days. It is not 35, 36 days.

Okay. So, that is the way we see the festive. And yes, the growth has been in the range of 25% and already starting from a higher base. And Diwali, it was like a revenge shopping. The market was extremely vibrant and growth has been there for all, mostly, all the large players in this festive season. And we as a brand started our campaign well in advance. We managed to do a good job. But this 25% is a very bullish number. We should not keep that as a Q3 or a Q4 target. But of course, the quarter has begun very well, and we should see a good, a strong double digit growth is what we see.

And regarding the operating leverage which will step in, yes, of course, when your revenue grows, operating leverage will step in, but there has been pressure in the gross margin itself by

way of gold rate. Competition has been intense, and that also has to be considered. And you know that when the revenue comes in, our primary focus is to grab new customers. We cannot leave them. They are going to give us better quality revenue in the future, and we have been seeing very high good contribution from new customers in the range of 35% plus. So, market share increase is what we will focus as a primary vision, but of course, margins will be better because OpEx will be surely taking a role.

Nillai Shah: The second question is, you spoke about your collateral being freed up by potential sale of non-core assets. I am aware of a piece of land which you have mortgaged to get some collateral for your metal gold loans. Is there anything else that you are alluding to or that is the piece of land itself that you are speaking about apart from the aircrafts?

Ramesh Kalyanaraman: So, I will just give you a view. Yes. So, aircraft is separate. Aircraft is, I told you it's a movable assets which we are already signed with an agency to liquidate it. Apart from that, all our credit sanction facilities come with a 35% collateral which we have given to the banks, be it be a GML, be it be a usual working capital limit. So, when we retire the debts, 35% of it will come out.

Nillai Shah: And that gives you better bargaining power for future mechanisms. That is what you were talking about.

Ramesh Kalyanaraman: Yes. So, there are a lot of advantages. Once you start retiring your debts, banks will surely come out with better interest rates, better deals. Your balance sheet becomes lighter. Again, your rating improves because a strengthened balance sheet surely comes with better negotiations. All put together, it is not that we will be a debt-free company. That's not the target, because that should not be the way we do it. But of course, primarily, we will focus to retire the debts, take out the collaterals, again liquidate it, put it back to the company in terms of improving your return ratios. And if the future negotiations come with a lighter collateral engagement with a better interest rate, we might again go for an exposure, but not at this level, not with 35%. We will optimize it.

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Moderator: The line for the current participant has got disconnected. We will move on to the next question that is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: I'm sorry if my questions are repeated because I joined a bit late. Sir, my question is with regards to the performance in the Middle East. While the top line performance there has been into tracking well ahead and largely, as you mentioned in the PPT also, that it's largely SSSG driven. So, what is the outlook in terms of store opening there? One. And second, how should one look at the margins there because margins there has been tracking a bit lower, but equally gold rates would increase. So, how should one

look at the EBITDA margin given there will be the operating leverage benefits as well?

Ramesh Kalyanaraman: For Middle East if you look at the revenue, there has been a substantial growth in revenue in Q2, and that is not the way we should look at it, because Q2, actually, in the last year, the market was just starting to become vibrant. So, from Q3, the Middle East was back in form in last year. So, as we speak, Diwali has been good in Q in Middle East also. The revenue growth has been very similar to that of India, and even now the market is vibrant. So, regarding expansion for Middle East. It will again be more of the franchisee based which we will look for. We have signed the first LOI for our Middle East franchise business, which we will be launching this year.

Gaurav Jogani: And sir, my next question is with regards to your experience with the other set of franchisees that has been opened more in the last couple of quarters. How has been the experience there with both you and the partner? What has been the early learning in this process and what confidence does it give to you in opening the future franchisees going ahead?

Ramesh Kalyanaraman: So, it has been extremely satisfying. The revenue is on target. The operating model is on target, and the kind of momentum which we are getting from the franchisee, new franchisee partners whom we are going to trying to tie up is also very positive. As we speak, we are in talks with more than 50 franchisee partners, and existing partners are again seeking more showrooms with us. So, it has been very positive as we speak.

Gaurav Jogani: And sir, my next question is with regards to, you know, you had mentioned about the divestment of non-core assets and, you know, maybe as aircraft asset you are speaking about. So, is there a tolerated debt number that we are looking to maybe at the end of not say '23 or '24 that we are targeting? And because, you know, we also see the good increase in the share of the gold metal loans now. So, how should one look at the overall interest cost going ahead in the next couple of years?

Sanjay Raghuraman: Our target actually for the next three years will be to retire most of the cash credit facilities which we have in India. That is our primary target, but once we start preparing it, if we get Bank facilities with better options, like leaner security, leaner collateral, again, more of gold loan quotient etc., we might go for that. So, it is not a target of making your company a debt tree. But

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we will be heading to Rs 1,200 crore cash credit which we have in India. We will be making it, we will be predominantly reducing it in the next three years.

Gaurav Jogani: I think the last part I didn't get it. So, right now you said that the cash credit facility is around Rs 1,200 crores in India, right?

Sanjay Raghuraman: Yes.

Gaurav Jogani: And that you were looking to reduce too. So, is there a number that you would like to --

Sanjay Raghuraman: Yes, that will be mostly reduced meaning I am not using the word zero, but that will be the mostly meaning that's the focus area. It will be mostly reduced.

Moderator: Thank you. The next question is from the line of Anurag Dayal from HSBC. Please go ahead.

Anurag Dayal: So, sir, my first question is, I want to understand the throughput difference between the South and the non-South stores because if you look at per store basis, the non-south revenue is lower, and we don't have breakup of sales per square feet. But assuming that the studded ratio and all is higher in non-south market, so want to understand, I mean, my reading is correct that non-south should be higher throughput or it's currently low for you and you expect it to improve in the coming quarters?

Ramesh Kalyanaraman: So, you are asking about, first of all, revenue growth in south and non-south, right, if I heard you right?

Anur

ag Dayal: Yes. Not more about revenue, but it's more about per square feet sales.

Ramesh Kalyanaraman: So, revenue per showroom will be surely higher in south than in non-south.

Anurag Dayal: And so that will continue you believe or it will, I mean, the gap is narrow.

Ramesh Kalyanaraman: So, revenue per store in South India will be higher than in non-South. That is because, first of all, in South India, we are there in, the number of showrooms if you see, we are there in almost all the Tier 1 and Metros in South India. In non-South area, we are only starting to expand. So, if you look at the Tier 1 stores in the non-South, that is actually similar to the revenue for store in South India. So, that's a different way to look at it. Because now if you see, one thing we need to actually keep in mind. Okay. Newer showrooms are smaller in size when compared to the existing ones. The CapEx which we are investing in newer showrooms are also lesser when compared to the South showrooms where the CapEx was higher. So, it all depends upon the stock turn, right? So, when you go with the leaner investment per store, the stock will be lesser, and the stock turn will be higher, but the revenue per store will be surely lesser than in South India.

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Anurag Dayal: And the second question is basically you are looking for a franchisee expansion version of some stores in South into franchisee stores, but what I understand that the gross margin is quite low in South stores.

Ramesh Kalyanaraman: Yes.

Anurag Dayal: So, how the economics works otherwise or why the franchisee will come? So, I have this on some interest or you have some other kind of economics package we are offering to them which is different than the non-South stores?

Ramesh Kalyanaraman: Yes. So, we are working on a package which is different from the non-South. And we will be because there are lots of franchisee inquiries which is coming from the South India where they don't want to do franchise outside of India. So, they are okay to take the package which we are actually offering to them which is a bit different than in the non-South markets, and that is why we are exploring that.

Anurag Dayal: But basically, the ROEs for you will be similar, right, for you.

Ramesh Kalyanaraman: Yes.

Anurag Dayal: What I calculated basically for franchisee stores in Mumbai it would be right for you because we hardly put any investment. It should be similar to South as well or it should be pretty lower?

Ramesh Kalyanaraman: So, it will be similar if you look at approximately.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Thanks for the opportunity. I have a few questions. Some clarification if you can provide on the movable and immovable property. So, what is the quantum of that? And if I am not saying you did mention that it will happen in two years, but is this has further charged within the other group companies or it's purely on the balance sheet of Kalyan?

Ramesh Kalyanaraman: We have only one company no, meaning Kalyan Jewellers owns the land, and the charge is only for Kalyan Jewellers.

Shirish Pardeshi: So, you mean to say that this Rs 1,200 odd crores will be retired in next say 18 to 24 months.

Ramesh Kalyanaraman: Three years.

Shirish Pardeshi: Three years.
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Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: My second question on the franchise. I did remember that there was a full page ad for a franchise inquiry which was done in Business Daily in Mumbai. So, obviously, your pipelines look very strong, but if my interaction goes back a quarter before, you did mention that we want to stabilize this for five, six franchise and gets a good learning and then expand.

Ramesh Kalyanaraman: Yes.

Shirish Pa

rdeshi: So, do you have, in that journey, you have got enough understanding, and now you are fast forwarding the appointment of franchisee? And the related question on that. By March, what number you are having in mind?

Ramesh Kalyanaraman: So, first of all, I told you, we were going slow because we wanted to actually do the pilot phase properly. We have existing five franchises. We are extremely happy. It has been stabilized, and that is why we have signed six more LOIs. And regarding the 50 prospective franchisee partners, we are engaging with them, and we are already, we think that we have covered the learning curve. But we can do minor corrections even before signing those 50. So, 6 LOIs we have signed now. Again, we have done minute corrections from the six which we have earlier done, the first 6 LOIs which we did, and first 5 showrooms which we opened. So, that is about the learning curve and the experience which we have had with the 5 franchisee which we have opened. And if you are asking for before March, how many more stores, we would say that as we speak actually, we have opened seven owned showrooms and five franchise showrooms in Kalyan Jewellers. One owned showroom in the Middle East, one owned showroom in Candere. So, totally 14 showrooms we have opened as we speak. So, the plan till March is to open six more immediately because LOI has been signed, and again, six more before March. That will be the plan for Kalyan Jewellers for this year. And we will be opening two more Candere stores, and we will be opening one more showroom in Middle East that will be a franchise. So, total 24 Kalyan Jewellers, 2 in the Middle East, 3 Candere, 29 showrooms this year is our target.

Shirish Pardeshi: Just one clarification on that. Even Candere is also will have a mix of owned and franchise or Candere will have only franchise?

Ramesh Kalyanaraman: So, this year we will limit it with our owned stores because owned store itself is a new experience for us in Candere. We opened only the first showroom last month. So, this year we will actually do only owned store in Candere. We already have franchisees who are inquiring for Candere, and we are actually interacting with them, but we will wait for stabilization of the owned store at Candere, and then we will be looking for franchise there.

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Shirish Pardeshi: And just last question on the tax rate. What, now, these all things which are happening and given the benefit of franchise operations versus our owned store, what will be the tax rate one can assume for '23?

Ramesh Kalyanaraman: Tax rate is 25%. Yes. Franchise will not have tax rate.

Moderator: Thank you. The next question is from the line of Rajiv from DAM Capital. Please go ahead.

Rajiv: Sir, on the balance sheet side, so there is on the current liabilities which is increase of Rs 243 crores on the console, can you explain what exactly is that?

Ramesh Kalyanaraman: You mean the creditors, right?

Rajiv: Yes.

Ramesh Kalyanaraman: Yes. So, that is supply credit increase because it is a what you call preparing for the festive. So, the inventory would have increased and creditors would have gone up. The normal pre-festival build up inventory.

Rajiv: And on the Middle East gross margin, so we have seen close to 200 that's dropped there, and which is slightly different from the Indian piece. What is the difference because of?

Ramesh Kalyanaraman: So, Middle East margins have been in the range of 15% no? It is almost steady.

Rajiv: It used to be 17.5.

Ramesh Kalyanaraman: Yes. It used to be 16 to 17%, because now, you know, tourists are back, customer sentiments was very positive, lot of traffic. So, now you know that the competition will also behave, and people will demand for plain gold staple products again. So, even Q1 was in the similar range 15%. So, Middle East should we looked at this range because t

he momentum in revenue is very high.

Rajiv: And similarly, on the Candere part, so we stepped up investment there, right? What is the, for

example, the OpEx rate going forward there on the Candere portfolio? I know it's still early days.

Ramesh Kalyanaraman: So, if you are talking about the physical store?

Rajiv: No, no. So, the loss in Candere is Rs 3 crores, right, as compared to?

Ramesh Kalyanaraman: Yes.

Rajiv: I just wondered what is the burn which we are shooting for on an annual, yes.

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Sanjay Raghuraman: So, this year we are making investments coming back to investment mode in this business in the current year. Essentially, we are undergoing a major upgradation in our tech platform and have made some investments in technology as well as people, so staff costs and technology costs have got front ended. And I expect that because we are in an investment mode, we will have a marginal kind of loss this year with that business.

Rajiv: And then you, so you alluded to some provision in this quarter, right? Can you spell out what exactly is that? And you said that adjusted for that, we would have been 8.1% EBITDA margin.

Ramesh Kalyanaraman: The provision is predominantly for the bond issue which we were planning, and it pertains to that. So, on a conservative way, we have put a provision for the bond expenses, not fully, but marginally.

Rajiv: That's all.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.

Ramesh Kalyanaraman: Thank you very much, and looking forward for a good quarter, and hope to see you again soon. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Kalyan Jewellers India limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2023

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SEC/116 /2022 -2023 February 13 , 2023

1. National Stock Exchange of India Ltd.

Exchange Plaza

Plot No. C/1, G Block

Bandra –Kurla Complex Bandra (E),

Mumbai 400 051

Symbol: KALYANKJIL 2. BSE Limited

Corporate Relationship Dept.

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai 400001

Maharashtra, India

Scrip Code: 543278

Dear Sir & Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the third quarter ended on 31st December 2022 is attached herewith.

Please take the above information on record.

Thanking you.

For Kalyan Jewellers India Limited

Jishnu RG

Company Secretary & Compliance Officer

Membership No – ACS 32820

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"Kalyan Jewellers India Limited.
Q3 FY '23 Earnings Conference Call"
February 07, 2023

MANAGEMENT : MR. RAMESH KALYANARAMAN – EXECUTIVE
DIRECTOR – KALYAN JEWELLERS INDIA LIMITED.
MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE
OFFICER – KALYAN JEWELLERS INDIA LIMITED.
MR. SWAMINATHAN – CHIEF FINANCIAL OFFICER -
KALYAN JEWELLERS INDIA LIMITED
MR. SANJAY MEHROTRA - HEAD OF STRATEGY &
CORPORATE AFFAIRS – KALYAN JEWELLERS INDIA
LIMITED.
MR. ABRAHAM GEORGE – HEAD OF INVESTOR
RELATIONS & TREASURY – KALYAN JEWELLERS
INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Kalyan Jewellers India Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you. Over to you.

Rahul Agarwal: Good afternoon, everyone and thank you for joining us on the Kalyan Jewellers India Limited Q3 and nine-month FY '23 earnings conference call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, who is the CEO; Mr. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the Company's website and stock exchanges. We will begin the call with opening remarks from management, following which we will open the forum for questions and answers session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you, and over to you sir.

Ramesh Kalyanaraman: Thank you. Good afternoon, everyone. The Q3 was excellent. Recently concluded quarter witnessed continued positive momentum in both footfalls and revenues across all the markets in which we operate. We recorded consolidated revenue growth of approximately 13% in Q3 FY 2023 over the same period in the prior year and 34% for YTD nine months FY 2023 over the same period in the prior year.

Our PAT in Q3 was approximately INR 148 crores as compared to INR 135 crores for the same period in the prior year a growth of 10%. Stepping back as we look at our business over the past year and aggregate the last four quarters, Kalyan has achieved revenue in excess of INR 13,500 crores and a PAT of approximately INR 434 crores.

Within India, we witnessed revenue growth of approximately 12% despite a strong base with Q3 of the prior year being the first normalized quarter post-COVID. Additionally, we know that December, there was some muted demand, three weeks of December, especially because of the postponement of discretionary demand, which has now normalized in January, predominantly because of the gold prices. We continue to see encouraging trends around the share of new Kalyan Jewellers India Limited

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customers, which was in excess of 35%. The non-South revenue mix is again improving. It is now at 43% from 37% in the prior year.

As you know, during the recently concluded quarter, we announced our plans to open 52 showrooms during the calendar year 2023. A significant portion of these would be franchise showrooms. As part of the strategy, we have invested a significant amount of time and effort over the past three, four months in building our internal resources. We have hired approximately 900 staff, largely for the 20-plus showrooms we will open before Akshaya Tritiya, highest employee addition in a quarter, in the history of the Company so far.

In the

Middle East, we witnessed significant improvement in customer sentiments during the recently concluded quarter, with revenue growth in excess of 24%. We plan to launch the first franchise showroom in the Middle East during the first quarter of the next financial year. While the setting up of the franchise model is taking some time, we would not want to compromise on the growth potential and we will be selectively opening additional owned stores with the internal accruals from that region.

As I indicated earlier, our international business will be predominantly franchisee operated in the next three years. Talking about our online platform, Candere. During the recently concluded quarter, we opened the second physical store. We have put together a store rollout plan for the next financial year and expect to take the share of its offline business to approximately 25% by the end of FY 2024.

If I look at the current quarter's early performance, we continue to be encouraged by the robust momentum in revenue and footfalls across all our major markets. We continue to remain committed to our recently announced strategy of optimizing our ROCE profile using profits and free cash flow to repay debt and reward shareholders and lighten our balance sheet via the

divestment of certain non-core assets.

Now I think, over to you, Sanjay. You take them in detail about the numbers.

Sanjay Raghuraman: Thank you, Ramesh and good afternoon, everybody. I'm really happy to be talking to you all after a great quarterly performance. For the just concluded quarter, our company reported consolidated revenue of INR 3,884 crores, a growth of 13% over the same period of the previous year. Consolidated EBITDA came in at INR 327 crores versus INR 299 crores in the same period of the previous year, and consolidated profit after tax came in at INR 148 crores versus INR 135 crores in the same period of the previous year.

Next, I shall give you the breakup of the financial numbers between India and the Middle East, starting with India. For this just concluded quarter, our India revenue was INR 3,219 crores, a 12% growth when compared with the corresponding period in the previous year. And EBITDA for this just concluded quarter came in at INR 276 crores for the India business, a growth of 9% when compared with Q3 in the previous year.

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We recorded a profit after-tax of INR 133 crores compared to a PAT of INR 118 crores in the corresponding quarter of the previous financial year, a growth of 13%. Moving on next about our Middle East business. Our revenue for the quarter in the Middle East came in at INR 641 crores, a growth of 24% compared to Q3 of the previous year.

EBITDA in the Middle East business came in at INR 52 crores versus INR 46 crores in the same quarter of the previous year. The Middle East business posted a profit of INR 17 crores for the quarter compared to a profit of INR 16 crores for the corresponding quarter in the previous year. Moving on next to talk about our e-commerce business. Candere.com posted a revenue of INR 44 crores in the quarter versus INR 47 crores in the corresponding quarter of the previous year, and this quarter recorded a loss of INR 1.7 crores versus a profit of INR 26 lakhs for the corresponding quarter of the previous year.

During this quarter, we had no bullion sale, and our gold coin sale to retail and corporate customers was about INR 155 crores, approximately 4.8% of total revenue. We increased our retail footprint in India by opening six more outlets in Q3 of FY '23, including one outlet for candere.com. As of 31st December 2022, our total store count was 169.

With this, I'm done with the summary of the financials and we can now open the floor for questions. Thank you.

Moderator: Our first question comes from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: You started with a ve

ry strong festive season; however the base is also one thing which is there.

But I just wanted to check, I think this year there was lot of competition on ground and everybody is trying to push the wedding jewellery. So, in your sense, how the things and demand has had happened per se? Was it more skewed towards the gold exchange and give the benefit of wedding jewellery or things are now normalized and we are going back to the pre-COVID days like the normalized sale? So, any comments on that?

Ramesh Kalyanaraman: Yes. So, as you said, festive demand was extremely high and in November also demand was fairly good. December was a bit of what a flat to negative because of the gold prices especially and that is how it was. So not because of competition and not because of any other factors. January is back on track, everything is normalized and momentum is extremely positive, and that is how it is.

Shirish Pardeshi: So, one follow-up here that would you be able to quantify saying that what was the SSSG growth in quarter 3?

Ramesh Kalyanaraman: No, I didn't get you there.

Shirish Pardeshi: Same-store sales growth.

Ramesh Kalyanaraman: Same-store sales growth was approximately 5%. In India.

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Shirish Pardeshi: So, if I have to break that 12% India growth, 5% is SSSG, and the balance would be grammage or how?

Ramesh Kalyanaraman: So, you are talking about grammage volume versus value?

Shirish Pardeshi: No. I am saying India business has grown 12%. So, in that, 5% has come from same-store sales growth.

Ramesh Kalyanaraman: Yes, 7% is from new stores.

Shirish Pardeshi: And volume would remain flat?

Ramesh Kalyanaraman: So, as I always say, we look at value because people come with the budget only, you know,

because they don't...

Shirish Pardeshi: My second question is that, in the presentation, you have said that we have executed 35 LOI for FOCO. However, the commentaries revolved around 900 people, 20 stores. So, where this 35 and 20? I mean is that the difference between 15 stores is going to come in next year or if you can guide me that when these 20 stores will finally get executed?

Ramesh Kalyanaraman: So, 11 of the 20 showrooms will be in Q4 itself. Out of 35 signed, 11 will be in Q4 itself, and remaining nine will be before Akshaya Tritiya, Akshaya Tritiya is in April, and rest will be after Akshaya Tritiya.

Shirish Pardeshi: And this what you have mentioned previously, this is all going to be non-metro, non-Tier 1 towns and non-South markets?

Ramesh Kalyanaraman: It will be non-South, but not necessarily non-metro.

Shirish Pardeshi: My second question on the margin front. Maybe if you can give some colour on the gold metal loans, how you look at, and basically the interest cost burden what we should factor in. And lastly on the gold prices because the gold has moved significantly higher, so any qualitative comments you can expect because the history tells that whenever the gold prices run faster, I think people will hold back their purchases?

Ramesh Kalyanaraman: Yes. So, we will come from the last regarding the gold prices. When a gold price volatility is very high, people take some time to adapt to the new price and especially the discretionary demand wherein people don't have a hurry to buy, they might push their purchase to the next occasion, maybe a birthday or an anniversary or any other function which is happening at home. Wedding demand, they will not be able to push it too much or pre-pone it too much because it has to happen on a particular date.

So, December, the last three weeks, actually the momentum was not very high. Demand was muted. It was same or a negative kind of growth, which we were seeing. But in Jan, customers are back, revenue was good, demand is very high.

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Of course, we should give some what we call leve

r to the low base, which we had in January

last year because of the Omicron. But even if you negate that, I think the momentum was extremely strong in Jan. And even wedding season is on and that is what in January it is happening. Now when you come to the margin, so margin you are talking about the EBITDA margin?

Shirish Pardeshi: I'm talking about gross.

Ramesh Kalyanaraman: So gross margin, if you look at it has been in the similar range even with a better studded ratio and even with a better non-South revenue. That is basically because of the pressure from the unorganized segment in the gold pricing itself. The gold rate itself has a pressure and there's high competition with regard to that, especially from the unorganized segment. Otherwise, the margins should have improved more because we have a better non-South revenue and a better studded ratio as well. Middle East is stabilizing in the range of 15% to start back, momentum is back, so Middle East is stabilizing in the range of 15%.

Shirish Pardeshi: No. Exactly what you said, and when you look at the store split non-South and the revenue, I'm still saying that gross margin has not improved in tandem. So, is there any specific one-off in this or maybe the better way to explain that is the exchange was higher and maybe if you can help me with the number, what was the exchange number? Because in the presentation, you have said that the new buyer contribution is at 35%.

Ramesh Kalyanaraman: So, exchange is very similar to the last quarter and Q3 of last year. It is in the range of 27%, 28% is the metrics change which we have. It is not because of that. Metal price pressure was there in the quarter, it is even now there as we speak in January. The metal price pressure is there from the unorganized segment and from certain organized players as well. That is the major reason for the margin de-growth.

We got de-growth in the sense where margin has not what we call improved even after a better studded ratio and a better non-South revenue mix. And of course, all of us should consider that it's not apple-to-apple comparison with Q3 last year because the franchisee revenue has also started coming in and the franchisee revenue, you know, it comes with a lesser gross margin.

Shirish Pardeshi: Ramesh, my last question on the gold metal loan. If any colour you can provide, where do we stand at the end of quarter three?

Ramesh Kalyanaraman: It is in the range of INR 1,850 crores.

Shirish Pardeshi: INR 1,850 crores?

Ramesh Kalyanaraman: Yes.

Moderator: Our next question comes from the line of Manoj Menon from ICICI Securities.

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Manoj Menon: Hi team, just to start with a small query on the quarterly cost. So, there is a comment in the presentation about certain one-off pre-operative cost for franchising, so would you be able to quantify this?

Ramesh Kalyanaraman: Yes. So, you know that the major pre-operative expense was regarding manpower because we had to add approximately 900 employees during the last quarter Q3, which was predominantly because of the store openings which we have lined up before Akshaya Tritiya. And to give a number, I mean, it will be, you know, per employee cost is in the range of what INR 35,000 to INR 40,000 that's the usual range of an employee cost. So, EBITDA may be what 0.2%.

Manoj Menon: Secondly, you had issued a press release a few weeks back about 52 franchisees to be opened for this calendar year. There's also a comment in the presentation about some conversions from own to franchising for capital unlocking which you are attempting in South India. Does this 52 includes this, or these are 52 completely new franchisee stores?

Ramesh Kalyanaraman: 52 will be store expansion. Over and above that, we will do some store conversion from South to non-South, meaning the South stores we will convert to franchisee stores wherein the capital will

be unlocked.

Manoj Menon: Secondly on the franchising bit, right, typically, if you could help us understand, let's say, what would be the typical size of the store because given that these are mostly in smaller cities, towns, etc? And, let's say, what is the typical starting inventory of your franchising store?

Ramesh Kalyanaraman: So, inventory will be in the range of INR 20 crores, average I'm telling. So, there are stores which is what even INR 25 crores or INR 28 crores, but there are stores which even INR 18 crores. So, average you can treat it as INR 20 crores, and the first year revenue can be calculated as INR 50 crores, 2.5 stock turn on an annual basis...

Manoj Menon: No, exactly. So, which essentially, would mean that mid to high teens revenue growth for, let's say, rolling 12 months is very likely only from expansion?

Ramesh Kalyanaraman: So, Manoj, just to give more clarity. So, if you look at our store expansion for the past what two years, usually the footprint growth is around 10%, okay, and SSSG will be about 5%. So now the advantage is that this year if you look at the next financial year, the store expansion will be 30%. So yes, you are right, the revenue growth for the next 2, 3 years will be higher than the usual because the store expansion will be stronger, or the higher number of stores will come because the franchisee arm has been activated.

Manoj Menon: So only one finer event which I thought wanted to clarify was let's say owned store versus the franchising, you could book the entire inventory on day one whereas it will take a certain ramp-up in an owned store. So, in that sense, rolling 12 months is likely to be higher because you will end up having more primary sales versus secondary?

Ramesh Kalyanaraman: Yes, correct. So, because it comes in day one, and that is going to be the scenario for what continuously..

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Manoj Menon: And lastly, any update which you could give us the larger audience in terms of the progress on the non-core assets divestment?

Ramesh Kalyanaraman: Yes. You mean the aircraft, right?

Manoj Menon: Yes. It's still there in the presentation, but just anything more beyond that.

Ramesh Kalyanaraman: We told you last time, we have engaged a consultant to explore divesting the aircraft and we continue to engage with them very closely and they are actively exploring options to sell the aircraft, okay? The market conditions you know is not the most ideal, but we remain committed to follow through on our stated intention and even if we need to take what a modest write-off, we will go with it because the intention is to liquidate the aircraft. And we should expect some potential meaning, maybe a write-off, but that is what we see from or hear from the market, but very early for us to come out with a number or what to quantify it now.

Manoj Menon: And I think even if it's a small write-off, it's anyway a non-cash charge, actually, so

Ramesh Kalyanaraman: It is a non-cash write-off.

Moderator: Our next question comes from the line of Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: Sir, I had one question, which was on your opening remark about the competitive intensity. So, two parts to that. First is, is this specifically in the South part where you are facing this competition from the unorganized channel or is it pan India? And second, what has led to this kind of increased competitive intensity over the last few months?

Ramesh Kalyanaraman: So, it is pan India situation. It is not only about South India. It is majorly because of the duty hike a couple of times. The difference between the gold which comes through the proper channel and otherwise the parallel market, what we call the percentage is getting higher and higher, so

that is the major area, which is the reason for the price competition in the market. There is a sizable difference in the duty.

Nihal Mahesh

Jham: So that is the main aspect, or any other aspect which has changed which is leading to the increased competitive intensity?

Ramesh Kalyanaraman: That is the main – meaning, we compete with mostly unorganized segment and certain regional players, right? That is a major competition for Kalyan per se. And the major pressure comes from the gold rate itself and the reason for the same is the duty increase and that is where, but one thing what we think is that the government is taking a lot of measures, making hallmarking compulsory. Again, they also realize that there is a kind of situation here in our country. And once it gets stabilized, I think the competition pressure will be coming down and there might be one gold rate across the country in the next one year, at least amongst the organized players. That is what we think.

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Nihal Mahesh Jham: Just one more question I had was on the non-core asset. Other than the aircraft, I think there are certain land holdings also. So, is there any update on sale of those that you want to just highlight?

Ramesh Kalyanaraman: That we had told you that, that is predominantly you know when there is a lot of free cash and we don't use that cash for any expansion. So, this year if you see, we have had expansion through our owned store also. So predominantly in the next financial year, when there is free cash flow because the expansion is going to be majorly driven by franchisee, that cash will be utilized to repay the bank debts, which in turn might free some land mortgage in the bank, which will be liquidated. So again, first thing is that the proceeds from the aircraft, of course, will be the first round of repayment of debt and over and above that, the next year, cash flow will also be utilized for the same.

Moderator: Our next question comes from the line of Naresh Vaswani from Sameeksha Capital.

Naresh Vaswani: So, my first question was on the franchisee model. So, in that, what will be the inventory days on our books? And second is, given that majority of the expansion is through this franchisee, on a consol basis, where do you see the inventory turns going ahead in the next three years?

Ramesh Kalyanaraman: So, can you repeat the question? I missed it out somewhere.

Naresh Vaswani: Yes. So, my question was, for the franchisee business model, what will be the inventory days on our books because you'll be selling the inventory —

Ramesh Kalyanaraman: That'll be 10 to 15 days at least. We will have to keep the inventory.

Naresh Vaswani: 10 to 15 days. And then going ahead, how do you see the inventory going, I mean the inventory turns moving ahead in the next three years? Will it reach 2.8 times to 3 times?

Ramesh Kalyanaraman: Yes. So of course, it will because now you know the revenue is growing and now, we are almost in the range of about 2.3 times plus stock turn and our target is to take it around 2.5 times and then to 3 in the next what two, three years. So that is our target, yes.

Naresh Vaswani: And how will the gold hedging we've done for this franchisee partner?

Ramesh Kalyanaraman: We don't own the inventory. It is owned by them.

Naresh Vaswani: Correct.

Ramesh Kalyanaraman: Yes. So, we don't, meaning we don't take the responsibility of hedging. So, it is owned by them. The inventory is owned by them.

Naresh Vaswani: Right. But if they don't hedge?

Ramesh Kalyanaraman: I hope you understand.

Naresh Vaswani: But if they don't hedge, then that could be a risk to this business model, right, I mean?

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Ramesh Kalyanaraman: Yes. So, we have created a framework wherein what we call the gain which they get in the inventory, they don't take it as what we call, they will not be able to take it out, okay, because for us, the inventory should be in quantity rather than only the amount.

So, we decided a certain

kilogram of inventory which has to be there and it has to be refilled every day with the customer cash which is coming in, okay?

And inventory risk is passed on to them, wherein it is not going to have any liquidity issue there, right? It's only more of a P&L issue, and even the gains will be used to replenish the inventory only. We fill the inventory only. There is no cash flow risk is what I am trying to say. They don't close their book every quarter and the all know, they don't have that pressure, right? They are individual companies, so that's how it is.

Naresh Vaswani: And given that now majority will be franchisee, and will you be sharing this detail separately from the next quarter also, the franchisee framing...

Ramesh Kalyanaraman: Not from the next quarter. Yes, because now it is a very competitive information because the number of franchisees are very small. When it reaches a critical mass, we will surely start sharing it individually.

Moderator: Our next question comes from the line of Sameer Dalal from Natverlal and Sons Stock Brokers Private Limited.

Sameer Dalal: Sir, a lot of the questions that I had were answered. There is one thing. In the six franchisee stores that you opened already, if you can give us a brief on how those have been performing, and have we reached breakeven? Exactly what's happening at the six franchisee stores?

Ramesh Kalyanaraman: Yes. So, I mean, it is on track. Revenue is on track and because right from day one, it becomes breakeven, right, because you know, store level expenses are very minimal, right? So, it's almost what 6% to 7% is a store-level expense and the margins are 20% plus. So, from day one, it becomes breakeven, okay.

So, the franchisee stores, which we opened, everything is on track. Most of them have gone through the Diwali season. The revenue is going as per the targeted revenue, which we needed, profitability is strong, and there is franchisee from this so-called six itself who have come back to us to take the next set of showrooms. So, it is going in the right direction.

Sameer Dalal: And the second question is just a follow-up. So, what the previous speaker was asking, when the franchisee doesn't hedge and you all have some sort of a profit share with the franchisee, right?

So, when the franchisee doesn't hedge and say the gold prices changed drastically and it affects their profitability, wouldn't it affect your profitability if they haven't hedged it to some extent?

Ramesh Kalyanaraman: No. So, we sell it to them with a gross margin, which we have pre-decided. That is how we sell it to them, okay? That is predominantly in the making charge, wherein for example if my cost is X, we sell it at Y. So that gross margin comes in at whatever gold price it is, okay? And regarding Kalyan Jewellers India Limited

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the hedging of gold by the franchisees, you know that how they operated that, whatever cash comes in, they buy the gold on the same day and they refill it.

So, there is no cash flow risk, except valuation risk when it comes to their gold prices, okay?

And they do not close their books every quarter. They are not bothered on the volatility of their gross margin every month or every quarter. So, for a traditional jeweller kind of setup, hedging is not actually necessary because it does not affect its cash flow.

Sameer Dalal: But that will affect its profitability and I believe have some sort of profit share, that's what I'm trying to address.

Ramesh Kalyanaraman: So, our profit share is when we sell, meaning...

Sameer Dalal: So, you are taking your profit upfront, you are saying?

Ramesh Kalyanaraman: For example, if the cost of a product is 1%, we sell it at 10%. That 9% is our margin. So, for us, gold rate does not even impact us, right?

Sameer Dalal: And this is you are taking this margin after because you all are working on a FOCO model which i

s franchisee owned but company operated. That means the staff that is selling is all that is on your books. So, you are not taking the profit, including the staff costs everything you are taking that upfront. Is that fair to assume?

Ramesh Kalyanaraman: Correct.

Sameer Dalal: So, any risk on anything lies in the franchisee's book and nothing to you at all?

Ramesh Kalyanaraman: Nothing at all.

Moderator: Our next question comes from the line of Rajiv from DAM Capital. Please go ahead.

Rajiv: Yes. Thanks for the opportunity. Sir, can you throw some light on the Candere de-growth? What exactly is leading to this, and how are you addressing this apart from let's say the store addition trajectory?

Ramesh Kalyanaraman: Sanjay, you want to take it?

Sanjay Raghuraman: So, if you look at Candere as a business, this is a business that was 100% online till recently.

And if you look at the way the online business has evolved over a period of time, there's a stage in their life cycle when offline presence is key to grow. So, we are in that phase. We are transitioning to a model where we will be online plus offline. If you look at the competitive landscape, that's also how businesses have scaled.

As of now, we have two offline outlets operational. As Ramesh mentioned in our opening remarks, we have a strong plan in place for the next financial year to ramp-up count on our offline outlet. And as you ramp-up on offline stores, growth will come back and I believe over

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by the end of next financial year, offline revenues will be at least 25% to 30% of total revenues. So, we have a clear pipeline in place for offline stores to come through, as well as visibility on how it will work for us.

Rajiv: And this 25%, I mean will be contributed by let's say what is the assumption in terms of store count?

Sanjay Raghuraman: What I meant to say was offline revenue will be 25% of total revenues in the Candere business.

Rajiv: No, I got that. But those are two stores as of now, right? So, let's say by FY '24, where do you want to take these two numbers?

Sanjay Raghuraman: By the end of next financial year, we should be at about 30 outlets totally.

Rajiv: And secondly, in terms of the Middle East operations, so there was mid-teen SSSG there. So, can you help me there? Is there operating leverage, which can kick-in there and which we haven't seen this time around?

Ramesh Kalyanaraman: So Middle East, again, I told you that of course when the revenue growth is there in the range, which we see now, operating leverage should start stepping in. And if you had noticed, the gross margin level has a de-growth wherein in pre-COVID, it was in the range of 16%, 17%, and now it is in the range of 15%, which was of course forecasted because once the revenue momentum starts kicking in, tourists come back and competition starts kicking in.

We had expected a 15%, 15.5% gross margin, which is on-track. But when the revenue top line growth, of course, there can be operating leverage should start kicking in. And again, we have a franchisee plan also in action there, as I mentioned, and we will be working on it in such a way that in the next two, three years, I think it should be a predominantly franchisee-driven arm for us, Middle East.

Rajiv: And in a few opening questions, you talked about 5% SSSG on the overall India business. Can you break that into South and non-South because the South piece hasn't moved much? So is there SSSG significant, a low single digit in SSSG South piece?

Ramesh Kalyanaraman: Yes. So, South would have grown only what less than 2%. If you look at the total growth itself, non-South would have grown at 28%. I am now talking SSSG, the total revenue growth from non-South market would have been in the range of 28%, and South in the range of 2%, and almost everything as SSSG in South.

But in that 28%, everything is not SSSG

because we have added showrooms only, predominantly

in the non-South region for the past couple of years now, okay? That is one of the reasons that the non-South revenue growth is much more than the south. But again, one or two areas where the South revenue growth is not as much as non-South, even the SSSG is majorly because the base was higher in the last year because you would remember that there were lot of migrations Kalyan Jewellers India Limited

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happening during that time, where people were staying in their hometown in South India during the last year in Q3.

And again, in December this year, when the gold prices went up, the discretionary demand usually gets impacted in Kerala, Karnataka and Andhra Pradesh because December is a high discretionary demand month for these three markets. So, the impact was there in December, which would have again impacted the South revenue.

Rajiv: And if you can help me with how does this share of new customers at 35% tie-up with SSSG, and let's say by market, the 35% is largely non-South, is it safe to assume that?

Ramesh Kalyanaraman: So, it should be higher than non-South, a new customer growth will be surely higher because the new showrooms, all the customers are new customers that is how it is. But otherwise, the ratio how we see is that if we have 100 customers coming in or 100 invoices done, 35% of that is from new customers. New customers we see is that if they have not come to us in two years, we treat them as a new customer.

Rajiv: Sure. But in the South, this number would be, I mean can you give some colour there?

Ramesh Kalyanaraman: I don't have a number right now, but there will be healthy new customer addition in the South as well.

Moderator: Our next question comes from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Ramesh, I'm slightly confused, you mentioned that we will open 52 franchise stores, correct?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: That will come up in FY '24?

Ramesh Kalyanaraman: Yes. Calendar year 2023. So that was announcement, but you can keep it as 52 showrooms for the next financial year as well. That is almost the same.

Shirish Pardeshi: So, my point here is that today, when we see that, we have existing stores and our store count in India is about -- I mean if I exclude Middle East, about 137 stores, so 137 plus 52 franchise. Is

that the correct way to look at it?

Ramesh Kalyanaraman: Correct.

Shirish Pardeshi: And on top of it, my question was, we earlier had said that about 40, 50 stores we will add our own store. Will that take a backseat, or we will still open our stores also?

Ramesh Kalyanaraman: Next year, we will predominantly do only franchise. Our store expansion will not be there. It will be very minimalistic. It will not be in the range of 14, 15 because as I mentioned earlier, the next two to three years, our primary focus will be to use the excess cash flow to repay debts, take out the non-core assets, liquidate it further lighten the balance sheet, that will be the next

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two years. And again 52 openings itself need a lot of bandwidth, right? So over and above 52, we would not do the 10 or 15 own stores.

Shirish Pardeshi: My second question what Sanjay just mentioned that today we are having Candere two offline stores and we're going to take it up to 30. So even in Candere also, we are doing FOCO, or this will be largely our owned stores? And maybe if you can give some numbers around it, what is the current size? What is the throughput you are expecting, and maybe some gross margin because 30 is a big number which we are talking?

Ramesh Kalyanaraman: So initially, there'll be a lot of owned stores, and of course, we have franchisee inquiries coming in, but we would not do immediately. We will just wait and watch for our existing owned store

s

to get settled down and then only do franchisee for Candere.

Shirish Pardeshi: So, you mean to say all 30 will be our owned stores for FY '24?

Ramesh Kalyanaraman: Need not be, but at least a dozen will be our own.

Shirish Pardeshi: So, half of that, you are saying that will be our owned store.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: And in terms of revenue, any number you could provide, what kind of monthly annual revenue we can build in our model.

Ramesh Kalyanaraman: Average inventory levels in these kinds of stores are in the range of what INR 1.5 crores, and the average stock turn is around 4x to 5x.

Shirish Pardeshi: 4 to 5?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: And my last question is on slide 35, you have mentioned that South revenue has grown only 2%.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: Now there is one reference point. The market leader in the organized industry has taken South as a key and they are putting a lot of discounting, they are putting a lot of new designs and they're trying to target the wedding jewellery. Now is it the fact or outcome or is the result that the competition from the organized players is also heating up and that's why the South revenue has taken sluggishness or maybe there is genuine demand that people have withhold the purchases?

Ramesh Kalyanaraman: No, not at all, because October and November, the revenue was strong in the South. December usually comes with a lot of discretionary demand in South India, especially in Kerala, Karnataka and Andhra. Kerala comes with Christmas, and Andhra, Karnataka comes with other festivals like Sankranti, etcetera.

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And that is the reason for the South being 2% and non-South being 20%. And again, one more thing, which has to be highlighted is that Q3 in the last financial year, the base was heavy in South India because there were a lot of people who are working in the metros, who were settled in the South and the base would have been higher in the South. And otherwise, we don't see any competition from any new or existing organized players in the South because you know that we are one of the leading players in the South India.

Shirish Pardeshi: And my last question on ROCE. Right now, we are in the range of 16%, 17%, and I think at two, three slides, you have mentioned that the focus is going to improve with the asset-light model and we are going to improve. So, is there any meaningful target you have in mind over next two to three years which you can spell it out right now?

Ramesh Kalyanaraman: Abraham, you want to take it?

Abraham George: Shirish, we don't want to give a number here, but we are looking at meaningful improvement in ROCE profile over the next two to three years' time. Because these franchise showrooms are coming with no real capital employed, so that will clearly improve the return profile. And also, we are trying to reduce the capital employed by divestiture of assets as well as conversion of

showrooms.

Shirish Pardeshi: No, I agree, Abraham what you said that. But say today, we are talking about 52 number over 136, so almost 40% number we're talking about the franchised stores. So, does that mean, I mean arithmetically, are we targeting 35%, 40% to reach to next three years?

Abraham George: So that's like a big number, but it will be a meaningful improvement from where we are now.

Moderator: Our next question comes from the line of Sanika Khemani from Middleton Capital Advisors.

Sanika Khemani: First of all, I congratulate you for a very good set of numbers. So, my question is that, in the last budget the government has just shown a lot of craft in the lab-grown diamonds. So, I want to understand what impact will this have on our business? And my second question is, are we looking to venture out in this segment?

Ramesh Kalyanaraman: Yes. So, we are closely watching the market. As

of now, we are getting very limited inquiry for

lab-grown diamonds. The supply ecosystem is developing in India. The government is also giving what incentivizing for the same and as and when the demand grows for that segment, we will be there to meet the demand.

Moderator: As there are no further questions, I now hand over the conference to Mr. Ramesh Kalyanaraman for closing comments.

Ramesh Kalyanaraman: Thank you very much. So, looking forward for the next quarter. Thank you.

Moderator: Thank you, sir. On behalf of Kalyan Jewellers India Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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SEC/23 /2023 -2024 May 18 , 2023

1. National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex
Bandra (E), Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400 001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam

Sub: Transcript o f the earnings call Q4 of FY2022 -23.

We have enclosed the Transcript of the earnings call Q4 of FY2022 -23. The same is also available on the website of the Company.

Kindly take the same into your records.

Thankin g you
Yours Faithfully

for Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer

Encl: As above

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Q4 FY '23 Earnings Conference Call"
May 15, 2023

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M R. ABRAHAM GEORGE, HEAD OF INVESTOR
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LIMITED

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MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Kalyan Jewellers India Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone and thank you for joining us on the Kalyan Jewellers India Limited Q4 and FY '23 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. Swaminathan, CFO; Mr. Sanjay Mehrotra, our Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and presentation which just got uploaded on the company's website and stock exchanges. We will begin the call with opening remarks from management, following which we will have the forum open for a question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited, to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening, everyone. FY 2023 was an excellent year for the company recorded revenue of over INR 14,000 crores, a growth in excess of 30% over FY 2022, PAT of INR 432 crores. This is despite a onetime extraordinary pretax write-off of around INR 33 crores relating to divestment of certain noncore assets. Excluding the onetime extraordinary write-off, the PAT for the year is INR 457 crores, a growth in excess of 100% over FY 2022.

Last financial year has also been a remarkable one in the history of the company. While driving the day-to-day execution, we had developed and successfully rolled out a strategy and roadmap to further improve the cash flow profile of the business and build a robust return on capital

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profile. Primary area of focus under the strategy roadmap has been to expand showroom network predominantly through the more capital-efficient FOCO model franchise model.

During the last financial year, we launched 15 franchised showrooms in India as a part of our Phase 4 expansion. The first half of this financial year should see launch of around 30 showrooms and remaining 22 showrooms during the second half of the year, totalling 52 rooms for financial year 2024. We are continuing to receive many inbound franchisee inquiries for the non-South markets in India and have started engaging with prospective franchisee partners for the next set of expansion. In addition, we also have started getting inquiries for south markets, and we plan to launch the first set of pilot franchised showroom in South in this financial year. This will be over and above the 52 showrooms planned for the non-South markets.

In addition to launching new showrooms through the franchise model, we also have initiated

steps to convert some o

f the existing old showrooms in South India to franchisee showrooms and have made considerable progress in the same. We have also drawn up plans to reduce invested capital in the Middle East and improve its return profile by converting some of the existing owned showrooms to franchised ones and simultaneously expand the showroom network to the franchise model. There has been a slight delay in setting up the vertical, largely due to the local regulatory compliances and we expect to launch the first franchised showroom shortly.

Another significant area of focus has been to undertake divestments of noncore assets and use the proceeds to reduce the capital employed in the business, thereby lightening the balance sheet. We have signed LOIs with prospective buyers for some of the noncore assets and expect to complete the first set of divestments during the first half of this financial year.

All of these steps will enable us to witness significantly higher free cash generation during FY 2024, which, in part, we expect to reduce the existing non-GML working capital loans. This will reduce our leverage and disproportionately reduce our interest expense as we will be repaying the higher interest cost bearing non-GML working capital loans. Another significant decision has been the announcement of the maiden dividend for the last financial year.

Yet another high focus project, which we are excited about this is to transform our digital first platform, Candere, into a truly omnichannel one. We have drawn up an exciting network expansion plan of at least 30 showrooms during the current financial year through a mix of owned and franchised showers.

Talking about the ongoing quarter, we had a fantastic start to the financial year and a very strong Akshaya Tritiya, despite continuing volatility in gold prices. We are witnessing encouraging momentum in consumer demand, especially around the wedding purchases during the current quarter. We are upbeat about the current season and have fully geared up the system to ensure that we have yet another memorable quarter.

With this, let me hand over to Sanjay to take you through the financials. Thank you.

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Sanjay Raghuraman: Good afternoon, everybody. Thank you, Ramesh. I'm really very happy to be talking to you all after a solid performance in the just concluded financial year. I'll share some details now, starting with the just concluded quarter.

In this just conclude quarter, we reported a consolidated revenue of INR 3,382 crores, an 18% growth over the same quarter in the previous year. Consolidated EBITDA came in at INR 257 crores versus INR 218 crores in the corresponding quarter of the previous year. And consolidated profit after tax PAT was INR 95 crores versus INR 72 crores in the corresponding quarter of the previous year.

I shall now give you a breakup of the numbers between India and the Middle East, starting with India. Our India revenue for the quarter just concluded was INR 2,805 crores versus INR 2,399 crores when compared with the corresponding quarter of the previous year. Our India Q4 EBITDA was INR 217 crores versus INR 188 crores when compared with the corresponding quarter of the previous financial year. And our India profit after tax was INR 91 crores compared to INR 70 crores in the corresponding quarter of the previous year.

Moving now to talk about our Middle East business. Revenue for the quarter in the Middle East was about INR 549 crores compared to INR 425 crores in the corresponding quarter of the previous year. EBITDA in the Middle East came in at INR 42 crores for the quarter versus INR 33 crores in the same quarter of the previous year. The Middle East business posted a profit of INR 6 crores for the quarter compared to a profit of INR 4 crores for the corresponding quarter of the previous year.

Talking now about our e-commerce in Candere. The business posted a r

evenue of INR 32 crores

in the quarter versus INR 39 crores in the corresponding quarter of the previous year. The quarter recorded a loss of INR 1.9 crores in Candere versus a profit of INR 2.7 crores in the corresponding quarter of the previous year. During this past quarter, we had no bullion sale, and our gold coin sales to retail and corporate customers was about INR115 crores, approximately 4% of total revenue.

Moving on now to talk about full year performance. On a consolidated level, our revenue came in at INR 14,071 crores, a growth of 30% over the previous year. Consolidated EBITDA came in at INR 1,114 crores versus INR 815 crores over the previous year. Consolidated PAT for the year came in at INR 457 crores before a onetime extraordinary write-off of INR 33 crores versus

a profit of INR 224 crores during the previous year.

Moving on now to give you a breakup of these numbers between India and the Middle East, starting with India. For this just concluded year, our India revenue came in at INR 11,584 crores, a growth of 28% when compared to the previous year. Our India EBITDA for the year was INR 933 crores versus INR 692 crores when compared with the previous year. And our India PAT came in at INR 415 crores compared to INR 214 crores in the previous year, a growth of 94%. Talking now about our Middle East business. Our revenue in the Middle East came in at INR 2,364 crores for the year, recording a growth of 44% compared to the previous year - and Middle

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East EBITDA came in at INR 188 crores for the year versus INR 123 crores in the previous year. The Middle East business posted a profit of INR 50 crores for the year compared to INR 11 crores for the previous year. Talking lastly about our e-commerce in Candere, the numbers for the year in revenue came in at INR 157 crores versus INR 141 crores in the previous year. And the loss for the year was INR 7.8 crores versus INR 1.6 crores in the previous year.

With this, I'm done with the summary of the financials, and we now open the floor for questions. Thank you.

Moderator: Thank you very much sir. We have the first question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Good set of numbers. If you can touch upon in the volatile gold price market, how this last 45, 50 days because we also had the escalation of the festive season. So if you can provide some strength to your numbers?

Ramesh Kalyanaraman: Yes. So without telling you the number, I can only tell you what is happening on the ground for the first 45 days in Q1 versus the first 41 days, 45 days of Q1 of the last year, the growth rate has been extremely strong. It is much stronger than the Q4 growth.

Shirish Pardeshi: I would push because there is one other real estate player from DN has given the sales number and quantum for Akshaya Tritiya. So I'm not sure what is the hesitation, but anyway, I'll go with that. But just tell me how this growth panned out, maybe some qualitative understanding in versus South versus non-South?

Ramesh Kalyanaraman: So South and non-South are performing equally well in the first 45 days of Q1.

Shirish Pardeshi: Okay. Okay. One follow-up here. On the quarter 4 performance, when we see that South growth was 4% in the quarter gone by and non-South growth was 38%. Was it largely related to the FOCO addition or there is a qualitative growth in terms of the core studded portion, which is also contributing. So

Ramesh Kalyanaraman: Both of them is, of course, all the -- most of the new showrooms were added in non-south, and that is why the non-south revenue has grown. And over and above that, one thing is that Q4 has never been a very strong quarter for South, okay? Actually, if you look at a couple of years before, suddenly after the COVID come back, the Q4 revenue had a very high base, and we could at least de-grow only by 6%, 7% in the last Q4.

But

even then Q4 base is high for us for south players, okay? And that is the reason why SSG is a bit softer for South. And the non-South revenue growth, of course, the SSG is stronger than South India, but over and above that, this much percentage differences because of the new store additions which we have done.

Shirish Pardeshi: Okay. Okay. Just one clarification on FOCO. As on date, we have 15 stores. In the opening remarks, you said that you will add 52 stores.

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Ramesh Kalyanaraman: As of date is not 15; as of March 31, is 15, as of today, it is 22.

Shirish Pardeshi: Okay. Okay. Now what I wanted to clarify, in FY '24, you have guided that 30 stores and 20 stores, which will come. So total 52 stores, you are expanding under FOCO model.

Ramesh Kalyanaraman: Yes, correct. And all non-South.

Shirish Pardeshi: All non-South. Correct. Correct. But would you spend a minute or to saying that because you've been saying this FOCO opportunity in the Middle East also which you have not said anything. So maybe if you can give some color.

Ramesh Kalyanaraman: Okay. So in Middle East, we have signed an LOI for franchise, and we were supposed to open

in the Q4 or at least early Q1. But there has been a delay in implementation there, and we still go with that LOI, and we are now, I think, all the technical issues there have been solved. And I think, hopefully, it should be opened in Q1 or maximum of early Q2. So after that - after the pilot phase, then Middle East expansion with franchise, etcetera, we will explore more.

Shirish Pardeshi: But would you have any number in mind which we can build in, in our model for FY '24?

Ramesh Kalyanaraman: FY '24 better be safe, we don't put a model for expansion -- too much of expansion in the Middle East. And we will be keeping on updating you and better put it that way.

Shirish Pardeshi: Okay. Okay. My last question on the gold metal loan. As of March '23, would you be able to give us or quantify some more details, what is the quantum? What is it that we want to achieve?

And what is the rate at which we are expanding?

Abraham George: Shirish, Abraham here. So gold metal loan balance as on March 23 is INR 1,853 crores which is consolidated, of which India is INR 1,091 crores and the remaining is Middle East. We have been able to increase this number from INR 1,496 crores last year. And so we've made a meaningful increase in the Middle East, and we have done about INR 100 crores increase in India. And from here, we have probably another INR 50 crores, INR 75 crores headroom in India to increase beyond which we will need further sanctioning of limits - sub limits from the overall banking limits.

Shirish Pardeshi: Abraham, thanks for that but I'm just seeding in a little more in detail. You said that there is a divestment of noncore assets, which is going to happen. So directionally, that money should come in our gold metal loan should come down by half. Is that assumption is right?

Abraham George: No. So whatever debt repayment that we are planning for the financial year, we are planning for repayment of the higher-cost non-gold metal loan debt. And in parallel, we will also be trying to increase the gold metal loan limits within the bank. So in any case, gold metal loan will not come down from this level.

Shirish Pardeshi: So what is the non-gold metal loan debt today?

Abraham George: It is INR 1,650 crores around.

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Moderator: Thank you. The next question is from the line of Nillai Shah from Moon Capital. Please go ahead.

Nillai Shah: Yes hello? Yes, okay. So you want to talk about the growth for fiscal '24, 52 new franchisee stores to be added plus the fact that these 23, 24 stores added this financial year -- or last financial year, those stores will mature. So can you give some sort of indication of how the growth is making to

pan out? And even companies like Titan has been giving an indication of what the growth is. So I agree with Shirish, why is there so much reluctance to give a broad range of growth guidance for fiscal '24?

Ramesh Kalyanaraman: Yes. So there is no, what you call, hesitation. I will tell you, I can give you a view on it, wherein as you rightly said, 52 new showrooms, which we are going to open in the running financial year that itself should take care of at least a mid-teen -- late-teen revenue growth, okay?

Nillai Shah: Late teens so then franchisee stores, okay, sir?

Ramesh Kalyanaraman: Yes. And again, in addition, SSG of the showrooms is usually 5%, 6% of the existing showroom. And the full year revenue for the showrooms, which we opened in the last, what we call last financial year, okay, that the full year revenue should also come for the next financial year.

Nillai Shah: Got it, sir. So we are looking at 18-plus SSG plus the fact that the old stores mature and you get the full impact of the revenues coming through for the full financial year in fiscal '24. That is very clear.

The other question is on margins. For the quarter, you reported about 7.7% operating margins. This appears a little bit lower in context of what you've said in the past before the franchisee stores opened up. But really, the impact of franchisee stores for this financial year is going to be fairly low, given that there are only 15 stores as you close the financial year. So 7.7% margins for this quarter, given the South, non-South mix also has improved through the financial year. How should we think about margins going forward? Now I understand that there's going to be 52 of the franchisee stores opened up. And last year, you -- or last quarter, I think you spoke about 5% PBT margins, I think, for these stores.

Ramesh Kalyanaraman: Yes.

Nillai Shah: So how should we think about margins going forward?

Ramesh Kalyanaraman: So I think, first of all, let us do a deep analysis on this. If you look at the gross margin in Q4, it was in India, it is like 15.6%, okay? And meaning franchisee revenue according to you, what should be the percentage of franchisee revenue on the top line?

Nillai Shah: Normally, I would take it as about 60% of your Kalyan scope.

Ramesh Kalyanaraman: Yes. Per showroom. So 15 showrooms of franchise with the sustain revenue of the -- about 9 showrooms which we opened in Q4, okay? So the revenue, if we look at for -- just for a conversation, if you keep it as 10% of the revenue comes from franchise at 8%, the rest 90%

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actually have delivered the gross margin is becoming better, okay? It is in the what, 16%, 16.5% range. Again, it's coming to back to our old 16%, 16.5% margin on gross level. So EBITDA, I think we should slowly start moving from EBITDA margins and gross margins to PBT margins so that we are both on the right direction because as we said, the next year expansion is completely going to be on FOCO model, okay? And we might also start doing South franchise. So if we go in this direction of trying to build an EBITDA margin, I think we will get lost somewhere because we will not be looking at the same -- we'll not be looking in the same direction, no?

Moderator: Thank you. We have the next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: My first question is with regards to the capex number. If you see for the year FY '23, as per the cash flow comes to around INR 187 crores on the consol basis and around INR 160-odd crores on the standalone basis. Now we understand that the capex for the store is around INR 5 crores, INR 6 odd crores for the stores that we have opened. And I think we have opened our own stores of around 11 or 12 own stores. So in that context, what is the remaining capex for?

Ramesh Kalyanaraman: So, capex will be what INR 80 crores, INR 90 crores will be main

tenance capex itself and the rest will be for the new stores which we opened. So the new stores which we opened also the FOCO model -- even in the FOCO model, we have done a model wherein except the first 3 showrooms, the fit-out capex was done by Kalyan Jewellers. So that is the capex increase that you see.

Gaurav Jogani: Okay. Okay. So sir, in future also --

Ramesh Kalyanaraman: Out of the 23 showrooms opened last year 20 rooms capex, we have only added, okay? Plus, the INR 90 crores maintenance capex. So that is how it should be looked.

Gaurav Jogani: Sure. So sir, going ahead also, like the purpose or that is opened, will the capex be incurred by us or I mean, how should we build the capex going ahead given that we were thinking that this FOCO would be an asset-light model in that range?

Ramesh Kalyanaraman: You are talking about the 52 showrooms of FY '23, right?

Gaurav Jogani: Yes. Yes.

Ramesh Kalyanaraman: So these 52 or has been signed as capex done by Kalyan wherein the full asset will be done by Kalyan. And that is a model which people are opting. So actually, we have 2 models. One is that full capex, meaning inventory plus fit-out will be done by franchise. That is model #1. Model #2 is that inventory will be put by them and fit-out will be done by Kalyan. So preference for people to put money on inventory rather than into fit-out and people opt for the option two. And the 52 which we have signed is for -- meaning all the 52 has been signed for that.

Gaurav Jogani: Sir, one follow-up here. So in that case, does the margin profile changes with the partner there?

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Ramesh Kalyanaraman: Can you tell me once more?

Gaurav Jogani: Sure. So I'm saying because see --

Ramesh Kalyanaraman: We have put a fee for AMC, meaning for the asset, which we build for them. So there's an AMC in case that such on us, we charge them.

Gaurav Jogani: Okay. And sir, if you can share that number, so it will help us to build in the margins?

Ramesh Kalyanaraman: So we charge what 1%, right, Sanjay?

Sanjay Raghuraman: Yes 1% --

Ramesh Kalyanaraman: So it's like 1% of the revenue, which are for assets.

Gaurav Jogani: Okay. Sure. Sir, my next question is with regards to the interest cost. Now if you see the interest cost on a quarterly basis, it is kind of consistently going up. Now I understand that the interest rates have also moved in the interim. So if you can help us out, how should we build in the interest cost given that you will also be reducing the debt during the same period and some portion would also be shifted to the gold metal loans, which will be lower interest cost loan. So

how should we build the interest cost going ahead?

Ramesh Kalyanaraman: Yes. For interest, the conversion to gold loan is not going to be predominantly majorly high for the running financial year because we have a headroom only about INR 50 crores, INR 75 crores more for us to increase our gold loan. Okay? Debt reduction plan is yes, it is there. We will start with the cash, which is going to come in from aircraft and of course, there is going to be free cash flow for the company in the running year.

And there are going to be savings. The savings is going to be disproportionately higher than the percentage of debt reduction, which we will do. So the plan for this financial year, debt reduction should be in the range of 15% on a gross level. And interest reduction should be more than that because this is going to be reduced, the non-GML is going to be reduced, all the 15%.

Gaurav Jogani: Okay. So, sir, when you say gross, I mean, that is the total loan of around INR 3,000-odd crores? That's the number you're saying?

Ramesh Kalyanaraman: So 15% on a gross level, yes, you are right.

Gaurav Jogani: Yes. So that's like INR3,400-odd crores right?

Ramesh Kalyanaraman: Yes, I am talking about India.

Moderator: Thank you. The next question is from the line of

Anurag Dayal from HSBC. Please go ahead.

Anurag Dayal: So I have just one basic question. Now you have around 22-odd franchisee stores opened across North India and a few of them are open for more than 6 months. So I mean, how has been your experience so far in terms of how the stores are developing for the throughput you expected,

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inventory turns or studded ratio are they different from your own stores? So some color on that will real help.

Sanjay Raghuraman: This is Sanjay here. So in terms of difference, there's no real difference to talk about except that -- some of these outlets are slightly smaller in size compared to our regular outlets. Some of them are as good -- as big as our larger outlets. Just to give you a frame of reference, the outlet we opened in Agra this month -- last month is as big as any of our flagship outlets, so similarly Gorakhpur. So essentially, it's a market-specific strategy. This has now been running for about 9 months from the earliest outlet, and we've had good experience. Our franchise partners have also had a good experience.

And I think the studded ratios are in line with what we have budgeted and modelled. We have already got the same franchise partners who signed up for the initial outlets, putting their hands up for multiple outlets, which they have asked for in other locations. So in summary, I'd like to say that it's been progressing the way we envisage it to pan out.

Anurag Dayal: Great. Great color. And just a small question. Basically, I can see that apart from your expansion in non-South, you're looking for expansion to franchisee model in South, then you're looking for expanding the Candere model as well as the Middle East. So just want to understand how much the management bandwidth, is it getting too stressed because already you have ambitious plan of opening 50 plus stores? So how you are managing this entire expansion plans? We have certain leaders who have assigned to a different region to look into this.

Ramesh Kalyanaraman: I think the only different thing that needs to be done is to get the model right at the start. We have kind of got that down to our satisfaction in the India context for the North as well as the South. And then those things are stable. The modelling phase in Candere is now in progress, and I think we will sign a few partners in this quarter. And to that extent, we will have some activity there, but handled by a separate team. I don't see any challenges there. Same thing in the Middle East. We've got the model rolled out.

The first couple of LOIs have been signed. There were some time lags in the franchisee partners getting their documentation and their incorporation of firms, etcetera, stabilized. That's now done. So in this first half of this financial year, the first franchisee outlet in the Middle East will come online also for Candere. South India will also definitely happen.

Moderator: Thank you. The next question is from the line of Naresh Vaswani from Sameeksha Capital. Please go ahead.

Naresh Vaswani: So first question is on the margins. So if I look at full year FY '23 versus.

Moderator: I'm sorry to interrupt sir, your audio is not clear.

Naresh Vaswani: Is it proper?

Moderator: Yes, sir, please continue.

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Naresh Vaswani: Yes. Sir, my first question is on the margins. So for FY '23, EBITDA margins were 7.9%, which was flat compared to last year -- full year FY '22. But if we see our studied ratio and non-South share has gone up meaningfully in this year. Now I understand that you mentioned that franchisee margins should be lower. But again, the contribution from those stores would be pretty low right now. So if you can throw some color on it? And second, next year for '24 since all the stores will be on the FOCO model, what sort of EBITDA range would you guide us?

Ram

esh Kalyanaraman: Yes. So we should slowly move out from the EBITDA also and go to PBT percentage. So otherwise, it is very hard for us to give a guidance because franchisee model is scaling up in such a way that all the expansion is doing -- meaning is being done by franchisee, okay? So EBITDA margin, if you look at this year, it has been in the range of 4.7%, 4.8% annually. I think we should focus on that. And there you should see a growth in the PBT margins as a percentage to revenue.

Naresh Vaswani: Okay. Got it. And second, on the inventory days. So if I compare from first half, it has gone up from 175 days to 182 days. I understand that in franchisee, you would be requiring very less inventory days hardly 10, 15 days. So again, for FY '24, where should we see the inventory days going? Because I presume it should go down substantially. So any guidance on that you should -- if you want to share?

Ramesh Kalyanaraman: So you are talking about the inventory turn, right?

Naresh Vaswani: Yes, correct.

Ramesh Kalyanaraman: Yes. So inventory turn, if you look at our inventory, the revenue went up by 30% and inventory went up by 20% okay. So we are surely in a direction where the inventory turn is going up. And over and above that, we should consider a few things: One is that we opened 11 own showrooms in the financial year. And we again opened -- we had to keep inventory for the 5 new showrooms, which we opened in April, wherein franchisee billing will happen only in April, but we would have stocked in March itself.

And in this financial year, Akshaya Tithiya came in April third week instead of last year, it was in May. So we had stocked heavily in all our stores by March in itself that also comes as a stock in March itself, okay? Over and above all that, we also renovated and actually upgraded 11 to 12 of our Tier 1 showrooms to gain market share as well as to complete the leading players there, okay?

And when your gold price increases, of course, we cannot increase the -- we cannot keep the same volume because then you will have to invest the same kind of money. For example, 15%, there was increase in gold price in the last financial year. And if I keep the same volume in all my stores, I would have to keep 15% additional inventory increase there, which we have not done because we have worked in such a way that we have been not maintaining the same volume at the stores, but some increase in inventory is also because of the gold price increase. And growth, of course, is going to be predominantly franchisee-driven. And going forward, inventory turn improvement should be there and that's what I want to tell you.

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Naresh Vaswani: Yes. So just to ask it another way. So for franchise stores, what would be the inventory days on our books, if you can guide us some range -- would it be more than 10 15 days or --

Ramesh Kalyanaraman: It will be 15 days of our -- yes, 15 days we'll have to keep inventory on 15 days.

Naresh Vaswani: Okay. Okay. And one last question. I wanted to know your payout policy from here on. I know that for '23 it is 12% of PAT, but should we expect improvement from here on?

Ramesh Kalyanaraman: So we will surely come up with a dividend policy very soon. But our intention for the next financial year, meaning running financial year is to at least deploy 40% to 50% of our profits generated for repaying debt as well as rewarding investors.

Moderator: Thank you. The next question is from the line of Ashish Kanodia from Citi. Please go ahead.

Ashish Kanodia: So on the gold metal loan, you talked about reducing the gross borrowings at India level by maybe 15%, which basically means maybe around INR 300 crores worth of repayment of borrowings. So is it fair to say that at least the gold metal loan will go up by INR 300 crores because even if we assume that the sanction limit does not change, you will use that rep

ayment

of borrowings to increase the gold meter loan? And second, related question on that is for the sanction limit to increase, right, what are the drivers or -- I mean, how can we increase that limit?

Ramesh Kalyanaraman: So first thing is that we will be repaying the debt and the debt repayment will be for the non-GML, okay? It does not mean that the GML, as an amount, will increase. It only means that the proportion of GML versus the other loan will surely increase because the repayment is going to be non-GML, okay? And for your second question as to how we will increase the GML, it is all -- meaning what we believe is that, first of all, we are trying to bring in 1 or 2 new banks who can give us GML instead of our non-GML. And again, when we start repaying, we will surely get into negotiation with banks to increase the GML limit instead of the non-GML. So it is a process.

So for a conservative approach, better we don't budget for any increase in GML as an amount, except for what INR 50 crores, INR 75 crores because that's the way we should do is what I feel. And debt reduction, of course, you can plan in such a way or we can budget in such a way that it comes to 15% of the gross amount in India and all that will be non-GML.

Ashish Kanodia: Let me ask my question this way, right, so if you look at the last 3 years, right, gold metal loan has been around INR 1,000 – INR 1,700 crores, right? Now I mean once you repay the debt, right, your overall borrowing remains the same. So effectively, if you want, you can increase the gold metal loan. And given that GML is a natural hedge and it's also very cost effective, right, because the borrowing cost on payments are delivery attractive. So, I mean, from a strategy perspective, keeping aside modelling, but tell you from a strategy perspective, do you intend to increase this amount if you have the opportunity just because if you're repaying debt?

Ramesh Kalyanaraman: Yes, it's a separate set of discussion with banks on that behalf wherein as we speak, the things in our control, full control of repayment of non-GML loans, okay? To increase the limiting

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GML, it is, again, a discussion with the banks, which we have to do, which we will surely do, but we don't want to commit anything for the financial year because meaning it's not in our full control because banks also see that this much percentage of loans should be gold loan, this much not gold loan. And there are banks in our consortium, where they don't have a gold metal loan, what you call, product itself. So we are trying to bring in 1 or 2 new banks who have a gold loan, what we call vertical with them, etcetera. So the interest in saving will be higher than the reduction of 15% loan because even if we reduce 15% loan, the interest saving will be proportionately much higher because we are going to reduce the non-GML quotient and not the GML quotient.

Ashish Kanodia: Sure, sure. Got it. And second question is just on the cash flow, right? With the incremental cash flow you have generated in Middle East because in the Middle East, you have the intention to do franchisees as well. So first, from whatever profits that has been generated into Middle East what's the strategy there? Do you want to deploy stores, open more company-owned stores in Middle East or will that be bought back into India? And second thing is, in terms of sale of noncore assets while on aircraft, you said that most probably, it will happen in 1H, but the second leg of noncore asset is sale of land. So if you can provide any color, any guidance in terms of when can start expecting cash flows coming in from land sale that would be very helpful.

Ramesh Kalyanaraman: Yes. Middle East, as you know, our plan was to -- in the last financial year we wanted to try franchise, okay? But we don't want to block our expansion there. So we were -- like in India also, for

example, we have opened, for example, 11 showrooms, all 11 showrooms in the Q4, we wanted to open as franchise only. But at the end, what happened, 9 was franchise and 2 was owned.

And both the 2, we actually converted to franchise, we will convert to franchise very soon because there was delays from there for getting their GST and things like that. So we jumped in and made it our own store, and we will make it a franchise store in the future very soon. So same in the Middle East. Our intention in the Middle East is to expand only by a franchise. That is our intention.

And conversion, we want to do in such a way that when we open 3 showrooms, okay, one will be converted. So 3 franchise if we open, one will be old store conversion and 2 will be new. That is what we want to do because otherwise, franchisee will not be able to make money because the base revenue will not satisfy to take care of the operating cost there -- the fixed operating costs, meaning the corporate overheads, okay? So we will do that way in Middle East and then bring back the cash to India, and that's our intention in Middle East. And cash flow from aircraft, we should expect what, 5 to 6 months for the full cash to come in. And that proceeds will also be used for repaying the non-GML debt.

Ashish Kanodia: Sir, my second question was on the land that I understand aircraft cash will come in by 1H '24. Any clarity in terms of in the second --

Moderator: I'm sorry to interrupt sir, I would request you to kindly re-join the queue for the follow up.

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Ramesh Kalyanaraman: Yes, one second. So just as an earlier question I just answered. So, we're in debt reduction plan, no, when we repay this INR 300 crores, INR 400 crores debt, we will start to negotiate with the banks to release certain collaterals, and then we will divest that also and bring it back to the system. It's a long-term process. Don't budget anything for this year. And it's a process, meaning it will take 2, 3 years for us to do all this, but we will start this year.

Moderator: The next question is from the line of Bhavin Shah from Sameeksha Capital Private Limited. Please go ahead.

Bhavin Shah: Could you explain the differences in terms of gold metal loans that you get in India versus Middle East?

Abraham George: Yes. India, we get the gold metal loan at about 3.75%. In the Middle East, it's slightly higher than that. It must be in the region about 5%.

Bhavin Shah: What about collateral?

Abraham George: Collateral it functions in a similar way, you have to keep margin and rest everything works in that similar way.

Bhavin Shah: But I thought in India, you had to provide some other collateral or real estate or something, which limited how much --

Abraham George: You're asking for the other okay. So here in India, initially when we had taken the line of credit from these banks, the line of credit required 35% real estate collateral or some other collateral.

That requirement is not there. But for gold metal loans, specifically, if you ask, whatever you have to keep the margin that we have to keep, it is similar across Indian metrics.

Bhavin Shah: So in Middle East, you are saying you don't have any additional collateral that you give?

Abraham George: Because those arrangements were -- because Middle East, we entered Middle East in 2013, '14. By then these structures were not -- because our India structure is even older than that.

Bhavin Shah: And you mentioned that you were committed to some -- I think you said I will forget what you said, 40% to 50% of profit used for paying debt and dividend. But I think what investors will look for is a committed policy on payout, whether it's dividend or buyback. So would you want to spell that out? And if not, why not?

Ramesh Kalyanaraman: Yes. So we will surely give you clarity on that. The Board is yet to come out with a dividend policy as such, but w

e will surely update you very shortly on that.

Moderator: Thank you. We have the next question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Congratulations on the numbers and congratulations on a phenomenal '23 and wishing you the best for '24. If you could just spell out the franchisee model, again, because my understanding,

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and I could be wrong, was that the capex was likely to be borne by the franchisee. And from the gross margin, a certain percentage was shared by the franchisees, certain percentage was borne - came to you from the gross margin, and then you had a certain opex line and you were expected to earn 4% to 5% on a PBT. So is that understanding correct? Could you just spell out that if it's a 2,500 square foot showroom, how will the unit economics work?

Ramesh Kalyanaraman: Yes. So your understanding is perfectly okay wherein there are 2 models. One model is that capex, meaning fit-out plus inventory will be invested by the franchisee partner, okay? And there will be a margin share between franchisee partners and Kalyan Jewellers. And we take care of the operations, meaning the staff, etcetera, and we will end up in a situation where we make 5% PBT, okay? That is the first model.

Second model is that they invest only in inventory and the fit-out is done by us. If we do the fit-out, we take 1% of the revenue also as asset, what you call, maintenance charge like AMC. But PBT, of course, instead of 5, it will become 6. But EBITDA will -- or yes, instead of 5 it will become 6. But when you come to the depreciation will come, no, so that will be almost the same, and there will be no impact in the PBT.

Aejas Lakhani: Okay. So broadly under both the models, you will continue to -- okay, so you'll continue to net 4.5% to 5% under both of the models?

Ramesh Kalyanaraman: Exactly.

Aejas Lakhani: Okay. But then tell me something a say on 2,500 square feet on the capex cost will be much smaller, right? So why would the franchisees be willing to give up that 1% incremental for, I don't know, let's say, a INR 3 crores capex for 2,500 square feet showroom because roughly you do INR 5 crores for the larger --

Ramesh Kalyanaraman: Almost the showrooms which we opened are in the range of 3,500 square feet when the capex will be in the range of INR 3.5 crores.

Aejas Lakhani: Okay. Okay. And the inventories there will be roughly INR 20 crores, INR 22 crores?

Ramesh Kalyanaraman: I'll tell you, the model which we are doing now, the lease agreement today is done by Kalyan Jewellers with the landlord, and they are investing for the capex there, okay? We don't want to actually do the lease in their name because if there is any kind of misunderstanding with the franchisee owner, we don't want the property also to go because of the misunderstanding of the franchisee partners, okay?

So for them, there are 2 ways. One is that they are -- they want to invest in metal instead of fit-out, which gives them actually more comfort. Number two is that the lease is in our name. And when they have to do the fit-out in their, what you call, from their pocket, that also they wish to actually not do like that. So when we invest, we calculate AMC, incorporating the actual capex and cost of capital.

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Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes. Congratulations on this good set of numbers. On the pre-tax ROIC, we've seen an improvement to 13%. Would you be willing to share some target 2- to 3-year target on where you see the pre-tax otherwise?

Ramesh Kalyanaraman: So I don't want to give you a target, but one thing what we should understand is that the return on capital is going to be anyway going up because we are going with the FOCO model of expansion

, wherein the investment is small and the returns are higher. So directionally, you should see a lot of improvement. And also, you will see a lot of reduction in capital employed because the divestment of certain noncore assets, etcetera, and rewarding investors, etcetera. And that should be the way we should look at. So I don't want to give you a target, but you can easily -- meaning you should understand the way forward for the next 2, 3 years. The returns are going to be anyway better.

Pallavi Deshpande: We saw a good improvement this year. So I hope we can do that. Second -- my second question was on the south side. You mentioned about converting some of them to the franchisee model. So would you to put a number to how many stores you're looking to convert in the south to franchisees?

Ramesh Kalyanaraman: So we don't want to -- because we have not tried a pilot, okay? So post the pilot, then only we will set up a target for how much stores we should convert from South, non-South to South owned store to franchise, okay? Inquiry is very strong, but we are capping ourselves to the pilot to be completed. And then we will give you -- or we will internally put a target of how much to convert, etcetera.

Pallavi Deshpande: And the pilot will be completed in the first half of first quarter?

Ramesh Kalyanaraman: Ideally, we should start the pilot conservatively by the H1.

Moderator: The next question is from the line of Rajiv B from DAM Capital. Please go ahead.

Rajiv B: This additional capex you did because of the change in franchisee, the second route, which you've chosen, is there a clause in which you sell it back later, let's say, as the store starts delivering a little better number?

Ramesh Kalyanaraman: No, no, I could not understand that.

Rajiv B: So instead of AMC, the 1% AMC, you basically recover the entire INR 3 crores or some consideration and lighten up the balance sheet?

Ramesh Kalyanaraman: Yes, we have not considered it right now but yes, we can consider it later. But as of now, nothing.

Rajiv B: And it's safe to assume that all the remaining 52 or the remaining part of the 52 are also on a similar kind of arrangement?

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Ramesh Kalyanaraman: The signed LOI is 52 is all these models.

Moderator: The next question is from the line of Hiten Boricha from Sequent Investments.

Hiten Boricha: Yes. Sir, I have only one question left. So can you quantify the amount you told we will be selling some noncore assets this year for debt reduction. So can you quantify the amount of how much is going to come from noncore? And after this selling, do we have any other noncore assets, which will be monetized later? So, INR 134 crores is the first round of noncore asset divestment, which will completely go for better traction.

Ramesh Kalyanaraman: So -- and now there is only one chopper there, which is a INR 30 crores, what you call, book value. Otherwise, all the noncore assets is a task wherein you'll have to repay the debt and then negotiate with the bank, take it out and then resell etcetera, which means -- it's not as easy as what we are doing for the aircraft and chopper. So, this INR 134 crores, the deal has been done. That is our first round, and we will do it very shortly. And real estate, etcetera, we will start the process this year. And chopper also I don't want to comment as of now because, first, let us complete these 2 aircraft and then commit on the third one.

Hiten Boricha: So sir, what would be the total value of all the noncore assets if you can give some ballpark number?

Ramesh Kalyanaraman: So around INR 500 crores plus crores.

Hiten Boricha: Okay. Okay. Understood. Sir, this INR 500 crores will be going to monetize later this year or maybe next year?

Ramesh Kalyanaraman: Yes. So yes. So 500-plus aircraft, okay, to be clear.

Moderator: The next question is from the line of Pankaj from Affluent Assets. Pleas

e go ahead.

Pankaj: Congrats, sir for delivering such as great numbers for the whole year. Just wanted to understand, now you -- now that the FOCO model -- you have a complete handle over the FOCO model and which you started with non-South market and want to expand the same model to both Middle East and South. So there going forward, maybe this year in FY '24 or beyond, what are the levers of margin expansion from -- and where do we take this margin from -- you can pitch any, I mean, EBITDA margins or PBT margins from EBITDA margins, I mean from 7.98% to what level can we go?

And secondly, I mean, same for the return ratios, where do we see return ratios of maybe FY '24 or so, do we see it from mid-teens to closer to higher teens or lower 30s?

Ramesh Kalyanaraman: Yes. So here, again, I will tell you, we should surely come out of this EBITDA margin and go to PBT margin because then only both of us will go in the same direction. Because when you go for FOCO model, you know that FOCO model comes with a lesser gross margin and lesser EBITDA, okay? And own store even though your EBITDA margins will slowly go up, that

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cannot negate or that cannot even go near the revenue growth, which is going to come from the franchise.

So there will be surely an EBITDA margin pressure and gross margin pressure for Kalyan Jewellers, okay? Because we are opting a FOCO model. But when you ask me PBT margin, there should be surely a growth in the PBT margin as a percentage. And now we are at 4.7%, 4.8%. We should be closer to 5% by the end of the financial year. And way forward, it should again go up because operating leverage will also start coming in. So that should be the way we should look at it is what my limited request is.

Pankaj: And what about the RO -- return ratio, where do you see the return ratios?

Ramesh Kalyanaraman: So ROCE, I don't want to give a target, but you will see significant improvement because we have already crossed a 17% pre-tax ROCE now. So medium-term target is to take it well past 20%.

Pankaj: For FY '24?

Ramesh Kalyanaraman: The medium term, meaning in a couple of years.

Pankaj: Okay. And one more clarification -- just a clarification just a clarification. In the last question, you mentioned the value of noncore assets, which would be disposed as be INR 500-odd crores.

So is this a book value of the asset or the market value since it is a land?

Ramesh Kalyanaraman: It's market value, meaning INR 500 crores is market value and plus the aircraft. Aircraft, you know, the market value will be usually lesser than the book value, meaning that's what we saw now. But the other thing is, meaning the book value will be lesser and the market value will be higher.

Pankaj: In case of land?

Ramesh Kalyanaraman: The INR 200 crores I mentioned is what the banks have valued at.

Pankaj: So that would be the book value, right? It would not be the market whenever you have --

Ramesh Kalyanaraman: Book value is the purchase value. Banks value at the market value, valuation they do -- the banks do valuation on the marketplace INR 200 crores.

Pankaj: Sir, then valuation so it would not be revalued on daily basis, right or yearly basis?

Ramesh Kalyanaraman: Every year.

Moderator: The next question is from the line of Harshil Sethia from DAM Advisors.

Harshil Sethia: Sir, what is our target of reduction of debt for the current year?

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Ramesh Kalyanaraman: So it's 15% on a gross level. That's what our target is 15% of the gross debt in India, we want to reduce, maybe INR 300 crores to INR 400 crores.

Moderator: The next question is from the line of Soham Samanta from Centrum Broking. Please go ahead.

Soham Samanta: Sir, what is our full year grammage growth for FY '23?

Ramesh Kalyanaraman: Volume growth you mean? We don't track it because customer comes with a particular budget.

Soham Samanta: And SSG for full year?

Ramesh Kalyanaraman: SSG for the whole year?

Soham Samanta: Yes, yes.

Ramesh Kalyanaraman: It's around what upside of 5%.

Soham Samanta: And the studded ratio is similar to Q4?

Ramesh Kalyanaraman: Studded ratio?

Soham Samanta: Yes, yes.

Ramesh Kalyanaraman: You are talking about Q4, right? It's 20 --

Soham Samanta: No, I'm talking about for full year studded ratio.

Ramesh Kalyanaraman: Full year studded ratio is around 25%. I'll just check --

Soham Samanta: Okay. And last one from my side that is there any further one-off?

Ramesh Kalyanaraman: No, nothing. No further one-off because aircraft, there is no further write-off at all because we have valued in the LOI --

Soham Samanta: Okay there is no write off right.

Ramesh Kalyanaraman: No, no write off.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: So just one clarification in terms of store openings in Middle East. 52 that you mentioned will only be in India, right? And Middle East and Candere will be over and above that?

Ramesh Kalyanaraman: Yes, 52 mentioned is only non-South India, okay? Over and above that, South India, Candere and Middle East is separate.

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Moderator: Sorry to interrupt, Mr. Jogani, we are not able to hear you clearly. There is a lot of disturbance in your background and as well your audio is not clear. We move on to the next question, which is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Right, sir. In terms of the aircraft, the 2 aircraft you said just confirming that we have another INR 300 crores worth of aircraft to be sold or?

Ramesh Kalyanaraman: No, no, no. So the -- now we have only one more aircraft remaining in the book, which is INR 300 crores 3-0, not 300.

Pallavi Deshpande: Right. And so, you mentioned the 17% ROC. So that's calculated excluding this land of INR 500 crores and total aircraft value of INR 300 crores talent because our number was 13%.

Abraham George: No, that is excluding the gold metal loan, if you include gold metal loan, then it will be about 14%.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ramesh Kalyanaraman, for closing comments. Over to you, sir.

Ramesh Kalyanaraman: Thank you very much. Again, if you have any more queries, our team is always available because I understand that there are more people who wanted to ask questions. And due to the limitation of time, we are forced to end the call, but you are always welcome, and Abraham and Sanjay are always available. Of course, if you want me, I can also join in. Okay. Thank you very much.

Moderator: Thank you, sir. On behalf of Kalyan Jewellers India Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

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Bandra –Kurla Complex Bandra (E),
Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
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Maharashtra, India
Scrip Code: 543278

Dear Sir & Madam,
Sub: Earnings Call Transcripts
Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for Q1 FY24 is attached herewith.
Please take the above information on record.
Thanking you.
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
Membership No – ACS 32820

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"Kalyan Jewellers India Limited Q1 FY24 Earnings
Conference Call"

August 9, 2023

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MR. SANJAY RAGHURAMAN - CEO, KALYAN
JEWELLERS INDIA LIMITED
MR. SWAMINATHAN VISWANATHAN – CFO, KALYAN
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MR. SANJAY MEHROTTA – HEAD (STRATEGY &
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LIMITED

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MR. ABRAHAM GEORGE – HEAD (INVESTOR
RELATION & TREASURY), KALYAN JEWELLERS INDIA
LIMITED
Kalyan Jewellers India Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'24 Earnings Conference Call of Kalyan Jewellers India Limited. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you and over to you, Sir.

Rahul Agarwal: Good evening everyone and thank you for joining us on the Kalyan Jewellers India Limited Q1 FY'24 Earnings Conference Call.

Today on the call, we have with us Mr. Ramesh Kalyanaraman – Executive Director; Mr. Sanjay Raghuraman – CEO; Mr. Swaminathan – CFO; Mr. Sanjay Mehrotra – Head of Strategy and Corporate Affairs; and Mr. Abraham George – Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through the results and investor presentation uploaded on the company's website and stock exchanges. We will begin the call with opening remarks from Management, following which we will have the forum open for a question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you and over to you, Sir.

Ramesh Kalyanaraman: Hi all, good evening. The quarter was a fantastic quarter and we witnessed continued robust momentum in footfalls across all our markets in India and Middle East over the last several quarters now. While our consolidated revenue growth was approximately 31%, the consolidated PAT grew by around 33%, up from INR 108 crores to INR 144 crores. Revenue from India operations grew by approximately 34%. Strong operating momentum has been consistent and sustained throughout the entire quarter, including during Akshaya Tritiya underpinning the resilience of our category within the overall consumption basket and demonstrating strong execution in the market by our operating team on ground. We continue to see encouraging trends around the share of new customers, which was in excess of 36%. Also, our share of revenue from the non-South market is now at 44%, up from 35% in the prior year.

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This year so far we have opened 16 new showrooms and we are on track to open 10 more showrooms during the current month. It's in line with our already announced plan to launch 52 showrooms across the non-South markets. The month of August will also witness the launch of our 200th showroom. It's in Jammu, a milestone in our showroom expansion journey. In the Middle East, we continue to see robust momentum driven largely by the strong economic activity in the region. Revenue growth was around 22%. Eid holidays driven sales, which was not part on the base year. In the prior year also contributed to the same store sales growth. We expect to launch the first franchisee showroom in the region before the end of the current quarter. Talking about our online platform Candere in line with our already announced omnichann

el expansion

strategy, we plan to launch 20 plus physical showrooms of Candere during the next six months starting from August.

We've made meaningful progress towards the divestment of the non-core assets which has been previously announced and we expect to conclude the transaction around the end of the current quarter. As I look at the current quarter, we continue to be encouraged by the underlying momentum in footfalls across all our major markets, even though there has been a slowdown in the wedding demand post 18th of July primarily due to the ongoing Adhik Maas, which is once in a three-year phenomenon. We are upbeat about the upcoming new showroom launches and

are gearing up with fresh corrections and campaigns for the upcoming festive and wedding season across the country.

I'll now hand over to Sanjay. He'll take you through the highlights of the numbers. Thank you all.

Sanjay Raghuraman: Thank you Ramesh. Good afternoon everybody. I'm really happy to be talking to you all after a very satisfying quarter.

I will just highlight the major points now so we can have enough time for questions.

We reported a consolidated revenue of INR 4376 crores, a growth of over 31% year-on-year.

Consolidated profit after tax was INR 144 crores versus INR 108 crores during the corresponding quarter of the previous year, a growth of 33%.

Talking about the India numbers, when you came in at INR 3641 crores, a growth of 34% over the corresponding quarter in the previous year. And India, profit after tax came in at INR 129 crores, a growth of 35%. Our Middle East revenue for the quarter was approximately INR 700 crores, a growth in excess of 21%.

The Middle East business posted a profit of INR 17 crores, a growth also in excess of 21%. Our e-commerce initiative, Candere posted a revenue of INR 34 crores, a degrowth of 23%.

Understandably so as we are transitioning into the next phase of growth via an omnichannel strategy. The offline store rollout will accelerate from this month onwards. During the recent Kalyan Jewellers India Limited

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quarter, we opened 12 outlets all across the non-South markets. With this, I'm now done with the summary of the financials and we now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity and congratulations on a good set of results. Sir, my first question is with regards to Candere in the Middle East the franchisee store openings. So, I missed the earlier part. How many physical stores are we expecting to open in Candere in this particular year and how much would there be on the franchise basis in the Middle East?

Sanjay Raghuraman: On Candere we expect to do about 25 stores by the time we end this financial year, most of which would be on the franchise model. On the Middle East, the first of the franchise outlets will open this quarter by the end of September. And then we will see how many more we can do this year. We have a few in the pipe.

Gaurav Jogani: But apart from this one store in the Middle East on the franchisee, are you also looking to open more stores around in the Middle East part?

Ramesh Kalyanaraman: Yes, Ramesh here. So, here, yes, Middle East as a market, the first franchise showroom we will open before the end of this quarter and we will wait that to settle down. We might open one more as a pilot but we are not stopping any expansion there. We might go and open two or three own showrooms and then convert it later, so we don't want to lose the opportunity. But once the first franchise settles down only we will do the next set or maybe one more we will try, but not more than that because we want it to get settle down before we go and expand more on franchise in Middle East.

Gaurav Jogani: Also, Sir, if you ca

n highlight in your press release you mentioned that new stores or franchise would now be coming in the Eastern part of India largely on Jharkhand, Bihar in these regions. If you can give us some background of how your own stores are opening, how the brand is performing in these regions and you know what gives the additional confidence to open these stores on the franchisee basis in these regions?

Ramesh Kalyanaraman: Yes, we are already there in those markets for the past couple of years or more than that and we have a very strong brand and what we call revenue share in the market where we are in Bihar and Jharkhand so we are just expanding again wherein we will be opening more showrooms in that region. So, Patna already has been one of our large footfalls or larger showrooms there and we are well settled in those regions.

Gaurav Jogani: And Sir, the demographics size I mean, is it more gold oriented market or is it more studded oriented and because we are also hearing many other competitors entering these markets and Kalyan Jewellers India Limited

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planning to take a larger pie there. So, how will be the competitive scenario there? How is the demographics here?

Ramesh Kalyanaraman: Yes, in every market depends upon the brand wherein certain brands are target only staple plain gold jewelry. For example, in Tamil Nadu, Tamil Nadu, there are large players who target only plain gold. But as a brand, Kalyan there we target on studded ratio as well, the brand is placed that way. Same as in the case of Bihar or in Jharkhand wherein our brand will surely be not only

targeting plain gold, of course it's a good market for plain gold, but we will target plain gold as well as studded. It's the way you place your brand there.

Gaurav Jogani: Sure. And Sir, just one last question from my end is on the debt part, so if you can highlight what would be the debt and the net debt at the end of Q1 and what would be the breakup between gold on lease and the actual, I mean the other debt?

Ramesh Kalyanaraman: Yes. So, gold on lease is almost the same wherein we are in the INR 1800 – INR 1850 range. And debt you are talking about the end of the financial year, right?

Gaurav Jogani: No, Sir. End of the Q1.

Ramesh Kalyanaraman: Yes. So, it's almost the same. So, gross debt are almost in the same region.

Moderator: Thank you. The next question comes from the line of Ashish Kanodia from Citi. Please go ahead.

Ashish Kanodia: Congratulations on the good set of number. So, the first question was on the growth trend, right, because I mean, if I go through your PPT and maybe even your opening commentary, so I think in the Middle East there will be some impact in the current quarter because of Eid. And then again there is some impact of Adhik Maas in India as well. So, just trying to get some sense, if you look at the last 40 days, how has been the growth both for India and Middle East separately?

Ramesh Kalyanaraman: So, as I told you in the opening remark wherein July the first two weeks, the revenue was very good, okay? It was almost as good as Q1. And post Adhik Maas, the wedding part of the revenue has been muted especially in the non-South markets but weekends are very strong. Momentum was very strong. So, yes, there might be some -- it's not a lost sale, you know that, okay? It can move partially, it can come in Q2 itself, partially it can go to Q3. It might have absorbed in Q1 itself, which we don't know. So, that is the present scenario but we are extremely bullish on Q2 as well because momentum is very strong and weekends are strong. And first two, two and a half weeks were extremely good and that's it about Q1. And you know the wedding season starts from August 17th.

Ashish Kanodia: Sure. That's helpful. And secondly, on the gross margin side, right, I mean definitely a very sharp improvement in the studded mix. So, you have provided that the showroom gross margins are

YoY and we understand that because of the franchisee model there will be a dilution in gross

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margin and EBITDA margin. So, I mean if you can provide some broad numbers in terms of what the gross margin was for your own store as well as for the franchisee store during the current quarter that would be very helpful.

Ramesh Kalyanaraman: Own stores are in the range of say what 16%. And franchisee store, you know that our margin is in the range of 8% because we take our margin and only then sell it to them.

Ashish Kanodia: Okay, sure. And thirdly, on the Middle East side, there are some volatility in the margin. So, on a sustainable basis or on a normalized basis, what should be the gross margin and EBITDA margin for the Middle East business?

Ramesh Kalyanaraman: The Middle East this time because we got that Eid sale and that was an Eid weekend wherein it was a long weekend and that sale was absorbed in Q1 and that mostly comes with plain gold because a lot of footfalls happens during that time. So, it should be settling in the range of what 15 to 15.5 as usual and EBITDA at the range of 8%.

Ashish Kanodia: Sure, that's helpful. And just last bit on the divestment on the non-core assets, you said unit should maybe conclude by end of current quarter. So, do you expect the cash to come in by end of current quarter? Is that understanding correct?

Sanjay Raghuraman: Yes. Perfect.

Moderator: Thank you. The next question comes from the line of Shirish Pardeshi from Centrum Broking.

Please go ahead.

Shirish Pardeshi: I think I'm reading little deeper from the P&L numbers. Our revenue has increased close to about 34%. But when I look at other expenses, which has grown in tandem at 33.6% while employee expenses have gone a little higher at 45%. So, is there any one-off or how we should look at it and is this the base? I mean, one part is that yes, we have opened more number of franchise stores and we are since actively controlling that. But is there any one-off or how we should look at it for the rest of quarters this number?

Ramesh Kalyanaraman: Yes, so two things. One, of course, all of us know that there is a huge expansion plan wherein we will have to absorb employees much before the store gets opened, okay? So, employee cost will go up because of that because they stay in our books and it will be non-operational also. It will be in the training stage wherein they will have to go to the new showrooms, okay? We added approximately 600 plus employees only in Q1. That is, one. Second is that there is of course a small quotient of INR 1.5 crore to INR 2 crore that is an ESOP, which is not a one-off, but we just started this financial year. We have given ESOP to 400 employees, which started from Q1.

Shirish Pardeshi: Just a little more clarity. You said that you have added 600 people in the month of June.

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Ramesh Kalyanaraman: Quarter.

Shirish Pardeshi: In the quarter.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: And this ESOPs what you have said is given to how many people?

Ramesh Kalyanaraman: So, ESOP, there are two versions. One is ESOP to only the senior management, which was issued pre-IPO just after IPO, okay? And now we have issued ESOP to more than 400 employees.

Shirish Pardeshi: 400 employees. So, till what level? I mean, you've gone up to the store manager level?

Ramesh Kalyanaraman: Till store manager level.

Shirish Pardeshi: Okay. And this obviously, I would believe that will be recurring or this is going to be once in a year or I mean as and when you will declare this. So, I just wanted to understand, is there any policy we have around ESOP?

Ramesh Kalyanaraman: Yes, so policy around ESOP means what do you mean?

Shirish Pardeshi: Is it going to be a once in an annual phenomena in quarter one you will deliver the ESOPs or - ?

Ramesh Kalyanarama

n: Yes, as of now, we plan to do this for this year and next year. And post that we will evaluate whether it is ESOP or some other product which we should introduce. But for the next two years it's ESOP.

Shirish Pardeshi: So, this INR 2 crore issued at what price?

Ramesh Kalyanaraman: This issue will be at INR 140 and INR 150.

Shirish Pardeshi: 140 and 150.

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: Okay. Second, when I look at the ad spends, we said that from the time of IPO, we will be able to manage between 1.5% to 1.8%. But this quarter it has gone up. So, could you give us some on ground what is happening, why this has gone up or is it primarily because of something else?

Ramesh Kalyanaraman: No. Ad expenses will be always around 2% to 2.2%, which is again still continuing. And of course, store openings are coming and we open 12 new showrooms in Q1. You will have to at Kalyan Jewellers India Limited

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least spend for micromarketing in that area for you to go and open the stores. We were talking about 1.8% to 2% over a period and for our existing showrooms. Now because the store expansion is much more than what we had estimated a year before, we'll have to do campaigns when we launch the stores, right? So, we opened 12 new showrooms and campaigns were around that as well as our usual campaigns of around 1.8% to 2%.

Shirish Pardeshi: Okay. My second last question on the top line growth, though we have a visibility on the franchise operation, would you give a final number? Is there any revisit on the plan what we have targeted 52 stores under FOCO this year or we will expand more than that or you stay with the number which you have told us before?

Ramesh Kalyanaraman: So, as we speak, what we are planning is that we want to open maximum number of showrooms before Diwali, the 52 planned and there will be openings in Q4 as well. We are increasing our bandwidth to more than 52. So, that is what we can tell you right now. But we are trying to do most of the 52 before Diwali.

Shirish Pardeshi: I understand. But just curious to know that what will come in second half?

Ramesh Kalyanaraman: Yes. So, second half cannot go. It will be anyway not lesser than last Q4.

Shirish Pardeshi: Okay. And my last question on the Middle East. Though you have given some explanation but I mean qualitatively the Middle East last four or five quarter, we have given a very strong commentary, tourist footfall is also improving. How should we look at the entire business in full year FY'24? Will it grow beyond '25? Will it go beyond '30 or will it go between 2025?

Ramesh Kalyanaraman: So, there we are only looking at same store sales growth basically because the number of showrooms which we are opening are not like India, we are not adding too many showrooms there, okay? So, last year also if you see, we have added hardly what one or two showrooms in that space. So, 21% growth in this Q1 itself is actually it is better than usual. That is because of this Eid revenue which came in. Okay? And it has been growing over the past one, one and a half, two years, it has been growing. So, we should not estimate more than double digit is what I feel on Middle East.

Shirish Pardeshi: So, you said just one follow up or to get little more deeper explanation. You said it is driven by SSSG. So, against 22%, what is the SSSG growth?

Ramesh Kalyanaraman: Now almost everything maybe 1% lesser.

Shirish Pardeshi: Okay. So, 21% is SSSG growth.

Ramesh Kalyanaraman: Yes.

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Shirish Pardeshi: And what is that number for India?

Ramesh Kalyanaraman: India's South SSSG was in the range of 15% and very similar levels on non-South as well.

Moderator: Thank you. The next question comes from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: Sir, I had two questions. First was you did give a sense of the gross marg

ins for the store business

except franchising. Just if I compare versus last year and I'm talking about the India business ballpark or gross margins are similar whereas the non-South share even if I exclude the transfer that may have happened to the franchisees and the studded there has significantly increased. So, is it the case as you'd highlighted a few quarters back that maybe the incremental margins on the studded are not as high as what is generally understood to be because these are low value studded items.

Ramesh Kalyanaraman: So, non-South share has been largely from franchisees, okay, that comes with more studded. So, that's why you see that's the studded ratio or the studded share has increased too much because that studded also come with a lesser margin because it's a franchise revenue.

Nihal Mahesh Jham: Understood. Okay. So, it is primarily because of all the incremental growth in non-South and even the studded share is coming in from the franchisee so that then won't reflect on the gross margin side is what has happened?

Ramesh Kalyanaraman: Yes. Of course, there is growth in our own store also, okay? But mostly, it is coming from the new showrooms, which is again from franchise.

Nihal Mahesh Jham: Sure, Sir. That is helpful. The second question was that you have highlighted in detail the plan on non-core assets and then on debt plans going forward assuming that you get the payout as you said by the end of Q2. Is there a plan to use those proceeds to then pay down debt and let go of the line and all those aspects?

Ramesh Kalyanaraman: Yes, of course. All the money received from aircraft will go directly to production of debt and that's it net of tax, right?

Nihal Mahesh Jham: And maybe there is a target that maybe by Q2 or somewhere in Q3 you do plan to reduce your debt immediately?

Ramesh Kalyanaraman: Yes. So, the money will come and directly reduce the debt on the aircraft. Over and above that also you know that we are planning to reduce around 15% of our debt in India.

Moderator: Thank you. The next question comes from the line of Anurag Dayal from HSBC. Please go ahead.

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Anurag Dayal: Sorry, I missed the comment of same store sales growth for India. Could you please repeat that once?

Ramesh Kalyanaraman: Yes. So, the same store has been in the range of 15% in South as well as non-South.

Anurag Dayal: Okay, thanks. And the second question is that there was some comment, the demand slowdown you also mentioned that. So, I mean, what steps averting some specular steps to improve that?

For example, is there any more focus on exchange gold or something like that?

Ramesh Kalyanaraman: So, demand, as I told you usually for the first two, two and a half weeks, it's not that we have a panic on demand, okay? Demand on the wedding segment has taken a pause. That is because of this Adhik Maas. And whatever you do, those customers will not come before the Adhik Maas gets over. So, we are sure that they are going to come back after August. 17th. And the only thing is that all the revenue might not come in Q2. It can go to Q3 as well and a few would have been observed in Q1. That's it. Otherwise, old gold as an instrument, our old gold policy, old gold exchange program has always been very customer friendly and it is effective customer acquisition tool as well, okay? In the past, we have done old gold activation only during periods where there is a slack in demand, especially due to volatility in gold prices, okay? And in the recent past including Q1, fortunately, we had no meaning, we did not do anything of that sort because momentum was extremely strong. Even now, as we speak, momentum is strong during weekends and the first two, two and a half weeks were good, very good comparable to Q1. And we think that this demand is not going to go away. It's an Adhik Maas related wedding demand revenue loss, which is no

t a loss, it is only a timing issue.

Anurag Dayal: Got it Sir. Very clear. So, basically this old gold will be around one-third of total sales or -?

Ramesh Kalyanaraman: Yes, it's almost one-third. Yes, it's in the range of what, 30%?

Anurag Dayal: And so, one little bit quest no I have is on the gold import which is being done from UAE under that Comprehensive Economic Partnership Agreement. Are you guys also looking at that or it has already started doing things in that?

Ramesh Kalyanaraman: Yes. So, we have done work on that and we will do this and we planned to do it in this financial year.

Moderator: Thank you. The next question comes from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Hi, team. Congratulations on a very good performance and wishing a good luck into the medium term. Ramesh, the first is on some qualitative region you know, color on the same store growth trends region wise broadly because while I heard you commenting couple of times about South 15 and non-South 15, are there any further color you'll be able to provide on non-South?

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Ramesh Kalyanaraman: Yes. So, South 15 is there and non-South also it is almost in that range. So, it's not exactly 15 non-South and it's in that range of slightly higher than what we call South, maybe in the range of 16 in non-South.

Manoj Menon: So, what I'm trying to understand is there is no standard deviation -- high standard deviation on the rest of non-South right? West, North, and East?

Ramesh Kalyanaraman: No. It's almost, yes. The reason wise, it's almost the same.

Manoj Menon: Interesting. Secondly, the comment on Adhik Maas, just help me understand this please. I mean, so this happens every year, right? It's not this year's phenomena. So, this must be there in the brief also, right?

Ramesh Kalyanaraman: No. Adhik Maas is once in three years. So, you are confused with Aadi Maas or what Kadagam and all know that's not this. Adhik Maas is coming only once in three years.

Manoj Menon: Okay, understood. So, that's what we're calling it out. And then couple of clarifications FY'25, let's say what is the thought process maybe the early thought process on the franchise expansion because you would have added these 52 stores in FY'24 and you would have got those primary revenues in FY'24 itself, right? What is the broad thought process? What is the thought process of let's say will it be again another 52 in FY'24, sorry FY'25 or a different number, which you are thinking currently.

Ramesh Kalyanaraman: Yes, whatever we do in this financial year, we will better it for the next financial year.

Manoj Menon: Okay, fair enough. And lastly, the 52 stores number, this is excluding Candere, right?

Ramesh Kalyanaraman: Yes, it is excluding Candere. It is excluding Middle East. It is excluding any conversion from South India.

Moderator: Thank you. The next question comes from the line of Naresh from Sameeksha Capital. Please go ahead.

Naresh Vaswani: Firstly, congratulations on a very good set of numbers. The first question on the other expenses. So, it has remained around 4.5% of your revenue. Now as this FOCO stores scale up, while you explain that gross and EBITDA margin will go down slightly, these other expenses should also as a percentage coming down, right because these expenses will be borne by the partners. So, if you can throw some color on that. And going ahead, what should be the range which we should expect?

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Ramesh Kalyanaraman: Yes. So, you're right as a percentage. The OPEX percentage on our revenue will surely come down. But on an amount it's not going to come down because our own store is remaining as our own store only.

Naresh Vaswani: Right. No, I'm asking as a percentage only. So, this quarter while we have seen some compression in margins due to this higher

revenue from FOCO stores, but in OPEX, we have not seen that. So, I just wanted to understand that better.

Ramesh Kalyanaraman: Yes. So, that impact is fully taken by the salary cost.

Naresh Vaswani: So, can you guide that this 4.5% should go down to what percentage of sales in next two, three, four quarters?

Ramesh Kalyanaraman: So, here the same store sales growth is coming more majorly in our own store only. And I always conservatively tell everyone that even though there was a 15% same store sales growth in Q1, we cannot estimate a 15% throughout the year, right? So, the percentage growth of SSSG usually we keep in the range of what, 5% to 7%. And operating leverage will come only to that extent on your expenses as well.

Naresh Vaswani: Okay. And what was the contribution?

Abraham George: Abraham here. On the franchisee showroom just to explain it, see, we will get only a portion of the overall gross margin as our share to that. And that is the impact that we have taken as the gross margin level for the current quarter. So, if you compare YoY from 15.46 it has come down to 15.07 in India. And that impact is because we have shared a part of our gross margin with the franchise owner and the expenses most of the expenses are shared with the franchise partner.

We take care of only the employee expenses at the showroom.

Naresh Vaswani: Right. So, in that context only, your growth in other expenses going ahead should be lower than your top line growth, right?

Abraham George: Yes, that is where Ramesh mentioned that as a percentage it will come down.

Naresh Vaswani: Okay, sure. And what was the contribution of this franchise stores to your revenue if you can give that number for Q1?

Ramesh Kalyanaraman: Yes. So, it will be in the range of what, I do not want to give an exact number there, but you can easily keep it as 15%.

Naresh Vaswani: Okay. And so the last question, any update on the payout policy? Last quarter you had said that you will come out with a policy, so any update on that?

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Ramesh Kalyanaraman: For dividend policy, we are yet to. We will surely come back to you.

Moderator: Thank you. The next question comes from the line of Manish Poddar from Motilal Oswal Asset Management. Please go ahead.

Manish Poddar: Thanks for giving me the opportunity. So, just if you can call out how many stores did you open from last quarter and how many of them were franchisee?

Ramesh Kalyanaraman: So, last quarter we opened 12, out of which 11 were franchisee.

Manish Poddar: 11 were franchisee. And if you can help me with the number, how much was the cash flow from operations during this quarter?

Swaminathan: So, the total cash flow from operation is INR 426 crores.

Manish Poddar: INR 426 crores. And how much is the CAPEX done in this quarter?

Swaminathan: INR 78 crores.

Manish Poddar: So, then you would have got let's say it is INR 350 odd crores release, right? So, where is this - so this is just casual books right now because earlier you mentioned there has been no change in debt or let's say in terms of gold on lease limits. So, I'm just trying to understand, let's say the incremental cash flow generated after CAPEX was roughly INR 350 crores, right?

Ramesh Kalyanaraman: Incremental cash flow will not be INR 350 because it's a total cash flow, which Swaminathan was telling. So, the cash flow is now sitting as cash in hand, which I told you about gross debt, but net debt is of course lesser than March 31st.

Manish Poddar: So, how much is the number?

Ramesh Kalyanaraman: Maybe around INR 150 crores lesser than March 31st?

Manish Poddar: So, you've already paid INR 150 crores of the INR 300 crores.

Ramesh Kalyanaraman: We're not paying. So, that's the difference. So, we will not pay you back because -.

Manish Poddar: You've not paid it but you have the ability to payment.

Ramesh Kalyanaraman: We have only kept it the

re because we don't know all this expansion is coming. We are planning to do it before Diwali, a lot of CAPEX is required. There can be some contingency. So, we don't want to go and pay back right now. But we will go as per the plan and our intention is to go and reduce the CC limit by INR 300 crore before the end of the year.

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Manish Poddar: So, just one more data point. If you can help me, let's say so INR 150 crores is the additional cash which is generated or let's say which is gross and net debt, where is the remaining INR 200 odd crores? Is it in inventory right now?

Ramesh Kalyanaraman: The total cash flow is what Swaminathan was telling. So, out of which interest would have been paid and rent would have been paid. So, the net cash in hand surplus is only in the range of INR 150 crore.

Moderator: Thank you. The next question comes from the line of Shantanu Kantakk from iWealth Management llp. Please go ahead.

Shantanu Kantak: Sir. Congratulations on a good set of numbers. I had two questions. One of them being regarding the ROE. In the PPT, we had given that we have done around 13.5 for FY23. So, say by FY'25, what would be our ROE percentage? And the second question would be so I missed out on the ESOP, so how many ESOPs are we planning to give out on a yearly basis?

Ramesh Kalyanaraman: Yes. So, regarding return on equity, it will surely go up because all the franchisee stores which we are opening their office are in the range of 75%, okay? And that's how we are also meaning the expansion is completely taken care by them. And you want to give more color on the -.

Abraham: But yes, I agree with Ramesh. Return on equity will definitely go up because but we would not want to give a target for FY'25.

Shantanu Kantak: Okay, Sir. And regarding the ESOPs, how many ESOPs do we plan on giving?

Abraham: We have already created a pool of about 30 lakh shares. Right now, we're giving out of that pool to the employees.

Moderator: Thank you. The next question comes from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: Thank you for the opportunity and congrats on the great set of numbers. First, the question is on the franchisee model itself. Obviously, this is a first full quarter of the impact. Just if you could give some comments as to how has the experience been, whether the assumptions that you made initially are playing out? Is it working out better or some areas you might have to go back that would be a great start for that?

Sanjay Raghuraman: So, I think after we started, we did the pilot and we got some learnings from then and did some calibration to kind of make sure us as well as the franchisees got what you wanted out of this rollout. So, broadly speaking, our expectations have been met, franchisee expectations have been met and I think we are in a good place as far as being confident about being able to roll this out on schedule.

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Pulkit Singhal: Understood. And you believe that this can be much more scalable now or would you take -- think it would take some time to reach that conclusion?

Sanjay Raghuraman: No. Absolutely not. We are very confident of the scalability and I think this is on the roll now.

Pulkit Singhal: Okay. Secondly, in terms of the margins, the PBT margins are at around 4.3% at the company level and I presume that is what one should focus on now with the newer model. Two questions out there. Firstly, is franchisee broadly tracking similar numbers are below or above? And secondly, I thought that with the growth we should have seen some kind of leverage on a YoY basis on this PBT margin. So, any comments on that?

Abraham George: So, Pulkit, hi. Abraham. So, the PBT, now if you split that between India, Middle East and Candere, that's how one should look at. So, India PBT was

about 4.7% YoY, which has gone to

about 4.77% close to 4.8% now, so it's improved. And for the franchisee showrooms, the PBTs are in the region of close to 5%. That's why it's showing an improvement at the PBT level. And there is some amount of loss in Candere. We've done about INR 2.2 crores of loss in Candere and that has also affected the consolidated PBT.

Pulkit Singhal: Understood. Last question, I thought from a return on capital perspective, I mean what is really the capital employed in the franchisee model? Has that changed? I thought it was just two weeks of inventory or something like that.

Abraham George: Yes. It's about 15, 20 days of inventory, correct. And the CAPEX for the showrooms in the current financial year, we are taking care of the CAPEX.

Pulkit Singhal: Understood. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Ashish Kanodia from Citi. Please go ahead.

Ashish Kanodia: Yes. Thank you for the opportunity. So, first is on the wedding share, what would be the rough mix of wedding in the overall India revenue and if you can split that between South and North?

Ramesh Kalyanaraman: So, usually the wedding share for the brand is around 55% to 60% and it's very similar South and non-South, meaning South can be 60 and non-South can be in the range of what, 55?

Ashish Kanodia: Sure. And secondly, in terms of employee cost and the number of employees, right, so when I look at 1Q23 versus 1Q24, we have added around 2500 employees and even the employee cost has gone up by almost say from INR 100 crores to almost INR 140 crores. So, when you're talking about maybe similar or higher store expansion in FY'25 as well. So, is it fair to say that the momentum in terms of new employee addition as well as the employee cost will be very similar to what we have seen in the last one year?

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Ramesh Kalyanaraman: Yes, it should, meaning the employee cost is going to grow at the same pace for the next year as well.

Ashish Kanodia: Okay. And lastly, I understand there has been some conversion of stores maybe from company owned to franchisee. So, just at the end of 1Q 24, can you just give the number of franchisee stores and COCO stores in India?

Ramesh Kalyanaraman: So, it's not about conversion there. So, what will happen is that for example in this quarter itself, meaning the Q1 out of 12, 11 were franchisee and one was own, right? But that one owned store, the intention was not to keep it as own. Due to some technical issue, the franchisee could not take it there because of some GST related or something like that, okay? Now already as we speak we have converted that. So, conversion is more related to that rather than converting own store. The original conversion of our own store will happen only in South wherein we will specifically tell you about it.

Moderator: Thank you. The next question comes from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi. Thanks for the follow-up opportunity. Sir, just wanted to check, you said the aircraft sale will happen. So, just wanted to understand what is the ballpark number which we are getting? And you said there is a tax also. So, that's the first part. And second, you said that there is also non-core asset. So, is those non-core asset will get divested in the financial year FY'24 or it will get next year?

Ramesh Kalyanaraman: Yes. So, the aircraft amount is around INR 134 crore. Net of tax will be in the range of INR 100 crores. Again, real estate, we will not be able to commit anything for the financial year because we would have to go and repay the bank loans and then take out that asset then put it for sale.

It's going to take time. So, the other non-core assets we should look at as a medium-term wherein two to three years mission we should look at in that way, okay? We will start the process

of

course but not commit anything for the financial year.

Shirish Pardeshi: Okay. My second question on how much spot buying we have done for gold in Q1? You said the exchange is 30%.

Abraham George: Yes. Shirish exchange is about 30% and gold metal loan levels have remained at similar levels at about the late 40s. The remaining we've bought from spot.

Shirish Pardeshi: So, say about 30%.

Abraham George: Correct.

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Shirish Pardeshi: Okay. My last question while hearing from the market leader, we have heard that there is a local competition, there is a regional competition and especially the competition took a route for dropping the price, not dropping the prices, I mean giving the similar value to the gold exchange and even the market leaders can aggressively push to these promotions. So, in your lens, have you seen this specifically hitting any particular pockets or maybe at this time what is the competition angle or do you recognize there is a competition?

Ramesh Kalyanaraman: Yes, competition has been very strong always in the industry and for the past one, one and a half years it has been even strong because of the excise duty increase. And now, it is actually a part of life, meaning it's a new normal today for us because we are adapted to it and the margins are steady, which you can see.

Shirish Pardeshi: The reason why Ramesh I'm asking, if I look at the history normally the making charges we used to have a standardized of about 25% - 30%. But now the incremental quantum has gone up. I don't want to name any particular player but I see that the making charges, there is a lot of discounting which is happening. So, I just wanted to understand this quantum which used to be a phenomena somewhere in the wedding season, but this has become a normalize. So, is it being industry is now normalizing and these expenses are given expenses or still the novelty is going to be there?

Ramesh Kalyanaraman: Yes. So, we have not been given the meaning making charges are always according to the market and according to the product and we have not given any extraordinary discount on making charge even for Q1. And old gold as I told you before, our exchange policies actually very customer friendly and we don't have to do any further promotion on old gold unless and until we have a very strong reason like very high volatility in gold prices, very low momentum at the store, etcetera. Fortunately, in Q1 the momentum has been extremely strong right from day one and Akshaya Tritiya was also strong. And we did not do any activation on old gold as well. And competition now it is like one and half, two years, wherein we have adapted to the new normal today. The gold rate is also same across the country today and making charges are almost stabilized to where we want. Margins are getting steady. Studded ratio is always there. So, we don't see any major deviation in the competition between what the last two or three quarters now.

Shirish Pardeshi: Okay. And just last one question. In your market intelligence or from the procurement level, do you think during Diwali the gold prices will remain stable or will also see the volatility because if you look at the macroeconomic conditions are still very, very volatile?

Ramesh Kalyanaraman: Yes, that is very hard to predict all that because it's a global environment, which again takes care of the gold price. So, extremely hard for us to predict that.

Shirish Pardeshi: Okay. I was just asking whether we see in a quarter three some inventory gain because you're seeing the gold exchange is still sitting at 30%.

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Ramesh Kalyanaraman: But we would not get any because we don't take any risk or gain in metal.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Ramesh Kalyanaraman for clos

ing comments.

Ramesh Kalyanaraman: I thank you very much for attending the call. Hope to see you again in the next quarter. Thank you very much.

Moderator: On behalf of Kalyan Jewellers India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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SEC/92 /2023 -2024 November 21 , 2023

To

1.
National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex
Bandra (E), Mumbai 400 051
Symbol: KALYANKJIL
2.
BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400 001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam

Sub: Earnings Call Transcripts .

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company' s Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the second quarter and half year ended 30 th September 2023 is attached herewith.

Kindly take the same into your records.

Thanking you
Yours Faithfully

for Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer

Encl: As above

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“Kalyan Jewellers India Limited Q2 FY24 Earnings
Conference Call ”

November 16, 2023

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MR. SANJAY RAGHURAMAN – CEO, KALYAN
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LIMITED

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MR. ABRAHAM GEORGE – HEAD OF INVESTOR
RELATIONS & TREASURY , KALYAN JEWELLERS INDIA
LIMITED
Kalyan Jewellers India Limited
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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Kalyan Jewellers India Limited.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you, sir.

Rahul Agarwal : Thank you. Good morning, everyone and thank you for joining us on Kalyan Jewellers India Limited Q2 FY24 Earnings Conference Call.

We have with us Mr. Ramesh Kalyanaraman – Executive Director, Mr. Sanjay Raghuraman – CEO, Mr. V. Swaminathan – CFO, Mr. Sanjay Mehrotra – Head of Strategy and Corporate Affairs, and Mr. Abraham George – Head of Investor Relations and Treasury. I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and stock exchanges. We will begin the call with opening remarks from management, following which we will have the forum open for question-and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the earnings presentations shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman – Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good morning and welcome everyone to the call. Hope everybody had a great Diwali. Let me wish everyone an excellent New Year.

It has been a fantastic year so far. Both the quarters have been excellent. Revenue growth for the first half of the current financial year is around 29%. We are extremely excited with the way the current quarter has progressed thus far, despite the higher number of Shradh days and volatile gold prices. We have witnessed approximately 35% growth in revenue for the current quarter till 12th of November and compared to the same period during the prior year. This financial year so far, we have launched 41 Kalyan showrooms in India, and we plan to launch another 9 showrooms in the next 45 days. Actually, these 9 stores were planned to open before Diwali.

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There has been a delay. Additionally, we plan to launch around 15 showrooms during Q4 of this financial year, making it 65 showrooms for the current financial year.

As we speak, we have 55 franchise Kalyan showrooms in India. And looking at the performance of these showrooms thus far, we are extremely satisfied with operating momentum on the ground as well as with the return profile, both for us and for our franchise partners. As we speak, we are finalizing terms with potential franchise partners for FY 2025. For the next set of franchise showrooms, we have brought in changes in the model with the objective of improving our share of margin and the return profile. For the next financial year, we have drawn up plans to launch around 80 Kalyan showrooms across India.

In the Middle East, we opened the first franchised showroom during

the recently concluded

quarter. In addition, we have signed another 5 LOIs, 2 for new showrooms and 3 conversions.

The launch and conversions of these showrooms will happen during Q4 of this financial year.

Regarding the debt reduction plan, we are well on track for the current financial year, having already achieved one-third of the total reduction plan for the year. Non-GML working capital loan in India has been reduced by Rs. 157 crores and we have successfully increased the GML by around Rs. 40 crores. Overall, we reduced working capital loans by Rs. 116 crores in India.

In the Middle East with the conversion of the existing 3 showrooms in the region, we are embarking on a debt reduction journey there as well. We expect to garner around Rs. 100 crores from the conversions of pre-existing showrooms before the end of the current financial year, which will be fully utilized to reduce the debt in the region. We are upbeat about the upcoming new showroom launches and are gearing up with fresh collections and campaigns for the ongoing wedding season across the country.

Now, I will invite Sanjay to take you to the financial highlights of the quarter. And over to Sanjay.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. We are happy to be talking to you all after a very satisfying quarter. We had a couple of days between putting out our results and today I assume you might have all gone through the numbers and the investor presentation that's up on our website. Hence, I will just highlight the major points now, so we have more time for questions.

For this quarter just ended, we reported consolidated revenue of Rs. 4,415 crores, a growth of over 27% over the corresponding quarter of the previous year. And consolidated PAT came in at Rs. 135 crores versus Rs. 106 crores during the corresponding quarter of the previous year, a growth of 27%. In our India business, growth in revenue as well as PAT was about 32%. As we had indicated in previous interactions, people's costs are getting front-ended as we continue to invest ahead of our outlets beginning to earn revenue. Adjusted for this, PBT would have been higher by about Rs. 5.5 crores. In our Middle East business, we opened our first franchise store Kalyan Jewellers India Limited

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as per our planned rollout. Profits in the Middle East business are lower by about Rs. 3.5 crores on account of the one-time sale to the franchise. I am calling this out specifically since this is the first time, we are seeing this in our Middle East business. As we scale up on our franchise model, we expect return ratios to improve like we are already seeing in India.

Talking now about the first half of this year, the consolidated revenue came in at Rs. 8,790 crores, a growth of 29% compared to the corresponding first half in the previous year. And consolidated PAT came in at Rs. 278 crores, a 30% growth compared to H1 of the previous year. During this just concluded quarter, we opened 15 stores, 13 in India, one in the Middle East, and one in our Omnichannel Candere format.

With this, I am done with the summary of the financials. We can now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Sir, my first question is with regards to the store expansion. Now, given that we have also updated our guidance in terms of the store expansion to 80 stores in the next year. So, if you can highlight which regions, are we getting these stores open? And the related question is what is the potential number that we expect to reach in terms of these stores in the next 5 years? And the third related to this is, these franchise partners that we are opening the stores with are these existing franchise

partners

or we are also adding the new franchise partners?

Ramesh Kalyanaraman: Yes, so thank you. So, three questions, one around the 80 showrooms which we are opening for

the next financial year , mostly it will be in non -South markets. Five to eight showrooms will be in the southern part of the country as we speak. And the second question was around whether the franchise partners are old or new. It is a mix, mostly new franchise partners, but yes, there are old partners who are taking extra showrooms for next year's expansion as well. Third was what?

Gaurav Jogani: Yes, the third was with regards to the store potential. So, we are already reaching with these 80 stores odd, they will be crossing the 250 odd mark number in India itself. So, just wanted to understand the potential in terms of stores in the next 5 years for you ?

Ramesh Kalyanaraman: Yes, potential you know that we are now meaning the non -South markets , there are a lot of markets where Kalyan is still not there. So, for our projection , maybe 20% growth in footprint over the next 3-4 years, that should be the target.

Gaurav Jogani: And so, my next question is with regards to the working capital requirement. Now, given that we are growing at a very strong pace, so it's not only through the franchise stores, but the existing stores are also growing at a very strong pace. Now, in that context, how should we look at the

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inventory days and by inventory days, I mean for example in FY23 , we closed with around 180 days of sales as an inventory day. Now with the franchise proportion increasing and probably the franchise stores will be higher in the next year versus our own stores , so in that light how should one look at the inventory days or the overall working capital ?

Ramesh Kalyanaraman: Yes, inventory days stock turn will surely go up because franchise stores come with only 20 days of inventory, for our own store it is around 160 days. So, stock turn should ideally go up. Over and above that, for our own store also, the stock turn is surely increasing because the revenue growth is higher than the inventory which we are adding in certain stores where we renovate the stores and add inventory to take market share.

Gaurav Jogani: So, any number that you would like to guide in terms of the inventory days, how should we project the inventory days? You know, given the fact that the franchise numbers is also increasing, and you said that only 20 days is required for the inventory of that kind of a stores. So, any number that you would like to highlight?

Ramesh Kalyanaraman: So, now as we speak in Q3, okay, 20% of the revenue approximately comes from franchise. Over the next 2 years, it should ideally be 50 -50. So, 50% of the revenue comes with 20 days of inventory days. And the rest 50% will be anyway better than 160 because there is an SSG which is happening at the store level. And we are not adding that much inventory, meaning if the revenue growth is, say, 10%, we are not adding inventory in the stores for 10%, no? So, that is how we should take it forward.

Gaurav Jogani: And sir last question is with regards to the CAPEX that we incur for the store franchise , so I understand while the CAPEX is being incurred by us but we also receive a one -time fee every year from the franchise partners for the same , so just wanted to understand which line item this number gets booked and what is the time it is recognized ?

Sanjay Raghuraman: It gets booked on a monthly basis and it's there in other income I think , so we will just clarify by the end of this call if it is in other income or it should be there , it won't be in other operating income.

Moderator: Thank you. Next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I just wanted to understand

for our stores, what is the same store sales growth if we can specify?

And in the stores which we opened last year, say first set of stores of those 12 stores, what is the SSG we have seen in YOY in the franchise stores?

Ramesh Kalyanaraman: Yes, so SSG for Q2 overall is in the range of 10% and 8% is in South India, 1.5% is in the non -South markets.

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Shirish Pardeshi: Okay, that's really heartening. Second again on the inventory side, just to extend the thoughts, you said that 160 days directionally will go up, but I am a little afraid because I don't think we are opening our stores at the speed at which we are adding the franchise stores. So, why that number is going up? Are we taking a bigger number of bigger sized stores or how we should look at it? And the other question is that on a year -on-year basis for the next set of stores which you are opening under franchise stores in FY25, are you resizing the store size?

Ramesh Kalyanaraman: Yes, so two questions. One is I think you are talking about the inventory addition which you have seen over the last 6 months, meaning Rs. 350 crores , right? So, all these Rs. 350 crores is not for our additional store. I will just deconstruct that for you so that things are easier. Part of the inventory required for showrooms we launched during the month of October would also

reflect in the end September inventory that we are talking about. We have launched a dozen showrooms during the Navaratri period, and around one-third of this inventory would have been already there in our books in September. Okay, that is number one. Number two, like you said, we have refurbished or relocated 20 odd showrooms during the last 6 to 8 months. Cases like Jayanagar in Bangalore, Coimbatore, our own, what do you call, old store . Karol Bagh in Delhi, we relocated the store. So, these kinds of stores , when we relocate or renovate, we add some inventory to gain market share there. And the third is one more point where I would like to highlight here. During October, we opened 3 of our own showrooms also. This inventory and all were in the first week of October. This inventory also would have shown up in the overall inventory figure. And of course, two out of these will be converted to franchised ones over the course of quarter. The third one is an example where in Pitampura in Delhi, as a part of relocation of the existing showroom, we launched a new showroom. We normally keep the old showroom live for a few weeks, even after the relocation. Surprisingly, both the showrooms are doing well now. And therefore, we have decided to maintain 2 showrooms in Pitampura as we speak. That might not be converted very soon because that was a positive surprise for us. So, we had not tied up any franchise partners for the same. You want the breakup number for your comfort? I would have that.

Shirish Pardeshi: If you can help that.

Ramesh Kalyanaraman: Again, you know pipeline inventory is needed for the 40 odd operational franchise showrooms which we have. That can quantify around Rs. 80 crores to Rs. 90 crores out of the 350. Inventory that we would have carried for the showrooms launched during Navaratri period would be in the range of what Rs. 60 crores to Rs. 70 crores . Inventory into the renovated or relocated stores will be in the range of Rs. 80 crores to Rs. 100 crores . Pre-owned showrooms, that would have been in the range of Rs. 80 crores . I'm talking about approximate numbers.

Shirish Pardeshi: That's really helpful. And any thought on the resizing of stores? Are you trying to resize the stores for the next set of franchise coming in FY25?

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Ramesh Kalyanaraman: Franchise we don't intend to . Even now, all the franchises are not of similar investment or similar size. We are telling you

a Rs. 20 crores as an example for us. So, it is an average. So, there are stores which has a Rs. 30 crores inventory, there are stores which has a Rs. 17 crores inventory. So, even now the size is not the same for or constant for all the showrooms which we have opened. So, it will remain like that for the rest of the year as well as the next years also.

Shirish Pardeshi: Now I was just looking for the explanation in the opening remark you said that for the next set of franchise , we have negotiated the better terms. So, maybe if you can quantify what is that ?

Sanjay Raghuraman: So, broadly we have one driver, just gross margins that we work with on the franchise front. Now , we will action plans that we have to improve this and deliver something that is better for us at the same time, doesn't interfere with the franchise expectations. We have found some solutions. We will of course only be able to implement that from the second wave of the stores that we do next year. I don't think I want to share more at this point because it is sensitive information in that aspect. We'll probably get between 25 bps to 50 bps thereabouts. And the cash flows on the capital expenditure that we put out on the shop that going to move from our balance sheet to the franchise balance sheet as I think Ramesh had mentioned previously. So, that's anyway going to be a huge thing for us next year.

Shirish Pardeshi: That's helpful Sanjay. I just wanted to check, are we moving to franchise on franchise operated models next year?

Ramesh Kalyanaraman: No. It is a FOCO model. Two major changes. One, CAPEX store fit out, we are doing the store fit out now for this year. Next year it will be done by the franchise partner. Second is margin will improve for us and it has been decided that franchise partner will also be happy. But because we know the performance of the existing stores and we thought that there is a merit of improvement.

Shirish Pardeshi: Okay, that's helpful. My second question on the gold metal loan. Maybe you can spell out end of September what is the gold metal loan and related question, what is the status on the non-core asset which we have spoken about divestment?

Ramesh Kalyanaraman: Yes, so non-core asset, everything is done. So, we are just waiting for the final NOC from banks and that is it. So, maybe hopefully it should be done in the next 3 or 4 weeks. So, in this quarter we should surely expect that. And regarding gold metal loan, it's on the similar level, right? We added about Rs. 30 crores – Rs. 40 crores in India . Otherwise, it is consistent.

Shirish Pardeshi: So, what is the number?

Abraham George : India gold metal loan is now Rs. 1,132 crores and consolidated gold metal loan is Rs. 1,856 crores.

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Shirish Pardeshi: My third and last question, there is an incremental noise around the lab grown diamond. In your lens, in your thought, in your exchange of discussion, what is it that is it going to be disruptive in nature for us and for the industry or it's wait and watch, the consumer is still not picking up the trend?

Ramesh Kalyanaraman: Yes, so lab grown diamond, it is still very nascent stage for lab grown diamonds in India. Too early for us to comment on the impact. Internationally as well, meaning only for the engagement rings for a solitaire, it has been popular as we speak. So, as we speak now at our store level, there is zero demand. But of course, we are cautiously looking whether there is some demand which will come in etc. which will be taken care of at that point in time, but as of now it is zero demand.

Moderator: Thank you. Next question is from the line of Ashish from Citi. Please go ahead.

Ashish: So, the first question was on the franchise stores, right? So, if I look at the 15 stores which were present at the end of FY23, right? In some way they

have seen almost more than 6 months of business. So, can you talk a bit about their revenue trajectory, the gross margins which those stores have seen and also the inventory turn, those 15 stores have seen because they might have seen a bit of a maturity in some way?

Ramesh Kalyanaraman: Yes, so most of the stores are doing what we wanted in terms of stock turn, in terms of margin, and that is why we are reworking on the franchise partner share also for the next year. And of course, there are minor tweaks which we do in certain showrooms wherein inventory has been added in certain stores, inventory has been reduced in certain stores. So, that is a part of the business which we do for our customers.

Ashish: So, Ramesh, just to kind of dig into that, have you seen a similar 20% kind of a gross margin in those stores at a showroom level and 2.5x inventory turn? Have you seen that?

Ramesh Kalyanaraman: Yes.

Ashish: And the second thing is in terms of the delay in store opening, can you please talk about that, what led to the delay in the store opening?

Ramesh Kalyanaraman: Majorly that was because of certain markets where elections were around where in, we do not want to create our noise level cannot be disturbed with their noise level and again, there are certain markets where there were some restrictions in the interior decoration work etc. because of some pollution issue. So, those kinds of issues were making us delay that store opening, otherwise it was planned to be done before Diwali.

Ashish: And then on the deleveraging of balance sheets, so I understand you will get almost Rs. 100 crores from the sale of aircraft net of tax, and that will lead to repayment. But from our next 2 years' perspective, right, FY 25 and 26 and given that now you are tweaking the franchise model

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to, so that your CAPEX kind of reduces, so what are the plans for the next 2 years in terms of reducing the debt levels and on the sale of land parcel?

Ramesh Kalyanaraman: Yes, so land parcel sales, let us keep aside now because it is going to come once we, for example, this year we are planning to reduce our debts by around Rs. 350 crores, right? So, once we do that, then only we are communicating with the banks to take out the asset because the land parcels are not very small. So, at least we should get a Rs. 100 crores land parcel and for which at least we need to reduce Rs. 350 crores. So, that is a process which has to be followed. So, even if you keep aside the land parcel liquidation, which will happen, which we need not budget for immediately because I don't want to make your budgeting complex. But otherwise, easily next year, Rs. 400 crores to Rs. 450 crores and the year next again Rs. 550 crores to Rs. 600 crores. That should be the plan. So, within a couple of years, after the financial year and it's the worst scenario, there will be only the gold loan in our books in India, the cash credit will be completely moving away.

Ashish: Sure, this is very helpful and lastly, I think, you know in the opening remarks, I think you guys talked about that Middle East profit was lower due to one-time sale of franchise business. Can you please elaborate a bit on that?

Ramesh Kalyanaraman: So, we opened our first franchise showroom in the Middle East in the last quarter, which comes with a lesser gross margin, as you know, because it's also a FOCO model, okay. So, if you keep that aside, our own store gross margins were the same, the EBITDA margins were also the same. But you still see a PBT margin coming down, that is because there was an increase in the rate of interest from banks there, and that is why the PBT margins are lesser.

Moderator: Thank you. Next question is from the line of Naresh from Sameeksha Capital. Please go ahead.

Naresh: So, first question, what was the contri-

bution from the franchise stores this quarter?

Ramesh Kalyanaraman: Approximately 20%.

Naresh: 20% of the India business, right?

Ramesh Kalyanaraman: Yes, India business. I'm talking only India.

Naresh: Second, on the PBT margin front, so earlier I think we had said that we would be around the 5% PBT margins on a full year basis. So, first half we have maintained last year's margin. So, for to reach to 5% we have to better the last year's margin in the second half. So, what would be the drivers for that if we have to reach 5% this year? And if not then in the next year, maybe next 2-3 years, what would be the guidance which you would like to give as far as PBT margins are concerned?

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Ramesh Kalyanaraman: Yes. So, the first thing what I want to say is that PBT growth will be surely higher than our revenue growth. For Q2, the PBT growth and revenue growth were similar. So, as Sanjay mentioned, during Q2, we had some, one, mainly one front-ended employee expense of around Rs. 5.5 crores. That was because we had to launch 20 plus stores for the festival. So, if you adjust that Rs. 5.5 crores, PBT growth would have been higher than the revenue growth in Q2 also, like in Q1. I would like to highlight that in Q1 again, our PBT growth was higher than the revenue growth, as I said now. So, for what you asked going forward, the impact of this front-ended employee expenses will keep coming down, right because as the footprint addition, as a percentage in FY25, when compared to FY24, will be surely lower. And additionally, like what Sanjay said, we are improving on the margin for the new set of franchise stores which we are opening for the next year as well. And that is how we should look at it for the next couple of years.

Naresh: Sure. So, I got your point. So, one last question. So, you said that the non-GML loan will be completely paid out. So, in what timeframe are we anticipating that?

Ramesh Kalyanaraman: Next 2-3 years. And that also I will tell you, it is a base scenario wherein you know that we are doing this mainly to take the non-core assets, right? Because there are a lot of assets sitting in the book. The balance sheet is heavy. Our intention is to repay these debts, take out these assets, again liquidate that and bring it back to the system so that the balance sheet is lighter. So, in case once we do this or once we start this process, if we are getting a better solution for our exposure, then we will come back to you and say that we have got a better solution and then that will be the plan. So, what I told you is the base scenario wherein this will be anyway seen if nothing happens from the other side also. In any case, non-GML will come down.

Naresh: Sure. And one last question. So, now given that we are generating very strong cash flows, I know that you have a debt reduction plan as well, but any update on the dividend policy like how do you plan to reward the shareholders over the next 2-3 years as we generate these cash flows?

Ramesh Kalyanaraman: Yes. So, we have a dividend policy now. The dividend 18% to 20% of the profit which we make, so it will be ranging between about 15% to 30%. That's the policy which we have decided to do for dividend.

Naresh: Between 15% to 30% of the PAT.

Ramesh Kalyanaraman: Yes.

Moderator: Thank you. Next question is from the line of Rucheeta from iWealth, please go ahead.

Rucheeta: So, most of my questions are answered. There are just a few that I still have a doubt on. So, current quarter if you see, your absolute sales growth has come a bit lower than your store -

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addition growth. So, how do we look at it is going ahead because I believe, as you add new stores, this number should further start coming down only. So, what is your take on that?

at?

Ramesh Kalyanaraman: So, you are looking at how many percentages of showrooms opened and how many revenue increased. That's what you are asking for, right?

Rucheeta: Yes.

Ramesh Kalyanaraman: So, it comes with a different bucket size, no? The newer stores come with, the target itself is like average Rs. 20 crores inventory and revenue for the first year Rs. 50 crores but our own store average per showroom is around Rs. 85 crores to Rs. 90 crores, so new ones are 50 and old ones are 85-90. So, the percentage of store footprint will not be directly meaning it cannot be same as the revenue growth going forward as well.

Rucheeta: And also, this year, how many Candere stores are we going to add? Like one has already been launched and I think you were planning around 22. So, are we in line with that?

Ramesh Kalyanaraman: Yes, so we have 5 now.

Sanjay Raghuraman: So, we have 4 operational as of now, which are company operated. Actually 4 operational as of 30th September. We opened 2 more earlier this week. Our plan is to end the FY with about 25 to 30 outlets in India itself. As we stated earlier, we will be coming out, when I say earlier, I

mean earlier meetings or interactions, we will be coming out with a detailed 3-to-5-year kind of plan for that business by the end of the current financial year. By this time, we would have about 30 outlets operational.

Moderator: Thank you. Next question is from the line of Anurag Dayal from HSBC. Please go ahead.

Anurag Dayal: Regarding the expansion plans, earlier you had mentioned that existing company operational capacity supports around 60 odd showrooms. Now you're planning to target 80 showrooms and higher. So, could you highlight some of the steps internally which you are taking apart from staff recruitment in terms of to ensure that there's a smooth execution of this expand but not to roll out? I mean, are you going for more procurement centers or more internal hirings on the management levels? Just how you're able to digest higher number of stores?

Ramesh Kalyanaraman: Yes, so we have been able to improve the bandwidth over the years because we also understand that expansion is happening. So, again, bandwidth does not mean only staff, as you rightly said, right from contract manufacturers, right from the internal professional team, right from the mid-level management, training, online, offline. So, there are a lot of things which we parallelly do to cater for the expansion plan which we have. And it has been successfully done and executed.

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Anurag Dayal: Okay, great. Thank you so much. And the second thing is about the gross margin. So, this quarter, basically the gross margin was similar in YOY terms. But if you see, even the studded ratio has improved, share of revenue from higher margin, non-South markets have increased, but the gross margin is still low, I mean, it's not improving. So, is it because of some competitive intensity which is higher, so you could get more discounts or make charges reduction? So, what answers this gap?

Ramesh Kalyanaraman: Yes, so studded improvement is shown, yes, but you know that the new showrooms have contributed for that mostly, right, because all the new stores were in the non-South markets and predominantly all the new stores were franchise, FOCO model, which comes with a lesser gross margin. So, even if the studded ratio is more, the margins cannot improve because that has come through a FOCO model. Only for the existing showrooms, the revenue growth, again studded shares were similar and South also grew, non-South also were growing. So, that is why your margin point is not taken care of there.

Anurag Dayal: But I'm asking at the store level, it's mentioned that margin was flattish.

Ramesh Kalyanaraman: Yes. So, store level studded ratio, because gold also, the revenue

was growing up and studded

also revenue was growing up and it was almost flat. So, the studded revenue growth which you see is majorly because of the new store additions and it came through the FOCO model of franchise. But now, because you asked, Q3, we are at the moment seeing some margin improvement, which of course is only 45 days, and it cannot be what you call taken for the full year or for the coming years. But as we speak, competition intensity has come down predominantly because we are getting revenue share from the organized segment as well. And their competition becomes easy because it is high ticket size products where that does not compete or that does not compete with unorganized segment. So, there we are seeing some improvement in the margin on the ground level for our own stores as well as franchisee stores.

Moderator: Thank you. Next question is from the line of Nihal Jham from Nuvama. Please go ahead.

Nihal Jham: Couple of questions. First was on the demand bit of it, as you highlighted, post the quarter.

Actually, based on what we were picking up, given the recent spike in gold prices that had happened, demand had stalled while there were footfalls, demand was obviously not getting converted because prices increased. Our growth was obviously pretty strong at 30% plus. So, is this in your opinion a case where wedding demand has got activated, which is in a way slightly price insensitive and more time sensitive. Just your comments on that?

Ramesh Kalyanaraman: Yes, so you are right. There was a bit of pause in between wherein gold price suddenly had huge fluctuation, but momentum for Diwali, Dhanteras was very strong. Wedding revenue has also started to come in. Post Diwali is also good as we speak. Momentum is still strong at the stores as we speak. And even with more number of Shradh days, we have been able to get a 35% revenue growth on a console, India being better. Of course, there is a revenue which has come

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with the 12 odd showrooms, franchise showrooms which we opened in the first 45 days, that revenue would have been added to. But even without that, the revenue growth was strong.

Nihal Jham: Absolutely, because I'm assuming the first 15 days, given Shradh got shifted into October, the performance would have been much weaker than last year. So, it's basically after Shradh got over till now that we must have seen a robust performance to deliver this 35% kind of growth?

Ramesh Kalyanaraman: Yes.

Nihal Jham: That's helpful. The second question was that on our franchise model, have we got any sense of if we can take this model forward into South India? Have we had an opportunity to take? Another related question was that in case we are able to find a model which is ideal for South India, would we want to franchise majority of the existing network if that is possible, but for owning some of the key stores and some of the key markets? Just your thoughts on that ?

Ramesh Kalyanaraman: Yes, so now we have signed up 6 franchise stores for the South. It is a pilot stage. We have worked upon a model which suits them as well as us. So, we will open 2 or 3 showrooms in the financial year in the Southern part of the country and again South is not uniform across, South itself comes with different margins in different states, so we are actually piloting it now and we'll be able to guide you more once this pilot stage is over regarding conversions or regarding expansion within the South etc., we will come back to you with the solid plan once this 6 store gets stabilized.

Nihal Jham: Point taken. But in case the pilot works out well for you, is there may be a long-term thought that majority of the existing network you would want to franchise, or you may want to take it one step at a time? Just your thoughts at this point ?

Ramesh Kalyanaraman: No, actually,

if you ask me now, of course, it's too early for me to comment. But more than converting the South stores, we would go into expanding in the Southern markets as well, because there are markets like Bangalore or Hyderabad wherein, we still have lesser number of stores compared to certain competitors, wherein we would like to gain market share in those markets.

Moderator: Thank you. Next question is from the line of Suneesh, individual investor. Please go ahead.

Suneesh: And my question is a continuation of the question just after. Do we have a clear strategy on franchise model going forward? Like in metros, we'll be opening stores ourselves and other places, some sort of strategy like that. Second is, are the franchisees basically happy? Not a quantitative question, are the franchisees basically happy? Are we getting references from the franchisees? Any franchisees who have left after joining? Basically, these are my questions.

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Ramesh Kalyanaraman: Yes, so next 3 years basically, our growth will be completely fueled by franchise partners because as I earlier mentioned, we have other missions like lightening our balance sheet, reducing our debt, improving our ROCEs, improving the return ratios etc. So, for the next 2-3 years, it will be completely fueled by franchise partners. And for your question whether they are happy, yes, they are. And we have done a working, we have done a math and that is why we are going for new model wherein we, as Kalyan will get more benefit on margin side and again investment also, we are making them do the CAPEX as well so that it comes with a minimal investment from Kalyan side. In fact, we are restricting the number of showrooms taken by one single person because we have adequate demand for taking up showrooms by new people.

Moderator: Thank you. Next question is from the line of Shirish from Centrum Broking. Please go ahead.

Shirish Pardeshi : Sir, I have three questions. First to Sanjay, what's happening on Candere ? I mean, I know we are looking for offline stores, we are a little behind, but why the decline is happening? I mean, it declined in Quarter 1, it has declined in Quarter 2 also. So, when do you stabilize this business and when do you see the growth will come back?

Sanjay Raghuraman : Like we have said earlier that business is in a stage where we are only rolling out our offline outlets. Till we build a network of these outlets, we will have a situation where we are only growing the store count. So, it is not at all of any worry for us to kind of see what those numbers are declining because those are fairly inconsequential numbers at the present moment. What we want to do is to build out the network and then come back and talk about it. So, you will see us coming back to you in about 6 to 9 months' time on this.

Shirish Pardeshi : Okay, my second question is on the revenue growth momentum till 12th of November, what Ramesh has mentioned in the beginning saying that 35% growth. Just one data point here, because last quarter we have seen Middle East business has declined and understandably we had the Eid movement which has happened. But then is that in the Middle East is also firing well and maybe if you can give some quantitative number or maybe some growth parameter in the Middle East business, especially till 12th of November ?

Ramesh Kalyanaraman: The Middle East is doing well, SSG is healthy and again Middle East is very sensitive with gold rates also because their gold rate impact is much higher than in India because it does not have the dollar what you call pegged. So, the gold price impact is completely taken, absorbed immediately in that market. So, there has been volatility. But the momentum is strong. SSG is healthy. But again, I will tell you, always SSG when you budget for 5% to 7% is a healthy SSG according

to me. And that should be budgeted for the market. Of course, on the ground it is much higher. But on a budget, 5% to 7% is healthy.

Shirish Pardeshi: Got it. Second, related on the 35% growth, our wedding share has always been very strong. So, maybe in first half, what is the wedding share we have in the plain gold jewellery ? And it has moved significantly YOY?
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Ramesh Kalyanaraman: So, you are talking about the first 45 days?

Shirish Pardeshi: No, first half.

Ramesh Kalyanaraman: So, not meaning fully different. We are always in the range of about 55% -60% wedding share, which has been constant over the years except for one quarter immediately after the COVID wherein wedding demand was the only demand at that point in time because casual customers were not there, they were not coming out of their home, otherwise it has been the same.

Shirish Pardeshi: I was basically checking on your commentary you said that margin expansion will happen, so maybe a studded portion is going up that is one part but if wedding is also coming down also will be able to get an improvement in our margin profile. That's what the thought I had?

Ramesh Kalyanaraman: No, but higher ticket size product competition actually on ground is lesser wherein very high-ticket size product is unorganized segment might not cater. So, there we have lesser competition.

There of course studded conversion also is higher on that category. The competition is also lesser because competition is majorly with organized players. There we get a better margin share.

And that is what we saw in the first 45 days as we speak during Diwali. Of course, the competition is still there. It is intense competition. But now for October to November, we have seen an improvement in the market.

Shirish Pardeshi: And just last question. You mentioned that we have converted our store in the South under the franchise operation. So, I'm sure now you would have some good understanding. So, how that store is faring, what are the learnings if you could share? I'm not saying about the strategy, but have you been able to garner the newer customers or the growth or maybe some parameters you can say that what is it that our learning is?

Ramesh Kalyanaraman: No. I think we have not converted any store in the South. We have only signed 6 LOIs for South and we have not opened that as well. We will be opening a couple of showrooms in the financial year. South, we have not done anything. We have only signed LOIs.

Shirish Pardeshi: So, that's a misunderstanding. So, you're saying that at these 6 LOI will get executed before March 24th?

Ramesh Kalyanaraman: Yes. So, far conversion for our information is only which got opened temporarily as owned. Like for example, we would have opened a showroom in Q1 as owned, which we will convert in Q2. Otherwise, we have not done anything major.

Moderator: Thank you. Next question is from the line of Rajiv from D AM Capital Advisors. Please go ahead.

Rajiv: Sir with regard to your comment on the reworking some of the franchise partner negotiations in terms of the contract. So, earlier from a counter sale of let's say 100, you were getting Rs. 8. Are
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you saying that this will go up by 50 bps in a sense it will become 8.5 is what you're shooting for next year?

Ramesh Kalyanaraman: Yes, so I don't want to give an exact number, but yes, you can budget for around 0.25% to 0.5%.

Rajiv: And is there a chance that you will also try to sell the existing franchises, the 40 or 60 number, which will take the asset back to the franchise partners because it is already clocking, let's say, 20% plus kind of store level gross margin?

Ramesh Kalyanaraman: We will not get into it now because it's all, meaning don't budget for that. We might or might

not, but as we say, please don't budget for that.

Rajiv: And are they clocking already (+20%) on a run rate basis, that kind of gross margin, like the stores which are 6 months older before?

Ramesh Kalyanaraman: Yes.

Moderator: Thank you. Next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Sir, question was with regards to that you mentioned that from next year onwards, the franchise CAPEX model would again be tweaked, and you know that CAPEX will be now shifted from our balance sheet to the franchise's balance sheet. So, in that case we would be left with a higher FCF. So, is that understanding right?

Ramesh Kalyanaraman: Yes, so first thing where I want to correct is that the CAPEX will still be in our books, but the money will flow from them. That is a model because as you know, it's a FOCO model, the premise is actually signed by us, and the asset cannot be owned by them. So, the assets will be still owned by us, but they will prepay the asset maintenance charge to compensate the CAPEX which we do. So, in the books it will be there, but the money we would have taken from them.

Gaurav Jogani: So, in terms of cash flows, basically they will fund the CAPEX right in that case. So, your cash

flows would be much higher in that case. I mean what we are actually making right now because right now we are also entering the CAPEX from our books. So, in that case, don't you think you know that the debt repayment should be higher in FY25 -26 given that we will be making much higher FC F in that case?

Ramesh Kalyanaraman: Yes, so what I am always saying is that we budget for this , if we do more it's good. Meaning that's why I said we will be able to overachieve the next year debt repayment target.

Gaurav Jogani: Yes, and the last question on the other expenses side . So, even the other expenses this quarter was a bit higher. So, anything on that front and should that be a normalized run rate going ahead?

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Ramesh Kalyanaraman: Yes, no major change. Basically, the salary cost will keep on moving up because the staffs are on our books, and it has to go up. Otherwise, it should remain, meaning the usual what you call the 5 %-6% expenses growth will be there. Other wise, it should remain constant.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Ramesh Kalyanaraman: So, thank you very much. Thanks a lot. It has been good talking to you after a good quarter. Thank you very much.

Moderator: Thank you very much. On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

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SEC/118 /2023 -2024 February 05 , 2024

To

1.
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Symbol: KALYANKJIL
2.
BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
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Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam

Sub: Earnings Call Transcripts .

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the Third quarter ended 31st December 2023 is attached herewith.

Kindly take the same into your records.

Thanking you
Yours Faithfully

for Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
Membership No – ACS 32820
Encl: As above

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"Kalyan Jewellers India Limited Q3 FY24 Earnings
Conference Call"

January 31, 2024

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MANAGEMENT : MR. RAMESH KALYANARAMAN – EXECUTIVE
DIRECTOR
MR. SANJAY RAGHURAMAN - CEO
MR. V. SWAMINATHAN - CFO

Kalyan Jewellers India Limited
January 31, 2024

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MR. SANJAY MEHROTRA – HEAD (STRATEGY &
CORPORATE AFFAIRS)
MR. ABRAHAM GEORGE – HEAD (INVESTOR
RELATIONS & TREASURY)
Kalyan Jewellers India Limited
January 31, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Q3 FY24 Earnings Conference Call of Kalyan Jewellers India Limited.

This conference call may contain forward-looking statements about the Company which are based on beliefs, opinion and expectation of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Rahul Agarwal. Thank you and over to you, sir.

Rahul Agarwal: Thank you. Good afternoon, everyone and thank you for joining us on Kalyan Jewellers India Limited Q3 and 9 months FY24 Earnings Conference Call.

We have with us – Mr. Ramesh Kalyanaraman - Executive Director; Mr. Sanjay Raghuraman – CEO; Mr. V. Swaminathan – CFO; Mr. Sanjay Mehrotra - Head of Strategy and Corporate Affairs and Mr. Abraham George - Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our "Financial Results and Investor Presentation" uploaded on the Company's website and stock exchanges. We will begin the call with opening remarks from management, following which we will have the forum open for a question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the Earnings Presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman - Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good afternoon and let me welcome everyone to the call. It has been a fantastic year so far; all the quarters have been excellent.

For the most recently concluded quarter, we recorded a consolidated revenue growth of around 34%, India revenue growth of 40%, consolidated revenue growth for the first 9 months of the current financial year is around 31% and revenue growth in India was at approximately 36%. During the recently concluded quarter, we continued our strong expansion momentum, opened 22 new Kalyan Jewellers showrooms in India while 7 of these were owned showrooms, we
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expect to convert those to FOCO showrooms during the ongoing quarter and the proceeds will be utilized to repay the non-GML working capital loan in India.

With respect to the divestment of non-core assets, we have secured the bank NOC for the sale and have completed the documentation with the buyer. In addition to the advance received earlier, we have received one more tranche of funds and expect to conclude the sale soon. Proceeds from this sale shall also be utilized to repay the debt in India. We are well on track to achieve the debt reduction target set for the current financial year. We are embarking on a debt reduction journey in the Middle East as well. As I mentioned in our earlier interactions, in addition to new FOCO showrooms, we will also be converting few of our existing owned showrooms into franchised showrooms and shall be utilizing the proceeds from the conversions to repay the working capital debt in that region.

I would also like to spend some time on our digital first platform Candere network expansion plan. As we speak, Candere h

as 8 physical showrooms, and it plans to add another 12 during the ongoing quarter. An aggressive network expansion plan has been drawn up for the platform during the next financial year with 50 LOIs already signed and showroom locations beginning to be tied up.

Let me give you an update about our international markets outside the Middle East:

U.S. market for Indian jewellers and Indian jewellery has evolved over the years and holds significant promise. Even though we have been receiving significant number of inbound franchisee inquiry for U.S. market, we have decided to launch the first set of two pilot showrooms as the Company owned ones. Post the pilot phase, all additional showrooms in the region shall be through franchisee model. We are upbeat about the upcoming new showroom launches and have launched fresh collections and campaigns for the ongoing wedding season across the country.

Now, I will invite Sanjay to take you to the financial highlights of the quarter.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. We just completed a good quarter, and I shall give you some details about the numbers in this last just concluded quarter.

We reported consolidated revenue of Rs. 5,223 crores, a growth of 34.5% over the same period in the previous year. Consolidated profit after tax was Rs. 180 crores versus Rs. 148 crores in the same quarter of the previous year.

Now, I want to just break this up between the India and the Middle East. I will start with the India numbers:

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India revenue came in at Rs. 4,512 crores, a 40% growth when compared to the corresponding quarter in the previous year. India profit after tax came at Rs. 168 crores compared to Rs. 133 crores in the same quarter of the previous year, a 26% growth.

Moving now to the Middle East:

Revenue for the quarter in the Middle East was about Rs. 683 crores, a 6% growth compared to the same quarter in the previous year and the Middle East business posted a profit of Rs. 14 crores for the quarter compared to a profit of Rs. 17 crores in the corresponding quarter of the previous year. During this quarter just concluded, we opened 26 showrooms in India across the Kalyan and Candere formats.

With this, I am done with the summary of the financials, and we now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Starting with the revenue growth momentum in the Middle East and there is a loss, there is a PAT which has declined, so if you could give a little more color how you look at the next 2 to 3 quarters for the Middle East business?

Ramesh Kalyanaraman: The Middle East, yes, so revenue has grown by around 6.5% and SSG's have been in the range of about 5% and the PAT degrowth which you see is predominantly because of the interest rate hike which has been there over the past 2-3 quarters now and there is at least 2% interest rate hike, which has been there when you compared to Q3 of last year. And one more reason is that franchisee share comes with a lesser gross margin. So, these are the major two reasons why you see degrowth in PAT even after 5%, 6% revenue growth, but way forward, I think it should be good because market is still vibrant and store expansion is also there and franchisee LOIs have also been signed for expansion there.

Shirish Pardeshi: So, follow up here, what is these 50 million corporate guarantees we have given? What is it is going to do to the impact on the Middle East business?

Ramesh Kalyanaraman: So, the guarantee which you see is you know that India, the franchisee was very successful because predominantly the major reason being, we have tie ups with banks and NBFC's here in

India who fund our franchisee partners in their own terms. We

did not have such kind of a tie-

up there and the partners whom we were looking for also could not arrange any funding in that region. So, now, we successfully have tied up with financing houses where they will fund our franchisee partners. The only difference being we will have to issue a corporate guarantee on their behalf. So, that is what you see as with additional corporate guarantee which is given, but
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the advantage there, what we have got is that since we are in talks with the banks there because they also know the next 2-3 years, what is our plan in Middle East because franchisee is coming in and more liquidity is coming in and over the past two years also Middle East has been behaving good and we could actually release corporate guarantee from certain banks. So, the additional corporate guarantee is not very high. So, it is almost a neutral transaction, but the guarantee which you see now in the update is that guarantee is going to on behalf of franchisee partners, but we have released certain corporate guarantee also. So, it is almost a neutral transaction which you see.

Shirish Pardeshi: I understand, but sorry I am a little harping more about 15 months before we were also planning to fundraise in the international market, now is those plans are alive?

Ramesh Kalyanaraman: Bond you mean?

Shirish Pardeshi: Yes.

Ramesh Kalyanaraman: We are not sure about the bond market still because it is a bit choppy, but it is not a no, but as we speak, we don't see anything coming up very shortly.

Shirish Pardeshi: My second question is on India business. I think the revenue momentum is stronger, but when I see the showroom contribution from the franchise owned is rising, but it is not directly reflecting into the studded share, studded share is still hovering between 27%, 28% and 29%, so what is the problem here, I do understand you have been taking a lot of efforts to develop these stores and franchise, but I think I was expecting that we should be neck to neck with the competition maybe about 30% plus?

Ramesh Kalyanaraman: For two reasons, one being at the store level, especially in the non-South markets, the studded ratio is still in the range of 30%, but what you see here is majorly because the first-time revenue which we get when we open a franchisee store, that studded revenue might not be at 30%, because it depends upon market to market. So, certain markets we will have to keep some hyper local gold jewellery wherein the studded composition, which we sell in that initial bulk revenue might not be 30%.

Shirish Pardeshi: And the last I think we see the festive season has seen a lot of discounting, so could you paint some picture how the competition behaved this time because everybody is trying to look at the same pie and the discretionary spends, so is the competitive intensity is now normalized? Or you think even quarter 4 you will see the similar intensity?

Ramesh Kalyanaraman: Competition is part now. You have seen it; every quarter competition is there. Every market competition is there. It is how you handle your competition during various times, right. During the period immediately after Diwali, yes, you are right, we saw some heightened level of
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intensity in competition because the gold price suddenly started going up where the local players in many markets, we started seeing more competition. Otherwise, it is very flattish. So, we also spend more on promotions and campaigns in those regions where we saw this level of competition intensity to match in competition with them.

Shirish Pardeshi: The presentation says that we have signed 50 LOI for Candere business, right, so at what stage we see the speed which we will pick up, is it going to bunch up in quarter 1 next year, quarter 2 or it will be evenly spread out or we have plans to op

en few in quarter 4 also this year?

Sanjay Raghuraman: We will open, I think, about a dozen in this quarter. The bulk of this 50 will kind of get spread out over next year. There is probably some upside on that number, but we will talk of that later.

This is the way I think it will build over the next year.

Shirish Pardeshi: The reason why I am asking is the offline is going to really solve the problem for Candere sales decline that is the whole question? The last 2-3 quarters, we have been seeing there is a consistent decline?

Sanjay Raghuraman: I think the first point we want to communicate is that this is an Omnichannel business, and we believe the online business is going to be complemented and as the offline store network rolls out, we will have a good network effect which will allow sales to come back. We are already seeing that in the 7-8 outlets that we are operating now, and I think we are headed in the right

direction on that. We are not doing anything new. We are just seeing what is already playing out in the market with other brands.

Moderator: Thank you. Next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Sir, first question is with regards to Q4, how are you seeing the trends emerging in Q4? The first month is completed, so one on that. And second on the store expansion plans for Q4 specifically, I mean what kind of store expansion plans do you have for Q4 and the year end?

Ramesh Kalyanaraman: So, momentum in Jan, it is continuing like Q3. The SSG's have been very similar to what we have seen in Q3, momentum is strong and store expansion for Q4, we will be opening at least 15 Kalyan showrooms and again 12 Candere stores, Middle East can be one and next year we will be opening 80 Kalyan showrooms in India. International will be in the range of 4 to 5 and Candere is minimum of 50 because 50 we are talking about is only franchise. Candere expansion will be a mix of franchise and own. So, we have already signed 50 and we are still signing, and we are looking out for locations, so Candere expansions, it should not be 50, it should be a minimum of 50.

Gaurav Jogani: And sir, you also mentioned that you are planning to open 2 showrooms in the US market, so that will be inclusive of the 4-5 guidance that you gave for the international market?

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Ramesh Kalyanaraman: Yes, that will include, 5 will be including the 2.

Gaurav Jogani: And sir, my question also again is with regards to that guarantee part, the guaranteed thing, if you can explain it a bit better because it was a bit confusing, it wasn't very clear?

Ramesh Kalyanaraman: So, I will do a detailed explanation. So, as you are aware, we launched our first franchisee showroom in the region recently and we have signed 5 LOIs for the current financial year. One of the key factors for the success of franchisee rollout in India has been because we have tie-ups with banks and NBFC's who will fund to our franchisee partners in their own terms, but unlike in India the only difference in Middle East is that we will have to provide a corporate guarantee for these facilities which they provide to our franchisee partners. The corporate guarantee that you are referring to is for this purpose only. The additional corporate guarantee given is only say what USD 10 or 11 million. That will also come out because we are reducing debt in the Middle East because we are converting 3 showrooms there into franchisee from own and this corporate guarantee of additionally 10 or 11 which is given now will also come out in the next 3 or 4 months. So, it will be a neutral transaction. The only difference being as of now all the corporate guarantee given for Kalyan Jewellers loan, but the corporate guarantee which we are issuing now is not for Kalyan Jewellers loan, it is for the loan taken by the franchisee partners, and we give th

e corporate guarantee on their behalf.

Gaurav Jogani: So, in effect, I mean while the total corporate guarantee will remain the same, now it will not be for Kalyan Jewellers stores, but it will be for the franchise thing?

Ramesh Kalyanaraman: Correct.

Gaurav Jogani: And sir, like you mentioned that even in India, there are banks and NBFC's who gave the franchisees funding because of us, but is there any recourse in case of any called by the franchise partner in payments, will there be any recourse to Kalyan Jewellers in that case or not?

Ramesh Kalyanaraman: No, nothing.

Gaurav Jogani: And sir, my last bit is on the interest part, the interest expense part, if you see quarter-on-quarter basis also, the interest expense largely remain flattish and even on the 9-month basis, the interest expense is a bit higher, so if you can help us out, when can we expect this interest expense reduction going ahead?

Ramesh Kalyanaraman: So, interest, because we have hardly reduced about Rs. 150 crores of debt now, so the interest reduction will be seen for the next financial year, because even as we speak in Jan, we have not reduced the debt because aircraft money is yet to come. Only Rs. 33 crores have come in total and the store conversion money has also not come. All this will be coming in about maybe by March, so March might be the month where we save interest for the rest of the debt, which we

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are planning to reduce and next year, of course the full Rs. 300-Rs. 350 crores which we reduced this year, you should see interest gain plus, what we are reducing.

Gaurav Jogani: So, next year, what would be the guidance for the debt reduction?

Ramesh Kalyanaraman: So, debt reduction for the next year, what we can estimate is Rs. 300 to Rs. 350 crores which we reduced this year will be there for the full year. Next year that reduction will be in the range of Rs. 400 to Rs. 450 crores, out of which you keep an average of say 200 crores for the full year. So, that will be the debt reduction if you are trying to calculate the interest saving.

Gaurav Jogani: And sir, last bit is on the other income part, I think because you are also receiving some other

income money because of the CAPEX that you are incurring for the franchise partners and typically that is kind of Rs. 4,00,000 a month number in that sense and with the franchisee number increasing, what kind of other income can be expected in the time currently?

Sanjay Raghraman: In terms of line items, this is going to be the only thing. There is going to be the rent that we claw back from the franchisee, the infrastructure usage fee, that is all. No other line items.

Gaurav Jogani: So, my question sir, was like, by the end of this year, you will probably have 80 franchisee showrooms that will be closing this year and probably we will be adding another 80 showrooms next year, so in effect, if I take an average, there will be around 120 franchise showrooms say for the next year and on that, should I take a Rs. 50,00,000 fees for the entire year, so that will be a right assessment in terms to the other income?

Sanjay Raghraman: Yes.

Gaurav Jogani: That would be Rs. 600 odd crores?

Sanjay Raghraman: So, I think in terms of accounting for it, what you are saying is right, but this is not just free income for us. There is a line item on the other side, which is an expense. So, I am sure you got that in mind.

Gaurav Jogani: Yes, so we will increase the other expenses, because depreciation amount will also come in that line item, but accordingly the other income will also come in?

Sanjay Raghraman: Yes, it is going to be P&L neutral. That is the basic point that you should keep in mind.

Moderator: Thank you. Next question is from the line of Ashish Kanodia from Citi Bank. Please go ahead.

Ashish Kanodia: The first question is, of the 80 new franchisee stores which you are plan

ning in FY25, how many

of them will be under the revised terms where the CAPEX will be borne by the franchisee partners and then there will be some margin benefit as well?

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Ramesh Kalyanaraman: So, maybe the first 30 to 35 showrooms will come with an old model where the CAPEX is put by Kalyan and the rest 45 to 50 will be in the range of the new model, around 45 to 50.

Ashish Kanodia: And while CAPEX, I understand on the margin front, what kind of incremental gross margin will you get for these 45-50 stores?

Ramesh Kalyanaraman: 0.25 to 0.5, it depends because it is not a plain vanilla model, it is what you call performance-oriented model which we have worked on this additional margin. So, I think it should be budgeted in the range of 0.25 to 0.5.

Ashish Kanodia: And secondly, I think on the debt reduction, just wanted to understand, if I understood it correctly, you are saying current financial year which is FY24, there will be a total Rs. 300 and Rs. 350 crores worth of debt reduction and then in FY25, what is the incremental number, is it going to be Rs. 200 crores or is it going to be Rs. 450 crores, incremental, what will be the FY25?

Ramesh Kalyanaraman: Incremental should be in the range of Rs. 400 to Rs. 450 crores, but it will be done over the year, so for him to look at the interest saving I told okay, keep Rs. 200 crores as an average for the full year.

Ashish Kanodia: And just wanted to kind of more from a debt reduction, not from an interest perspective, so out of this Rs. 300-Rs. 350 crores, almost Rs. 130 crores will come through the sale of non-core assets and the balance you will be basically utilizing the free cash flow generation and just the conversion of stores, right?

Ramesh Kalyanaraman: So, 100 crores will come from the non-core because even though it is 135 net of tax, it is only 100 crores and the rest is we will convert the 7 showrooms which we opened in Q3, so that comes in the range of about Rs. 150 to Rs. 175 crores, so majorly done plus some cash generated, so it is almost done in the way we want it.

Ashish Kanodia: And on the store part, you said you are planning to open 15 Kalyan showrooms in 4Q and 12 Candere, now these 15 stores, does it also include your 5 Middle East store?

Ramesh Kalyanaraman: No, it is only India.

Ashish Kanodia: And so, in 4Q, we expect to add 5 Middle East, right?

Ramesh Kalyanaraman: So, out of the 5, it might be in Q4 or partially in Q1, it includes 2 new showrooms and 3 conversions, so all 5 are not new.

Ashish Kanodia: And just lastly, in terms of the plan to kind of enter into US, so firstly, what kind of like capitals you are planning to deploy in US? And the two stores which you are planning, have you already identified the location etc., and when these stores will most likely be kind of open?

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Ramesh Kalyanaraman: So, yes, locations have been identified and again we will be opening in the first half of the next financial year.

Ashish Kanodia: And what kind of overall capital deployment you are expecting to deploy for these two stores?

Ramesh Kalyanaraman: Too sensitive info.

Moderator: Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: This is the first quarter where we have very high revenue growth, which did not translate to an equivalent PBT growth, in fact, there is a substantial difference in your PBT growth and revenue growth in Q3, so 40% is translating only to 26% PBT growth?

Ramesh Kalyanaraman: Yes.

Pulkit Singhal: Now I understand that we are in a major revenue expansion drive, store expansion drive and also there is a business model change, right, which we are going for franchisees, now in the process of doing so, are you saying that this will be margin dilutive because you are

going into areas

which may require, which may not be as comforting on margins as you might have initially thought it to be, your thoughts on the same?

Ramesh Kalyanaraman: We still stand by what we have stated earlier that the PBT growth would be higher than the revenue growth for the full year. And if you look at the 9 months, the PBT margins have been similar Y-o-Y even after absorbing maybe 0.2 to 0.3% of preoperative employee expenses in Q1 and Q2. The impact of the preoperative employee expense is coming down and will fade further going forward and however if you look at only Q3 in isolation, yes you are right. There has been degrowth in PBT as a percentage Y-o-Y and for this also there is primarily because of two reasons, a baseline PBT for comparison itself should be 5.4 and not 5.6 of last year because we had very few franchisee shops operational last year and bulk of the revenue are from KJ owned shops. This year, a significant share of revenue is coming from franchisee stores where the PBT margin is 5% as I have previously told you. There has been an increase of around 0.3% in advertisements, which was at a lower base in the last year since Diwali last year was in October. Otherwise we still stand by what we said. We don't see any pressuring margins going forward and for the full year.

Pulkit Singhal: But when we look at it 2-3 years out, these phenomena of higher revenue share of franchisee will always take place because you are incrementally always opening new franchisee stores?

Ramesh Kalyanaraman: Yes, that is true.

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Pulkit Singhal: So, therefore to that extent, this pressure should continue right?

Ramesh Kalyanaraman: Only in Q3, usually our PBT margins are only in the range of 4.7-4.8%, okay, 9-month PBT is 4.8 last year and almost in that range before this year also, so 4.8 this year, meaning 4.9 last year.

So, it is in the range below 5. All the PBT, all the franchisee stores come with 5% PBT, okay, that is why we told you that revenue, the PBT margin growth should be higher than our revenue growth, Q3 was an exception where the PBT margins were 5.6% last year. That is predominantly because of advertisement expense at a lower base. So, that is why we think that we still can stand by what we have said, and it will be done in such a way that our PBT margin growth will be higher than our revenue growth. And again, one more thing what we have to keep in mind is that the franchisee stores also might come up with 5.25 to 5.5% PBT because we are working on a new model.

Pulkit Singhal: So, the new model comes into play and that helps the margins?

Ramesh Kalyanaraman: Not only that, but again I told usual PBT margins are only 4.8%. So, Q3 was exceptionally high at 5.6%.

Pulkit Singhal: No, I am not thinking one or two years out as the share increases, so you have higher mix of higher PBT margin, new franchisees coming up?

Ramesh Kalyanaraman: Yes, that is fine. Even if it is 5% also, then it should go up because now you know that it is at 4.8-4.9, existing last year PBT.

Pulkit Singhal: And also, the deleveraging part that should also kind of I mean in some ways helped because the PBT margin is with certain assumption of capital expense, right?

Ramesh Kalyanaraman: I am talking about without that, even without the interest saving, we should be at a higher PBT margin than what we call the PBT growth should be higher than revenue growth.

Pulkit Singhal: And on A&P spends because this is something which is evolving and maybe your current calculations, I don't know how much they are factoring in, but is this one-off or do you see an elevated A&P spend scenario going ahead?

Ramesh Kalyanaraman: Again, last in, if you look at Q2, the A&P was only at 1.4% which is 2.3% for Q3. If you look at 9 months, the A&P is at 2%, so we should always budget for 2%. Diwali is moving now from Q2

to Q3 because last time October second week was Diwali, so we started the campaign by September. This year, Diwali was only November, so the campaign started only by October. That is why the shifting expenses within the quarters, but within the year it should be at 2%.

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Pulkit Singhal: Just last question on the studded share, as these first set of franchisee stores come in the base, their recurring revenue should have higher studded share, right?

Ramesh Kalyanaraman: Yes, of course. Correct.

Pulkit Singhal: And so that will play out hopefully next year, although the initial, the new set of stores will again have the same problem?

Ramesh Kalyanaraman: Yes, so even if recurring studded share goes up because we are opening 80 showrooms. That comes up with a lower studded because entire free showrooms, we cannot keep a 30%, maybe it might be 25, maybe it might be 26, it depends upon that market. So, in the bulk revenue studded ratio might be lesser, but again margin, the studded ratio, even if it grows, the margin is not going to be impacted because even otherwise franchisee revenue comes up with only say 5% margin. So, only in the onetime we are talking about, otherwise in the recurring stores, studded ratios are strong.

Pulkit Singhal: So, recurring stores don't have higher PBT margin than 5%, is that what you are saying even when the studded normalizes?

Ramesh Kalyanaraman: Very partially, but it negates to 5%.

Moderator: Thank you. Next question is from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Just one question on the cash flow, so can you call out what is the cash flow done in this, let us say, quarter?

V Swaminathan: For the quarter, we had Rs. 328 crores operating profit before working capital change and we invested around Rs. 114 crores into CAPEX and additional investment into inventory was Rs. 200 crores, which is mostly for 7 owned showrooms we opened. Total cash balance in India has gone up by Rs. 120 crores.

Manish Poddar: So, just to understand this absolute inventory number now is about Rs. 7,500 crores, do you see as the number of days this getting optimized or how should one think about it?

Abraham George: Yes, Manish, Abraham here. So, for this quarter, we have opened 7 showrooms with our own capital. So, to that extent, the inventory turn will not improve there because it is our own showroom, but those showrooms are getting converted in this current quarter and where you are right going forward the inventory turn will improve because the inventory will not sit in our books. It will be in the franchisees books.

Manish Poddar: In my understanding this should have happened this year, right?

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Abraham George: Yes, already it has. If you refer to the September balance sheet also, you will see that improvement in inventory turn and you will see the same by the end of the year as well even better, inventory turns.

Moderator: Thank you. Next question is from the line of Prathamesh Dhawar from Tiger Assets. Please go ahead.

Prathamesh Dhawar: Sir, just wanted to know any revenue guidance you can before coming here?

Ramesh Kalyanaraman: Meaning for the next future years, you mean?

Prathamesh Dhawar: For FY26?

Ramesh Kalyanaraman: So, we are opening 80 showrooms again, we have opened already, but we will be opening 65 showrooms in the financial year. That revenue will fully come in the next year. SSG's are strong but keep a 6% to 7% SSG. So, revenue growth should be strong enough. We are very inappropriate to give a number now.

Prathamesh Dhawar: And sir, the major growth will be driven by like both SSG and the new store additions or the major will come from the new stores?

Ramesh Kalyanaraman: Three factors, one is SSG. Two is 80 plus new showrooms in the next year. Three is the full

revenue for the 65 showrooms which we opened this year.

Prathamesh Dhawar: And sir, like you said, the PBT growth will be more than the revenue on the consolidated basis?

Ramesh Kalyanaraman: Yes.

Moderator: Thank you. Next question is from the line of Anurag Dayal from HSBC. Please go ahead.

Anurag Dayal: Basically, on the franchisee showrooms, now several showrooms are completed one year, so can you throw some light on how these showrooms have done compared to initial expectation in terms of same store sales growth or inventory turns? Are they trending similar to your own showrooms as slightly different since most of these showrooms are opening in Tier 3 towns, some light on that will really help?

Ramesh Kalyanaraman: So, for stores more than 6 months old, we have around 30 odd showrooms in operation now, which is FOCO model. We have done the review for performance. The majority of the stores are performing as per expectation. However, there are around 4 stores where the inventory turn is still not up to the mark. We have offered the franchise to reduce inventory, but most of the

franchise have decided to continue with the existing inventory in the store. There are 2 or 3 stores where we had to increase the inventory because the stock turns were more than forecasted and
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the franchisee have been given time, they have a one-month notice, which we have already given. So, overall, the majority of the stores are performing as per our expectation.

Anurag Dayal: And this inventory turns is like 2.5 times or something different, what?

Ramesh Kalyanaraman: Yes, 2.5 for the first year.

Anurag Dayal: And sir, can you broadly tell us, if you would like to see the retail sales numbers you start providing at some point of time since share of franchise revenue is increasing, but I have to appreciate these numbers?

Ramesh Kalyanaraman: We will surely at the appropriate time.

Anurag Dayal: And another is regarding your non-core assets, so I think aircraft is already done and look to receive the rest of the balance amount by end of this year, so do you have any plans for the helicopter as well, which is on the book, helicopter?

Ramesh Kalyanaraman: Let us first, this transaction itself got not completed, let us do this first and then we shall think of that. A helicopter is a very small asset again, it is only Rs. 20 odd crores in the book, helicopter.

Anurag Dayal: So, what are other non-core assets in Rs. 100 crores you are targeting is from non-core asset sales so?

Ramesh Kalyanaraman: No, non-core asset is majorly these aircraft and helicopters, but again for the future years, what we see as a non-core asset is, there is real estate which is non-core for the business. Once we repay the debt, we can get these out from the system and again we can liquidate it. So, maybe if we repay around Rs. 350 crores repayment of debt, Rs. 100 crores worth of collateral come out and that can be liquidated, so that is again a non-core.

Anurag Dayal: And the last bit is on metal gold loan, so in the domestic market, as I understand that, it was reaching beyond the ceiling and you were in negotiation with the banks to increase that, so is there any development there?

Ramesh Kalyanaraman: No, now our primary focus is to reduce the non-GML part, and we are in a debt reduction plan. We are in a plan where we will negotiate with the banks to take out the assets. So, that is our primary focus area rather than increasing the gold loan quotient. So, focus is anyway for the next 2-3 years on a very conservative basis, there will be only gold loan in the book because we have plans to almost revise out all the non-GML loans in the book worst scenario.

Moderator: Thank you. Next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

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Pallavi Deshpande: Sir, just one to two questions. One would be, what would be the amount for the front ending of the employee expenses which you spoke about, the absolute amount in Q2 was Rs. 5.5 crores, similar for 3Q what would that be? And the second question would be, regarding these new store openings, the amount, I missed the beginning part of the call is that amount you quantified for the extra expense that may have gone into the OpEx?

Ramesh Kalyanaraman: So, majorly salary, so it should be in the range of Rs. 5 to Rs. 6 crores every quarter this year and now for future years why we told that this is substantially going to come down is because the base is also higher. So, even if it is Rs. 5 to Rs. 6 crores, on a percentage note, the base is higher. So, the impact is going to reduce. Otherwise, there are no prepaid expenses other than salary cost, because that is the only cost which we bear on behalf of the franchisee. And in Q3 also if you look at the impact as reduced as the base is increasing. So, Q1 and Q2, there was 0.2 to 0.3, but Q3 the base is meaning because the impact has reduced because the base is increasing.

Pallavi Deshpande: And this lease expense also will take on us and then it gets reimbursed from them to the other income, is that right?

Ramesh Kalyanaraman: Yes. We lease the premises in Kalyan and then sublease it to the franchise owner.

Pallavi Deshpande: And that shows up in the other income, so how much was that amount for this, in the other income, how much is that?

Ramesh Kalyanaraman: Give me some time. I will just check that. You can move on to the next and I will give you.

Pallavi Deshpande: So, the other part was that what would be the share of franchisee contribution to our revenues for the India revenues contribution, last quarter it was around 20%.

Ramesh Kalyanaraman: It should be in the range of about 21%-22%.

Moderator: Thank you. Next question is from the line of Prateek from Motilal Oswal. Please go ahead.

Prateek: Few questions, one, thoughts on overseas expansion and let us say opening stores in geographies that you were not present before? Two, in terms of jewellery, do you wish to continue to do only

gold and diamond, or you want to increase the assortments like emerald, ruby etc., and maybe even synthetic diamonds? And lastly your working capital, how much it got released, how is the return on capital employed shaping up?

Ramesh Kalyanaraman: So, one by one. One is the US market, the market, as we mentioned, the market is becoming very mature. There are good set of competition there. The market is also expanding. So, we wanted to enter that space and again we are opening only two owned stores there and even though we have enquiries from franchisee, we would like to do two own stores as a pilot and

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then we might convert even the store into franchise in the future stage. So, the intention is to go and establish the brand there and again expand through the franchisee model if the market is vibrant enough. So, that is about the US.

Prateek: So, targeting Indian population there or US population?

Ramesh Kalyanaraman: Yes, only Indian population.

Prateek: Okay.

Ramesh Kalyanaraman: And second, you were asking about other than gold and diamond, we already have focus on polki, ruby, emerald, uncut diamonds, etc., so that is a focus area for us already and synthetic diamond we are not at present, the inquiry level at the store is almost negligible or even 0. So, once we see that demand is getting accumulated, then we will surely look into that, but as we speak, we don't see any demand in that space. So, we are not into that space as we speak.

Prateek: And third was on return on capital employed, how much working capital reduction has happened because of your FOCO model, something on that?

Abraham George: Hi Abraham here. So, because of the FOCO model, not stri

ctly because of the FOCO model, we

are reducing the capital employed. Capital employed reduction is happening because of our debt repayment because the FOCO model is enabling us to generate more free cash and this free cash we are using to repay debt, then through the debt repayment we are releasing the collateral.

Those collaterals is what is coming out and going to reduce the capital employed. That is the way the capital employed is getting reduced but return on capital employed is getting improved because of FOCO model because incrementally we are not investing into the new showrooms, except for the without expenses this year. As we speak without considering gold metal loan as our capital employed, we are already at close to 19% ROCE, if considering gold metal loan we are closer to 15% ROCE, and this is.

Prateek: Number quarter back and the year back?

Abraham George: So, almost a year back, we were closer to about 13.5%-14%. Now we are crossing 15% this year and we should be able to comfortably go closer to 20% and even cross 20% in the next 2 to 3 years' time even with considering gold metal loan.

Prateek: Even with gold metal loan?

Abraham George: Yes, otherwise we are already at 19%. We are already at 19% without gold metal loan.

Prateek: So, how does the gold metal loan work?

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Abraham George: Gold metal loan in the industry, there are two sets of the way the gold metal loan is viewed by the market. One set of analysts and investors view it as payable. So, they don't consider it as part of capital employed, but in our conservative calculations, we consider it as normal debt in our conservative calculations. That is why I said if I take it into consideration and consider it as debt, then our ROCEs are closer to 15%. It is gold taken on lease from the bank and it is a 180-day contract. So, in some investors and analysts consider it as payable and not necessarily considered as capital employed.

Moderator: Thank you. Next question is from the line of Ashish Kanodia from Citi Bank. Please go ahead.

Ashish Kanodia: Just two follow up questions. One is, you have talked about improvement in gross margins at our showroom level on a Y-o-Y basis, so if you can provide any color both for India as well as for Middle East, what is driving this improvement and any ballpark number you can share what kind of improvement we have seen on Y-o-Y basis?

Ramesh Kalyanaraman: Gross margin improvement has been fair, but very marginal on Y-o-Y KJ showrooms and the major component, studded ratio again, but we have competition on the plain gold, so it gets negated because of the studded ratio improvement and gross margin improvement for the next because market share is increasing and focus might not be fully on improving the gross margin, but will be to improve the market share because market is wide open and a lot of shift is coming from the unorganized to organized. So, margin improvement will be very minimal, but revenue momentum is very high.

Ashish Kanodia: And secondly, on the demand side, as you talked about similar same store sales growth in Jan as

well compared to say what we have seen in 3Q, so just wanted to get more sense in terms of when you look at 3 Q and maybe January as well, have you seen any difference in demand trend across, say metro city versus non-metro city or even within metro and non-metro, is there any difference in the growth trajectory for say higher price product versus lower price product, any difference you have seen in terms of any of these parameters?

Ramesh Kalyanaraman: So, more than metro, non-metro, there has been difference in the revenue growth. In certain markets we have seen more revenue growth, performance have been much better than the rest of the markets like Tamil Nadu for example, the performance has been much better than the rest of South India, so there has been markets like that,

but it cannot be only metro, non-metro. That is what I am trying to say.

Ashish Kanodia: And have you seen any difference in the growth in terms of maybe between say high ticket versus low ticket, right, have you seen any difference in those as well or they are also broadly similar?

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Ramesh Kalyanaraman: Now, in certain seasons we have seen that high ticket product as such, the demand has improved over the year. For the past 2-3 quarters, we see that trend where high ticket products demand is higher than the rest of the products, especially when it comes to diamond and polki, etc.

Moderator: Thank you. Next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: I just wanted to understand in terms of this expansion of 80 stores, how much would be South and non-South next year?

Abraham George: So, Pallavi, to your earlier question, the rent income in the other income is about Rs. 6 crores for the quarter, in addition, the right use assets, it has come down by approximately about Rs. 11 crores in Q3, the reduction depreciation.

Ramesh Kalyanaraman: And your question for 80 showrooms, we should budget 70 non-South and 10 South India.

Moderator: Thank you. Next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Sir, clarification, these 80 stores are LOI signed for the same?

Ramesh Kalyanaraman: Yes, all has been signed.

Alisha Mahawla: And the 50 Candere stores, what is the kind of unit economics there, what is the inventory and the asset turn for Candere store?

Sanjay Raghuraman: So, at a high level, this is going to be very similar to the model that you already have in place on the Kalyan Jewellers side. The stock turns or the margin share will be different. We do have a working model already in place. In this immediate first year, next year that we will increase the network, we will be quite conservative in stock term because we are going to start building the brand only towards the second half of the year. So, I think I don't want to give out specific numbers now, but I have given you indication on how it can look like.

Alisha Mahawla: So, at least inventory should be in line with most probably Kalyan Stores and asset turns will be slightly lower?

Sanjay Raghuraman: Inventory turn, yes.

Alisha Mahawla: Inventory turn would be lower and what is the kind of inventory that?

Sanjay Raghuraman: The inventory turns and the margins both are going to be different. In the very first year, which is next year, the inventory turn will be a little lower, muted, because we are only going to start

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building the brand in the second half of the year. Margins are likely to be better only because the share of studded jewellery will be higher.

Alisha Mahawla: And the 80 stores for Kalyan Jewellers have COCO store that we are planning to add, apart from some Candere stores in FY25, are there any Company owned stores that we are planning to add?

Ramesh Kalyanaraman: Yes, all 80 will be FOCO franchisee for Kalyan, Candere will have a few own stores.

Alisha Mahawla: And the Middle East or the international, apart from the two in US there is nothing else that will be COCO?

Ramesh Kalyanaraman: Yes, there will be no owned stores in the overseas except the two in the US. Of course, as you know that even this year, by the end of March, we would have opened only FOCO model stores, right, but there are quarters where we open own and then convert because the season we don't want to lose and stuff. Otherwise, the intention even for this running year was only to do FOCO model.

Moderator: Thank you. As there are no further questions from the participant, I now hand the conference over to Mr. Ramesh Kalyanaraman for closing comments.

Ramesh Kalyanaraman: Thank

you very much and we look forward for a great quarter and see you soon. Thank you very much.

Moderator: Thank you. On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

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SEC/21 /2024 -2025 May 14 , 2024
To

1.
National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex
Bandra (E), Mumbai 400 051
Symbol: KALYANKJIL
2.
BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400 001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam

Sub: Earnings Call Transcripts .

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company' s Analyst Call to discuss the audited Financial Results (standalone and consolidated) for the quarter and year ended 31st March 2024 is attached herewith.

Kindly take the same into your records.

Thanking you
Yours Faithfully

for Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
Membership No – ACS 32820

Encl: As above

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"Kalyan Jewellers Limited
Q4 FY '24 Earnings Conference Call"
May 10, 2024

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RELATIONS AND TREASURY – KALYAN JEWELLERS

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SGA, INVESTOR RELATIONS - KALYAN JEWELLERS

LIMITED

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH

ADVISORS

Kalyan Jewellers Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Kalyan Jewellers India Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone, and thank you for joining us on Kalyan Jewellers India Limited Q4 and FY '24 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and stock exchanges. We will begin the call with opening remarks from management, following which we will have the forum open for a question-and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. So good evening, and let me welcome everyone to the call. Q4 has been fantastic. We ended the financial year on an excellent note. We recorded consolidated revenue growth of approximately 34% and PBT growth was approximately 44%. And this is after adjusting the onetime write-off in the previous financial year regarding the asset.

Improvement in PBT margins during the quarter was driven largely by higher share of revenue from franchised showrooms. For the full financial year, we recorded a revenue in excess of INR 18,500 crores and a PAT of INR 596 crores. We began the financial year setting certain targets around the key objectives of revenue growth, improvement in cash flow and return on capital and rewarding shareholders.

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It gives me immense satisfaction to reflect back on the targets. Let me spend a few minutes here. In line with our already announced showroom network expansion plan, we launched 58 new Kalyan showrooms through the capital efficient FOCO model in India during the last financial year. We are also successfully converted 2 existing showrooms in South India to franchised ones. The year also saw the launch of our first franchised showroom in the Middle East.

While we reduced our non-GML loans in India by INR 435 crores, we have been successful in securing additional GML limits of INR 170 crores. Overall, working capital loans in India came down by INR 270 crores.

With respect to the divestment of mobile noncore assets, we have completed the sales process and have received the proceeds. In line with our announced dividend policy, Board of Directors has recommended a dividend of approximately INR120 crores, payout in excess of 20% of the net profit generated during FY 2024. This represents more than doubling of the dividend paid for FY 2023.

There has been a delay i

n the rollout of the first set of Candere showrooms as the last financial year was a year of transition for the platform. We launched 11 off-line showrooms in Candere during the last year, taking the total number of showrooms to 13 as on March 31, 2024. For the current financial year as well, keeping in mind the similar set of objectives, we have set certain targets. We have drawn upon our plans to add 130 showrooms in India, 80 Kalyan and 50 Candere. And we will also open 6 showrooms overseas during the current financial year. Free cash generated during the current financial year shall be utilized to further reduce the working capital loans by around INR 350 crores to INR 400 crores by March 2025. We have also initiated discussions with banks for the release of real estate collaterals associated with the working capital loans reduced during FY 2024, which could be then divested to lighten our balance sheet further.

And now talking about the ongoing quarter, we had an excellent start to the financial year despite continuing volatility in gold prices and ongoing general elections across various parts of the country. We are witnessing encouraging momentum in consumer demand, especially around the wedding purchases during the current quarter and Akshaya Tritiya advances. Today is Akshaya Tritiya, and we are seeing strong consumer walk-ins across all the showrooms. Thank you. And I'll hand over it to Sanjay. He will read you through the numbers.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. I'm really happy to be talking to you all after a great ending to the financial year. Starting with some numbers on just concluded quarter, our company reported a consolidated revenue of INR 4,535 crores, a growth of over 34% compared to the corresponding quarter in the previous year.

Consolidated EBITDA was INR 306 crores versus INR 257 crores in the corresponding quarter of the previous year. Consolidated profit after tax, PAT was INR 137 crores versus INR 70 crores in the corresponding quarter of the previous year. This PAT growth is optically looking higher.

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Please bear in mind, however, that the previous year PAT numbers were suppressed by a onetime write-off of INR 32 crores in Q4 of last year. After adjusting for this onetime write-off, the growth in the operating PAT is about 34%.

Now let me give you a breakup of the financial year performance between India and the Middle East, starting with India. In this just concluded quarter, our India revenue was INR 3,876 crores versus INR 2,805 crores compared with the corresponding quarter of the previous year.

Our India Q4 EBITDA was INR 263 crores versus INR 217 crores when compared with the corresponding quarter of the previous year. And India profit after tax came in at INR 131 crores for the quarter compared to INR66 crores in the corresponding quarter of the previous year. I draw your attention again to what I just mentioned a while ago, the onetime write-off that happened in the previous year was pertaining to the India books.

Moving on now to talk about the Middle East business. Middle East business revenue for the quarter was INR 624 crores versus INR 549 crores in the corresponding quarter of the previous year. EBITDA in the Middle East was INR 46 crores versus INR 42 crores for the corresponding quarter of the previous year. And the Middle East business posted a profit after tax -- a profit of INR 10 crores for the quarter compared to INR 6 crores for the corresponding quarter of the previous year.

Moving on to our e-commerce business, Candere. The company posted a revenue of INR 36

crores in the quarter versus INR 32 crores in the corresponding quarter of the previous year. The quarter recorded a loss of INR 70 lakhs versus a loss of INR 1.9 crores for the corresponding quarter in the previous year.

Talking about the full year numbers. For the full y

ear FY '24 on a consolidated level, revenue

came in at INR 18,547 crores and consolidated profit after tax came in at INR 595 crores. With this, I'm done with the summary of the financials. And we'll now open the floor for questions.

Thank you.

Moderator: We have our first question from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Congratulations on the great set of numbers. I mean your margin expansion has been also heartfelt in the challenging times. So my first question is with regards to actually the debt reduction. I mean, though we look at a net debt basis, the debt has come down only by around INR 250-odd crores in that sense. And we have received around INR 130-odd crores or I would say, net INR 100 crores from the sale of planes itself. So what explains that the lower debt reduction in that sense?

Ramesh Kalyanaraman: Yes. So the plan was to reduce around about INR300 crores. So it ended up in, say, INR 260-odd crores. INR 435 crores non-GML, actually we have reduced, okay? INR 170 crores additional GML, we received from banks after a lot of negotiations, okay? So this was the initial plan itself. And if you see this year, the franchisee model, which we have actually chosen is CapEx is going to be from Kalyan and only the inventory comes from them. So that is why the

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initial plan itself was only to reduce around INR 300 crores debt forecasting all this. And aircraft, of course, INR25 crores more amount is yet to come as of March, which has come now as we speak.

Gaurav Jogani: Okay. So sir, one related question, I mean to this part only. So, if you look at the inventory -- absolute inventory increase also, I mean, given that we have now moved to the franchise model, ideally shouldn't be the absolute inventory amount be much lower versus the sharp increase that we have seen Y-o-Y of around INR 1,200-odd crores.

Ramesh Kalyanaraman: So inventory levels have gone up, yes, by around INR 1,000 crores in India. INR 1,000-odd crores, okay? So there, we have to understand that, first of all, we have opened around 58 showrooms in the financial year, wherein we will have to keep some pipeline inventory for the same. The gold prices have moved by around 14% during the year. Inventory, of course, we have to maintain volume-wise. We will surely reduce some volume when the price go up, but we cannot reduce by 14% itself, okay? So there, we'll have to put some -- meaning the money will go to inventory. And SSSGs if you see, it has been very strong around 12%.

And to maintain those SSSG levels also, we will have to add inventory in certain stores, certain areas. Over and above certain stores, which we revamp to actually capture market share, we will have to add additional inventory there also. So all put together, that is what you see, okay? So if you want a split up of approximate numbers on these, I can give you in a few minutes, meaning so that you get a better idea.

Gaurav Jogani: Sure, sure, sir. That will be helpful.

Ramesh Kalyanaraman: A couple of minutes. Of course, we will move on but I will come back to you on the numbers.

Gaurav Jogani: Sure, sure. Sir, my next question is with regards to the Capex as you mentioned that because the Capex has been incurred by you this year around and hence, we had incurred around INR 370 crores out of Capex this year. So, what kind of Capex now can we expect going ahead in the next couple of years? And in that context, what will be the net debt reduction targets that you would like to give?

Ramesh Kalyanaraman: Yes. So 2 questions. One is Capex investment for next year and the year after that. Next year, as we have mentioned earlier, we have signed 80 franchise stores for Kalyan. Out of which approximately 50 are in the new model wherein the whole investment come from the franchise partners. The rest 30, the Capex for the -- those 30 stores, we will have to put. So,

keep INR 3

crores, INR 3.5 crores into INR 30 crores, maybe INR 100-odd crores for that, plus the asset maintenance CapEx, that will be, what, around INR 100 crores, INR 150 crores. So overall, the Capex will be in the range of INR 250 crores for the next year.

Now you talk the year after that, the INR 100 crores will also be not there because all the showrooms which we expand will be under the new model, wherein Capex will not be put by Kalyan. So there, it will be only INR 150 crores. So here INR 250 crores, the year next INR 150 crores. And again, it will continue that way. So that is the question number one. Second is debt

reduction. So as I mentioned in my intro, the plan is to reduce around INR 350 crores to INR 400 crores next year. And again, INR 400 crores to INR 500 crores the next -- year next. So that's the whole plan. Within a couple of years, as we have mentioned earlier, there will be only gold loan in the book. We would like to reduce the working capital limits completely from India, the non-GML portion. And one second, I think Abraham is ready with the numbers, which you asked.

Abraham George: Yes, Gaurav. So, the pipeline inventory that we had to invest was roughly about INR 200 crores. We also invested around INR 300-odd crores into the existing showrooms because of the price rise. And we also took care of the year-end inventory because there were some showrooms which were supposed to be opened in the first, second week of April. So those showroom inventory also, we are keeping at the end of the year, that was close to INR 200 crores. And the existing stores, we had about INR 300 crores.

Gaurav Jogani: So, Abraham, it will be INR 200 crores pipeline, INR 300 crores existing showrooms price rise, INR 200 crores at the end of the year, right? So that is like...

Abraham George: Sir, last INR 300 crores is basically the refurbishment of the existing showrooms.

Moderator: We have our next question from the line of Ashish Kanodia from Citi.

Ashish Kanodia: So the first question was in terms of...

Moderator: Sorry to interrupt, Mr. Ashish. Can you please be a little louder?

Ashish Kanodia: Yes. Is this better?

Ramesh Kalyanaraman: Yes, I can hear you. I can hear you, Ashish.

Ashish Kanodia: Yes. Okay. So the first question was that historically, we have seen that in some quarters, because of GST or some other reasons, there were a few stores which would be opened as a company stores and then subsequently get converted into franchise stores. So at the end of the current financial year, was there any such stores which were at the end of FY '24, it was basically a COCO store, but then subsequently, either that has already been converted into franchise or will be converted into franchise store in the same next 1, 2 week or something like that?

Ramesh Kalyanaraman: No. So all the 58 showrooms which we opened during the financial year in India, all the 58 are franchise stores, meaning there might have been owned store converted to what you call franchise later, but fully if you see the whole year, 58 new showrooms we opened, all 58 are today are franchise stores, except 1 -- a couple of showrooms, like in Bombay and all, we had to convert our own store also because the stores were near to that so-called proximity, like meaning Matunga, right? Yes. So Matunga store was our own store for the past 3 years, which got converted this year. Otherwise, all the stores were converted to franchise stores, which we opened this year.

Ashish Kanodia: Sure, sure. And secondly, if you can just give some ballpark SSSG trends, which you have seen in April because gold price has been pretty volatile. So just trying to get a sense that in terms of SSSG, what kind of a trend you are seeing in April?

Ramesh Kalyanaraman: So April has been strong, as I mentioned. It has

been -- the footfalls are there, except for the first week where the gold prices were going sharply high. Otherwise, when we saw customers coming back, Akshaya Tritiya as we speak, is also strong. What we will do, we will -- because it will be deceiving if I tell only April SSSG because last time, Akshaya Tritiya was in April. And this time, we are in May, okay? So there has to be degrowth in SSSG only if you look at April versus April because Akshaya Tritiya comes April last year, right? So we are -- we will surely try to come up with a revenue update post the weekend because then it will be apple-to-apple because first 40 days versus last 40 days or something that we are really trying on right, Abraham, we'll really try, okay?

Ashish Kanodia: Sure, sure. That's helpful.

Ramesh Kalyanaraman: But the momentum is strong, just for your...

Ashish Kanodia: Sure, sure. That's good. And secondly, like from a competition perspective, right, and just what we pick up is that the competition, some of the players have started to give more discount, et cetera. So what changes have you seen from a competitive intensity perspective in the last, say,

3, 6 months? Has there been any change whether by local players, organized payers, anything which you can call out?

Ramesh Kalyanaraman: I presume that your question about competition is related to margin, right?

Ashish Kanodia: Yes, margin...

Ramesh Kalyanaraman: Competition comes in many ways, no? Competition comes when you -- when competitors have better inventory, better campaigns or what you call better locations or something. But your question goes majorly into margin, right, pricing?

Ashish Kanodia: Yes.

Ramesh Kalyanaraman: Yes. So pricing, if you look at, we have not seen anything drastically different over the past, what, 4, 5 quarters because the competition intensity has always been there in our industry. And Kalyan, you know we are a very hyper local player. So we are used to competing with local unorganized and organized players with around 30% to 40% of our regionalized inventory, and which we price also very competitively. So we have not seen a major difference in price competitiveness over the past 4 or 5 quarters. And you see our margins have also been stable over the last 4 quarters year-on-year.

Ashish Kanodia: Sure. And then since franchise stores have scaled up, if you can just give a ballpark number in terms of what is the share of franchise revenue for the full year? I mean, either absolute number or on a percentage, so that just from a margin perspective, we get a better flavour? And just the

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other question I had was in terms of the net debt reduction plan, which you said is to reduce by INR 350 crores, INR 400 crores.

I presume that this INR 350 crores, INR 400 crores is purely from the free cash flow generation that you would generate from your operating business. And if there is any further sale of the non-core assets, the land, then the net debt reduction could even be higher. Is that understanding correct?

Ramesh Kalyanaraman: No. So, we have -- meaning INR 350 crores to INR 400 crores, why I have kept a range of INR 350 crores to INR 400 crores, because it depends upon the -- what we call the liquidity, which comes again because of the asset sale, because asset sale is not as easy. First of all, we have to get that asset from the bank, then we'll have to put it on sale. So we have budgeted a certain amount for that. But even if that does not happen, the range will be between INR 350 crores to INR 400 crores.

Ashish Kanodia: Sure sir. And the franchise revenue, if you can help with that from a full year perspective?

Ramesh Kalyanaraman: The franchisee revenue approximately for Q4 was in the range of 25%, the franchise revenue share. And for the full year, will be around 20%.

Ashish Kanodia: Sorry, for the full year, it will be around 20%.

Ramesh Kalyanar

aman: Yes.

Moderator: We have a next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, first up, just wanted to understand now this new showroom, we have spoken about 130. So 80 Kalyan stores all are FOCO model, right?

Ramesh Kalyanaraman: Yes, 80, all are FOCO model. The only difference between the FOCO model in that 80, is that 50 will be fully funded by the franchise partner, including the Capex. The rest 30, only the inventory will be funded, the Capex will be put by Kalyan. That's the only difference.

Moderator: Sorry, sir, we have the line for the participant disconnected. We'll move on to the next participant. We have a next participant from the line of his Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just two questions in the beginning. You have especially said that you want to expand your Middle East and also in the other geographies business. Can you throw some light what are your aspirations for next 1.5, 2 years, 3 years?

Ramesh Kalyanaraman: For India and outside India?

Shirish Pardeshi: Outside India.

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Ramesh Kalyanaraman: The India, I told you, it's like we want to open 80 Kalyan and 50 Candere for the next financial year, okay? And we would like to add 20% at least more footprint every year, meaning if we

open 80 next year, we would like to go 20% more than 80 in the next financial year for India. And Middle East or outside India, 6 in the next financial year and it will go in that range for the next 2, 3 years.

There the only difference is that focus is not only in opening new stores. we would like to really convert our existing stores into franchised ones and reduce the capital invested in that region. So there are 2 primary focus outside India. One, open 6 showrooms a year. Two, convert a few showrooms every year. And in the next couple of years, try to make Middle East a predominantly franchise-driven market by reducing the invested capital in that space.

Shirish Pardeshi: Okay. So if I understand correctly, at the current juncture, you are at 36 stores in Middle East. Now this 36 of that are 2 franchises at this time.

Ramesh Kalyanaraman: 1 franchise.

Shirish Pardeshi: So that 1 can become 5 or 6 or 7, whatever it is there.

Ramesh Kalyanaraman: Yes. So franchise number will keep on increasing.

Shirish Pardeshi: And in addition to that, you will add 6 more stores.

Ramesh Kalyanaraman: Yes, exactly. So there will be opening new stores through franchise, but you will see conversions also over and above the 6 targeted. And enquiries come from different parts today. Enquiries are there from Singapore or U.K. or Canada, Australia. But our focus now is Middle East and entry into the U.S., which we have already started. The process has already started. And the first store in U.S. will be owned store.

Shirish Pardeshi: Okay. So U.S. stores will be operational in the next 1 quarter or 2 quarter?

Ramesh Kalyanaraman: It should be ideally before the end of H1, the first one.

Shirish Pardeshi: Okay. Second, I just wanted to have some broad understanding. Our non-South sales used to grow upwards of 70%, 80%, which in this quarter, obviously, I give the best effect, has grown 55% to INR 1,900-odd crores. Now arithmetically, if I reduce 16% SSSG in the non-South market, I get a number of 38%, which is primarily a number which matches with the store expansion, what we have done on non-South.

So my whole question is that this SSSG is driven by the ticket size or driven by the volume or driven by something else? So give some qualitative comments that how this in the near term is stronger despite the gold prices over the last 90 days were very volatile. And why I'm asking this because if you need to understand whether this double-digit SSSG will be defended on a high base in FY '25 as well?

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Ramesh Kalyanara

man: We surely don't recommend to budget a double-digit SSSG. The SSSG, which has come last year has been excellent, meaning Q1 was 15, Q2 was around 10, Q3 was again 12, 13. Q4 was again 15. So that is not the way we should really budget for because that is a very strong SSSG, okay? And this Q1, you imagine, we are trying to grow over and above the SSSG, which we've done 15% last year.

So SSSGs 7%, 6% is the best way to budget for. But however, what we see on ground today, as we speak, is much higher than that. And that is predominantly the new customer walk-in. There is a portion of ticket size growth. And volume versus value, it is the same old slogan wherein if the gold prices are very high, volume will come down, value will go up because people have a budget for what they can buy. So now SSSG in South is in the range of around 17% to 18%. Non-South SSSG in the range of 15% to 16% for the last year, 38% is new customer growth.

Shirish Pardeshi: Okay. My second question is on the South business. Despite the South businesses over-banked in terms of gold, when I look at the competition, they have also reported a very strong set of numbers. So what exactly is happening in the south market? Are we trying to have the discounting and promotion as a tool and to grab more footfall and customers? Or really, the competition is weakening and the branded players are expanding their market share.

Ramesh Kalyanaraman: South is already a 50% organized market. And again, I mentioned price factor is no more there because for the past 4, 5 quarters, we have not done anything major to improve on the pricing for the consumer. It has been stable. Why the revenue is coming because of many -- and it is really strong in non-South also if you see. Non-South also is in the range of 16%, South is in the range 18%. So across the country, there has been a strong, SSSG, predominantly because of the new customers, which we have acquired over the past 2, 3 years, especially during COVID. And the only area where we put more money today, even though I mentioned that there is no competition on the margin front from competition, but local players have also started spending on ads. Even unorganized player, semi-organized regional players have started to spend more on ads where we are also investing a bit of money than budgeted because we have to have that, what you call the noise level has to be there. Otherwise, there can be a lose in market share,

okay? The share of voice has to be there in terms of marketing. Otherwise, there is no pressure on gross margin or price competition is not prevailing for the past 4, 5 quarters.

Shirish Pardeshi: No, the reason why I'm asking if I go back 3 years before, and in the initial conversation, our story was that we will increase the non-South revenue. Today, non-South revenue is around 49%.

Ramesh Kalyanaraman: 50%.

Shirish Pardeshi: Yes, but in terms of when I use the same lens, our margins has come down. So the point here is that if we need to build the more number of franchises, which will come in the non-South market and if the strategy is going to continue how this margin may look like? Because what we said 3 years before non-South revenue scale-up will happen and our margins will improve. But in reality, the margins has not moved upward.

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Ramesh Kalyanaraman: No, no. So margin, I think margin is not improving. So South actually revenue grew by 25%, non-South revenue grew by 55%, okay. So growth in non-South is still happening. Why you are not seeing a growth in margin is because we came into franchise model. Franchise margins are lesser, no, than owned store. The franchise margin comes at 8%, whereas my non-South margin is 20%, okay? So there will be a degrowth in margin. But PBT margins will go up because the franchise PBT is 5%, whereas own store PBT is only 4.6%, 4.7%. So PBT margins will go up, ROCE will

I go up, but gross margin will come down, EBITDA will also come down.

Shirish Pardeshi: Okay. So aspirationally, again, I'm going back to ROCE that we were aspiring 18% to 20%. Now in the current state of strategy, do you think we'll be able to exit 18% end of '25?

Ramesh Kalyanaraman: So, ROCE expansion is very strong because you know that now for the next year model of franchise, again, ROCE is going to be much higher than, what, 60%, 70%, which we have for the franchise model wherein Capex is invested by Kalyan because their investment comes only in the pipeline inventory. So ROCE is much higher. And our focus is to grow by franchise for the next couple of years. So ROCE should be in the range what you mentioned shortly.

Shirish Pardeshi: One last question. Have we now framed the dividend policy?

Ramesh Kalyanaraman: Yes. I mentioned it's between 15% to 30%. And this year, there's 20% of net profit approximately, which we have already announced.

Moderator: We have our next question from the line of Anurag Dayal from HSBC.

Anurag Dayal: First is, I want to understand about seasonality. So Q1 has traditionally been a strong quarter for you given higher savings of South. Now with the share of non-South growing, how does this impact the seasonality? It stands or our Q1 could be weaker now compared to what you used to do earlier, even in North markets even traditionally has been weak. Some view on the seasonality basically for you right now?

Ramesh Kalyanaraman: Yes. So Q3 is now our best from revenue because, again, Diwali and non-South revenue share is approximately about 50% as we speak. And then Q4 -- after Q3, Q1 and then Q4 and then Q2.

That's how usual scenario, it works.

Anurag Dayal: Okay. So it was similar, I think what you mentioned earlier as well last year hasn't changed, still Q2 -- Q1 is again best basically for you?

Ramesh Kalyanaraman: Second best. So Q3 is the number 1.

Anurag Dayal: Okay, got it. And secondly, on this -- you said in non-South, you make 8% gross margin, but now you're converting in South as well. But we don't know exactly how the franchise rate is there, even the gross margin also tends to be much lower. Can you throw some light on it, how the economics is working in South?

Ramesh Kalyanaraman: Yes. So South again, it cannot be 1 model across South India because Kerala works differently from Tamil Nadu to Karnataka to Andhra/Telangana. And it's very early, we are only having 2

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franchises, South franchise as we speak. and we are flexible on the working also with the franchise partner. So we will come back to you once it settles down. So too early to speak too much out loud on it because we ourselves have not come to a conclusion on the model because 4 states work in 4 ways.

Anurag Dayal: Okay. Got it. So thanks for actually sharing the SSSG numbers. I would really love that you start

giving retail sales as well, since franchise also is gaining a lot of scale now.

Ramesh Kalyanaraman: Yes, sure. We will come up with it.

Moderator: We have our next question from the line of Aliasgar Shakir from Motilal Oswal Financial Service.

Aliasgar Shakir: I just had a same question on your margins. So of course, as you mentioned, your PBT margin has improved a bit due to franchise shift. I just want to understand from an EBITDA point of view, also, I mean your EBITDA for the fourth quarter stand-alone is probably reduced around 90 bps and maybe gross margin also, I think about close to around 120 bps. So can you just explain out of this, how much would be the impact because of the franchises? And is there any impact because of any pricing or making charge impact that we are seeing in other players in the market?

Ramesh Kalyanaraman: No. As I mentioned earlier, gross margin, we don't -- you see the numbers. There is no pressure on the gross margin. And on ground also, for the past 4, 5 quarters, we

have not had any pressure

from competition because we have -- our price is already set to prepare for competition in certain products where the competition prevails.

The EBITDA margin will keep on degrowing because all the incremental revenue which comes, it is coming with 5% EBITDA. Our own box is closer to 7.5% to 8%. So EBITDA will be keeping on degrowing because franchise revenue share will keep on growing. India Q4 PBT before exceptional has improved from 4.4% to 4.6%. That is the way we have to see rather than EBITDA because EBITDA will be keeping on degrowing.

Aliasgar Shakir: So safe to assume this decline in EBITDA margin is only because of that and there's no other impact because of any reduction in the making charges that you would have seen?

Ramesh Kalyanaraman: Yes, yes, only because of that. Nothing on -- except that the EBITDA margin there might have been a -- what I call a small dip because we would have invested some more money for advertisements because there has been competition from the unorganized and regional competitors in terms of spending money in their market. That's the only area where we have invested money. So there, there can be a, what you call, effect in EBITDA, but not on gross margin.

Aliasgar Shakir: Correct. So just to -- I mean, there was a question EBITDA affecting gross margin of 130 bps is entirely because of the shift from mainly owned to franchise. No change because of the making charges or pricing of gold, right?

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Ramesh Kalyanaraman: Nothing. Nothing. Nothing.

Aliasgar Shakir: Understood. This is clear. Second thing is on Candere. So we're about doing revenue to 13 stores. And I think now we are moving to the franchise billing model as you also mentioned earlier, you have quite a decent amount of industry. So just want to understand a little longer, a 3-year, 5-year story in Candere, we are aggressively increasing our store and so we don't really think this will reach in 3 to 5 years. And given the fact is right now just around breakeven or marginally loss-making, I just miss the numbers. So how do you expect the profitability to move over 3 to 5 years?

Sanjay Raghuraman: Sanjay here, I'll just take this one. See presently we are laying the foundation for the off-line expansion. And at the same time, we are taking a calibrated approach in driving the pure online piece of the business. The business is continuing to go through a transition phase, both at operational and the management level. Like we guided in the past, we are on track to do another 50 stores this year. We've already got about 10 operational as of March 2024. We started building the leadership pipeline and strengthening management there.

But we think it's not yet the right time to comment or give a picture on the financial model and how it would look like, say, 2, 3 years out. But I think we should be able to come back to you on this one by the time of, say, Q1 when we end this year, we should be able to put some projections out on how the other financials will look.

Aliasgar Shakir: Sure. This is useful, but even qualitatively because I was just thinking given that is still not profitable. So an accelerating pace with the 50 store addition. I mean, what gives you that confidence? And I mean qualitatively, can you just help a little bit on the outlook and profitability?

Ramesh Kalyanaraman: Yes. So here -- Ramesh here. So we have done a lot of ground on how to take Candere to the next level. And that is the confidence which we are working on. But execution, why we are delayed for the last financial year is because on the management level, we have brought in new talent. On the mid-level management, we have brought in new talents and focus is on expansion of physical stores. And that transition was there last year, and that is why we took a small pause.

But otherwise, on the confidence in Candere, that is because

of the work which we have done over the past 1 year as in where to take it forward.

Moderator: We have a next question from the line of Bhavya Gandhi from Dalal & Broacha Stockbroking.

Bhavya Gandhi: Just wanted to have a broad level understanding what impact will we see if there's sort of a change in the gold prices on the downside? So will it like take a hit on the revenue? Or how will it be like if you can explain from your past experience?

Ramesh Kalyanaraman: Yes. So as I have mentioned earlier, gold price, sudden impact like it goes up very high over 1 week or if it comes down in a week, people take a pause, they wait and watch where this is going to settle down, and then start coming to the stores again. That is the only impact, the revenue can move from 1 quarter to another. But the demand will never be lost.

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And wedding demand, the postponement or preponement also does not happen too long because the wedding has to happen, and they cannot postpone the demand -- postpone the purchase too long. So otherwise, there is no impact in gold price coming down or going up on a midterm, long-term level. But of course, when it comes down, people take more volume. When it is very high, people purchase less volume because they come with the budget, they will not be able to exceed that budget because their pocket does not increase if the gold price increases also.

Bhavya Gandhi: Right. And what will be the average ticket size for FY '24?

Ramesh Kalyanaraman: So approximately about INR1 lakh.

Bhavya Gandhi: Approx INR1 lakh. And what was it last year, if at all, you can give some number to compare?

Ramesh Kalyanaraman: So, it was in the INR 85,000 range, INR85,000.

Bhavya Gandhi: INR 85,000. And I just wanted to know on the hedging policy, are we 100% hedged or we do keep some exposure?

Ramesh Kalyanaraman: No, we don't take any price risk on our price, what is called gain because we are -- as I mentioned before, we are always hedged.

Bhavya Gandhi: 100% hedged, that is what?

Ramesh Kalyanaraman: Yes, 99%, 98% hedged.

Bhavya Gandhi: Yes. Okay. And just if you can share what would be the average rate on the gold metal loan?

Ramesh Kalyanaraman: Just a minute. So 3.75% is in India.

Bhavya Gandhi: 3.75% in India. Okay.

Moderator: We have our next question from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: I just wanted to understand the advertising spend, what was it this year versus last year? And second was, I think there was a guidance of -- on a standalone basis, we'll do a PBT margin of 5%. Are we still a little shy of that? Any colour on that?

Ramesh Kalyanaraman: Can you repeat on the PBT, I did not get you there?

Pallavi Deshpande: Yes. So, I think there was a guidance at the beginning of the year of a 5% standalone PBT.

Ramesh Kalyanaraman: No. 5% was standalone PBT for franchised stores. That was the guidance, and that is almost in line. Not the total franchise because our own store PBT margins are in the range of 4.7%. New franchise stores come with a PBT margin of 5%. And franchise revenue share is approximately 20% for the full year. So the PBT margin has to be in between 4.7% to 5%, which is what you see.

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Pallavi Deshpande: Right. Okay. Okay. And the advertising expense for this year versus last time?

Abraham George: In India, it is 1.9% for this current quarter versus 2.1% last year.

Pallavi Deshpande: So you mentioned that it's gone up, and that's hurt the margin. So for the year, the advertising...

Sanjay Raghuraman: Yes, we'll explain.

Ramesh Kalyanaraman: That you will not see on a percentage-wise because the revenue also has the franchise revenue, okay? On an -- as an amount, it would have gone up.

Pallavi Deshpande: Okay. Okay. So then as a percentage then it's not really impacting that margin, you were saying

that it impacted the margin.

Ramesh Kalyanaraman: No. One second.

Abraham George: No, it does because for all the new showrooms that we are launching, ideally speaking, we were not budgeting for any extra ad spends. So that would have actually come in and given us 5%.

But if that means then the leverage on the ad spends on the own showrooms, should have been higher because of the revenue growth that we are seeing because the SSSGs have been significantly higher, 12%, 13% SSSG for the year. So the leverage should have been much higher. The leverage is not as much as we thought it is because we spend a little higher.

Moderator: We have our next question from the line of Pulkit Singhal from Dalmus Capital Management.

Pulkit Singhal: Congrats on a good set of numbers. My first question is on the franchise margin of 5% PBT. As the business expands, obviously, as you yourself are seeing double-digit SSSG versus high-single digit and mix also changes. So actual business margins will be more volatile at a franchise level. But is the understanding very clear that we get only 5% irrespective of whatever be the margins on the therein? Or do we also participate in case there's an increase in business margins?

Ramesh Kalyanaraman: Yes, it's not like that wherein 5% is assuming 20% overall gross margin at the store level. So if the margin goes beyond 20%, we will have a share for that also for the increased gross margin.

But since we are expanding into Tier 2, Tier 3, Tier 4 cities, even though at our own store level non-South, it is actually more than 20%, but that are all in metros, mostly. So since we are going into suburbs, we assume only 20%. Higher margin than 20%, better not do wherein because 20% is the right margin to target for.

Pulkit Singhal: But scale also does have an impact, right? I mean so while you're focusing on gross margin, but I'm saying doesn't scale of the business impact below the gross margin to also create a leverage on the business margin?

Ramesh Kalyanaraman: Agree. Yes. But we have -- we are spending on ad and what we call stuff now, employee cost also, we are investing, okay? And it's front-ended also because we will have to employ the staff at least 2 to 3 months before. And then only we can post them to the new stores because then only they will become a Kalyan kind of employee. And ad also, we are at this stage when we

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are growing into new markets, we are getting strong SSSGs at the ground level. When we see competition also from the unorganized/organized in ad spends, we don't go in that way. So leverage will be there, but I suggest that we don't bake too much leverage into projections and let us earn it when it comes.

Pulkit Singhal: So that's my point. I'm just trying to understand how the contract is structured? Is it structured such that any kind of leverage benefits or whatever that is. Should that be...

Ramesh Kalyanaraman: So that goes to him. That will go to him because for us, the only advantage when the margin goes up at the store level, we might get better than 8% because there can be a share there also. For the future franchise stores which we are signing, there, we have baked in all what you expect. That's why we are not telling how much margin for the new franchise stores. It can be more than 8%, it can be more than 5% on an EBITDA level.

Pulkit Singhal: Okay. Understood. And secondly, if you look at this quarter, I mean, your PBT margins have gone up from 4.35% to 4.55%. Is this in line with what you had expected initially? Or is it coming slightly lower or better than what you were thinking this could be?

Ramesh Kalyanaraman: Maybe what we would have missed it by around what INR10 crores, INR15 crores, meaning more or less INR10 crores because of mainly -- majorly because of advertisements.

Pulkit Singhal: And that's what I'm trying to understand. So going ahead, I mean, full yea

r, we are at 4.77%.

There will be a higher mix of franchise. But I mean, how do we see this 4.77% moving the pace of it, I'm trying to understand going ahead? Is the competition intensity significantly increasing because the market leader is clearly calling it out, right? And they're saying that they're going to kind of...

Ramesh Kalyanaraman: We cannot talk about them. But for Kalyan, we don't see competition intensity in pricing, whereas we just want to maintain the market share or maintain the targeted market share. We have to have the noise level in the market where we see that the local competitors are spending money on campaigns.

But to -- for you to budget in for own store level, PBT margins cannot go up too much. There will be some leverage. But if you -- if the SSSGs are only about 6%, 7%, the leverage will be smaller. So new set of stores, franchise will come at around 5.25%. Franchise PBT margins will be at 5%. Own store cannot grow up too much, but of course, there will be some operating leverage, which will step in.

Pulkit Singhal: Okay. But in case -- let me put it this way. Suppose finance cost is right now 1.5% of sales in the standalone. Now -- and as you're getting more cash flows and your revenue will go up and your absolute finance cost...

Ramesh Kalyanaraman: No, there will be leverage. Finance cost, 100% there will be leverage. I spoke about EBITDA, okay. But finance cost, there is going to be leverage for own stores.

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Pulkit Singhal: Exactly. So I mean, so far, we are focusing on PBT, and we have to consider finance cost as well.

Ramesh Kalyanaraman: Yes, yes, 100%. There is going to be leverage in PBT margin for own store because finance costs will come down as we are reducing our debts.

Pulkit Singhal: So theoretically, about 2, 3 years, therefore, because I'm considering the finance cost as well. Our business model can cross the 5% PBT margin as well.

Ramesh Kalyanaraman: Yes, yes 100%. Of course, yes, of course, yes, because of 2, 3 reasons. One, all the new franchise stores are budgeted for approximately 5.25%, and existing stores PBT are already in the range of 4.8%, which can go upside of 5 because we are in a debt reduction journey. So all put together, PBT margins should see above 5%, maybe in -- but maybe give it a year more.

Moderator: We have a next question from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Just two questions. One, the pace of debt reduction at INR 400 crores, INR 500 crores means that -- INR400 crores means that you reduce your interest costs at about INR 30 crores -- INR30 crores, INR 35 crores per annum. Considering you will first reduce the corporate loan, which would be about 8% to 10% rate of interest?

Ramesh Kalyanaraman: Yes. Yes. We will only reduce that. We will not reduce our -- we will only reduce our gold loan.

Pritesh Chheda: But theoretically, a point in time you...

Ramesh Kalyanaraman: INR30 crores for the full year. Yes, it is spread across the year. And predominantly, loan reduction will come in H2 because I told you 80 showrooms, 30 is our Capex, which will be all in Q1, Q2 because that model we stopped signing 1 quarter before, right? So interest reduction for this financial year, will mostly be in the second half?

Pritesh Chheda: Okay. Yes. So, you will basically reduce at about INR 30 crores, assuming it is 8% of INR 400 crores. And if you're, let's say, this year's cash flow, if you have a INR 1,300 crores EBITDA, you managed to reduce at about INR 300 crores. So next year onwards, we can reduce at about INR 400 crores. So that's a INR 30 crores run rate. On the depreciation side, we'll actually enter into a situation where a depreciation number doesn't expand, right? Because if you are not putting Capex, you don't have an asset to depreciate for. So this INR 275 crores, INR 280 crores depreciation stays where it is.

Ram

Ramesh Kalyanaraman: Yes. So depreciation cannot increase too much because we are not -- except for the, what we call the stores which we have, so it will not go up in the direction which it was going up.

Pritesh Chheda: But it will still increase a little bit, right?

Ramesh Kalyanaraman: Pardon?

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Pritesh Chheda: Will it increase a little bit, the depreciation number? Forget the next year. Any case we are moving to a model where you're not putting any Capex or inventory.

Ramesh Kalyanaraman: Yes. So we -- of course, we do create certain assets, but you can put it as flat because it will be very marginal in case if it increases.

Pritesh Chheda: Okay. And what is there in the other income number this year?

Ramesh Kalyanaraman: So it is rent received from the franchise partners because what we do is that the premise we take it for lease and then sublease to the franchise owner, because we don't want the premise to sit on the franchise books.

Pritesh Chheda: So it started with effect this year, right?

Ramesh Kalyanaraman: Last June. Last June, means the June FY 2025 -- yes '23. Yes.

Moderator: We have our next question from the line of Siddhant Dand from Goodwill Wealth.

Siddhant Dand: I wanted to know the sales number, excluding the onetime sales to the franchise partners, the new franchise stores or the ones we converted to franchisee, what would the number be?

Ramesh Kalyanaraman: We put a ballpark number, 58 into INR 20 crores, that is the onetime revenue.

Siddhant Dand: Okay, 58 into INR 20 crores.

Ramesh Kalyanaraman: That's an approximate number.

Moderator: This will be the last question for today. I now hand the conference over to the management for

closing comments.

Ramesh Kalyanaraman: Thank you very much for participating. So see you all shortly. Thank you very much.

Moderator: Thank you. On behalf of Kalyan Jewellers India Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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SEC/ 44 /2024 -2025 August 05 , 2024
1. National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex Bandra (E),
Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam,
Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform th e exchanges that the transcript of audio call recording of the Company's Analyst Call to discus s the unaudited Financial Results (standalone and consolidated) for the quarter ended on 30th June, 2024 is attached herewith .

Kindly take the same into your records.

Thanking You
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
Page 1 of 14

"Kalyan Jewellers Limited
Q1 FY '2 5 Earnings Conference Call"
August 01, 202 4

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st August 2024 will prevail."

MANAGEMENT : MR. RAMESH KALYANARAMAN – EXECUTIVE
DIRECTOR – KALYAN JEWELLERS LIMITED
MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE
OFFICER – KALYAN JEWELLERS LIMITED
MR. V. SWAMINATHAN – CHIEF FINANCIAL OFFICER –
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MR. SANJAY MEHROTTA – HEAD OF STRATEGY AND
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RELATIONS AND TREASURY – KALYAN JEWELLERS
LIMITED

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY '25 Earnings Conference Call of Kalyan Jewellers India Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch one phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone, and thank you for dialing us on Kalyan Jewellers India Limited Q1 FY '25 Earnings Conference Call. On the call, we have with us Mr. Ramesh Kalyanaraman , Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on company's website and stock exchange. We will begin the call with opening remarks from management, following which we will open the forum for question -and-answer session . Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman , Executive Director of Kalyan Jewellers India Limited to give you the opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good afternoon, and let me welcome everyone to the call. There could be some disruption in the phone because Kerala is raining heavily and you know about the Kerala floods.

The quarter was a fantastic one, and we recorded consolidated revenue growth of around 27% and stand -alone India revenue grew by around 29%. The SSSGs were also very strong. We witnessed robust operating performance across all our markets in India and Middle East despite extreme volatility in gold prices and a strong base quarter.

We continue to see encouraging trends around the share of new customers, which was in excess of 35% for the recently concluded quarter. Our share of revenue from the non -South market is now at 49%, up from 44% in the prior year. Gross margins at the showroom level improved marginally, driven largely by higher share of studded jewelry in both South and non -South market.

Advertisement spends during the recently -concluded quarter has been higher to mitigate the impact of volatile gold prices and to drive market share in certain new markets. Our digital -first jewelry platform, Candere, recorded robust revenue growth in the recently concluded quarter. We have signed documentation to increase our stake in the business and convert Candere to a wholly -owned subsidiary of Kalyan Jewellers India Limited. Candere has added 13 showrooms in the financial year so far out of the targeted 50 showrooms during the year. We are putting together a brand strategy for Candere, centered around communication and positioning and expect to launch a nationwide campaign before the upcoming festive season. Let me give you an update about our international markets. Middle East recorded healthy SSSGs during the recently concluded quarter. We plan to convert four showrooms in the region to franchise

once during the ongoing quarter and utilize the proceeds to reduce the debt in the region. The first showroom in the U.S. is expected to be launched before Diwali.

Talking about the ongoing quarter, we began the quarter on a very strong note and the recent reduction in customs duty on gold has provided further fillip to demand on the ground. We are updated about the upcoming festive season across the country and are gearing up for the launch of fresh collections and campaigns. During the month of July, we opened five Kalyan and two Candere showrooms and are on track to launch another 35 Kalyan and 20 Candere showrooms before Diwali.

Now I would invite Sanjay to give you Q1 financial update. Over to you, Sanjay.

Sanjay Raghuraman: Thank you, Ramesh. Hello, everybody, and good afternoon. I'm really happy to be talking to

you all after a great set of quarterly numbers. In the just concluded quarter, the company reported a consolidated revenue of INR 5,535 crores, a 27% growth over the corresponding quarter in the previous years. Consolidated EBITDA came in at INR 376 crores versus INR 323 crores in the corresponding quarter of the previous year. And consolidated PAT, profit after tax came in at INR 178 crores versus INR 144 crores in the corresponding quarter of the previous year. Moving now to talk of the breakup of the numbers between India and the Middle East of the just concluded Q1. Our India revenue was INR 4,687 crores versus INR 3,641 crores when compared to the corresponding quarter of the previous year. And India Q1 EBITDA came in at INR 315 crores versus INR 269 crores when compared to the corresponding quarter of the previous years. India Q1 PAT came in at INR 165 crores compared to a PAT of INR 129 crores in the corresponding quarter of the previous year. Moving on now to talk about the Middle East business. Revenue in the Middle East for the just - concluded quarter came in at about INR 811 crores versus INR 700 crores when compared to the corresponding quarter of the previous year and EBITDA in the Middle East came in about INR 64 crores versus INR 55 crores for the same period in the previous year. Middle East business reported a profit of INR 19 crores for the quarter, compared to INR 17 crores in the corresponding quarter of the previous year.

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Lastly, talking about our e-commerce business, Candere, we posted a revenue of INR 49 crores in the quarter versus INR 34 crores in the corresponding quarter of the previous year. And this quarter recorded a loss of INR 2.2 crores, which is the same as what it was for the corresponding quarter of the previous year.

With this, I'm done with the summary of the financials. We'll now open the floor for questions. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir. Congrats on a good set of numbers. Sir, my first question is actually a clarification. You said you opened five Kalyan stores in the month of July and you expect to open 35 more showrooms before the quarter end. Did I hear that right?

Ramesh Kalyanaraman: Before Diwali I meant.

Gaurav Jogani: 35 before Diwali, okay. And Candere, how many have you opened in July and how many more are expected going ahead?

Ramesh Kalyanaraman: So Candere, July, we opened, as we speak, 2, and we will open 20 more before Diwali.

Gaurav Jogani: Okay, 20 more before Diwali. And sir, with regards to this custom duty cut, I actually have two questions. One, how much of this has given you an advantage in terms of the footfalls. So for example, post 23rd of July, how much of an increase have you seen in footfall in our showrooms? And second question, related to custom duty is, what is the impact that you will see on your own

inventory that is on gold on lease because of this custom duty cut.

Ramesh Kalyanaraman: First coming to footfalls, July itself started off very well. The first 2, 2.5 weeks was good. SSSGs were very similar to what it was in Q1. But post the duty cut, again, when the price comes down by 7%, 8% customers who were waiting would have come in immediately. So the last 10 days have been very good, especially weekends. And it is stronger than Q1 in terms of SSG.

Gaurav Jogani: And sir, what's the impact on the inventory because of this custom duty cut?

Ramesh Kalyanaraman: Approximately, we have -- it will be in the range of INR 120 crores, INR 130 crores.

Gaurav Jogani: Overall, the impact. Okay.

Ramesh Kalyanaraman: Overall impact, yes. It should come out, meaning in Q2 plus Q3.

Gaurav Jogani: Beautiful. But sir, this would be at your level impact, right? I mean your -- even the stocks that will be lying at the franchisee level also. I mean, that impact will not be accounted in this one, right?

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Ramesh Kalyanaraman: No, no, that does not come, because we have already sold it, no? and priced in. So that will be only for them. And they are basically hedging their cash flow. So it's not an impact for us.

Gaurav Jogani: Got it, sir. Sir, and my second question also is with regards to -- if you look at the revenue per showroom in the India business, I mean the revenue per showroom has actually gone down to

around -- for the quarter, I am saying, is around INR 22 odd -crores versus INR 23.8 odd crores in the base quarter.

Now I understand that because we're opening a lot more franchising the showrooms, and that has been a smaller size that will be impacting this. But any other reason that you can help us to quantify this? And how should we look at the revenue cost for going ahead? If anything you can help us out with that?

Ramesh Kalyanaraman: Yes. You yourself told the answer. Our own showrooms are at INR 90 crores plus when it comes to per show room revenue. But when you come to franchisee new stores, the revenue will be only in the range of INR 50 crores. So the more number of new showrooms you open, the revenue per showroom will come down. It will keep coming down.

Gaurav Jogani: Sure. So it's expected to impact at least for this year, I think because in the next year onwards, you will have a decent size of franchise stores already in the base and so that should not impact going ahead. Is that the right understanding?

Ramesh Kalyanaraman: So, once you have a good number of own showrooms where your revenue per showroom is INR 90 crores. All the additional new showrooms are coming at INR 50 crores. So, since that own store level is at INR 90 crores, the more number of showrooms you open, the per showroom revenue will keep coming down.

Gaurav Jogani: Got it. Got it.

Ramesh Kalyanaraman: Even if we have a number of -- even if you add a number of showrooms, that own stores is at INR 90 crores INR 100 crores, no. So that will be still there.

Gaurav Jogani: Sure, sure. And sir, third is -- the last question is with regard to the interest cost. So, if you look at the interest cost both at the stand-alone and the consolidated level, it seems to have gone up marginally. Ideally because your debt is coming down, we were expecting this number to come down. So, any reason for this to increase?

Ramesh Kalyanaraman: Yes, Swaminathan?

V. Swaminathan: Hello. So with regard to interest cost, the number includes lease interest, which definitely will go up as we increase number of showrooms, if you remove lease interest, you can say Q-o-Q it has come down by INR 3 crores to INR 4 crores. And year-on-year, it has come down by INR 11 crores.

Gaurav Jogani: You mean to say that the interest on the debt, basically largely because of the...

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V. Swaminathan: Increase in number of showroom and the impact of Ind AS 116. So notional interest, it is not bank loan interest.

Gaurav Jogani: Yes. But sir, because you are opening stores on franchise, but because the lease is here and that is why it is coming here, right? Is that the right understanding?

V. Swaminathan: Yes. So own showrooms -- I mean, franchisee showrooms also coming under Ind AS 116. And there will be some setup because of franchisee owning the shop. But net to net, there will be increase in Ind AS 116 impact.

Gaurav Jogani: Sure. And sir, the last question actually is with regards to the newest showroom that you're going to open a franchise basis. I think in those showrooms, you will be -- the capex will also be incurred by the franchise partner only. Also, is there any change in the terms of the margin or anything that will be accruing to you because of this new arrangement?

Ramesh Kalyanaraman: Yes. So, out of the 80 showrooms, which we are opening for the financial year. The first 30, 35 showrooms will be in our old model wherein the capex will be put by Kalyan. The rest of the showrooms, the franchisee partners will put the capex fit out also. So, that is the plan. And margin, as I indicated in the past, there will be an increment of, say, 0.25% on the gross level.

Gaurav Jogani: On the gross level?

Ramesh Kalyanaraman: So, 0.25% margin growth will be there.

Gaurav Jogani: Okay. Okay. Okay. Got it. That's all for me. Thank you.

Ramesh Kalyanaraman: Yeah.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Hi, Ramesh and team. Great performance, must say, in whichever context we look at it. Just one thing, I just wanted to understand from you and team is when I look at your same-store growth performance, which has been absolutely top of the street versus being listed -- other listed players. So if you could just elaborate a bit about -- and in fact, the inflationary gap has accelerated, right, which is actually a very good sign. Can you just tell us about, let's say, what has been driving this? What are the interventions you would have done, let's say, versus competition in terms of the faster share gain for you versus income -- other income? Thank you.

Ramesh Kalyanaraman: So, SSSG as you are aware, we have been expanding our store network across the country for the last two or three years okay? And usually, year two and three have higher SSSG and

therefore, with every passing year, we should see an uptick on our SSSG. Secondly, in SSSG of our existing stores, the reason according to us is very simple. More number of showrooms, more expansion, thereby meaning more visibility for Kalyan and thereby helping generate more footfalls and revenue.

Manoj Menon: Understood. Network effect. Understood. Understood Yes.

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Ramesh Kalyanaraman : And one more thing. While the above reasons help us to have a healthy SSSG, can you compare with existing players in that, there will be naturally a bigger difference since we would have gained market share from the existing players. So just to highlight our SSSG in south are marginally better than north.

Manoj Menon: Understood. Is there anything to do with any changes in assortment or marketing strategy? Anything sure of that, which is -- I mean, which is something which is already there in the market, if you could talk about?

Ramesh Kalyanaraman : So we were very active, especially because the prices were very volatile. So the campaigns were very active. And now the digital marketing also helps us to keep the noise level high in market where we require and we can also check whether the competition is active in that region in terms of marketing. So we increase our marketing spend in the so called store or region.

So all together,

we have been active. Our team also have been doing a good job. So all put together the numbers are good. And in South, in certain states, I just want to tell you that we are experiencing higher than usual SSSG. And that I have told you before also majorly we feel that there has been a strategic misstep taken by two players in South, especially in Tamil Nadu where we actually are getting higher than usual SSSG.

Manoj Menon: Interesting, interesting, thank you.

Moderator: Thank you. The next question is from the line of Darshan Jhaveri from Crown Capital. Please go ahead.

Darshan Jhaveri: Thank you so much for taking my question. Congratulations on such a great set of results, sir. So, I just wanted to know like we've been growing at such a great rate right now, both on SSSG and new front, like consolidated we're doing 27%, 30% growth. So will we be able to sustain this for a longer period of time? What kind of revenue guidance would you have maybe FY '25 - '26?

Ramesh Kalyanaraman : Yes. So I will not be able to give a guidance, but what we will say is that you know the store expansion plan, which we have 80 showrooms. SSSG for the year 2, year three are usually higher than insurance. And again, July if you see, the SSSGs are even stronger than in Q1, okay? So all put together, I think this will be the range where we need to target for our SSSG and for our revenue growth.

Darshan Jhaveri: Okay. Fair enough, sir. And sir, I just wanted to also know like now as we maybe add more studded, we are growing, so some margins like PBT margins, could we reach the 5% PBT margin that we are maybe trying?

Sanjay Raghuraman: Yes, ideally, we should. But Q1 also we missed because as I mentioned now, the marketing spend was a bit on a higher note than it should have been, especially because of the high gold prices and competition in the local -- by the local players. Regional players were very high in certain markets, so we do not want to lose market share.

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So again, the operating leverage we thought would come from marketing, did not come. And that is why the PBT did not grow more than our revenue. But Q2, I think we should because the revenue growth which we see now on ground, I think roughly it will happen. So the competition -- if competition reacts then we'll have to react in terms of marketing. That's why we are not able to do it. But I think on a yearly basis, the objective will be achieved. In India, we are already at 4.8% PBT, just to -- in our view.

Ramesh Kalyanaraman: Yes. So for the full year, maybe we can see the PBT target plus, yes.

Darshan Jhaveri: That's great to hear, sir. And I just wanted to know on a more broad base just like maybe questions have already been repeated in the past. So like do we see some competition from fast jewelry or like how now then the lab-grown diamonds or something. Will that overall impact in

longer term? Or how are we just seeing these to be two different markets, some colour on that?

Ramesh Kalyanaraman : Yes, lab -grown, we have not seen any demand so far in the store level. There is no -- it's like literally 0 demand at our store level. Customer inquiry is very minimalistic and we are surely looking into what is happening on ground. And once there is demand we supply, so that we are retailers, if there is demand then we should supply. But why we are not promoting lab -grown diamonds because the price has not been stabilized. So, if the price crashes for the lab -grown diamonds, customer is buying those diamonds because they trust Kalyan as a brand. So if the price goes down, they will feel very offended. So that's why we are not encouraging lab diamonds, but we are closely watching.

Darshan Jhaveri: Okay. Okay. Fair enough, sir. And just my last question, sir, with -- I just want to clarify, like the impact of the duty cut you're seeing, it would be

around INR 120 crores, INR 130 crores, that would be the impact on profitability?

Sanjay Raghuraman: Yes, that will be the range.

Darshan Jhaveri: Yes, okay, okay. Fair enough, sir. Yes, I think that answers all my question, sir. All the best. Thank you so much, sir.

Sanjay Raghuraman: Thanks.

Moderator: The next question is from the line of Vikrant Kashyap from Asian Markets Securities. Please go ahead.

Vikrant Kashyap: Good evening, sir. Congrats on a very good set of numbers. First question is on the performance of Middle East businesses, so your revenue growth has been 16% but PAT growth has been 11%.

Ramesh Kalyanaraman : We have already received that. I think it was summarized this. Because I told you that we've got some disturbance in the line because of the flood. Can you repeat the question?

Vikrant Kashyap: Okay. Yes, yes, I will repeat again. So my question is pertaining to the Middle East performance. Our revenue growth has been very strong at 16%, SSSG at 10%, but PAT growth is 11%. You

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have highlighted two points so far that FOCO showroom, expense has impacted some of the gross margin and also on the pricing and finance cost. Sir, my question is how are you going to address this? Because if you continue to grow at a higher level, but bottom line is not expanding related to the top line, it will go to impact your overall performance? So, what are the steps you are taking to improve the bottom line in the businesses

Sanjay Raghuraman: Finance costs will be taken care because we told you when we convert stores, that money is going to reduce our debt. Okay. And again, FOCO, when you do FOCO showrooms, the margins will come down. And surely, that will have an impact on the gross margin. Okay. And interest, if you look at actually, the interest rates have been going up last year. So next year, that will be the base, right? So then again, we will not have this kind of issue is what we feel. So interest rates have been going up over the past year, one year, in that region.

And we are also beginning to repay loans now because of conversion. So all put together, interest part will be taken care but other area where FOCO showrooms will surely reduce our margin.

We cannot have the own store margin. So that should be the way we should look at it.

Vikrant Kashyap: Have you -- are you able to reduce any debt in quarter one in Middle East and India?

Ramesh Kalyanaraman : So India, we are not reduced, but the cash balance has been increased to around INR75 crores, but we have not reduced any debt in Q1 in India and Middle East because Middle East we have not converted any showroom in Q1.

Vikrant Kashyap: Yes. Okay. And your presentation also mentioned that you have converted three showrooms in South markets. So could you please discuss the model and how we are dealing with franchise. I mean is it similar to non -South? Or it is different from non -South markets?

Ramesh Kalyanaraman : Yes. I told you, South itself each state behaves differently. We are still doing a pilot. So very tough for us to give a clarity on the numbers and the workings. But we know that the margins are lesser in South. (inaudible) are a bit more than North -South. And the expectation for the brand is also lesser than non -south in terms of margin. Franchise partner also expects lesser than a non -South. So that is the model where we are looking at. And maybe in a couple of quarters, we can give you an idea of the model.

Vikrant Kashyap: Okay. One question on competitive intensity. So, in the recent, the last week event one of the big players given a signal that they are entering into a jewelry retailing business and they have given a guidance of investing INR 5,000 crores. And most of the showrooms that they're targeting non -south markets, where you have been also expanding there. So given this

increasing

competitive intensity, how do you place Kalyan going ahead?

Ramesh Kalyanaraman : It has to be -- even now we are talking the 35%, 40% of organized segment. So there are -- there is an easy vacuum or easy space for at least three or four more players in the sector. That is the first thing which we have to understand.

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Second thing is that if a good player comes, it is good for all organized players and market is also big enough. And if you look at your comment on one particular brand it is too early to comment because each brand will have their own strategy. And the strategy has not been revealed yet because it's too early for us to understand the strategy of the brand, which launched recently.

But Kalyan, it's a very unique kind of strategy which we have where it's a hyper-local brand. In each region, we behave in such a way that it's a part of the region. So it takes time even for a new brand to come and do the same, it takes good number of years to do the same if they intend to replica. So we don't see any immediate competition coming in. But of course, there will be new stores of the brands coming near to us, and they will also be catering a different segment of customers.

Vikrant Kashyap: Okay. Great. I have one last question on -- related to a recent increase foot-fall in duty cut. So sir, could you allude this? Are we seeing wedding buying because of the price cuts? Or do you see that it is only a daily wear products have been selling at a much higher pace?

Ramesh Kalyanaraman : Both are there. But again, one thing I will tell you this demand increase, which we see over the past 10 days is not going to stay very long. So it might end up any time as we speak. Because people would have been waiting for many reasons because they would have thought that the gold price were high according to their estimates.

Suddenly, when 7% to 8% came down, people came in and bought. It can be a wedding purchase again, they would have preponed their purchase. A lot of discretionary purchase, which was pending because of the high gold prices would have come back immediately? So both are there. And we also believe that it cannot last too long. It can be maybe one week, 10 days or 15 days. That is what we also think will be the case.

Vikrant Kashyap: Okay, great sir. Thank you for answering my question. And wish you the best of luck.

Moderator: The next question is from the line of Ashish Kanodia from Citibank. Please go ahead.

Ashish Kanodia: Hi, team. Congrats on a good set of numbers. Ramesh the first question was on the operating leverage. So I understand that ad spend was higher because of the volatility in gold price. But if I just look at the employee cost and other expenses, I think that has also increased on a Y-o-Y basis. So, is it more to do with the fact that some of the expenses have been front loaded because we plan to bring 35 stores over the next 2 months or so. So -- and maybe in the second half, we will see a much higher operating leverage, is that the right way to look at the employee cost and other expenses?

Ramesh Kalyanaraman: Yeah, that's what I told you before, because we are -- employee cost, we are, of course, adding a lot of employees or showrooms, which has to come in the Q2 because we want to add as many as showrooms possible before the festive Diwali. So there are some front-end expenses. And advertisement, it is related to the local competition activity about -- meaning their noise level, we all put together.

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So it can vary, wherein, in Q2 as we speak, we think that this is going to come out, because of the revenue growth, which we have. And expenses about employees surely, there are some front-ended expenses. As we are very, very simple is that our SSGs are in the range of

20% to 30%,

but our ad spend increased -- are in the range of 20%. So that is the gap, which we are seeing mainly focusing.

Ashish Kanodia: Sure, sure. And the second question is on the MyKalyan front. So has there been any change in strategy, because when I look at the number of employees under MyKalyan, that has declined for the first time in the last few quarters. So has there been any change in that?

Ramesh Kalyanaraman: No. So what will happen usually MyKalyan also use a lot of front-ended staff, because we keep on growing the MyKalyan network, okay? But now it is the franchisees call whether they need

a MyKalyan or local marketing. So we give them two options, whether they want local marketing to be done in that region, or they want MyKalyan infrastructure. So as we speak now, people have started coming back because it's all one year, 1.5 year showroom, almost a year done. So now they are enough of local marketing, and they want us to open MyKalyan. So now you should ideally see ramp up of MyKalyan and employees also.

Ashish Kanodia: Sure, sure. Sir, lastly, on the procurement center addition, you have added two new procurement centers. So where are these located, and maybe if you can also just help us understand some of procurement center facility. What is the kind of capex, which was done for these two centers?

Ramesh Kalyanaraman: Yes. The capex will be very minimal. So it's not about capex. It's more about networking of local artisans and what you call vendor ecosystem, more than a capex. So majorly, the new offices were started in regions where we expanded heavily like Bihar and UP.

Ashish Kanodia: Sure, sure. Okay. That's all from my side. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Karan Mera from Mehta Investments . Please go ahead.

Karan Mera: Hello sir. Thank you for the opportunity. A couple of questions. Sir, what is the update on Candere expansion? And how many store openings can we expect before Diwali?

Ramesh Kalyanaraman: Candere this year, we opened 11 in Q1, two in July. We should open 20 more before Diwali. 50 was our target for the year.

Karan Mera: Sorry.

Ramesh Kalyanaraman: 50 is the target for the year.

Karan Mera: Understood. Sir, the non -south share in overall revenue has increased to 49%, whereas, the studded share inched up to 30%. Where do you see the studded mix going ahead given that now even consumer behaviour in the southern market is increasing in studded jewelry?

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Ramesh Kalyanaraman: So I think this will settle down in this level for some time because the expansion now, the 80 showrooms which we are opening in this financial year are predominantly in non -South tier two, tier three markets where studded ratio cannot be like tier 1 or Metro. Major showroom network expansion is happening in that area. So I think mid to late 20s, studded ratio will be the ideal number for maybe in the next couple of years -- next couple of quarters sorry.

Karan Mera: Understood. That answers my question. Thank you and all the very best.

Moderator: Next question is from the line of Jainam Doshi from Kriis Portfolio. Please go ahead.

Jainam Doshi: Yes. My questions have been answered. Thank you so much.

Moderator: Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please go ahead.

Pulkit Singhal: Thank you for the opportunity and congrats on the good set of performance. Just the first question is really on the margins, which seems to have been elusive. I mean looking at the company for the last two years, we seem to be executing quite well in terms of store expansions and revenue growth and clearly delivering higher than expected there. But margin expansion just has been completely elusive.

And I find it surprising your comment that while growing at 30% growth

and 12% SSSG, I

mean, which is quite healthy, you're still talking about high competitive intensity kind of quite contradictory that with such high growth rates, we have to invest so high. So can you talk about this a bit more? I mean we don't expect with lower revenue growth rates that you would not have to invest in the business. And it's only during a higher revenue growth that you expect margin expansion.

Ramesh Kalyanaraman: Yes. So you're right. We are -- meaning somewhere we have missed out on the operating leverage for advertisements that's why I told you that even Q1, it was a miss. And regarding competition, I will tell you where in new markets, where we assume that we will not spend too much because the brand is already aware and the location is the only thing which has to be communicated.

When you see the local players, regional players or the micro market players there becoming extremely active because of our showroom launch then we will have to increase the noise level there. Otherwise, we will lose our market share. And existing local players they increase their activity around our launch time. So that is where we also put more money so that we don't end up losing the market share or we don't end up taking out lesser from the competition.

Pulkit Singhal: Okay. So how do you see this play out on -- so I mean, to that extent, you have to keep investing in the business to just continue the revenue growth momentum, which is a great strategy. But I think -- is that the thought process that let's keep margins stable and grow revenue growth at a healthy way?

Ramesh Kalyanaraman: I think we should take the business after a couple of quarters because with the time, we should be able to optimize this, especially when it comes to as we speak, Q2, which we see it's going to happen. And maybe a couple of quarters we'll decide.

Pulkit Singhal: Okay. Secondly, I mean, on this custom --

Ramesh Kalyanaraman: If you ask me, I am still confident of margin expansion for the financial year, that's why I'm asking for a two quarter wait to decide whether we should forecast numbers.

Pulkit Singhal: So just knowing what your strategy is? I mean either strategy, I mean, long-term so if you're deciding on market share, that's your call, but it will be good to just know as to how you think about things. And sir just secondly is on terms of custom duty cut. I mean given the kind of competition you face, do you think this gives you an edge now, therefore, going ahead? That where your ability to compete gets a lot higher?

Ramesh Kalyanaraman: Yes two ways we think that customs duty deduction is going to help us. First thing is that if we push the unorganized players to buy with invoice. If they buy with invoice, then they like to sell it with invoice. That is one advantage. Second is that, if you look at the last two, three years, the unorganized segment because they do a cash flow hedge usually, okay? They don't reduce their volume inventory even if the price goes up.

But we -- because we are not a cash flow hedge, we are a P&L hedged company, we will have to decrease the volume of inventory, not exactly by the way of gold price increase, if gold increase, let's say 15%, we would at least bring down the inventory by volume by around 10%, right?

So this has been the case over the last two, three years. But now if you see, we are on the other side, wherein they will maintain the same volume at the store. We will be able to increase the volume at the store, meaning inventory level by volume can be increased without in further investment, which we think that is going to help to gain more market share for an organized player. So, it's a two way help secondly.

Pulkit Singhal: So actually, the question like was -- that's interesting to know. The question also was to try to see if the people

are competing with are actually having that custom duty arbitrage, which was allowing them to be profitable, et cetera. And now that arbitrage goes away from them.

Ramesh Kalyanaraman: So because of this custom duty, high customs duty, it is always an incentive to do -- without invoice and buying without invoice and stuff for unorganized players, right? That can be an incentive for the customer also, because they can tell the customer that the price can be lesser or GST will not be paid and stuff. But now, things are becoming more transparent because the margins are lesser, no. Hope you understood.

Pulkit Singhal: Yes. Yes. So as they get to do, I mean, if the customer has to invoice, then he doesn't necessarily need to now deal with them. I mean you might have a deal with a branded player.

Ramesh Kalyanaraman: Yes. Correct. That's right.

Pulkit Singhal: Now understood. Great. Thank you and all the best.

Ramesh Kalyanaraman: Thanks.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes. Hi Ramesh. Good evening. I joined the call late. Maybe if you can share your thoughts on Candere, the thought process. Do you stick to the store guidance and as well for us store?

Ramesh Kalyanaraman: Yes. So, I'm not able to hear you. I don't know whether my line ...

Moderator: Mr. Pardeshi, I request you to come a bit close to your handset and ask the question.

Shirish Pardeshi: What I was asking on the Candere, if you have already covered, I just joined the call.

Ramesh Kalyanaraman: Yes. Candere, the number of showrooms, right?

Shirish Pardeshi: Yes. And what is the throughput you're getting now? What is the run rate we are happening, what's happening now?

Ramesh Kalyanaraman: Okay. Candere, what I will tell you about store expansion wherein we opened 11 showrooms in Q1 and two in July. We will be opening 20 more before Diwali. And now Candere the throughput at the store level is not great, because we have not started campaigning around Candere. We are

waiting for Candere to have a minimal number of stores so that we can start our campaigns on an actual level. So , that is what we think we are going to do for -- meaning tha t's what our plan is for Candere.

Shirish Pardeshi: Okay. Thank you, and all the best.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of our question -and-answer session. I would now like to hand the c onference over to Mr. Ramesh Kalyanaraman for closing comments.

Ramesh Kalyanaraman: Thank you very much, everyone, and hope to see you all soon. Thank you.

Moderator: Thank you. On behalf of Kalyan Jewellers Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

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SEC/ 75/2024 -2025 November 19 , 2024

1. National Stock Exchange of India Ltd.

Exchange Plaza

Plot No. C/1, G Block

Bandra –Kurla Complex Bandra (E),

Mumbai 400 051

Symbol: KALYANKJIL 2. BSE Limited

Corporate Relationship Dept.

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai 400001

Maharashtra, India

Scrip Code: 543278

Dear Sir/Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the Quarter and Half year ended on 30th September , 2024 is attached herewith.

Kindly take the same into your records.

Thanking You

For Kalyan Jewellers India Limited

Jishnu RG

Company Secretary & Compliance Officer

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"Kalyan Jewellers Limited

Q2 FY '25 Earnings Conference Call"

November 13, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th November 2024 will prevail."

MANAGEMENT : MR. RAMESH KALYANARAMAN – EXECUTIVE
DIRECTOR – KALYAN JEWELLERS LIMITED
MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE
OFFICER – KALYAN JEWELLERS LIMITED
MR. V. SWAMINATHAN – CHIEF FINANCIAL OFFICER –
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MR. ABRAHAM GEORGE – HEAD OF INVESTOR
RELATIONS AND TREASURY – KALYAN JEWELLERS
LIMITED

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Kalyan Jewellers India Limited Q2 and FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, Mr. Agarwal.

Rahul Agarwal: Thank you. Good evening, everyone. And thank you for joining us on Kalyan Jewellers India Limited Q2 and H1 FY '25 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury. I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and stock exchanges.

We will begin the call with opening remarks from management, following which we will have the forum open for a question -and-answer session. Before we start, I would like to point out that some of the statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited, to give you opening remarks. Thank you, and over to you.

Ramesh Kalyanaraman: Thank you. Good evening, all of you, and welcome, everyone, to the call. It's been a fantastic year so far; both the quarters have been excellent revenue growth for the first half of the current financial year is around 32% on a consol basis and 34% in India with quarter 2 growing by around 37% on consol and 39% India. Growth has been broad -based with robust growth across gold and studied categories.

Adjusting for the loss due to reduction of customs duty, gross margins at showroom level and PBT margins were marginally higher Y -o-Y. This financial year so far, we have launched 49 Kalyan showrooms and 34 Candere showrooms in India, and we are on track for the targeted 80 Kalyan and 50 Candere for the current financial year.

There has been a delay in the launch of the first showroom in the U.S., and we expect to open the showroom by the end of the current quarter. Regarding the debt reduction plan, we are well on track for the current financial year, having already achieved almost half of the total debt reduction plan for the year. Non -GML working capital loan in India has been reduced by around INR 143 crores.

We are still working with the banks for the release of the real estate collateral pertaining to the loan that we repaid in the last financial year. We are extremely excited with the way the current quarter has progressed despite volatile gold prices. We have witnessed SSG in the excess of 20% for Diwali minus 30 days period when compared to the base year. We are upbeat about the ongoing wedding season across the country and hope to end the calendar year on a very strong note.

Now I will invite Sanjay to take you through the financial highlights of the quarter.

Sanjay, over
to you.

Sanjay Raghuraman Thank you, Ramesh. Good evening, everybody. We are really happy to be talking to you all after a very satisfying quarter. I assume you might have all gone through the numbers and the investor presentation. Hence, I will just highlight the major points now. For this quarter just ended, we reported a consolidated revenue of INR 6,065 crores, a 37% growth over the corresponding

quarter in the previous year. Consolidated profit before tax came in at INR 178 crores for Q2 of the current year. After adjusting for the loss because of custom duty cut, profit before tax growth would be 39%. Consolidated PAT for the quarter came in at INR 130 crores versus INR 135 crores compared to the corresponding quarter of the previous year, a 3% degrowth.

I would like to just add here that the tax rate in India for the current quarter is 28% versus 25% in the base year on account of a disallowance of some donations given towards strategies. Our India business revenue grew by 39%, while profit before tax degrowth was 1%. Again, adjusting for the loss due to the customs duty cut, growth in profit before tax would have been 40%. India profit after tax for the period was INR 120 crores versus INR 126 crores, a 4% degrowth.

Talking now about the first half of this financial year. Consolidated revenue came in at INR 11,601 crores, a growth of 32% compared to the corresponding first half in the previous year. And consolidated profit before tax came in at INR 415 crores, a 13% growth compared to the first half in the previous year. Adjusting for the loss due to the custom duty cut, profit before tax would be around 32%. Profit after tax came in at INR 308 crores, a growth of 11%. In this quarter just ended, we opened 26 stores net, 14 in the Kalyan Jewellers brand and 12 in Candere. With this, I'm done with the summary of the financials. We can now open the floor for questions. Thank you.

Moderator: Thank you. The first question comes from the line of Gaurav Jogani with JM Financial.

Gaurav Jogani: Congrats on a great set of numbers. Sir, my first question is with regards to the studded share for you. The studded share now is like 30% odd and it has seen a robust growth versus the Titan,

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if you see, they had actually seen a decline in the studded share and they had also highlighted some pain in the consumption. So if you can highlight why there is a difference in the demand that you are seeing in the studded share versus them?

Ramesh Kalyanaraman: So studded has been strong, majorly because maybe there are only a few markets where solitaire is looked upon as a commodity, wherein they just buy it for an investment, predominantly in Delhi, Punjab, and all. Otherwise, in South India, people don't see diamond jewellery or any studded jewellery. They don't buy only a piece of solitaire and keep it with them as an investment.

They use it well. So our focus also is to cater those kind of customers even from the past. So for us, high carat solitaire has always been very low in terms of revenue share. So maybe because of that, we are unaffected, but we don't see any pressure on studded products.

Gaurav Jogani: Okay. Sure. Sir, a follow-up to this question that also recently, we have seen some cut in the gold prices, the recent correction in the gold prices. So do you see any positive reaction of the same on the consumer demand, though the consumer demand already has been so robust. But any signs of some pickup in the footfall because of this?

Ramesh Kalyanaraman: Yes. So here, first of all, even without that, Diwali minus 30 days is how we calculate our season revenue that itself have a very robust revenue growth. SSGs are very strong, very comparable to Q2. And yes, as you said, last weekend was very strong. Gold prices have come down a bit. So people can prepone their purchase

se, maybe people who are waiting because the gold prices were high, might have come back to the stores. So momentum is very strong as we speak. Even without the gold price reduction, which came in the last 4, 5 days, demand was very strong.

Gaurav Jogani: Sir, one last question, if I may slip in. The margin -- the gross margin, so to say, that has been, I would say, relatively better versus the expectations despite the higher increase in the franchisee counts that have been seen. So any light you can throw here because given that the franchisee share would almost be approximately 50%, if I'm not wrong. So shouldn't the dilution in the gross margin a bit higher? Or would it be come with a lag?

Ramesh Kalyanaraman: First of all, franchisee revenue share is not 50%. It is maybe 1/3, maybe in the -- what, 32%, 33%. So gross margins at the store level has been fairly steady, even if it has not improved. Studded share was higher, and we saw a marginal improvement in gross margin at the showroom level, but not major improvement in the showroom level gross margin. While you calculate that way is because you estimated 50% franchisee revenue, it is only, what, 32%, 33%.

Moderator: Next question comes from the line of Vikrant Kashyap with Asian Market Securities.

Vikrant Kashyap: Congratulations on a very strong set of numbers. My first question pertains to volume growth. So during the quarter, have you seen like -to-like volume growth in gold as well as diamond products?

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Ramesh Kalyanaraman: Yes, so volume growth, if you look at, about 10% to 11% is where the gold price have gone up, but the revenue has gone up by what SSG said, was 23%. So volume growth should have been there, but the studded ratio is going up, studded also sells, we don't look at only volume. Because we also, as a brand, try to push the customer from gold to studded, and customer also comes now for studded more than gold, right? So if you look at it in this view, where gold price have increased only by 10%, 11%, SSG itself is 23%. So that is how we should look at it.

Vikrant Kashyap: Okay. My second question pertains to lab -grown diamonds. So after Westside ventured into LGD products, there has been a strong buzz into, say, Northern and Western part of India, but in South, we haven't seen anything. So how do you see this portfolio shaping up going ahead since you are expanding majorly into Northern and Western part of India?

Ramesh Kalyanaraman: So we don't see any demand at the store level because as I have told before, we are retailers. When there is demand, we will surely go and supply, right? So at the store level, we don't see any demand for lab -grown diamonds. And because the price its elf has not got stabilized, big brands, major brands are not pushing that also because people believe the brand more than the product. So when the prices are not steady, we, as brands don't promote LGD also, right? So 1 or 2 players whom you are mentioning are treating it as a fashion accessory, very low-ticket size, et cetera, which can -- may be a substitute of an artificial jewellery .

Vikrant Kashyap: Yes. The next question is on Candere. So in the last call, you had mentioned you will come with a strong branding for Candere post Diwali or maybe near to Deepawali. So how has been the strategy? And how is the way forward for Candere portfolio?

Ramesh Kalyanaraman: So Candere, still we are focusing on expanding our footprint. And you know that we have opened showrooms across, and we are still in the pipeline of opening stores. So maybe before the end of the financial year, we will surely expand. We will surely start our campaigns. So as of now you know that this year, we had 50 -plus stores is what we needed for Candere. We are at 46 showrooms.

Ramesh Kalyanaraman: I am not able to hear you. Can you repeat that question? I'm not able to hear you. I missed out something.

Vikrant Kashyap: Okay. So my question is on international markets. So on Middle East, you have now 4 FOCO stores. So last quarter, you had mentioned that you have been a little slow in the Middle East expansion and debt reduction. So where do we stand right now? And what are the goals for '25?

Ramesh Kalyanaraman: So international, you are right, the kind of momentum which we get for the expansion there, especially in Middle East. And if you look at our weakness for the financial year, wherein our expansion has been predominantly, for the last 2 years, has been in the non -South markets, right? Majorly because of 2 reasons: One, margins are higher non -South and more number of markets are open there. So franchisee interest is also more in the non -South of India. If you look at, we are strong in South, but we are not able to expand in the southern part of India. And Middle East, we have already set the base, and we are not able to expand as planned.

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So we are trying to come with a solution wherein we are trying to bucket the low -margin, mid -margin and high -margin in international markets so that we can scale up in these markets also in the next financial year. So we are trying to find a solution. I think we are almost, almost solving it. If that happens, then our focus for the next financial year will not only be in non -South markets, but also we will be expanding in South, Middle East and other international markets like new towns in the U.S., U.K. and stuff.

Moderator: Next question comes from the line of Shirish Pardeshi with Centrum Broking.

Shirish Pardeshi: Starting with the good strong result, just a few observations. In India, we have 231 stores, out of that 105 are franchise, and our non -South ratio is about 49%. You did mention that it's about 30% franchise contribution. But I was expecting this contribution is higher, and you said that the studded portion is steady at 30%, the gross margin expansion and the mix is not showing. So that means you are trying to say that this quarter, there is a strong promotion activity would have cut the gross margin?

Ramesh Kalyanaraman: No, gross margin will not expand because of the franchisee. If you look at gross margins will be only 8% for franchisee stores. Owned store will be always in between 15.5%, 16%. And that is where we are for Q2 also, if you look at -- if you work backwards, okay? That is where we are. So there is no gross margin pressure this quarter. There is one thing, which has come this quarter

is the onetime write-off of around INR 70 crores for customs duty. So that has to be negated and then only you put the math.

Shirish Pardeshi: Okay. Okay. But the hypothetical question is that if the franchise revenue is driven by -- in the North by studded and high-value studded, do you think this margin can go another 50, 60 basis points improved in the second half?

Ramesh Kalyanaraman: So franchisee, the gross margin, which I am talking about 8%...

Shirish Pardeshi: But we have done some tweaking, Ramesh?

Ramesh Kalyanaraman: No, tweaking is in a different model wherein the showroom should almost complete 1 year and then we get some more share from the franchisee partner and stuff. That is only 0.25%, and that's for the new stores. So that overall numbers, you will see very minute difference, from 8%, can be 8.1% for the next financial year.

Shirish Pardeshi: The reason why I'm asking -- sorry, I'm harping on this.

Ramesh Kalyanaraman: Yes, yes, please.

Shirish Pardeshi: This quarter has come down by almost 160 basis points. I understand there is a gold portion and there is a write-off, which has happened. But I think historically, we were delivering between 13%, 13.5%. So I'm thinking second half number should look up.

Ramesh Kalyanaraman: Yes. But if the franchisee revenue

now goes up, again, gross margin will come down, no?

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Shirish Pardeshi: Okay. Okay. My second question, you mentioned on Slide 33 that we have done onetime loss of INR 692 million. Is it really onetime or there is some inventory adjustment will also happen in the second half, second -- third quarter also? Or this is onetime you have taken the hit?

Ramesh Kalyanaraman: INR 120-odd crores, out of which INR 70 crores has come. So, we will have to expect INR 50-odd crores more in Q3.

Shirish Pardeshi: That is on the existing inventory?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: Will it be outside that? I'm just saying INR 70 crores should not repeat again. I mean...

Ramesh Kalyanaraman: No, no. That is gone, no. That has hold.

Shirish Pardeshi: Yes, maximum another INR 50 crores you are expecting?

Ramesh Kalyanaraman: So total will be INR 120 crores plus. Total will be INR 120 crores plus, out of which INR 70 crores have come. Rest will come in Q3.

Shirish Pardeshi: Okay. Got it. On the international front, we have opened 4 stores, so which are the locations, which you have opened these franchise stores?

Ramesh Kalyanaraman: No, we have not opened 4 stores. We converted 3 existing showrooms. And already, we had 1 FOCO, plus 3 converted. So it became 4.

Shirish Pardeshi: Okay. No, no. I was more interested in the location where we have converted this.

Ramesh Kalyanaraman: Converted was in Oman.

Shirish Pardeshi: Oman?

Ramesh Kalyanaraman: Yes.

Shirish Pardeshi: All are in Oman only?

Ramesh Kalyanaraman: All 3 are in Oman.

Shirish Pardeshi: Okay. And the one which we have opened new under franchise, what is -- you can share some numbers, colour, how it is going? What is it that you're expecting?

Ramesh Kalyanaraman: U.S., you mean?

Shirish Pardeshi: In the Middle East, we have opened 1 new franchise store.

Ramesh Kalyanaraman: Yes, yes. That's going well. So the first one is doing well.

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Shirish Pardeshi: So any number would like to highlight, what is their rate -- run rate, maybe SSG, something like that?

Ramesh Kalyanaraman: It's just passed 1 year now. So yet to give you a solid number. But yes, things are doing well. Stock turn is as per what we want. Margins are also going in the right direction.

Shirish Pardeshi: Is it tracking to the similar number what we are delivering on a monthly basis to our own stores, or it is better?

Ramesh Kalyanaraman: So that store is not as big as our own store. So always, if you look at additional new stores will

always come with a lesser bucket size when compared to our own stores because own stores would have been in the Tier 1 markets initially. So going to stock turn, it will be very similar to our existing. But total revenue in number might be smaller than our existing stores because our existing stores will be in the Tier 1 super tier markets. That's same in India also, you see.

Shirish Pardeshi: Okay. Just last question. We as on date, we have 105 franchise. So say, March '25, how many franchise you would add because you mentioned in the PPT that we have LOI about 80 -odd LOIs there.

Ramesh Kalyanaraman: You're talking about the next financial year?

Shirish Pardeshi: No, no. Between now and March '25.

Ramesh Kalyanaraman: Just as we speak itself, okay, we have around 132 franchise in India.

Shirish Pardeshi: So that means around 25, 26, you have already added between September and Diwali.

Ramesh Kalyanaraman: Yes, yes. We opened many showrooms in -- before festive. So as we speak, we have total KJ stores is 288 globally. India is 252, out of which Kalyan -owned store in India is 120, franchisee is 132.

Shirish P ardeshi: Okay. And this number will get -- likely to go up to what by March?

Ramesh Kalyanaraman: By this financial ye

ar end, right?

Shirish Pardeshi: Yes.

Ramesh Kalyanaraman: Yes. So our plan is to open 80 showrooms. So now we have opened 49. S o another, what, 31 stores will come.

Shirish Pardeshi: Okay. But this will be back -ended post January, I mean, quarter 4 or you will still even it out?

Ramesh Kalyanaraman: No, Q4, we will open the 30 showrooms.

Moderator: Next question comes from the lin e of Ashish Kanodia with Citi.

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Ashish Kanodia: So Ramesh, the first question was on the store expansion plan for FY '26, given the new model, which you are trying to plan and anyways, FY '25, we are more than halfway around. So more on FY '26, what's the s tore expansion plan? And also, if you can touch upon the debt reduction plan for next year?

Ramesh Kalyanaraman: Yes. So we will do 80 for this year. So if you ask me ideally for next year, it should be anyway higher number than 80. And exact number, we'll be able to give later because if you look at -- I told you last 2 years, we were only focusing on non -South. And now we want to not only focus on non -South, but also do South India, Middle East and international, for which we are trying to create a new solution, and we are almost in verge of cracking that. If that goes well, then the new showrooms during the next financial year can be much higher than what we were talking about now.

Ashish Kanodia: Sure, Ramesh. And debt reduction plans?

Ram esh Kalyanaraman: So, debt reduction this year, our plan was INR 300 crores. Next year should be in the range of what? INR 350 crores to INR 400 crores.

Ashish Kanodia: Sure. And then just a couple of questions on the SSG and demand side. So one, when yo u say the same -store sales growth of 20% plus for Diwali minus 30 days, this is Diwali minus 30 days of current financial -- current year versus Diwali minus 30 days of last year. Is that how we are looking at 20% for same -store sales growth?

Ramesh Kalyan araman: Correct. Like -for-like, yes.

Ashish Kanodia: Like-for-like. Sure. And then just on the discussion around studied mix, gross margin at showroom level, et cetera. So I mean, from a competition perspective, have you seen anything changing, especially in your existing markets, right, where you have been present for, say, 2, 3 years now or more than that? Any remarkable change in the competitive intensity, whether from large players or from local regional players?

Ramesh Kalyanaraman: No, comp etition has always been there. But as you know, we have always -- if you look at our revenue growth for the past many quarters, if you look at our gross margins over the last many quarters, you don't see any impact, wherein -- because maybe the network eff ect is really playing out for us. And maybe that is the major reason.

But our SSGs are strong, revenue growth is strong. Competition on the pricing level, we don't see any new competition coming in. Competition is always here to stay. But of course, brand ing or spending by local players have increased. They are also active now during festive. They are active when we open a new store in a new market. The local competition is also getting active. All those kind of things, which we see now was not there befor e. But otherwise, on pricing and stuff, it remains constant for the past many quarters now.

Ashish Kanodia: Sure. Just last question around the depreciation and interest cost. So, first is, when I look at quarter -on-quarter, the depreciation cost has inc reased by almost INR 100 million. And then

secondly, so just wanted to understand why this kind of a growth because from a store expansion perspective, we have seen store expanding earlier as well, but not this kind of a depreciation cost. And secondly, when I look at the interest cost, say, in 4Q, your interest cost was around

I

NR 780 million, and now it's almost INR 900 million. While if I look at the debt levels and even the GML, I'm talking about consol level, so debt has actually gone down in the last 6 months. GML are also broadly stable. So anything, which stands out on the depreciation and interest cost?

Ramesh Kalyanaraman: Yes. So depreciation is because even though it's a franchisee model, we take the lease on our name and sublease it to the franchisee partner because if tomorrow, the franchisee partner, if the relationship, something goes wrong also, we want the real estate to be with us. So that is why your depreciation is going up.

Ashish Kanodia: Okay. Maybe I will just take it offline to understand it better.

Ramesh Kalyanaraman: Okay.

Moderator: Next question comes from the line of Semanto Saini with HS Securities.

Semanto Saini: My question has been answered.

Moderator: Next question comes from the line of Gaurav Jogani with JM Financial.

Gaurav Jogani: So my question is with regards to the gold metal loan specifically. In the stand-alone numbers, we see that the gold metal loan has come down, whereas on the consolidated level, I think it has marginally gone -- so why this is the case? And second, if you can also highlight that going ahead, given that we'll be generating good free cash flows from the operations and given that more and more stores will be opening up on franchise, which means the cash requirements will be even lesser. So, in that context, shouldn't be the debt repayment a bit higher versus the targeted INR 350 crores to INR 400 crores?

Abraham George: Yes, Gaurav, Abraham here. So, on the GML, we have repaid -- the GML in India is down by approximately INR 54 crores in India. And that you don't read too much into it because it's because of some closures that happened towards the end of September. So that might come back to the same level. In the Middle East, what has happened is about INR 118 crores of non-GML got converted into GML. And in addition, we took some INR 60-odd crores of GML for additional inventory for our international expansion in the U.S. So that is the reason why you're seeing at a consolidated level, a marginal increase in GML.

Now on the debt repayment, yes, I agree with you. This year, we've already repaid about INR 144 crores of non-GML. The target was about INR 300 crores. So we are on track for repayment in India. And next year, yes, with additional cash flow because of this new franchise model, we should be able to do a higher debt repayment, which is why Ramesh was mentioning INR 350 crores to INR 400 crores next year.

Gaurav Jogani: Sure. And then can you also tell us in terms of the GML level, what kind of GML levels are expected going ahead? Because can the additional cash flow that is generated can be used to pay off the non-GML loan and increase the GML, which is a lower cost mechanism?

Abraham George: So the focus is not to repay the GML. The focus is to repay the non-GML. In the process, if we are able to kind of get to a structure where we can have a higher GML with a structure, which is more palatable to us, we will go for it. Otherwise, the focus is more to repay the non-GML than increase the GML now. And GML should be in that -- in the current range, which will be for at least next 1 year.

Moderator: Next question comes from the line of Anjana Shah with Shah Investment.

Anjana Shah: A couple of questions from my end. Sir, can you highlight how is the progress in converting existing stores into franchisee in Southern market panning out for us? And how many stores in South market we plan to convert to franchise stores?

Ramesh Kalyanaraman: Yes. So Southern markets, we have tried out a few stores and South cannot be seen as one. So South itself, we'll have to treat it differently in Kerala versus Tamil Nadu versus Karnataka

and

Andhra and Telangana. So we are trying out options in states. And if you look at the momentum in South India, I told you because the margins are low when compared to non-South. So the traction is not as good as non-South. And that is why our new solution, which we are working on, wherein we are trying to club the low margin, mid-margin and high margin together so that we'll be able to sell it.

Moderator: Next question comes from the line of Pulkit Singhal with Dalmus Capital Management.

Pulkit Singhal: Congrats on a good set of numbers. The first question is on the international foray. Can you talk a bit about what could be the estimated TAM for you when you address U.S. and U.K.? What is our right to win? And what -- why enter now? I mean, what has changed that allows us to address this market because we may be a relatively unknown brand there. Obviously, we'll be known among the Indian community, but otherwise relatively unknown. So just trying to understand how you think about the whole market.

Ramesh Kalyanaraman: Yes. So international markets are really growing, and we are only catering Indians there, and we have seen a couple of brands doing well there. And according to our market understanding and research, we thought this is the right time to enter. And we also have capital availability. And we are also trying to bucket this opportunity to even grow in the southern markets and Middle East also. So everything aligns to be where we want. So then why should we not do it? That's why we are trying to expand there.

Pulkit Singhal: Okay. But the product assortment, will it continue to remain quite similar or to that extent, I mean, we try to make a lot more non...

Ramesh Kalyanaraman: No, on certain markets wherein even within -- because even within the U.S. or even within London, U.K. markets, each market has to be treated differently in terms of what population

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stays there predominantly, even within Indians. So there are markets in U.K. where certain segment of Indians stay more than other segments. So, the inventory allocation has to be that way. Same applies to New Jersey versus an L.A. versus other markets in the U.S., wherein the type of Indians who stay, we address to them more, right? So there can be minor tweaking in inventory. But otherwise, yes, we cater to Indians there.

Pulkit Singhal: Understood. And your current market survey, I mean, does it show the potential to open like it could be an other similar Kalyan Jewellers, just purely U.S. and U.K., 250, 300 stores or more?

Ramesh Kalyanaraman: No, no, not that much. But Middle East, yes, there can be more markets availability to open. But U.S., U.K., Canada, Australia, Singapore, everything put together can be maybe what, 25, 30 showrooms.

Pulkit Singhal: Okay. Okay. Just second last question was again on the margin bit. I mean we have PBT growth almost similar to revenue growth. When do you see the PBT growth becoming higher? Is that expected this year or you're thinking that will be more next year?

Ramesh Kalyanaraman: So, we are trying to do this for -- even if you look at, if you are adjusting the INR 70 crores write-off, PBT growth is actually marginally higher than our revenue growth, even this year.

Pulkit Singhal: Yes, by 1%, 39% and 40%. So...

Ramesh Kalyanaraman: Marginally. That's what I told you marginally. But this margin can increase over time. So I do not want to commit for this financial year, but all of us are aligned to work for that only, right? And one thing what we should understand, again, where I left out is, this is even after we starting our advertisement campaigns, et cetera, in Q2 in this financial year because majorly Q2 was very good, okay?

And we had a lot of revenue coming in because of the customs duty reduction. And the last 2 weeks of Q2 was very soft. So, we actually e

stimated a very soft festive, and we did not want to

go wrong. So we started our campaigns, festive campaigns, et cetera, much earlier so that this festive season also goes well.

But yes, things fell on track and Diwali minus 30 days is very good. And of course, this would have resulted in some EBITDA margin compression in Q2, but things are really working out good for Q3 because Diwali minus 30 days revenue growth and SSGs and existing momentum, everything is strong.

Moderator: Next question comes from the line of Abhishek Kumar with Sanctum Wealth.

Abhishek Kumar: So my question is mostly on the kind of stores, which you are opening? Or do we have any plans with respect to open or have a few more sub-brands per se or maybe stop and shop catering to the luxury end of the markets as one of our competitors do have. And also at the same time, we keep it to lightweight segment or more focus on that. Do we have any plan on that?

Ramesh Kalyanaraman: So now you know that Candere itself this year, we have a lot of things to do there. Candere, we have 46 showrooms as we speak. This year itself, we opened 34. Our plan for this financial year was to open 50 out of which 46 is already done. Another 20 more is in the pipeline. So store expansion is really focused for Candere as well other than Kalyan Jewellers, right? So we are waiting for Candere to fall in place. Maybe in the next financial year, things should fall in place for Candere.

And once that settle down, of course, you are right, there are 1 or 2 more verticals where Kalyan can surely enter. But we will -- if you look at a midterm, long-term plan for Kalyan, medium term, where you know jewellery in an organized space today, if you bifurcate it into, say, 4, okay, there are quite a number of players in the low-margin high stock turn, more stapled regional players. There are many players in that bucket. Kalyan is another bucket where we are, what, 30%, 40% hyperlocal, rest is national kind of. That's where we place ourselves. Third vertical now is really the Candere vertical, where lightweight jewellery, daily wear, working women, Gen Z kind of.

There is one more vertical, luxury brand is really picking up where again, stock turn can be lesser, but high margin, more private and more personal kind of space. And so there are 4 major verticals in jewellery today, out of which Kalyan is there in one bucket and Candere is there in another bucket. We can, in the future, medium term, we can enter into the other 2 segments, value for money segment and the luxury segment. But as we speak today, if you ask me, will we do it for next year? Might be no because we are waiting for Candere to settle down.

Abhishek Kumar: Okay. Okay. Got it. And so with respect to Candere, so if you could like share some insights as in what kind of customer cohorts, which we usually see with respect to Candere because it's also, again, omnichannel. So how are the conversion rates there? What kind of like generally the customer segment do we see are preferring and actually end up in our stores? If you could throw some light on these aspects?

Ramesh Kalyanaraman: The Candere target is working women, youngsters, Gen Z, Gen Z at heart, okay? And working women need not be young. They can be between 18 to 50. And youngsters, gifting is a huge category in Candere. Self-gifting is also a category in Candere. So that is where we see customers coming in. Footfalls have started increasing, but not to the level, which we want because we have not started our campaigns well. So our focus now is to build the team to increase the footprint and campaigns will follow. Initial target was to do campaigns around Diwali. But yes, we have pushed it to maybe a couple of months more, and we are now focusing on increasing the footprint.

Moderator: Our next question comes from the li

ne of Ashish Kanodia with Citi.

Ashish Kanodia: So the first question was on the salaries and wages. So say, a couple of quarters back, the employee cost was kind of increasing at a higher pace because you were opening stores and hiring people in advance. But this quarter, we have seen sequentially employee costs going down. This is despite more number of stores being opened in 2Q.

And then even for the festive season, the stores, which you have opened, you might have hired people in advance. So anything which stands out on the employee cost? And secondly, do you see more operating leverage coming in from the employee cost?

Ramesh Kalyanaraman: Yes. So one was that we had recruited some people in advance because training can be better. Our objective was to open as many stores possible without losing the quality of the salesmanship, right? So our focus was that. So we had adequate staff to open for even Q3. That is the reason why the salary cost has not increased, rather it has decreased. So that issue is not there now. And again, one -- because your existing number of stores are also more. Now the base of the staff -- number of staff are more, now the 0.2, 0.3, 0.4 EBITDA compression because of employee cost will not surely come for the next financial year, right? Because our base have increased.

Ashish Kanodia: Sure, sure. Got it. And just second question, in terms of the COCO store, if you can just give us the breakup between South and non-South as of 2Q, like how many COCO stores? I think my calculation suggests maybe 76 COCO stores in South India and 50 COCO stores in non-South. But if you can just reconfirm if that's the right number?

Ramesh Kalyanaraman: It will be in the range of 120 in India, out of which 70, 70-odd is in South India and the rest is

in non -South. You're right.

Ashish Kanodia: So just on that, have we converted a few stores in non -South from COCO to franchisee? Or have we closed some stores because like if I look at 3Q, non -South, we had 60 stores, and that has kind of come down to around 50 stores. So has there been any conversion in the last almost 2 years or some closure in the non -South?

Ramesh Kalyanaraman: One non -South, we converted to Candere. And yes, 2 or 3 showrooms we have converted because we might have given a new store near our own store. But what, 4 showrooms may be converted to FOCO, non -South. And 1 in Q2.

Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to turn the conference over to Ramesh Kalyanaraman for closing comments.

Ramesh Kalyanaraman: Yes, thank you very much for participating, and we really look forward for a wonderful Q3 and finish the year also on an excellent note. Thank you very much. See you all very soon.

Moderator: Thank you. On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"Kalyan Jewellers India Limited
General Call"
January 14, 2025

MANAGEMENT : MR. RAMESH KALYANRAMAN – PROMOTER AND
EXECUTIVE DIRECTOR – KALYAN JEWELLERS INDIA
LIMITED
MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE
OFFICER – KALYAN JEWELLERS INDIA LIMITED
MR. V SWAMINATHAN – CHIEF FINANCIAL OFFICER –
KALYAN JEWELLERS INDIA LIMITED
MR. SANJAY MEHROTRA – HEAD OF STRATEGY AND
CORPORATE OFFICE – KALYAN JEWELLERS INDIA
LIMITED
MR. ABRAHAM GEORGE – HEAD OF TREASURY AND
INVESTOR RELATIONS – KALYAN JEWELLERS INDIA
LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

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Moderator : Ladies and gentlemen, good morning and welcome to the Kalyan Jewellers India Limited General Update Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Please go ahead sir.

Manoj Menon : Hi, everyone. It's a wonderful good morning, good afternoon, good evening depending on the part of the world you are joining this call from. At ISEC, we are hosting the general business update call of Kalyan Jewellers today. So we have the entire management of the team. So just requesting Abraham from the management to introduce the management participants. Post which, we'll open the floor for Q&A. Thank you.

Abraham George : Hi. Good morning, everyone. Today, we have on the call Mr. Ramesh Kalyanraman, Promoter and Executive Director; Mr. Sanjay Raghuraman, Chief Executive Officer; Mr. V Swaminathan, Chief Financial Officer; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Office and me Head of Treasury and Investor Relations. Yes. I'll leave the floor open for the call.

Moderator: Ladies and gentlemen, we will now begin the question and answer session. We have our first question from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon : Hi, team, a few days back we --Ramesh, actually, so we saw you on CNBC. There's a lot of questions asked by our Mangalam and team. I think beyond what was there in the quarterly release about, let's say, are you planning to buy more aircrafts or let's say, is there any issues regarding auditors or some stuff like that? I think what will be helpful in a floor like this would be to clarify anything which are coming your way and what's your stance on some of these aspects?

Ramesh Kalyanraman: Yes. Thank you, Manoj. So again back to aircraft after a long time. So at Kalyan we do not have any plans to buy any aircraft. So, in fact, you are all aware that we had initiated steps to sell two business jets during FY 2023. We received the funds by the end of FY 2024. And as we speak by September, there are no aircraft in the books, except for a helicopter which we have not told that we will sell and there is no plans to sell the helicopter.

And regarding what you spoke about the auditors, there's absolutely no basis for this. We are in regular touch with our auditors. And as we speak, the auditor is conducting the audit for the third quarter. In any case, you would get the audited financial statement for December quarter in the coming weeks. And let me re-emphasize at this juncture that we have always strived to maintain a very high standard in our bookkeeping, quality of auditors, diversity and depth of our Board

of Directors, disclosures, internal control processes and overall corporate governance. Did I answer you, Manoj?
Manoj Menon : Yes, Ramesh. Thank you.

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Moderator: Thank you. We take the next question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Hi, Ramesh and team. Sir my question is again with regards to certain rumours that are floating around. So one is regarding there has been some IT raids that has been conducted by the department. And then there is some overvaluation of inventories and also the fact that the other question is that Manoj has already asked. So plus there are -- this is franchisee thing where you have changed the franchisee agreement retri

ospectively and then there are many franchisees that are leaving. So probably if you can clarify all of these?

Ramesh Kalyanraman: Yes. First of all , you told about three or four things. I can confirm that there are -- there have been no raids at any of our premises. As you mentioned, it was just a rumour . And then you were talking about what inventory. So inventory levels as mentioned in our financial statement, go through multiple levels of audits which all of us know.

In fact, I would like to draw our attention to free cash flow generated over the last couple of years. As you are all aware, we have repaid around INR 450 crore s debt over the last 18 months . In addition to around INR170 crores of dividend which we paid last pay-out. And we are well on target to achieve this year's target to reduce debt. So I don't think there's meaning -- that's all I can tell you about the inventory and stuff.

And then you were asking about the franchisee terms. This also we have mentioned in our previous interactions. We have, of course, made changes to the franchisee agreement during the current financial year, but this is only for the new showrooms which are coming up in the financial year and it will not impact any of the agreements that we have signed in the past under the previous model.

Gaurav Jogani : Yes, just a last thing here just in terms of the franchise agreement, the new ones at least, are you - what kind of traction are you seeing post introducing this the new terms? Is it favourable to the franchisee? Are they agreeing for it or there is any resentment from them?

Ramesh Kalyanraman: We are, of course, you know that we opened 50 showrooms this financial year. We are again going to open 30 more in the financial year, which was there in the update and which is in the new model. Next year's expansion plan is also there in the update which we did in the last week. Next year, 75-plus Kalyan showrooms and everything this is a new model. And we have started signing for the next year and it is very favourable for the next financial years.

Gaurav Jogani : Sure. Thanks. That's all from me.

Moderator: Thank you. The next question comes from the line of Vihang Subramanian from Zaaba Capital. Please go ahead.

Vihang Subramanian: Hi, thanks for taking my question. Just one question if you could clarify on the promoter's pledge. If you could just clarify at what price has that been done and what are the terms of your pledge ?

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Ramesh Kalyanraman: Yes. So the pledge of shares reflecting against the promoter name, all of us know. And I'm just reconfirming that it was to acquire shares from Warburg Pincus . And one thing which we can say is that before entering into promoter financing agreement we, of course, had enough attention, have given enough attention to liquidity and pledge levels and have controlled our exposure accordingly.

And as promoters we have always prioritized the company interest ahead of everything. And it would be very inappropriate for me to talk about it further because this call is not a promoter call meaning it's for Kalyan and let me please stop at this.

Vihang Subramanian: Sir, just actually...

Ramesh Kalyanraman: And one thing which I can tell you is the shares were brought from Warburg at the end of FY20. So that also I'll tell you for your comfort.

Vihang Subramanian: But could you just clarify if the pledge has been went to one party or multiple parties?

Ramesh Kalyanraman: Yes. So there are multiple parties, multiple lenders for the transaction.

Vihang Subramanian: Okay, got it. That's it from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Prem Prakash, an Investor. Please go ahead.

Prem Prakash: Yes hi Ramesh. Good morning. I'm one of the retail investor actually. So, I mean, congrats

tulations first for the fantastic business update that KJ has given for the Q3. However, at the same time, on the day of when this business update was given to the market, we are seeing continuously fall in the market. Market has not taken hit in a positive way. That's what we can see from the last 6 days.

So is there something that the market is sensing that this increase in this or it will not continue further for the next quarter or the next year something, or even it is government issue or something that the retail industry is not aware of?

Ramesh Kalyanraman: No. So as I gather from the questions on this call, I presume that there might have been some rumours floating around and which is all baseless. And that is the main intention of this update call also. In the business front, nothing has changed because Q3 was great and we have updated the numbers of Q3. The results will also come in the next 2 -- few weeks. And nothing majorly can change over a week.

So there can be possibly some rumours which have been floating around and that was the main intention of this update call as well.

Prem Prakash: Okay. Thanks so much. Thank you.

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Moderator: Thank you. The next question comes from the line of Raj S Vyas from TM Investment Technologies Private Limited. Please go ahead.

Raj S Vyas: Thank you for the opportunity. As you mentioned rightly so that you made some changes to the franchisee agreement and it is only applicable for the new showroom that are coming up for, I guess, for next year. So, can you elaborate on the same like what are the changes like with respect to the existing this agreement that is a old agreement, franchisee agreement and the new? So what are the difficulties or any challenges that you guys have faced?

Ramesh Kalyanraman: No. So there are no challenges being faced as I mentioned before because this change of franchisee is not a surprise for anybody. It has been a planned execution and the major change is that initially the franchisee stores we were investing for the capex fit-out and the franchisee partner was investing for the inventory. Now the new model is capex and inventory is being invested by them. That is the major change which we have done.

Raj S Vyas: Okay. Rest of the looks like good.

Ramesh Kalyanraman: Yes, everything is perfectly aligned and that's why we gave the next year expansion plan also and everything is on track.

Raj S Vyas: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: One just one of the participant asked that is there any termination of franchisee agreement if you can clarify on that?

Ramesh Kalyanraman: No, I'm not -- it's not really clear. Your voice is not very clear. Can you repeat the question again?

Vikrant Kashyap: Is there any termination of franchisee agreement that you had already signed or maybe the store has been opened?

Ramesh Kalyanraman: Yes. Of course, we have a few terminations of contracts where there can be some what we call some breach of contracts done by some franchisee partners and stuff, not major maybe three or four.

Vikrant Kashyap: Okay. And there are even more rumours ...

Ramesh Kalyanraman: That also has been intimated before meaning when we have changed our franchisee, we have told before that there has been terminations in the franchisees.

Vikrant Kashyap: Okay. There is one more rumour going around in the market. I won't in the agency, but the rumour is there is one agency which may have or likely to conduct an inquiry on Kalyan

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Jewellers stating that the promoters or promoter group has bribed some fund managers to raise the price in the market. That's one

I have heard ?

Ramesh Kalyanraman: Yes that is also very absurd allegation. We have always conducted our business and our interactions with all stakeholders are with very high level of integrity and transparency. So I can only leave this like this wherein I cannot answer further on this and it's very absurd when you hear itself.

Vikrant Kashyap : Thank you Ramesh. That's all from my side.

Moderator: Thank you. The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives . Please go ahead.

Prolin Nandu: Hi, team. Thank you for doing this call. So few questions one is that on this franchisee agreement. So, let's say, if I'm a franchisee who joined in FY '24, FY '25 and FY '26. For me everything else remaining equal, how will my IRR change for a franchisee who has joined in FY '24, '25 and '26?

If you can just help us understand whether there is any significant change in IRR to make it a little less attractive for franchisee to come and take the franchise of Kalyan? If you can just give some color on this part?

Ramesh Kalyanraman: Yes. So, as I mentioned before, the major change would be the investment wherein the ROCEs can be a bit more lower, because initially they were investing only in the inventory. Now they are investing for the capex as well as inventory. Sir the ROCEs can go around by approximately 2%.

Prolin Nandu : And sorry, can you give some approximately range as to will it go down from 18% to 16% or what could that number be?

Ramesh Kalyanraman: Yes. So the usual ROCEs are approximately 17%. So now it can come down up to 15% .

Prolin Nandu : Okay. And when you think from a franchisee point of view, I mean 17% to 15% is a decent enough difference. So how is the franchisee thinking whether that 15% still makes sense because there are not many opportunities that will give you 15% or how should one -- if you, as a business owner step into the shoes of another business owner, let's say , the franchisee, what is it that is bringing him on table even at 15% IRR?

Ramesh Kalyanraman: Here again, the proof of the pudding is in eating. So as I mentioned 50 showrooms this year is in the new model. And all the new showrooms for the next year is in this model. And we have almost signed up all the franchisees for the next financial year. And even now there is a huge waiting list for taking our franchisee. And the major advantage for a Kalyan franchisee is the FOCO model, wherein they do actually nothing and they get 15% ROCE. And again, most of the people leverage also. So the return on equity is much higher than the ROCE.

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Prolin Nandu : Right. I understand. Thank you for clarifying this and so is there any change in the franchisee agreement between the franchisee that you have signed in FY '25 and the ones which you intend to sign next year or it remains -- it's the same?

Ramesh Kalyanraman: So the last -- the second half of the financial year is almost everything the new model . That is the same model for the next financial year. And let me be very clear that there is no retrospective change . So only the new show rooms are being changed this model . It's not changed in the back meaning people who have taken the first showroom cannot come to this model now.

Prolin Nandu : I understand. So just from a slightly more longer term if we leave some of the noises apart, which you have adequately kind of answered you as again owners of this business has had a fantastic run in past few years since listing outperforming the jewelry sector, organized jewelry sector. So what is it that -- on the business side that keeps you awake at night or you worry about some of the things which you think can derail this fantastic run that we have? If you can just - from a longer-term perspective, right, just share your thoughts on this?

Ramesh Kalyanr

aman: Again, I have done this in the previous calls when people ask wherein the only area which we focus now is on execution because we are into expansion mode. We are going to open 80 showrooms in the financial year wherein 50 have been already opened by September and next year also we are going to open 170 showrooms spread across Candere and Kalyan. So execution is our primary focus. There is no new strategy which has to be in place.

There is no new R&D which has to be done for Kalyan Jewellers. It is predominantly focused on execution for which we are aligned. Our whole team is working only to make this execution in tune with our execution plan. So otherwise business is the same, everything remains the same.

And there is nothing major which can change over a week.

Prolin Nandu : That's it from my side team. Thanks a lot and the very best.

Ramesh Kalyanraman: Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Abhishek Sengupta from AB Capital . Please go ahead.

Abhishek Sengupta: I just wanted to ask that we have been growing very nicely for the last few years. I just wanted to ask in the long term like for next 3 years , 4 years, will the same type of sales growth continue going forward like next maybe for next 3 years?

Ramesh Kalyanraman: So again I will tell you that like what you said in the last 2 years , 2.5 years, the SSG s have been very strong. It has been in the double digits. And the store expansion plan is also on track. The new franchisee model is really working for the brand. The expansion for the brand is really happening. Market share gain is really happening, huge shift from unorganized to organized is in place.

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So there is nothing major which can change in the near future. That is the only thing which I can tell you. And again, there are a number of markets where we can go and expand. Even with this store count we are only 50% to the industry leader. And there is -- there are markets where we can go and enter. I cannot tell further on the 3 year or 4 year number, but this is what I have to tell for you to actually observe.

Abhishek Sengupta: Okay. Right.

Moderator: Thank you. The next question comes from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: Ramesh sir on the franchisee closure -- have we offered the franchise agreement that we have - have you offered to other franchisee our -- and the store has been closed on the locations, closure has been done?

Ramesh Kalyanraman: You were talking about the franchisee closure, right?

Vikrant Kashyap : Closure, yes .

Ramesh Kalyanraman: Okay. So there is a -- you -- all of us know that there is a lock in of 4 years and we if we close the franchisee, it will be only if there is some breach and even if we do it will be converted to own store rather than closing the premise because the premise is also in the name of Kalyan Jewellers. The lease is in the name of Kalyan Jewellers. And that is why the lease has been in the name of Kalyan Jewellers because the relationship can weary, but we cannot leave the premise because it's a Kalyan brand.

Vikrant Kashyap : Okay. And in the international market you have also given update that you are going to open new stores. So are they continuing on the stores or you have planned for franchisees terms?

Ramesh Kalyanraman: So all the new stores for the next financial year as updated recently will be FOCO model franchise in India.

Vikrant Kashyap : So this franchise agreement will be similar in the international markets too?

Ramesh Kalyanraman: International markets there are small tweaks, but there is no major change in the international model per se.

Vikrant Kashyap : Okay. So we are offering similar margins to the franchisee partners?

Ramesh Kalyanraman: Margins?

Vikran

t Kashyap: No, similar margins we are offering to the franchise partners that we are doing in the Indian markets?

Ramesh Kalyanraman: Yes. So margins can vary because international markets the gross margins can vary, but the methodology is the same.

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Vikrant Kashyap: Okay. Got your point. Thank you.

Moderator: Thank you. The next question comes from the line of Prafull Rai from Arjav Partners. Please go ahead.

Prafull Rai: Yes, Prafull. I just wanted more clarity on what would be the impact of these manufactured diamonds on our business? I'm also hearing that the price of natural diamonds is on a steady decline. Will there be inventory markdown because of this and how do you see our future versus

the changing industry trend in the future ?

Ramesh Kalyanraman: Now again as mentioned before, the lab -grown diamonds predominantly is in the Solitaire product. And as a brand, Kalyan Jewellers, we have not focused too much on Solitaire even before. And hence, we don't see an impact on our standard ratio. And even if you look at the last week update which we did the revenue growth was approximately 41% in India. And we have also said that the revenue growth is across our products gold, studded, et cetera.

Prafull Rai: Okay. That's it sir. Thank you.

Moderator: Thank you. The next question comes from the line of Pradip from Strings. Please go ahead.

Pradip: I want to ask you like to reduce the stock fall because the PE is so high. Why can't this be promoter decided buy back some shares? Maybe the -- clarify on the margins, because the margin cut are the INR60 crores onetime loss which has been expected in this quarter maybe promoter can be or it maybe if you [inaudible 25:14] in the market, may be sentiment will change. Even you buyback to reduce the fee or you can simply say that promoter wants to bear the -- or maybe -- somehow it's illegally. You can bear the INR 60 crores one-time loss maybe next quarter. I don't know. Sir can you do that?

Ramesh Kalyanraman: You're asking about company buyback, right?

Pradip: Yes, the company buy back because the problem basically you say that fee is very high. The only way to reduce the [inaudible 25:44] and basically the major concern basically is the one-time loss into it because of duty cut which will continue on this quarter as well. So my question was basically is this continue on the Q4 as well?

Is it going to reduce only in this quarter only, have you made basically such a mitigation or something that so that this margins will not be less as revolve in Q2 or are you planning to the promoter maybe especially planning to get INR60 crores somehow through them to avoid continuing on the balance sheet maybe because the market sentiments are basically because of that because they are expecting this onetime loss will continue for a few more quarters because I don't know whether the inventory has been completely settle now in the past inventory before the rate cut. Can you answer that?

Ramesh Kalyanraman: Yes because the question is long, I would just recheck the question. One was you are talking about a company are we planning for a buyback or can we plan ? So as of now...

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Pradip: There's already the fee, yes.

Ramesh Kalyanraman: Yes. So as of now we are using the free cash flow generated to reduce our debt and release the real estate collateral s which is making the balance sheet very heavy. So post the debt repayment if we do not find appropriate avenues to invest the free cash flow we could surely evaluate cash buyback. And if you are mentioning about the promoter buyback, of course, you know that we are on a silent period now and we just do the buyback from a couple of months before.

Pradip: So what happens to this onetime loss of the in

ventory because the inventory you had previously before the gold will be cut? You stated in the previous inventory that it has been maximum INR120 crores and that INR 70 crores has been adjusted in Q2 and remaining INR 60 crores will be adjusted in Q3. This will continue like Q4 as well?

Ramesh Kalyanraman: No. We clearly told the inventory loss, onetime loss will be partially in Q2 and then remaining in Q3. So it is all done by now. There is no more what you call inventory loss which can come in Q4.

Pradip: Have you not basically raise the margin on, like, this in your diamond stated products to mitigate all this onetime loss?

Ramesh Kalyanraman: We will not be able to -- as you know that we are in the retail business. 40%, 50% of customers are coming back to the same brand. Because we had a onetime loss, we will not be able to increase our gross margin. And again, it might not be very favourable for the customer. And customers are all lifetime customers and we will not be able to frequently change things because of some macro -economical reason.

So -- and it is what -- the revenue is also growing, strong market share growth. So we cannot disturb anything. And this is onetime and all investors also understand that it's one time and we also understand.

Pradip: Because the back inventory has been completely like -- you are like whatever the inventory was there, whole inventory is completely be fulfilled? You're or you're still being pending like?

Ramesh Kalyanraman: No. I did not get you there. Can you repeat?

Pradip: The inventory was there, so the loss is there because of the inventory loss. What will be purchased before the duty cut the inventory raise was there. That's why there is loss?

Ramesh Kalyanraman: Basically the inventory loss, duty cut is majorly for the gold loan quotient because we will not

be able to hedge it, the duty cut meaning duty. So it's not an impact for the whole inventory. It's for inventory which is majorly into the gold loan quotient, GML.

Pradip: Is that completely like fulfilled for -- in this quarter?

Ramesh Kalyanraman: Yes. Q2 plus Q3 the onetime loss will be fully covered. Q2, the number you already know and the remaining will come in Q3.

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Pradip: But is promoter can tell the media something that basically you are ready to bear maybe I'd ask -- in terms of loan or something like that, it's legally allowed. It's not you are being manipulating some balance sheet, but will give the positive sentiment to the -- the market is saying that basically, you see, promoters are willing to pay INR 60 crores from their side somehow because the market has crashed and that Kalyan Jewellers stock has been crashed more than INR 600 crores.

So INR 60 crores maybe INR600, so it's a bit of a minimum amount. It's 0.0001, maybe, right, which promoter bear just for market sentiment?

Ramesh Kalyanraman: No, I don't know how you are pending all this. According to me, there is no a venue where INR50 crores, INR60 crores can be done by the promoter. This has happened to all the players. All the registered players have the same issue. All the other players also have the same issue. It is a onetime loss and everyone knows about it.

Pradip: So has your OPM grown from Q2 to Q3 now?

Ramesh Kalyanraman: Pardon.

Pradip: Your operating margin has been growing from Q2 to Q3 or it still the same?

Ramesh Kalyanraman: For Q3, you mean?

Pradip: Yes. If Q3 results is coming up?

Ramesh Kalyanraman: No, Q3 results it is not yet out. So I will not be able to tell you about the number. In the next few weeks you will be able to understand about it.

Pradip: So when will the Q3 results coming up?

Ramesh Kalyanraman: We are yet to announce, but yes in a few weeks.

Pradip: Okay. But has the OPM has been increased so far like in your case.

So have we increased?

Ramesh Kalyanraman: No, I will not be able to tell that number because you understand that this update call was not for that and please cooperate. You can please come on after a couple of weeks when we announce our results I will surely clarify.

Pradip: No, what I'm asking about the scale of the result. I'm asking about the margins you have been giving away to the store or taking from the store has the same in Q2 and Q3 or they have changed?

Ramesh Kalyanraman: The gross margins are very stable. At the store level gross margins are very stable.

Pradip: For the same thing they have not changed. You are now adjusted to recover any losses?

Ramesh Kalyanraman: No, we are not.

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Pradip: So you're not adjusted to recover any onetime loss?

Ramesh Kalyanraman: No.

Pradip: And so the buyback if I ask, is there a plan for that?

Ramesh Kalyanraman: As I told you, we have already layered out our strategy for the next 1.5 years, 2 years. We will use the free cash generator to reduce our debt and release the real estate collateral which is making our balance sheet look very heavy. Post the debt repayment, if we don't find appropriate avenues to invest the free cash flow then we would surely evaluate a cash buyback.

Pradip: Has the promoter has placed any shares in last 1 months, 2 months?

Ramesh Kalyanraman: Pledged your share mean.

Pradip: Pledged your share for collateral?

Ramesh Kalyanraman: Yes, we pledged 3 months, 4 months before when we bought stock from Warburg Pincus.

Pradip: The last part I understand that what the result was there, but last 1 month, 2 months has there been?

Ramesh Kalyanraman: No.

Pradip: Thank you.

Moderator: Thank you. The next question comes from the line of Pavan from Fident Asset Management. Please go ahead.

Pavan: Are you seeing any increase in competition either at like store rent levels because there are more people looking to open stores in a similar location that you would be looking or in the making charges that you can charge to customers because the competition is reducing or at the at the karigar fee that you pay to them from manufacturing charges? Any places that you are seeing and in terms of not at the country level, if not at the country level are you seeing any particular pockets like Maharashtra or West Bengal, like in Eastern Asia, any such thing?

Ramesh Kalyanraman: The competition you know that it has always been there. And we are a brand. We are very hyper local. So we compete the local players, regional players and also national players. It is not a new thing which has come up for us. And if you look at competition you have seen the numbers for the past many quarters. Revenue has been growing. There is no impact on the gross margin at the store level, so that leaves a message for you.

Pavan: Got it. One more thing in reference to the earlier discussion on diamond inventory, how do you -- like is that -- what part of the inventory would be coming from diamonds alone? Is this number of materials if you can't disclose it and how do you hedge that if you see a steady decline in prices?

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Ramesh Kalyanraman: So first of all let me tell you that the decline in prices are on Solitaire's and as a brand we don't stock too much Solitaire and we don't focus on it. And diamonds we cannot hedge and one-fourth of inventory or approximately one-fourth of the inventory will be standard.

Pavan: Okay. Thank you so much.

Moderator: Thank you. The next question comes from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: Hi, Ramesh. Thanks for taking the call. So just two things. One is there anything, let's say, any resentment or any change, let's say, of what

is happening in the last 1 week? Any feedback, anything from, let's say, vendors or let's say our franchisee partners? If you can call out if there is any, that will be helpful?

Ramesh Kalyanraman: But how are they even related to stock market? Stock market volatility is always there. So I don't think the vendor or a franchisee partner is even bothered about our stock market volatility. And nothing has changed over the last week. Everything is on track and everything is going the direction which we want, except for the stock price.

Manish Poddar: Okay. And that's very comforting and just one more thing. You all mentioned about, let's say, franchisee closures. Is this marginal or this is part of course this is anything material?

Ramesh Kalyanraman: Come back.

Manish Poddar: In the earlier comments, you mentioned that there have been some franchisee closures. Is this part of the course or is this material is what I'm trying to understand?

Ramesh Kalyanraman: Majorly out of the 100-odd franchisee which we have. There has been closures of around 3 or 4. And predominantly it is because of some breach of contract terms which they would have done. And we have a lock in 4 years. So it cannot be voluntary. They cannot -- we cannot do a voluntary -- they cannot volunteer for a what you call closure. If there has been some breach, then we would have surely, we would have terminated the contract. One franchisee who has a couple of showrooms that is the termination that I referred to.

Manish Poddar: Got it. This is useful. Thank you so much for taking the call.

Moderator: Thank you. The next question comes from the line of Sanjay Singh from Ten X Capital. Please go ahead.

Sanjay Singh: Hi, thank you for taking my question. I just wanted to understand how many FOCO franchisees you have as on date?

Ramesh Kalyanraman: As on date or as on September?

Sanjay Singh: I mean, whatever as of last whatever you've reported?

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Ramesh Kalyanraman: So we have around 120-odd franchisee stores FOCO.

Sanjay Singh: Okay. And rest are COCO or rest are FOCO?

Ramesh Kalyanraman: Everything is FOCO. We don't have any other model except for company-owned and then otherwise if you're a franchisee, it's FOCO. So FOCO and COCO.

Sanjay Singh : 110 FOCO models and rest are company owned?

Ramesh Kalyanraman: Yes.

Sanjay Singh : And so when the franchisee in the franchise FOCO stores, is the gold hedged by the franchisee? How does it work because we own the inventory, so technically you cannot hedge it. So how does it work?

Ramesh Kalyanraman: Yes. So we do not get into that. The only thing what we do is that the inventory they do a cash flow hedge. So whatever inventory is sold then they buy it back. So that's what we forced to because we have two bank accounts wherein that cash can be used to only do replenish the inventory.

Sanjay Singh : Okay. So is there any agreement with the franchisee that if gold prices fall because these franchisees are not more a financial partners per se because they're not involved in the business.

They are effectively giving finance and for them anything which gives the highest return is where they would go. So is there agreement with franchisees where in case the gold price falls, it's

Kalyan's prerogative that they would have to kind of compensate the franchisees?

Ramesh Kalyanraman: No, how can we compensate for the gold price. The inventory is owned by them. The only thing that we have done is we have put in a system wherein to ensure that the volume of gold at the showroom is maintained at the initial level which we have fixed for them. Even though when we tell you INR 20 crore s inventory internally it's not INR20 crore s inventory. It is XYZ kilograms of gold and XYZ units of standard. That level has to be maintained. That system

we

have put in place.

Sanjay Singh : Yes. But what I'm trying to say is these are financial partners. If in case, for some reason, I mean last year or last few years or last many years for 20 years now gold has been on upswing. And if you look at the previous 20 years, 1980s to 2000 gold halved -- gold price had halved. So in case we see some kind of issue with gold prices, then I mean it's -- the franchisee is a financial partner. You would say no I need my returns. So in that sense -- in some sense, Kalyan is also exposed to the -- even if the franchisee holds the inventory?

Ramesh Kalyanraman: Returns are in two levels. One was the inventory, for example, if they have invested INR20 crores, say after 7 years, 10 years, that inventory of INR20 crores might have been INR 25 crores or might be INR18 crores whatever the case is according to you. The major area where they focus is the return of the so-called 15%, 17% is on the day-to-day business where cash is generated.

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So that is where they look at their return rather than the gold price. The returns from making charges is where they focus on. That is the actual return by cash. The other thing is only either increase in their inventory investment or decrease in their investment. There is no cash flow impact on that. That's why we have put the system in place, as I told you.

Sanjay Singh : Typically, when you open a franchisee store, what is the sales which you get from one store on average INR20 crores, INR30 crores?

Ramesh Kalyanraman: It depends upon inventory. So the inventory can vary from INR20 crores to INR30 crores. For making our life easier if it is a INR20 crore s store, we will target a 2.5 stock turn, but that's the target for us for revenue. So INR50 crore s revenue for a INR20 crore s inventory.

Sanjay Singh : Okay. So when you open a store, the first sale is INR20 crores in your books?

Ramesh Kalyanraman: Yes, the initial revenue will be INR20 crores in our book. And we will keep a target inventory turn of around 2.5x, a 3-year average, the first 3-year average.

Sanjay Singh: Okay. Thank you very much. That's it from my side.

Moderator: Thank you. The next question comes from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Sir, just one last clarification on rumour -- about the rumour only. And there was also one rumour stating that there was an FIR against the promoters so...

Ramesh Kalyanraman: Pardon. I'm not able to hear you properly.

Gaurav Jogani : Sir is it better now?

Ramesh Kalyanraman: Yes, clear.

Gaurav Jogani : Yes. So I think there is one more rumour that is floating around regarding there is some FIR done against the promoters. So go on with a clarification on that one too?

Ramesh Kalyanraman: So I can confirm that we have not received any FIR against the company or the promoter. Anyway, if there was something then we should surely update in the stock exchange so that itself makes it clear that we have not received any FIR against the company or promoter. Yes, we are

in the seat of summon which has a reference to an FIR number.

This pertains to litigation with a franchisee partner where the dues were settled and the contract was terminated due to breach of contract terms. According to the legal advice we received this is purely commercial and civil in nature and does not warrant an FIR. We have already taken legal action on it. But to your question, we have not received any FIR against company or the promoters.

Gaurav Jogani : Sure. Thank you.

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Moderator: Thank you. The next question comes from the line of Rajiv from Nuvama Wealth Management Limited . Please go ahead.

Rajiv: Hi, Ramesh. Sir, how long were these terminated franchisees in the system?

Ramesh Kalyanraman: How?

Rajiv: How long were they associated with us?

Ramesh Kalyanraman: This core franchisee whom I was referring to was only for about 6 months or something.

Rajiv: Okay. Secondly, the SSG just for a clarification the SSSG report this is largely on secondary sales or it is on secondary sales not on primary?

Ramesh Kalyanraman: Only secondary.

Rajiv: Okay. And the primaries are largely in tandem with the secondaries or because of, let's say, the momentum you've seen that you're trying to push a little more primaries now?

Ramesh Kalyanraman: No. So we follow a replenishment model wherein when the inventory is sold, we refill .

Rajiv: Sure. Sure. And thirdly, in terms of the agreement there used to be -- if I my ambition is right there used to be a minimum guarantee in terms of the yields, your franchisee makes , has there been any tweak on that front?

Ramesh Kalyanraman: No minimum guarantee for franchisee. We have not given any minimum guarantees. And for Candere , yes, we had what we call given certain minimum guarantee for Candere because we also know that Candere as a brand we have to open the stores and then with a so -called number of stores only we will be able to start our campaigns so for which we have a minimum guarantee in place for Candere.

But for Kalyan Jewellers, we give only one guarantee which is the gross margin. So gross margins we tell them that there's a gross margin guarantee, but we don't have a return guarantee. We don't have a revenue guarantee.

Rajiv: So my question was that they get 60% of the...

Ramesh Kalyanraman: Yes that is there. So 60% of the gross margin is guaranteed.

Rajiv: If it falls below 12% we'd be guaranteed 12% ?

Ramesh Kalyanraman: Yes, of course, yes. That's the guarantee which we give.

Rajiv: Okay. Thanks a lot sir. That's all from my side.

Moderator: Thank you. The next question comes from the line of Sanjay Singh from Ten X Capital. Please go ahead.

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Sanjay Singh : I just had another question. For your inventory is it gold on loan or I mean, do you hedge it by gold on loan? How much percentage do you hedge and how do you hedge it?

Ramesh Kalyanraman: Abraham, do you want to take it?

Abraham George : We use gold metal loan also to hedge our inventory. All our gold inventory is completely hedged. Gold metal loan constitutes about close to 40% of our overall gold inventory.

Sanjay Singh : And the rest would be -- how do you hedge it through MCX I mean through exchanges or?

Abraham George : Through exchanges, through multiple exchanges, yes.

Sanjay Singh: Okay. Thank you very much. That's it.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for its closing comments.

Ramesh Kalyanraman: Hi, all. Thank you very much for joining the call. It was a very last minute call. Thank you very much and we'll meet you again in a couple of weeks. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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SEC/ 105/2024 -2025 February 03 , 2025

1. National Stock Exchange of India Ltd.

Exchange Plaza

Plot No. C/1, G Block

Bandra –Kurla Complex Bandra (E),

Mumbai 400 051

Symbol: KALYANKJIL 2. BSE Limited

Corporate Relationship Dept.

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai 400001

Maharashtra, India

Scrip Code: 543278

Dear Sir/Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the Quarter ended on 31st December, 2024 is attached herewith.

Kindly take the same into your records.

Thanking You

For Kalyan Jewellers India Limited

Jishnu RG

Company Secretary & Compliance Officer

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"Kalyan Jewellers India Limited

Q3 FY '25 Earnings Conference Call "

January 30, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th November 2024 will prevail."

MANAGEMENT : MR. RAMESH KALYANARAMAN – EXECUTIVE

DIRECTOR – KALYAN JEWELLERS INDIA LIMITED

MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE

OFFICER – KALYAN JEWELLERS INDIA LIMITED

MR. V. SWAMINATHAN – CHIEF FINANCIAL OFFICER --

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MR. SANJAY MEHROTRA – HEAD OF STRATEGY AND

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LIMITED

MR. ABRAHAM GEORGE – HEAD INVESTOR

RELATIONS AND TREASURY -- KALYAN JEWELLERS

INDIA LIMITED

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH

ADVISORS

Moderator : Ladies and gentlemen, good day, and welcome to the Kalyan Jewellers India Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone, and thank you for joining us on Kalyan Jewellers India Limited Q3 and 9-month FY '25 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and Stock Exchanges . We will begin the call with opening remarks from management, following, which we will have the forum open for question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and the disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited, to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening, all of you. Welcome, everyone, to the call. It has been an excellent year so far with consolidated revenue growth of approximately 35% and stand -alone revenue of approximately 37% for the first 9 months of the financial year. SSSG is again very strong. Q1 recorded at 12%, Q2 was at 23%, partially driven by the import duty cut. Q3 was at 24%. Q3 SSSG has been driven largely by the robust festive and wedding demand and lesser number of Shraddh days also played a part .

Revenue growth for the recently concluded quarter has been 40% on a consolidated basis and 42% in India. Growth has been broad -based with robust growth across gold and studded categories. Adjusting for the loss due to reduction of import duty, growth in PBT is around 53% on a stand -alone basis and 46% on a consol basis.

As we indicated earlier, for FY 2026, we have drawn up plans to launch 170 showrooms across Kalyan and Candere formats, 90 Kalyan and 80 Candere. We have completed signing up LOIs for showrooms to be open ed during the first half of FY 2026.

Talking about the current quarter, the quarter has started off well despite the volatility in gold prices. We are upbeat about the ongoing wedding season and expect to end the financial year on

a strong note. We are on track for the launch of 30 Kalyan showrooms and 15 Candere showrooms in India during the current quarter. Over to you, Sanjay.

Sanjay Raghuraman: Thank you, Ramesh. Good evening, everybody. We just completed a fantastic quarter, and I'm happy to share some information about our numbers. We reported a consolidated revenue for the quarter of INR 7,287 crores, a 40% growth over the same period in the previous year. Consolidated profit after tax came in at INR 219 crores versus INR 180 crores during the same period in the previous year. Adjusting for the loss due to the customs duty cut, consolidated profit growth would be about 43%.

Now I shall give you a breakup of the financial numbers between India and the Middle East, starting with India. India revenue came in at INR 6,393 cro

res, a growth of 42% when compared with the corresponding period of the previous financial year. And India profit after tax came in at INR 218 crores, compared to INR 168 crores in the corresponding quarter of the previous financial year, growth of 30%. Again, adjusting for the loss due to the customs duty cut, profit after tax growth would be 54%.

Talking now about our Middle East business. Revenue for the quarter came in at about INR 840 crores, a 23% growth compared to the corresponding quarter in the previous year. The Middle East business posted a profit of INR 15 crores for the quarter, compared to INR 14 crores for the corresponding quarter in the previous year. Profit grew by 23% over the corresponding quarter

in the previous year. However, PAT growth for the current Q3 FY '25 was impacted due to the introduction of corporate tax in the UAE. This is the first quarter after corporate tax comes in. During the quarter, we opened 45 showrooms in India across Kalyan and Candere platform, and we opened our first showroom in the U.S. With this, we are done with the summary of the financials and now open the floor for questions. Thank you.

Moderator: The first question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my first question is with regards to the demand conditions that has been -- that you have witnessed in Q4, especially with 1 month ahead now in the quarter. And also, with the recent surge in gold prices, has that had any impact on the demand for sale?

Ramesh Kalyanaraman: The demand is strong as we speak because it started off very well, and the wedding demand is very strong. The last one week, there is some turbulence in the gold rate, gold prices, but even then, demand is still strong.

Gaurav Jogani: Okay. And sir, we have been seeing that for you, at least the studded growth has been quite good. And in fact, you are seeing an increase in the studded share. So just wanted to know from a lab-grown diamonds perspective, if you are seeing any impact? And if you can give some colour on what kind of studded jewellery you have, which kind of is not so much of impacted by the lab-grown diamonds?

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Ramesh Kalyanaraman: No as mentioned earlier, the lab-grown diamonds basically comes in the solitaire space. And if you look at Kalyan as a brand, we don't focus too much on solitaire. And if you look at our revenue base, maybe 5%, 6% of the total diamond revenue will be solitaire. Approximately 3% of our studded will be solitaire, maybe 1% of our total revenue will be solitaire, okay.

So, the impact on a certain segment of solitaire, wherein above a specific 1 carat range is where the lab-grown diamond has at least some demand, okay? And if you look at our total sale demand is even lower. So, we don't have any impact on studded category.

Gaurav Jogani: Okay. Sure. And sir, my last question is with regards to recent saga have you seen any impact on the addition of the franchise partners or any change in the store addition guidance, not only for this quarter, but how the future year, you have the peaceful year as well, anything on that front?

Ramesh Kalyanaraman: No, there is no change at all. I've told you we have already signed all LOIs for the first half of the next financial year. This quarter also, we are adding this 30 Kalyan showrooms and 15 Candere showrooms and there is no change per se for franchise momentum at all.

Moderator: The next question is from the line of Pulkit Singhal from Dalmus Capital Management.

Pulkit Singhal: And congrats on a good set of numbers. Basis, the adjusted profit growth that you have given, so my understanding is that the PBT margin this time is around 5.43% versus previous year of 5.01% which suggests almost a 40 basis -- 42 basis points PBT margin expansion. Is that calculation roughly, correct? I mean,

40 basis points plus?

Ramesh Kalyanaraman: Yes. So basically, yes, the PBT margins have gone up by around 0.4%. And it is predominantly because of the ad spend. As I had mentioned earlier, Diwali this time was early Q3, and our campaigns had started in Q2 itself. So, you would have been seeing some ad spend higher in Q2, which has been lower in Q3. So that is why your Q3 majorly employee expenses and ad spends are where we have gained in the PBT margin.

Pulkit Singhal: Right, right. So, once you look at maybe Q2 and Q3 together to kind of better way to look at it.

Ramesh Kalyanaraman: Better way to look at it.

Pulkit Singhal: Either ways it could be easily at 20 basis points or average impact maybe. But my point is directionally now, are you confident of this kind of margin expansion? Or do you think there's certain one-offs here and you don't anticipate that?

Ramesh Kalyanaraman: You can expect a leverage in employee expenses because that also I had mentioned earlier, wherein our base is getting higher. So, the new staff, which we are taking for the stores, which are going to open, the quotient, when compared to the base, we have -- we can -- because already the base is high. So, you can see leverage in employee expenses. And margin leveraging ad also can be expected. So maybe these levels can be expected for the next year, and we also have savings of interest for the next year because we are reducing our debt.

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Pulkit Singhal: Okay. Okay. So that's great. Secondly, I mean, are you seeing any increase in gold lease costs or expected increase in gold lease costs? I mean because of some kind of expectation of tariffs in U.S.?

Ramesh Kalyanaraman: It is stable.

Pulkit Singhal: It's stable.

Ramesh Kalyanaraman: Yes.

Pulkit Singhal: Understood. So, there is no such expectation as well from the banks?

Ramesh Kalyanaraman: Expectation meaning as of now it's very stable.

Pulkit Singhal: Understood. So, for whatever reason, if it were to increase because there's an article, which talks about how U.S. might increase tariffs on gold imports, which in turn may lead to lease cost increases. Either way if that were to happen, you would pass it on to the customers? Or how does it work? Or do you have avenues of kind of managing that cost?

Ramesh Kalyanaraman: No interest rates cannot be passed into the customer, meaning as of now, we are -- we cannot speculate on that, no, no, because nothing has come out.

Moderator: The next question is from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: So, the first question was on the store level gross margin. So, if you can give some colour how the store level gross margins have trended this quarter?

Ramesh Kalyanaraman: Yes, margins have been almost stable. So pretty much the same as maybe the last few quarters.

Ashish Kanodia: Sure. And the second question was in terms of the custom duty impact, is it fair to assume that all the custom duty cut impact is already captured in 2Q and 3Q and there shouldn't be any more impact going forward?

Ramesh Kalyanaraman: Yes, there is no more impact. So, you mean 12Q -odd everything is over now.

Ashish Kanodia: Got it. And third one, just on the lab-grown diamond and studded side. So, on the diamond prices, right, especially, I'm just talking about the smaller stones, one on the sourcing side, have you seen any price correction, et cetera, say, in the last few months? And the second thing is also like on the -- at the consumer-facing side, how are the prices trending, especially when you look at whether your own pricing or for other players, has there been any reduction in diamond prices in the -- on the smaller stone side?

Ramesh Kalyanaraman: Yes. So basically, I told you again, the solitaire is the area where the price correction basically happens. Okay. So here, if you look

at Kalyan, out of the solitaire inventory and revenue, almost

85% to 90% is below \$0.50. There price correction is not significant. So, price correction is

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significant in \$0.50 plus category, which is maybe 10% of our total revenue and 10% of our total inventory also.

Ashish Kanodia: Sure. Got it. And maybe just a last bit of questions more on the data and GML side, if you can help us with what was the borrowing and GML for 3Q? And secondly, in terms of land sell, etcetera, if you have any more of visibility, please?

Ramesh Kalyanaraman: Yes. So, no major change in the what you call GML debt level, etcetera, for Q3. And regarding -- and we have not repaid any further debt also in Q3. So, there is no major change in that area.

And what was the next question?

Ashish Kanodia: The land sale, any further update in terms of timeline, etcetera?

Ramesh Kalyanaraman: Yes. So collateral release. We have -- two steps towards it, okay? The first step is to, of course, reduce the debt. And then we go to the banks and say that we need only this much limit, okay?

So that has been done, with which now we -- if you look at over the past 18 months, we would have reduced approximately INR 450 crores of debt in it, right? And we will again, further reduce around INR 150 crores during this quarter. So, we have been in discussions with the bank for the release of collaterals.

As I mentioned, there are two steps in the process. First is to reduce the ABF limit. We had sent the proposal for the reduction of ABF and banks [inaudible 0:17:09] already given the collateral given is more than required. So that is the second step wherein we ask for the collateral back. So maybe 3, 4 months for the entire process, wherein we might get a clarity on the asset release is what we estimate now.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: A couple of clarifications from my side. One, double clicking on what Pulkit asked a little earlier.

On the PBT margin, part of it, let's say, looking into FY '26 and beyond. Is it fair to, let's say, make a statement of hypothesis that given that you have been, let's say, in a hyper expansion mode in the FOCO route over the last, I would say, 18 to 24 months.

And also, that most of it has come into base, those would have ramped up as per your plan,

etcetera. Is it fair to make a statement that, let's say, going into FY '26 and beyond, let's say, the PBT growth will be ahead of the revenue growth?

Ramesh Kalyanaraman: Yes. It should. That is what we plan to. Yes. So PBT margin should be higher than revenue growth.

Manoj Menon: Understood. And I recall the comment as of the last quarter going into FY '26. So, there's no change in the expansion plans, right? I mean, let's say, 90 stores for a FY '26, is absolutely impact?

Ramesh Kalyanaraman: Everything intact and, again, repeat H1 expansion already signed.

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Manoj Menon: H1 FY '26?

Ramesh Kalyanaraman: Yes.

Manoj Menon: Okay. Understood. Secondly, on the revenue aspect once again, let's say, if you could call out, if there's any regional variations in growth, let's say, south in the other 3 parts?

Ramesh Kalyanaraman: So, this time, if you look at SSSG, SSSG would have been a bit more heavier what you call -- the south will be in the range of 23% and non-South maybe in the range of 25%.

Manoj Menon: That's statistically insignificant rate is largely similar, is that what you're actually saying, which is actually slightly different from the trajectory what we've seen in the past?

Ramesh Kalyanaraman: So yes, if you look at 1% or 2% the same, meaning it was almost opposite in Q2. It was 25% and 23%, if I remember right. So that much change is only there. There's no major change in SSSG level.

els.

Manoj Menon: No, the reason I asked because historically speaking, maybe a year back or so. There was a market context which was called out by your peers in the otherwise also unlisted companies also have heard that, let's say, the South market has seen significantly higher competitive activity leading into competitive intensity. Is that largely behind us? Or is this still highlight as usual?

Ramesh Kalyanaraman: It's a competitive intensity. As I mentioned earlier, we have always faced competition because we are a hyper local player. We have to compete with local players, regional players, national players. So, it has been a part of our life since inception. So there, we have not seen anything major in changing in the last 2, 3 years, except that campaign levels in a local market, they are also active today, okay? And that has really changed. So, we are forced to spend some more money than expected in a franchise store, which we launched or in a tier 3 tier 4 city in south or non-South.

That has really changed because of the digital media coming in place. They are also able to spend the money and complete a national brand in that local market. That is different from before. Otherwise, everything remains the same.

Manoj Menon: Understood. And lastly, in one of the disclosures, I noted that there is a reappointment of the Warburg Pincus nominee now for the next 3 years. How do we understand this now that, as I understand Warburg doesn't hold anything let us take in the company as on date?

Ramesh Kalyanaraman: Yes. So, we have reappointed Mr. Anish Saraf. We are happy that he accepted, and he is a Non-Executive Director, and we have appointed him for 3 years. Vinod Rai has been reappointed as a chairman. Salil and Anil, they also play an important role. They have also been reappointed. So, we have enjoyed the journey so far until all of them. And we believe that they are also a part in our success. So, we still look forward again to work with them in the next phase of expansion.

Moderator: The next question is from the line of Soham from Centrum Broking.

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Soham: So just wanted to check a couple of things. Like as the gold price has been surged almost -- for last quarter almost more than 30%. So how do you look in the demand side, like as consumers prefer lower carat right now? I mean, is it anything trend we're observing?

Ramesh Kalyanaraman: Yes. So, if you look at from Q3 to now yes, the price has been almost 5%, 7% that has -- it has been increased by around 5% to 7% now. So now customers are also aware of all these, now it has become a habit for them also. It is almost like a habit for them. Gold prices are going up. So, when the gold price goes up, in a couple of days or meaning 3 to 5 days, people might take a pause and look at the direction, where the gold price is going, and they might preponed or postpone their purchase.

But wedding revenue cannot wait for more than a week. So, they immediately come up -- come in maybe after 4, 5 days. So, nothing major has impacted as we speak at the stores. Demand per se, very strong. It is still continuing, and new customer growth and existing customer growth is intact.

Soham: But in case of non-wedding, how is it? Is it...

Ramesh Kalyanaraman: Non-wedding is the purchase where people can postpone more than a week, okay? But if you look at -- as we speak, the first 30 days, January, the revenue, the footfall, wedding demand, non-wedding demand, everything is almost in place. And customers are also getting used to all these and -- now you know we have 18-carat also at the store. 14-carat is also selling for diamond jewelry. So, price is not impacting non-wedding too much like before.

Soham: Okay. Got it. So now my second question is, as of now, if I look at our model, basically, COCO is still 60%, FOCO is 40% on a rou

ghly basis. And as we go more FOCO, so it will be around

50%-50% or 65% -45% by FY '27. So, in that case, is it fair to assume that on an EBITDA margin basis, it could have an impact of 100 to 110 bps kind of impact for FY '27 for next 2 years?

Ramesh Kalyanaraman: Yes. So, there will be an impact for EBITDA margin. EBITDA margin will be keeping on de-growing -- and PBT for -- meaning the EBITDA margin for a franchisee store [inaudible 0:25:22] number of franchisee stores, yes, you are right. EBITDA margins will be keeping on de-growing, but PBT margins are growing, operating leverages, again, stepping in interest rates are also because we are repaying the interest that so interest can also come down and PBT of franchisee stores are more than our own stores.

So, EBITDA margins will keep de-growing, except that you can see a situation where we will start reopening our COCO, right? Because once the debt repayment is done, then the excess cash can be used for COCO. So there from there, you will start to see EBITDA margins grow.

Soham: Got it. And sir, the last question from Candere. Right now, what is the stage like what is the -- how do you look for this because most of the stores we are opening is majorly COCO for Candere. How do you look for the next couple of years, the journey, and maybe profitability and all, if you can share something?

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Ramesh Kalyanaraman: No. Candere, we are looking into the next phase of expansion, and we are adding stores. Again, Q4 also, we are going to add 50 more. Next year, we are adding stores in Candere, okay. And we will start our campaigns. We will focus on footfalls. We will focus on making the store EBITDA positive in the next financial year. And in the next 2, 3 years take revenue to INR 1,000 crores. That is our target for Candere.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a very strong performance in Q3. Just one question from my end. I just wanted to sort of check on making charge. So, few anecdote check sort of indicated that we have taken some increase in our making charges. So, wanted to conform if this is true as a strategy?

Ramesh Kalyanaraman: So, what are you asking? Did we increase our making charges? Are you trying to ask for that?

Devanshu Bansal: Yes. Yes, sir.

Ramesh Kalyanaraman: Making charge, what we do, we constantly -- it is, again, the making charge of a product. The brand only cannot decide. The market also has to decide the making charge of a particular product. So, when we enter into a new market, we will have certain staple products, where making charges have to be competitive with the local player there. We will not be able to play around too much with making charge for a staple product.

We will take products, which is non-staple in that particular market, we will enjoy some premium for a period of time for these products. Slowly, those products will be introduced by some local players. So, the margin comes down there. So, we have to replace that product with some other products, where we can again have a premium on making charges.

So tactical changes, tactical campaigns working around the making charge, it is a constant process. So, if you ask me, have you increased making charge for a particular product, you will be able to tell yes and no. Where in -- it's not -- it cannot be a direct answer.

Devanshu Bansal: Okay. I understood. So just to confirm as in from a difference between the leader or maybe the other listed players and so has that reduced increase remains stable, so across the portfolio. So just if you could share some thoughts there in terms of making charge?

Ramesh Kalyanaraman: So, making charges, I told you for staple products our making charge, we compete that with regional players and local players. For non-stable

products, the making charges will be very similar to national players.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternative.
Prolin Nandu: A few questions from my side. Just to pick up from where you left in terms of the EBITDA margin, right, when it will start growing, so the larger question as to just focus on our own stores, you said once the debt is repaid at that time, you will again come back to the COCO kind of model. Is it fair that your focus on COCO will start sometime in FY '27, is that understanding,

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correct? Or from there on the percentage of COCO should see an increase in the overall store that we add every year?

Ramesh Kalyanaraman: Yes, yes. So that's a fair assumption. Looking at the debt repayment, I think from '27, we should start doing COCO as well. So, if you look at the 50% -50% revenue share between FOCO, COCO, the EBITDA will be in the range of 6.5%.

Prolin Nandu: And that ideally going ahead, that revenue share should be in favour of COCO, right? Once the debt repayment happens? Is that also fair to think about?

Ramesh Kalyanaraman: So there, I think, because even if we -- if the debt reduction phase is over. The number of -- the market is so huge wherein you can open about 90, 100 showrooms a year. Franchisee demand is still in place, huge demand from franchise partners. Markets are also opening every year new markets are getting open, right?

So, we cannot cap our expansion with the cash we have. So, we will only look at expansion, where in our expansions will be feeded either by franchisee partners or by our own capital. So even if in 2027 plus, wherein we will -- we might not be able to open as many as showrooms COCO, when compared to FOCO.

Prolin Nandu: Understood. Right.

Ramesh Kalyanaraman: But you will see a margin growth from 2027 in terms of EBITDA because we will start opening COCO showrooms. So, the incremental EBITDA from the new COCO will be in double digits, right?

Prolin Nandu: Right. So the larger question that I wanted to understand was, are there some markets where opening a FOCO store is very, very difficult, right, in terms of operations also on and so forth as to how do we run the store, for safety purpose, for understanding the competitive intensity. Is that how you see the market? Or it would be more of the question of demand for FOCO stores coming from a region and be focusing on that. So how will you decide? I understand there is a lot of demand, new market openings. But are there some markets, where FOCO cannot operate, only COCO can operate?

Ramesh Kalyanaraman: So, we're, FOCO and COCO. Operations point of view, there is nothing, which can change because we -- the FOCO franchisee partners are only sleeping partners, where they are like investors. They don't come to the stores. They don't [inaudible 0:33:29]. There is no difference between FOCO, COCO in terms of operation per se. That is not the reason. But once we have excess cash with us, we will have to use it somewhere wherein we will start opening our COCO. So maybe a very large showroom in the metro market, okay? We might do a COCO; such showrooms are ideal case for COCO.

Prolin Nandu: I get your point, right. So, as you said, right, your franchisee partners are investors, right, and investors go through their own pain, right? Some of the equity investors are also going through their own pain. So, do we do some kind of stress test to understand what is the leverage of, let's

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say, our franchisee partner? Because their health will determine how we do going forward, right? So, do we do some kind of periodic stress test on them?

And also, to think from a perspective of there could be years, where gold price could see a decline, right, which

could impact our returns as well as the franchisee partner returns. So how do we think about or how do we predict or how do we model for their behavioural change when, let's say, gold prices would hypothetically see a decline in a year, right would they behave in that scenario because that they're knowing as to what they will do is quite important for us. So, any thoughts on how you think from a business perspective on these assets?

Ramesh Kalyanaraman: Yes. So again, 2 -3 questions you have asked. One is the check which we have on a franchisee capability, right? But we have a policy to restrict the number of showrooms per franchise. Also,

we do check the financial capacity of our franchisee before onboarding them. And if they are able to open, say, 5 showrooms, we give them 2.

And that is how our intention also for the next couple of years is not only to open many showrooms, it is to expand the base of the number of franchisee partners, so that maybe from 2027, we can only open new stores through our existing franchise partners. So that is our intention more than simply opening stores with our existing franchise partners.

And to your gold price decline, I mean it is a daily refilling inventory system, which we have.

So, if they sell 100 grams today, 100 grams will be refilled from our head office, and we invoice them, and they pay them. So even if price goes up or comes down, they will have to maintain the volume at the store level. And these investors are not like investors who see 6 months, 9 months. They are all long-term 3 - to 5-year period. So, they don't only look at a gold price 1 year, 2 year. It's a 5-year, 6-year cycle, which they take, right? And they are HNIs, who already have gold as an asset class, which is now getting giving the return also.

Prolin Nandu: I understand. Just one last question, right. So, if we leave aside the impact on margin of this COCO and FOC O, right. But as we grow our brand becomes more and more visible, right, how should one think about operating leverage from, let's say, employee cost point of view, A&P point of view and also from the point of your how much -- at what rate do we get gold metal loans?

How much do we pay to our vendors for some of the outsourcing work that we do, right, for the metal piece itself, right? So -- how should I think about all these benefits coming in as the brand becomes a lot more apparent across India, right? What are your thoughts on that, Ramesh?

Ramesh Kalyanaraman: So operating leverage, you are right, we should expect a meaningful operating leverage going forward if the SSSGs keep growing at the rate we see now, okay? But of course, SSSGs, you -- it's the unhealed SSSGs, which we have seen for the past many quarters now. But if the SSSGs keep growing at the rates, which we see now, we should see meaningful operating leverage going forward, okay.

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And at corporate overheads, -- as you rightly pointed out, we are repaying that also, so interest rate is also coming down. So there, everywhere, you will be able to see operating leverage. But if you look at our what you call the craftsmen, who do jewelry for us. Most of the craftsmen are suppliers, vendors are like family for us, okay, wherein they are with us right from our first showroom, second showroom. They are all in and around our place mostly here or wherever we open stores, we would have what we call created the so-called ecosystem.

So, we don't squeeze them too much to earn a 0.25%, 0.35%, 0.15% margin. It is more for us -- for them to stay in the business to make money, to bring their younger generation also into the business, because we need them for our growth. It is not about saving 0.1%, 0.2% from them. That's not the intention which we have.

Moderator: As there are no further questions from participants, I now hand the conference over to the

management for closing comments. Over to you, sir.

Ramesh Kalyanaraman: I would like to thank all of you we will meet again very shortly. Thank you very much. You all stood with us in our tough times. Thank you very much.

Moderator: Thank you. On behalf of Kalyan Jewellers India Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

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Dear Sir/Madam,
Sub: Earnings Call Transcripts
Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Audited Financial Results (standalone and consolidated) for the Quarter & Year ended on March 31, 2025 is attached herewith.

Kindly take the same into your records.

Thanking You
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
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"Kalyan Jewellers India Limited
Q4 FY '25 Earnings Call "
May 08 , 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 8th May 2025 will prevail."

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INVESTOR RELATIONS – KALYAN JEWELLERS INDIA
LIMITED

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
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Moderator: Ladies and gentlemen, good day and welcome to the Kalyan Jewellers India Limited Q4 FY '25 Earnings Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Agarwal. Thank you and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone and thank you for joining us on Kalyan Jewellers India Limited Q4 and FY'25 Earnings Call. Today on the call, we have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone had a chance to view our financial results and investor presentation, which were recently posted on Company's website and stock exchanges. We will begin the call with opening remarks from management followed by an open forum for Q&A.

Before we begin, I would like to point out that some of the statements made during today's call may be forward looking. A disclaimer to that effect has been included in the earnings presentation. I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening and certainly welcome everyone to the call. Q4 has been fantastic. We ended the financial year on an excellent note. The consolidated revenue and PAT growth for the quarter was approximately 36%.

Standalone business recorded revenue growth of 38 % and PAT growth of around 41 %. For the full financial year, we recorded a revenue in excess of INR25,000 crore s and a PAT of approximately INR714 crore s. At the beginning of the last financial year, we had kept certain targets around showroom network expansion and debt reduction. We launched 76 Kalyan showrooms and 60 Candere showrooms in India and our first showroom in the U.S. during the last financial year.

The year also saw a reduction in debt in India by around INR250 crores. Even though our objective was to reduce non GML during the year , the reduction of debt has been done mostly in the GML due to the temporary disruption around GML in India over the last three, four months. With the situation slowly returning to normalcy, we expect to flat position and reduce non-GML levels over the near term. Total net reduction over the last two years stands at around INR520 crores.

In line with our announced dividend policy, Board of Directors has recommended a dividend of approximately INR150 crores , payout in excess of 20% in the net profit generated during FY 2025. As previously communicated, during the ongoing financial year, we plan to open 170 showrooms across Kalyan and Candere formats and plan to reduce that in India by another INR350 to 400 crores.

Let me spend some time on our omnichannel platform Candere . As I indicated earlier, ever since we made Candere a wholly owned subsidiary, we have been infusing first talent at the senior management level and have been working on creating a top tier list merchandising strategy, brand identity and omnichannel roll -out plan. Now with 73 active Candere showrooms, we have finalized the launch plan for a nationwide campaign for Candere. We have held back the campaign's official launch given the recent Pahalgam incident. We plan to launch 80 Candere showrooms in India during the current financial year through a mix of FOCO and COCO s

showrooms . Bulk of the showrooms launches with the franchised ones during Q1 and Q2 of the current financial year . We expect Candere to be profitable at PAT level during the current financial year.

And now talking about the ongoing quarter, we had an excellent start to the financial year

despite continuing volatility in gold prices. We witnessed robust growth in our Akshaya Tritiya sale this year, and we continue to see encouraging momentum in consumer demand, especially around the wedding purchases during the current quarter.

Thank you, and I'll hand over to Sanjay. He will read you through the numbers. Thank you.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. I'm really happy to be talking to you all after, great financial year. I'll start with the just concluded quarter. Our company reported consolidated revenue of INR6,182 crores in the just concluded quarter, a growth of 36% over the corresponding quarter of the previous year.

Consolidated EBITDA came in at INR399 crores versus INR296 crores in corresponding quarter of the previous year. And consolidated profit after tax came in at a INR188 crores versus INR137 crores during the corresponding quarter of the previous year.

I'll now give you a breakup of the financial year performance between India and the Middle East, starting with India. For the just concluded quarter, revenues in India came in at INR5,350 crores versus INR3,867 crores compared with the corresponding quarter in the previous year.

India's Q4 EBITDA came in at INR343 crores versus INR255 crores when compared to the corresponding quarter of the previous year. And India profit after tax came in at INR185 crores compared to INR131 crores in the corresponding quarter of the previous year.

Moving on now to talk about our Middle East business. Middle East revenue for the quarter came in at INR784 crores versus INR623 crores in the corresponding quarter of the previous year and EBITDA in the Middle East was INR59 crores versus INR44 crores for the same

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period of the previous year. And the Middle East business posted a profit of INR12 crores for the quarter compared to INR10 crores in the corresponding quarter of the previous year.

So actually talking about our ecommerce business, Candere, we posted revenues of INR28 crores versus INR36 crores in the corresponding quarter of the previous year. And the quarter recorded a loss of INR12 crores in Candere versus a loss of INR70 lakhs for the corresponding quarter of the previous year. For the full year FY '25, on a consolidated level, India revenue came in at INR25,045 crores and consolidated profit after tax came in at INR714 crores.

With this, I'm done with the summary of the financials, and we now open the floor for questions. Thank you.

Moderator: Thank you, sir. We will now begin with the question-and-answer session. The first question comes from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Hi, Ramesh. Nice evening. So, I just seek your insights on consumer behaviour on a few aspects to begin with. Now given the material gold inflation which you have seen, I'm sure you would have seen similar templates playing out in your long experience as well. What's the consumer telling you in terms of the consumer behaviour?

So let's say given the 40% sort of increase you have seen over the last six months, there are a lot of facets to it. Let's say, for example, is the salience of non-22-carat increasing? Is there a consumer demand for it? Anything what you see on the consumer behaviour? And I've got a few follow ups on it. Thank you.

Ramesh Kalyanaraman: Yes. So, as you rightly mentioned, we have seen the cycles over the past three decades now a couple of times. So, whenever the gold price increases, the demand per se, what happens, people take a pause, people see wh

ere the gold is, the price is going and then they either postpone or prepone the purchase according to the occasion. So, demand per se, there is no issue I told you, Akshaya Tritiya was also strong, footfalls are strong, SSGs are strong even for Akshaya Tritiya.

But, yes, the inventory, composition, etcetera, on 18-carat, 22-carat, again, the heavyweight versus lightweight versus mid weight products, these kind of things we keep on changing when we have a 30% plus price increase for the commodity. This is, again, a constant process. It's not an overnight thing. The price, say, was x three years before y now, but there has been a path wherein it came from x to y.

So constantly, we work on the composition of inventory in terms of 18-carat, 22-carat lightweight jewellery, midweight jewellery, heavyweight jewellery, etcetera.

Manoj Menon: Understood, understood the composition of the, let's say, on the weight side of it, understood that aspect. But on the 18, 14, 22-carat, is the consumer, or let me put it differently. So can a common consumer make out, let's say, somebody is wearing an 18-carat or a 22-carat?

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Ramesh Kalyanaraman: No. Nobody can make out because the product is the same. Okay. So, it's not about whether people know or not. It's about their personal satisfaction, whether it is a 22 -carat versus 18 -carat or 14 -carat. So as of now, plain gold, we don't do in 14 -carat. Diamond jewellery, it was earlier done in 18. Now it is mostly done in 14. Plain gold jewelry was only 22, and 18 -carat was only for certain stylized products, wherein Gen Z products.

But now 18 -carat is there for even same products we have started keeping 18-carat in certain markets. But certain markets like Tamil Nadu, it is still very tough to crack an 18 -carat. People still buy 22 -carat. 18 -carat is only for Gen Z products. So, it's an upon market to market, and, we cannot just give you a blank answer.

Manoj Menon: Understood. Loud and clear. I'll take it separately. Now just on the making charges bit here, does it make a difference to your profit pool or the making charges when it comes to 22 to 18?

I am talking about only plain gold would only play in the goal, not studded.

Ramesh Kalyanaraman: No, no, no. We will actually -- our profitability is on the cost price of the product, which is made and then selling prices to making charge, right? So our margin is only regarding the making charge. So, we, as a percentage, we will not compromise on our making charge at all. In fact, 18 -carat will have a bit more profitability than the 22 -carats.

Manoj Menon: Understood. And if I may, just quickly a second, and then I'll come back in the queue. So historically, my understanding I just want to stress test the hypothetical understanding from the past that whenever gold has seen material inflation, the ability of the salesperson to actually upsell a studded, is far better than what conceptually what I have been told in the past. You know, when a consumer says look for buying 10 grams, I do shell out hundred thousand rupees. Right? I'm a kind of wherein that upgrading helps you capture far better gross margin. Is the hypothesis correct? And is that happening on the ground?

Ramesh Kalyanaraman: Yes. So studded conversion becomes easier when the gold price is very high. Very simple reason because customer comes with INR1 lakh. Okay. For example, if it is plain gold, he will he or she will end up buying 10 grams, right? Approximately, I'm telling you. So earlier, they could have bought 13 -14 gram, which is now they are able to buy only 10 grams with the same budget.

So, customer might not get the same product which was there in his mind because volume wise, they would have cut by 30% - 35%. But when it comes to studded, at least 40% - 45% is taken care by the stones. So only the gold,

rest of the gold where this volume issue is coming.

So, for studded product, the perception of the customer for what he should he or she should buy versus what reality is, will be more closer than the plain gold. So, it makes this easier to convert to studded when the prices will go up.

Manoj Menon: Understood. And one last question for now is, as I understand that the retail prices of, let's say, diamonds are largely flattish versus material inflation in gold. Now can this have an impact incrementally on the consumers, let's say, propensity or willingness to buy diamond? Because let's say if I'm a consumer who bought two or three years back and suddenly, I'm finding that

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when I come to, let's say, store for an exchange that my diamond price has not inflated, but gold has inflated, is there any such consumer behaviour which we should watch out for?

Ramesh Kalyanaraman: Yes. So again, everybody does not buy in an angle of just getting price, what they call, and elevation for a product to say commodities they have bought, right? So even when you buy a diamond jewelry, there is gold quotient in it and diamond also, it is not that price has been stable for the past ten years. It has been moving up, right? So, 65% in a studded product is also gold. So, customer, first the customer happiness comes for satisfaction of wearing the product. Everything comes behind that. So, they have to be satisfied in wearing the product, which is way more in a studded when compared to plain gold when because the price went up 30% - 35% in a very short time.

Manoj Menon: Very clear. Thank you. And all the best sir for the medium term. Thanks.

Moderator: Thank you. The next question comes from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal: Sir, just wanted to check on the robust demand trends in the current year. Right? So, you mentioned that Akshaya Tritiya sales were pretty robust. So, I just wanted to check, is it, like, specific days that you are talking about, or is it, like, whatever, 35 -40 days that have been in

the quarter? So, throughout the quarter, the demand trend has remained robust ?

Ramesh Kalyanaraman: So the demand has been robust right from the previous quarter. What I told you about the Akshaya Tritiya day, and usually what happens all the offers or the prebook, redemption, etcetera, happens ten days in the Akshaya Tritiya zone. Meaning Akshaya Tritiya minus ten days. Both ends to the new fee, the SS Gs have been strong and, there has been good momentum at the store level.

Devanshu Bansal: Understood. And sir, in your initial commentary, you mentioned that the gold metal loan was sort of reduced in FY '25. In another way, this is a hedging instrument also. So, have we changed our way of hedging recently, what's the outlook there? And secondly , as we understand, there was about 200 bps of increase in interest rate on gold metal loan and you indicated that there is some relief that has been there. So, what is the exact quantum of increase that may be there for the current FY '26 year?

Ramesh Kalyanaraman: Yes. So, gold loan interest rate has been increased in the range of 2% - 2.5%. It has started coming down from the peak, which was at around 5% oddish. So now it's slowly settling down. And once it gets settled down, we will flat the gold loan to -- meaning the gold loan will go up and the CC will come down. So, it is still not back to the normal levels.

Devanshu Bansal: Any quantum , sir, earlier it was 2% - 2.5%, as of now where it stands?

Ramesh Kalyanaraman: It was in the range 3% - 3.5% now it is in the range of 5%, sorry 5% - 5.5%.

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Devanshu Bansal: Got it. Sir, this year, we have incurred about INR350 crores of capex , right. So, now the unde

rstanding was also that we will be changing the model, right. So, for FY26, what is the capex expectation from showroom editions in India?

Ramesh Kalyanaraman: Even in this financial year, if you remember, initially the first half was the old model where capex was put by Kalyan and franchisee was investing in the inventory, okay. So, around 30 showrooms in the financial year, it was our capex , meaning Kalyan Jewelers was investing for capex and only the investment on inventory was coming from them. So, predominantly the first half capex amount was that and second half there has been what we call the renovations which will happen etc., which will be in the range of what usually INR150 crores.

So, next year if you ask capex , should be in the range of INR150 crores because only the maintenance capex will be there because next year plan is to open all stores through the new model. Plus of course, Candere stores will be there which is owned , for which capex will be put by Candere, meaning Kalyan, yes, okay.

Devanshu Bansal: So, sir, if we have to break these INR350 crores and INR150 crores has gone into maintenance, so new store capex has been about INR200 crores in FY25.

Ramesh Kalyanaraman: So, this will be like what 30 showrooms we would have done capex , 30 what into 4, maybe INR120 crores. Again, INR150 crores will be maintenance capex and there has been one or two showrooms , like Chennai we completely revamped which is of high cost. It is not in the range of INR2 crores to 3 crores. It will be much bigger than that. So, that is about the capex which has been spent for this year.

Devanshu Bansal: Fair enough. Sir, last question from my end. I was seeing your payable days. So, that is slightly higher right between 30 to 35 days versus 10 to 20 days for other jewellery retailers. So, do you anticipate this to reduce going ahead or remain stable at current level?

Ramesh Kalyanaraman: Yes. So, that capex , one more thing which I missed out is South, our franchisee model if you remember, South is that -- even now in this financial year we opened 9 stores in the South , capex will be put by Kalyan and only inventory will be done by franchisee. So, South franchisee model even now is capex by Kalyan. So, that will also be in the range of what INR40 crores - INR50 crores in the last financial year. Okay. And now coming to payable. So, payable depends upon the inventory which you keep. Okay. For, if you look at from far, it will be only gold or diamond, but when you go further into it, in gold itself there are premium products in gold which have a better margin and better credit space which is not kept by all brands. So, there are brands predominantly keeping only staple products for which the number of payable days cannot be like what we enjoy.

There are certain brands who do not keep as much as studded as Kalyan. So, if you look at our payable days, it has been only reducing or it has been stable. So, if you ask whether we will improve the number of working days, yes of course, we can because the revenue is growing and if in case, we are not adding inventory, then the payable days should come down.

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Devanshu Bansal: Got it. . Thanks for taking my question, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Thank you very much sir for this opportunity. Sir, just wanted to understand first upon the margin front. I mean this year as a whole our PBT margins were down to 3.8% which is largely driven also by I think INR120 crores -INR130 crores of impact on inventory. So, how do we see the PBT margins for this year FY26?

Ramesh Kalyanaraman: So, if you first of all as you rightly said if you negate the INR120 crores -INR130 crores, the PBT margins would have been in the range

of 5, approximately 5% for even the last financial year. So, the running financial year, it should be slightly higher than that because interest saving can also come because we have reduced our debt. So, it should be above 5%.

Deepak Poddar: So, if I adjust INR130 crores, your PBT margin increases from 3.8% to 4.3%, right?

Ramesh Kalyanaraman: Yes. And Q4 you can see, where in Q4 the PBT margins are in the range of ...

Deepak Poddar: 4.1.

Ramesh Kalyanaraman: Yes, 4.1. So, I think we should target for a PBT margins of in excess of 5%.

Deepak Poddar: In excess of 5% for FY26, right?

Ramesh Kalyanaraman: Yes

Deepak Poddar: Okay, okay. Understood. And in terms of debt, you mentioned we are looking to reduce debt by about INR300 crores to INR400 crores this year, FY26?

Ramesh Kalyanaraman: Yes, that is the target. We have to beat our target for this financial year, debt reduction will be in the range of INR300 crores to INR400 crores.

Deepak Poddar: Okay, okay. And how do we see the growth for this year, FY26 as a whole?

Ramesh Kalyanaraman: So, for growth, you know that we are opening 90 Kalyan showrooms out of which what 80 plus will be in India and we have opened 76, 77 showrooms in the last financial year. That revenue, we are not, it is not a full revenue which has been absorbed in the last financial year. That revenue should also come. SSGs, of course, in the last financial year, SSGs were extremely strong.

Even if you, for a budget's sake, if you reduce SSG a bit than last year, overall revenue growth should be what, it should be good. I am sure that you will be able to assess the overall revenue growth.

Deepak Poddar: Understood. And we are looking to open around 150 stores, right, out of which 90 would be Kalyan and remaining would be Candere?

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Ramesh Kalyanaraman: Yes, 90 plus 80.

Deepak Poddar: So, around 170 is what we are targeting?

Ramesh Kalyanaraman: Yes, yes.

Deepak Poddar: Okay, okay. And you mentioned the capex amount, I missed that amount. So, what would be the capex amount for this, for this?

Ramesh Kalyanaraman: For the next financial year, no? For the running financial year?

Deepak Poddar: Yes, for FY '26, yes.

Ramesh Kalyanaraman: Yes. So, the maintenance capex will be in the range of INR 150 crores and south stores, if you open, what, 7 or 8 showrooms, that also can come to around INR50 crores because south capex is done by us. And Candere, whatever comes, will come. We are doing our own store, Candere will be done by us completely, inventory plus capex.

Deepak Poddar: So, somewhat higher than INR 150 crores, I mean, somewhere around that?

Ramesh Kalyanaraman: No, yes, INR 200 crores for sure, because INR 200 crores plus for sure, because INR 200 crores will be for Kalyan itself. So, INR 200 crores plus Candere will be the right way to look at it.

Deepak Poddar: Okay. And then how much would be Candere, 80 stores, what can be...?

Ramesh Kalyanaraman: So, Candere predominantly will be, it is a mix of franchisee and COCO. So, it depends upon how many FOCO, how many COCO. Even if you look at, what, 50 -50, then 40 showrooms will be done by the company.

Deepak Poddar: Okay.

Ramesh Kalyanaraman: So, if you say INR102 crore, it is INR80 crore capex.

Deepak Poddar: INR60 crores, INR 80 crores. That's very clear, sir. I think that is very helpful. That would be

from my side. Thank you so much.

Ramesh Kalyanaraman: Yes.

Moderator: The next question comes from the line of Videesha Sheth from Ambit Capital .

Videesha Sheth: Thank you for taking my question. I just have one query on the studded mix. In the, I'm in conversation to what you responded to earlier participants' question. Just wanted to know what incremental initiatives are you as a brand undertaking to drive this, mix, and studded. One, definitely, you did tal

k about, that conversion becomes easier. But any other, initiatives that you'd like to highlight which is leading to this increase in mix?

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Ramesh Kalyanaraman: Yes. So, for studded mix for Kalyan, the major driver, for the past, say, 8 -10 quarters, was because the mix of non -south revenue is a major driver because non -south revenue comes with a better set of ratios than south. That was a major driver. And, of course, on a store level also, we try to improve the studded ratios. We give incentives to staff. We do campaigns around studded. We do promotions around studded. So that is how our studded ratios improve.

Moderator: The next question comes from the line of Bhavya Gandhi from D alal and Broacha Stock Broking.

Bhavya Gandhi: Yes. So just wanted to underst and how is these renewals of franchisees taking place? Because we believe we started somewhere on June 22, and the 3 years are up, our franchise agreement gets over. Right ...?

Ramesh Kalyanaraman: The lock -in is for 4 years.

Bhavya Gandhi: Okay. Lock in is for 4 years. Any early renewals are we seeing at the moment, or how is it?

Ramesh Kalyanaraman: No. They don't have to renew. No. Four years, no renewal.

Bhavya Gandhi: Sir, once the franchise agreement ends at the end of the fourth year, how is it?

Ramesh Kalyanaraman: The agreement is for 9 years. So, 4 years, it's a compulsory lock in.

Bhavya Gandhi: Okay, 4 years is a compulsory lock -in.

Ramesh Kalyanaraman: Okay. Agreement is for nine years. So they don't have to do anything after four years.

Bhavya Ga ndhi: Okay. Got it. Fair enough. Just wanted to also ask you on the gold price impact. So, I mean, because you've been there for the last 3 decades. So, what typically happens to the absolute revenue and EBITDA when there is a gold price falling scenario? Let's take an example of INR1 lakh s becoming INR90,000. So, in that case, I mean, demand will not start picking up immediately, right?

So, if you can just help us explain how does the numbers look like when there's a downward gold price scenario?

Ramesh Ka lyanaraman: No. Customer, you should look at through the customer point of view. Customer comes not with a volume in mind. They come with a budget in mind. So, the customer, the first question which our sales team will ask the customer, of course, after we lcoming and stuff, will be the budget of the product which they want to buy.

So, if they say INR5 lakhs, the sales team will start showing product from INR6 lakhs or INR7 lakhs or something so that then they can upsell a bit. So, but customer comes with a budget in mind. So, when the gold price comes down, automatically, volume goes up because they want to, they can buy only for the amount which they have in their hand.

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Bhavya Gandhi: Got it. And in that case, does the studded ratio get impacted?

Ramesh Ka lyanaraman: Studded ratio, when the gold price comes down, you mean?

Bhavya Gandhi: Yes.

Ramesh Kalyanaraman: So you should understand that the gold price were okay -- is now to 30% upwards over the last one year. Right? Before that also studded , it is nothing related to -- it becomes easier when the gold price is very high for conversion. That's it. But organically, all of us know that there is an inclination to studded for the young generation. They see P olki, diamond, uncut, etcetera. And organically, there, it's a driving force to studded.

And sales team, they will push for studded because they have been incentivized that way. But when the goal price is really high, conversion becomes much easier than when it is low because the customer, when they have a perception in mind that for INR1 lakh s, they will get a

product, that product in size and size will not be too much different if they buy a studded because studded

takes care of 40% of the product.

Bhavya Gandhi: Got it. Fair enough. And what is the average invoice value for Candere, if you can just throw some light on that as well?

Ramesh Kalyanaraman: It will be INR25,000, INR30,000.

Moderator: The next question comes from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just one here on the borrowings. You know, we're not seeing a decline, and we're seeing a high cash balance, if you can just explain that?

Ramesh Kalyanaraman: So, there are two things. One is that in India, if you look at the debt level, have come down by INR250 crores. Consol, you might not see a huge difference because the Middle East the debt would have increased. So, predominantly, what happens is that when the gold price moves up, GML levels tend to increase as banks revalue the loans at the end of the period on the prevailing gold price.

So, given the sharp rise in gold price during the second half of the last financial year, GML should have ideally seen a noticeable increase. But since we reduced our GML loans by around INR250 crores, the total GML is seen at 250. So, GML loans we have reduced by a much higher proportion. But you see only 250 because the banks have revalued the GML with the current gold price.

So, in the Middle East, we have not done any reduction in GML from our side, and hence, you see the increase in the level of GML driven by the increase in the underlying gold price.

Pallavi Deshpande: Right, sir. So, the other part would be that, you know, we were planning to decrease the non-GML actually, right, because that was cheaper for us?

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Ramesh Kalyanaraman: But that was because of the uncertainty around GML. Now I told you last two, three months, GML had a huge turbulence because of other reasons, right? So, there was GML uncertainty around GML, especially over the last one or two months, that is why the GML limits was not reduced. Okay? And once the situation is back to normalcy, we can immediately track it.

Pallavi Deshpande: Now why is the cash balance so high?

Ramesh Kalyanaraman: Cash balance, what is the okay. I will check the cash balance, but what I saw it's only difference INR60 crore's increase in Middle East. That is predominantly because the cash is only sitting in the gold loan. Right? Because we have to pay money.

Pallavi Deshpande: Right.

Ramesh Kalyanaraman: Am I clear now?

Pallavi Deshpande: Yes. Thank you.

Moderator: The next question comes from the line of Naveen from Motilal Oswal.

Naveen: Yes, sure. Sir, my question is on the Candere. Since, you plan to open around 80 stores, next year. So market, so far we have seen success for this model. And considering we are doubling the store count to next year, are there any target markets where you think the rollouts will be faster? And typically, what kind of a gross margin or unit economies you can expect that once you see the mature stores will reach what kind of unit economies you can expect from Candere?

Ramesh Kalyanaraman: So Candere on an ideal situation, on a matured store or maybe a closer to maturity store, their stock churn should be in the range of 2%. Margins, you know that it is in the range of 30%, 35%. Okay that is a store which is almost matured that is the store's economics. Margins will be about 30%, 35% and stock churn should be in the range of 2%. Now about expansion, our primary focus will be metro, Tier 1 and Tier 2 locations.

We are not pinning down any particular metro to focus more. We will be expanding across the country. And right from when Candere is a wholly owned subsidiary, we have been constantly increasing talent across the senior management and the other areas where like marketing and stuff.

And again, merchandising strategy is also completely revamped.

Now we are very clear on

how the brand identity should be, strategy is also laid. We were almost about to launch the campaign wherein once we launch the campaign only, we can expect footfall and things will come to where we want, but because of the recent incident we pushed the campaign. But our target for the financial year is to make Candere profitable at PAT level.

Naveen: Sure. And typically, what is the studded mix for Candere?

Ramesh Kalyanaraman: At a store level, it is 70% studded.

Naveen: 70%.

Ramesh Kalyanaraman: Yes.

Naveen: And typically, what is that store site and is it like, are you thinking to use e-commerce channel also for this platform going ahead?

Ramesh Kalyanaraman: Yes. It's an omni-channel. So now the Candere showroom size will be in the range of 1,500 square feet. And, of course, it's an omni-channel wherein it is not only dependent on store, but we need online platform also to help drive footfalls to the store.

Naveen: Sure, sir. Thank you so much, sir. That's all from my side.

Moderator: Thank you. The next question comes from the line of Parikshit Gupta from Fair Value Capital. Please go ahead.

Parikshit Gupta: Thank you for the opportunity and congratulations on a great result. I just have one question. And I joined a little late, so I'm sorry if I'm repeating it. With the India-UK FTA, there is a lot of news going around about a boost in gems and jewellery exports from India. Can you throw a little light on how it might benefit us or is it a little too early to talk about any positive signs from it?

Ramesh Kalyanaraman: So as you know, we don't export for others wherein we don't have export business. We have plans to open our showrooms in UK this year for which we can export from India. Otherwise, then we don't have a direct benefit because of this.

Parikshit Gupta: Understood. So, the Middle East business only caters to the GCC area?

Ramesh Kalyanaraman: So Middle East looks after our Middle East operation. And also, as we speak, there are products from Middle East which are sent to the US operations also.

Parikshit Gupta: Okay. And can you please spend a minute on how the FTA would be a positive push for the industry overall?

Ramesh Kalyanaraman: Overall industry, it's very tough for me to guide, but what I hear is that exporters have a merit on it.

Parikshit Gupta: Okay. And, obviously, the realization levels, I am sorry, I'm not a little, very comfortable with this segment. But in terms of the overall realization levels, is it widely different in terms of domestic versus export?

Ramesh Kalyanaraman: No. I didn't get you there. Can you repeat me, repeat the question?

Parikshit Gupta: So I guess, I'm sorry for not wording my question correctly. From what I understand in terms of jewellery, you have the whatever metal, gold, silver is used and then the making charges.

However, in terms of export, I would assume that the gold prices would still be the same. But the making charges and then on top of that, there will be freight and different components to it. So, I just I am asking if exporting gold, exporting jewellery is more profitable as compared with selling it domestically or is it not much of a difference?

Ramesh Kalyanaraman: So, exporting majorly happens only for selling it to retailers now. Otherwise, they will not be able to send to end consumer. So as per my understanding, the margin for a retailer will be much higher than a margin for a wholesaler/exporter. But of course, I don't know about it because I am not an exporter. But as far as I understand about the segment and my experience, I can talk only about our experience so far. So, retail margins are much higher than any wholesaler or an exporter because U.S. our margin, yes

, it's 25% plus our margin in the U.S. at the store level.

Parikshit Gupta : Understood. This was helpful. Thank you for your time.

Moderator: Thank you. The next question comes from the line of Pallavi Deshpande from Sameeksha Capital . Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. I just wanted to understand what is the interest rate now of this -- the gold metal loan that we received upon? How much higher it is?

Ramesh Kalyanaraman: So it was in the range of 3%, 3.5%, now it's in the range of 5%, 5.5%. So just in the level of 5% now at six weeks coming in the level of 5%.

Pallavi Deshpande: And what would be in terms of the same store volume growth, any guidance that you have? I

missed the beginning part of the call sorry for that, sir?

Ramesh Kalyanaraman: Yes. So, we actually -- we don't look at only volume because we look at value because we ourselves push for studded rather than gold. So gold volume will surely come down even if the gold price is flat and even if there is SSG, the volume would not have grown as much as SSG because we ourselves would have pushed for studded. Okay. So, our SSGs were in the range of 21%.

Pallavi Deshpande: And what will be the target for the studded ratio for next year[?

Ramesh Kalyanaraman: Now. I think it should be in the range -- in the same range, in the 30%, 31%, 32% range because the expansion now for the next -- the running financial year is predominantly in Tier 2, Tier 3 markets outside South India where it will be -- the studded ratio will be lesser than what we enjoy in a metro or a Tier 1. So now don't expect any sharp increase from the current level.

Pallavi Deshpande: Right. Got that. Thank you.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Ramesh Kalyanaraman to give his closing remarks.

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Ramesh Kalyanaraman: So thank you very much and have a good day.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Kalyan Jewellers India, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

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SEC/ 32/2025 -2026 August 11 , 2025
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Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
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Scrip Code: 543278

Dear Sir/Madam,
Sub: Earnings Call Transcripts
Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter ended on 30th June, 2025 is attached herewith.

Kindly take the same into your records.

Thanking You ,
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
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"Kalyan Jewellers India Limited
Q1 FY '26 Earnings Conference Call"
August 07, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th August 2025 will prevail."

MANAGEMENT : MR. RAMESH KALYAN ARAMAN – EXECUTIVE
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MR. VISWANATHAN SWAMINATHAN – CHIEF
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MR. SANJAY MEHROTRA – HEAD OF STRATEGY AND
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MR. ABRAHAM GEORGE – HEAD OF TREASURY AND
INVESTOR RELATIONS
MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Kalyan Jewellers India Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Kalyan Jewellers India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you, sir.

Rahul Agarwal : Thank you. Good evening, everyone, and thank you for joining us on Kalyan Jewellers India Limited's Q1 FY '26 Earnings Conference Call. Today on the call, we have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman , CEO; Mr. Viswanathan Swaminathan CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone had a chance to view our financial results and investor presentation, which were recently posted on company's website and stock exchanges. We will begin the call with opening remarks from management, followed by an open forum for question -and-answer session.

before we begin, I'd like to point out that some of the statements made during today's call may be forward -looking, as a disclaimer to that effect was included in the earnings presentation. I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening, and let me welcome everyone to the call. I'm extremely satisfied with our performance in the recently concluded quarter, while the consolidated revenue and PAT growth for the quarter have been approximately 31% and 49%, respectively. Stand alone business recorded revenue growth of 31% and PAT growth of 55%.

Let me take some time to reflect on the targets that we had set around the key objectives of revenue growth, improvement in cash flow, return on capital and rewarding shareholders. Over the last 3 years, we have opened more than 160 Kalyan showrooms in India, predominantly through the capital -light FOCO model.

Share of FOCO revenue has grown to 43% as on June 30, 2025. Our revenue CAGR for the last 3 years have been approximately 37% for India and 35% at consol level . We have also been able to substantially reduce our non -GML working capital loans over the last 2 years. And as you are aware, we also have realized cash via sale of movable noncore assets. All of these have helped improving the return profile meaningfully.

Now the key focus areas going forward will be realize and monetization of real estate collaterals presently with the banks. Secondly, creation of retail formats beyond Kalyan Jewellers and Candere and supply side restructuring to drive meaningful improvement in the margin profile of Kalyan Jewellers. We have already done considerable work on some of the areas that I just mentioned. We have started documentation with the banks for the release of collaterals worth INR200 crores.

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Given this development, we have decided to put a pause on further debt reduction till we get the release of the first tranche collaterals. Over the last 12 to 18 months, we have also been giving shape to our plans to expand distribution network beyond the mainstream Kalyan Jewellers.

Candere was identified as a second format with predominant focus on lightweight lifestyle jewellery. And as you are aware, we added more than 70 Candere showrooms in the last 18 months.

We launched the brand campaign for Candere during the current financial year and plan to add 80 Candere showrooms in

India this year. Footfalls at the showrooms and conversions have shown more than 75% increase since launch of the brand campaign. Candere should end PAT positive neutral by the end of the current financial year. With Candere stabilizing, we have decided to launch the third format, which will essentially be an entity that will house regional brands offering exclusively localized jewellery , competing with strong regional brands.

We have drawn up plans to launch the first regional brand under this entity during this calendar year. Apart from changes in the merchandising, go -to-market strategy, we have also adopted a key change in the procurement plan for the new format by focusing on a lean credit period, ensuring better cost efficiencies.

Even though the strategy will be fully implemented in the new format from day 1, we have already successfully completed a pilot project with this strategy in Kalyan Jewellers. We are

exploring ways to implement it fully as a lever for significant margin improvement in the main form at Kalyan Jewellers in this financial year itself.

And now talking about the ongoing quarter, we have started off well despite continuing volatility in gold prices and we are at a higher base. We are upbeat about the upcoming festive season across the country and are gearing up for the launch of fresh collections and campaigns.

Thank you, and I will hand over to Sanjay. He will take you through the numbers.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. I'm really happy to be talking to you after this great quarter that we had. Our company reported a consolidated revenue of INR7,268 crores in just concluded quarter, a 31% growth over the corresponding quarter of the previous year.

Consolidated EBITDA came in at INR508 crores versus INR368 crores in the corresponding quarter of the previous year. And consolidated profit after tax came in at INR264 crores versus INR178 crores in the corresponding quarter of the previous year.

Moving on now to talk about the breakup of the numbers between India and the Middle East, starting with India. India revenue came in at INR6,142 crores for the quarter versus INR4,681 crores in the corresponding quarter of the previous year. And India EBITDA for the quarter came in at INR434 crores versus INR309 crores when compared with the corresponding quarter of the previous year. India profit after tax was INR256 crores compared to INR165 crores in the corresponding quarter of the previous year.

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Talking now about the Middle East business. Revenues in the Middle East for the quarter came in at INR1,026 crores versus INR809 crores compared to the corresponding quarter in the previous year. And EBITDA in the Middle East came in at INR73 crores versus INR62 crores for the same quarter of the previous year. The Middle East business posted a profit of INR22 crores in the quarter compared to INR19 crores in the corresponding quarter of the previous year.

Lastly, talking about Candere, our e-commerce business, we posted a revenue of INR66 crores in the quarter versus INR39 crores in the corresponding quarter of the previous year. Candere recorded a INR10 crores loss in the quarter versus a loss of INR2 crores in the corresponding quarter of the last year.

With this, we are done with the summary of the financials and the numbers, and we now open the floor for questions. Thank you.

Moderator: Thank you very much. We take the first question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Congratulations on a strong set of numbers. Sir, my first question is with regards to this new pilot that you have mentioned regarding this procurement plan with a leaner credit from the vendors. If you can, sir, elaborate more on this? And how much of this benefit during this quarter in the gross margin was b

ecause of this pilot project that you did?

Ramesh Kalyanaraman: There has been a margin improvement and predominantly major reason like what you said is because of this pilot project, tough to quantify. But yes, there has been some improvement because of that. And the margin improvement, we should not give full credit only for that pilot project, which was implemented. There has been revenue from platinum, silver, etcetera, where the margins were on a higher side, predominantly because of the metal price.

Silver and platinum revenue comes approximately about 2%, 2.5% of our revenue, wherein the margins were higher. So that plus the pilot which we did, both together actually helped to increase our margins. And of course, EBITDA margins, if you are mentioning, some operating leverage also was there at EBITDA level.

Gaurav Jogani: No, Ramesh, I just wanted to know that because you have done this pilot, how are you planning to take this ahead? And how is the impact of this would be on the overall working capital cycle? Because if we are planning to pay the vendors a bit earlier in lieu of some discounts, so how this can have an impact on the overall working capital cycle for us?

Ramesh Kalyanaraman: Yes. So this pilot was actually done because we wanted to implement this from day 1 in the regional brand, which we are going to launch shortly, maybe before this calendar year because we want to go in that direction in terms of procurement for the regional brand. The pilot was also done to exactly know the savings, cost efficiencies, which can happen if we do a leaner credit arrangement with the vendors, which was successfully done.

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Now to make it implemented in Kalyan Jewellers fully, it is again a big project. And we were just trying to plan how to implement it at Kalyan Jewellers. And if that is implemented, yes, there is going to be meaningful increase in the gross margin, and that is what we are trying to target for.

Ramesh Kalyanaraman: The pilot project that we ran, the ROCE for the capital that we allocated for the project was actually higher than the corporate ROCE as of now.

Gaurav Jogani: Okay. And any time lines you would like to share that by what time this project can be implemented at the Kalyan Jewellers level?

Ramesh Kalyanaraman: No, first, we will do it from day 1 in the regional brand. The regional brand launch is where we are going to do it from day 1 fully, and that should come before the calendar year. And during that time, we will give you an overview about how we are going to do with the Kalyan and the timelines, etcetera. The pilot which we did will continue. So you can have some margin improvement because of that for the full year. But to expand that pilot project, you will need to give me some more time because we will have to implement that in the regional brand, which we are going to launch and then start implementing at Kalyan. It's a big project. So we'll have to give me some more time for us to come back on the time line.

Gaurav Jogani: Sure. And second on this regional brand strategy, if you can elaborate more? Will this be under the Kalyan Jewellers brand or the brands in each of the regions would be different? How the strategy would be here?

Ramesh Kalyanaraman: the target is to be completely regional. So there will be a new company which will be formed, which will be having multiple brands, and each brand will be in a particular state, and it will be very regionalized by its name, by its inventory, by its campaigning, positioning, etcetera. And that is how we are going to do it.

In this new subsidiary where we will have multiple regional brands, the first regional brand, we will be launching before this calendar year. And we will launch the other regional brands only once this gets stabilized. So for this year, we have plans only to launch

one regional brand in a particular state. Post that getting stabilized, then only we will go to the next region.

Gaurav Jogani: Ramesh, just one thing here. Would this brand will be purchased or I mean, you will be creating this in-house?

Ramesh Kalyanaraman: We will not purchase, it's not going to be inorganic, we will create the brand.

Gaurav Jogani: Okay. And just lastly, you also mentioned in your opening remarks about the pause for debt reduction. So the debt reduction pause would be largely because of the funds that will be utilized in this pilot project or the project towards the new brand as well as on the gross margin improvement initiatives. That is the reason there?

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Ramesh Kalyanaraman: The reasons are mainly because we were looking at a situation where we want to start the documentation with the banks to bring out the collaterals for the reduced loan, which we have already done, which is now on track. So now we want to take a pause so that we can wait for that collateral to come out.

In between, we will use the cash generated in this financial year, predominantly for the pilot project, which we have done and have implemented it already. We have used all available resources with us for this pilot project. And as for the future also for the new brand, it will be a mix of equity as well as debt. We might raise some debt also for that company in the subsidiary.

Moderator: The next question is from the line of Nihal Mahesh Jham from HSBC Securities.

Nihal Mahesh Jham: Yes, sir. Congratulations on strong performance. Sir, first question on this adjusted term that you're speaking. So just to understand right, we are implementing this first in Kalyan. And if it works right, then we plan to roll it out with the regional brands. And only after it works with the regional brands, do we plan to take the entire Kalyan model on this leaner credit period? Is that the right understanding of the time lines?

Ramesh Kalyanaraman: The pilot project, it's already implemented at Kalyan. So we already started by maybe March last year, okay? And this full quarter, April, May, June, we actually did the pilot project at Kalyan. Now we will implement it fully from day 1 in the new regional brand. Once that is launched, then we will take initiatives to launch it fully at Kalyan Jewellers.

Nihal Mahesh Jham: So in this quarter, I'm guessing approximately, say, a small proportion of our procurement in Kalyan would have been done via the leaner credit model. Is that the right understanding?

Ramesh Kalyanaraman: Yes. Correct.

Nihal Mahesh Jham: And would it be possible to share what was the ballpark proportion of the procurement that was done in this model?

Ramesh Kalyanaraman: Yes. the capital allocated for this pilot project, the ROCEs were actually higher than our corporate ROCEs. As I said, all the resources available with us actually we utilized for this pilot project.

Nihal Mahesh Jham: Got that. And as you said that the implementation of this model will lead to an improvement in the overall ROCE profile because generally, sometimes we have seen that while margins improve by extending period, paying off here, but eventually, it seems to be a ROCE drag with some other companies who have implemented this. In our case, we are saying that the ROCEs will also improve despite the increase in working capital?

Ramesh Kalyanaraman: Yes. So the ROCEs actually for the pilot project, which we invested was higher than our corporate ROCE.

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Nihal Mahesh Jham: Understood that. And because, sir, the balance sheet for this quarter is not visible that if we had to implement this across the entire Kalyan network, what would be the increase in working capital or fund that would be required?

Ramesh Kalyanarama

n: So lean credit means it's not completely out of credit, okay?

Nihal Mahesh Jham: But there will be Drop in payable days, so which would then automatically increase working capital requirement

Ramesh Kalyanaraman: Yes. it will be in the range of around INR1,500 crores to INR 2,000 crores.

Nihal Mahesh Jham: INR1,500 crores to INR 2,000 crores. Sure.

Ramesh Kalyanaraman: Yes. So whether it can be done in phases, whether it can be done together, the structure of how to bring in the capital, et cetera, that's why I wanted to take some time, and then we are still working on it from day 1, but we will adapt this in our new format.

Nihal Mahesh Jham: Got that. The second question was on the new subsidiary that we are launching. So there also, as you said that the first pilot will be one state this year and depending on how that progresses, you will move to the next state. So is there any thought on what could be, say, the requirement of capital, how many ballpark stores we are thinking of launching in each state? Just want to understand that along with this in terms of the capital requirement for the next few years. this is where the question is going to be?

Ramesh Kalyanaraman: Yes, I understand. for that, what we are trying to do is that we will be opening only in 1 state for the next 12 months. And we will open only 5 showrooms. That is the target for the next 12 months. Initially, we might need about INR 300 crores of working capital. But post that expansion for that format is again FOCO. So we don't need additional capital there.

Nihal Mahesh Jham: Understood. So it will be the initial model and then you move to the FOCO model like in Kalyan?

Ramesh Kalyanaraman: Exactly.

Nihal Mahesh Jham: Got it. Sure. Sir, last question, I'll come back on the queue that we've obviously managed to deliver a strong SSG this quarter despite gold prices being elevated at least for the most part of June. Now for the month of July also, we've seen that gold has not seen any sort of cool off. So if you could just comment on how the demand trends there have been?

And is there a case being built that in case there is a reduction in gold prices, you feel there's a lot of pent-up demand where you can see a strong comeback in growth in the ensuing quarters in case gold corrects?

Ramesh Kalyanaraman: Yes. So again, last, even when the gold prices were high, our SSGs were, what, 18% in the last quarter. there is no piled up demand wherein because we were at 18% SSG in the last quarter. That's what we have to understand. The revenue moves from week-to-week or month-to-month depending upon the volatility in gold prices.

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So when the gold price is too high and when it is very volatile, people take a pause and see where it gets settled down and then come back to shop, right? And marriages cannot be postponed because the price were high. So there is no pent-up demand which can come because the gold price comes down, okay?

And if you talk about July, July started up good, okay, first 2, 3 weeks are good. And last week, August, 1st week and July last week, it is not actually comparable to last year because there was a higher base in the last financial year, because of the customs duty reduction. So footfalls are still strong, like July, first week, second week.

But the only thing is July last week and August 1st week when compared to last year, the base is very high in the last year. But we think that quarter should be okay because this year, we should get around what, 9, 10 days of festive demand, Navaratri, because Navaratri starts in this quarter itself this year.

Moderator: The next question is from the line of Harsh Shah from Bandhan AMC.

Harsh Shah: Yes. Sorry, I just joined a bit late in the call. With this -- sir, I wanted to understand this pilot -- this new pilot a bit more.

Are we essentially saying that we are also going into backward integration? will we also, replace the likes of emerald also or how does it work basically in terms of this localized jewellery from that point of view?

Ramesh Kalyanaraman: No. backward integration. if I want to make it very clear, it is a 3 step process, Step number 1 is to do this leaner credit period kind of planning for our vendors. That is the step number 1. Step number 2, what we will ideally do is actually make a hub for all our contract manufacturers. It's like a jewellery park, which already we have procured land in our hometown Thrissur, Kerala from the Kerala Government.

Kerala Government has allocated land for us, where we will actually bring in all our South contract manufacturers. There it will not be a margin driver, but more of efficiency driver. And again, younger generation to come in, et cetera, because facilities will be there. There will be more infrastructure facilities where youngsters will also be motivated to come and join their, what you call, family business, etcetera.

Third step is what you are telling is manufacturing. That will be the third step, which will -- meaning it's not going to be in the near future. So our near future will be lean credit period, cost efficiency, margin increase.

Harsh Shah: So in the second step, sir, which you mentioned as in the land which you purchased and the jewellery park, which you are intending to set up there. So basically you are saying that whatever contract manufacturer guys you work with, you would want them to kind of have probably work in there ...

Ramesh Kalyanaraman: yes, we will facilitate them to come and work at our infrastructure since the facilities are good, They can also grow more along with us. It will be an inspiration for the younger generation also

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to join them. And it is actually an initiative for them to grow their business again along with us because they don't have to invest on infrastructure, they don't have to invest on IT, they don't have to invest on anything else, We will identify such vendors who want to grow with us, and then we will park them in our hub.

Harsh Shah: Okay. this hub, sir, will cater the requirements of one state or the South market initially?

Ramesh Kalyanaraman: we are now planning for predominantly Kerala, but South market.

Harsh Shah: South. So basically, let's say, in 12 months' time, I mean, indicative 24 months' time, you would probably have the entire South market covered by this hub?

Ramesh Kalyanaraman: Not the entire, but yes, yes.

Harsh Shah: Majority, okay.

Ramesh Kalyanaraman: But South is what we target for, because South itself comes with the different products, like South, maybe the precious stone vendors might not come to Kerala. So it is not fully South, but predominantly South.

Harsh Shah: Okay. But when you are facilitating them in the infrastructure, et cetera, would you not kind of even cut down on the margins which you give to them, let's say, if you are at 6%, 8% margins, let's say, if you give to them, would you not kind of now come down to 4%, 5% there?

Ramesh Kalyanaraman: Yes, there will be an opex also there, no. So that will not be a major margin driver. Margin driver will be the number 1 and number 3, one being the first step which we will take. The primary focus is there, the leaner credit period. Then it will be the step 3 wherein we go to manufacturing.

Step 2, more than margin efficiency, it will bring more efficiency on the turnaround of the inventory, et cetera. That will be the focus there.

Harsh Shah: Okay. But when would you go to step 3, sir, in terms of manufacturing? Because at one side, you are calling your partners and asking them to work with you and then your next step is basically to take their own business, right?

Ramesh Kalyan

araman: No. So step 2 is for contract manufacturers who are very small today, wherein they will have only 5 workers, 10 workers, et cetera . Those products, they are making for us in our premise, We already are dealing with them as contract manufacturers only. The step 3 is for manufacturing products, which we are now procuring from wholesalers or manufacturers.

Harsh Shah: Okay. Step 3 is basically where the likes of emerald , etcetera, where you kind of work with is you kind of take it in -house?

Ramesh Kalyanaraman: I didn't get you there. Can you repeat the question?

Harsh Shah: step 3 is basically where you work with big vendors like emerald, et cetera, is what you want to take in -house?

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Ramesh Kalyanaraman: Yes, yes, I don't want to name anybody. But yes, the step 3 is where we will actually do something where we procure products from manufacturers/wholesalers. And our primary -- again, I repeat, the near future target is not that. Near future target is leaner credit period.

Harsh Shah: Okay. I mean, sorry, I just joined a bit late. Could you explain this leaner credit period in detail again? It would -- can you kind of help me with that here?

Ramesh Kalyanaraman: Yes. So at Kalyan, we have 2 formats today, Kalyan Jewellers and Candere. So we want to enter into the third format wherein it will house regional brands. The brands will be specifically created for that particular region. That is the third format which we want to create. And in that basket of brands, the first regional brand, we want to launch before this calendar year. In between that, the procurement pattern also needs a leaner credit period in those regional brands for which we wanted to try a pilot in Kalyan Jewellers initially before bringing it to our new regional brands. So we started that pilot project by, say, Feb, March in the last financial year for Kalyan. Of course, this quarter, we got fully at Kalyan. And the takeaway is that the capital allocated for this pilot project, the ROCEs were actually higher than our corporate ROCE.

Harsh Shah: And how this plan compared to your India ROCE, sir? I mean, corporate would include both India and...

Ramesh Kalyanaraman: Yes, India corporate only. Yes, India corporate.

Harsh Shah: India corporate only. Okay, okay, got it.

Ramesh Kalyanaraman: Yes.

Harsh Shah: Sir, you're saying, and the plan is now?

Ramesh Kalyanaraman: Yes, the plan is now to execute it full year at Kalyan. That's it. For which we will give a detailed -- it's a big plan, right? So we will come back with a solid plan as to how to implement at Kalyan .

Moderator: The next question is from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: Yes. Ramesh, the first question is on this lean credit period, right? How does it change the sourcing in terms of gold metal loan? Will you kind of implement it across Kalyan Jewellers, will the gold metal loan contribution go down meaningfully from here?

Ramesh Kalyanaraman: No, no, no. So nothing what you call relate to gold metal loan at all. So you will -- you would have noticed that our payables are usually in the range of 30, 35 days, okay, payable days, which we will have to bring it down by at least by one third . That's what we did as a pilot. And we saw a very good margin increase. Cost efficiency was very high that we want to adapt at full in Kalyan Jewellers. This does not relate to gold metal loan. Gold metal loan, in fact, we have already taken it to the September levels.

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Ashish Kanodia: Got it. And secondly, on the regional brand strategy, now within Kalyan, you already have been doing the hyperlocal strategy and we can see in that how you have expanded in the non -South region. So when you look at the launch of this regional brand, on

e, what is the rationale because

you already have something which is doing a hyperlocal strategy?

Second thing is, how should we also think about like the brand pool? Because currently, when you do marketing, branding, it's under one umbrella, one brand. So how do you create the brand pool, specifically when you are competing against a regional brand in most of this micro market, this regional brand have a very strong brand pool?

And third question on -- related to the regional brand strategy, how should we think about the margins here? Because a lot of this regional brand basically cater to the staple product, which anyway is much lower gross margin product. So, yes, this three on the regional brand strategy?

Ramesh Kalyanaraman: Yes. So three things. One is, yes, we are a hyperlocal brand, where Kalyan, you know that 30% inventory, we keep hyperlocal products That is actually a way to drive what we call business to Kalyan, right? So we actually target customers who are today with regional brand, but they are a bit aspirational. So it is an enabler. The 30% hyperlocal inventory is an enabler to target aspirational regional customers.

So now coming to the 100% regional brand, it will be only having those regional products .It will talk to regional customers who are not aspirational. They are very happy with the regional player today . They don't have any immediate aspirations to move up the ladder.

And you know that even today, we have 60% revenue from the unorganized segment who are ramping up to organized players. And the first step will be to go to a regional player and then to people like Kalyan. So we wanted to be there .That is about the strategy. And we see a huge vacuum there . So that is about the brand strategy.

Now if you look at the margin, yes, you are right, the gross margins are lower. It will be almost what Kalyan was in, say, 2010, wherein we were actually a regional brand at that point in time. But the stock turns are higher. The ROCE for that business, I think will be in the range of about 18%, 20%. That's how the model created.

Ashish Kanodia: Got it. And just last bit is on the EBITDA margin this quarter, right? I mean, given the FOCO model, normally, we should have seen a EBITDA margin contraction. But while gross margin has contracted, there is a decent bit of a EBITDA margin expansion, which we have seen this quarter.

Now when you talk about the operating leverage part, if growth continues to remain broadly similar to what we have seen in this quarter, plus/minus here and there, is it fair to say that we should continue to see operating leverage given that the base is already becoming strong?

And even if I look at the share of franchisee revenue, it's almost very similar to what it was last quarter. So from a EBITDA perspective I understand gross margin may still remain kind of

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continue to go down. But on a EBITDA margin level, how should we think about on a full year basis?

Ramesh Kalyanaraman: Yes. So operating leverage will surely continue. And the margins have come down again, like you said, Y-o-Y. That is largely because of the higher share of franchisee revenue. But yes, the impact has been partially negated this quarter by margin gains from the pilot procurement project that I mentioned now, then the higher gross margins in platinum, silver, that's also there over and above the operating leverage when it comes to EBITDA level.

So it should continue. Pilot will continue. Operating leverage will continue, but the revenue or the gross margin increase from platinum, silver, we are not sure. It depends upon where the price is.

Moderator: The next question is from the line of Subhanu from 3Head Capital .

Subhanu : My first question is, what is your demand expectation from upcoming festival? Can we expect a better performance than last year?

ar?

Ramesh Kalyanaraman: So demand expectation, 1st two – three weeks of July was good and now it's not comparable over the last 2 weeks because the base was very high. But we also have the festive days of 8, 9. Last year, there was no festive days because October 2nd only Shradh got ended. So I think partially the customs duty impact should be negated by that. So we are very upbeat and fully prepared.

Subhanu: second question is, are you seeing any type of footfall slowdown in Tier 3 and 4 cities?

Ramesh Kalyanaraman: No, nothing at all.

Moderator: The next question is from the line of Dhiraj Mistry from ICICI Securities.

Dhiraj Mistry : Yes. Congrats on very good set of numbers. one thing I wanted to know this is that when I compare Titan margin versus our margin and when we see the studded ratio, despite having higher studded ratio, our EBITDA margin is quite low compared to the Titan. Sir, what are the reasons for that?

Ramesh Kalyanaraman: if you look at Kalyan, split it into two, owned store revenue, approximately 35% revenue only comes from the non -South markets, 65% comes from South. South, all of us know that the margins are only in the range of , 13%. Non -South, the margins are in the range of 20% plus, which might not be the case for the competitor which you mentioned in terms of South, non - South mix, which I don't know. But what we think is that it might not be that ratio, right, because we were born from the South.

Now come to franchisee revenue. Franchisee comes with almost half the margin because we have only 8% margin in franchisee. So last 3 years, we have been entirely growing through the FOCO model. Now the FOCO model revenue share is around 43% as of June. So these are the

major 2 reasons for you to have a lesser gross margin when compared to EBITDA margin when compared to the players whom you mentioned.

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Dhiraj Mistry : Got it, sir. And sir, last time when you highlighted there was like a peak GML interest rate was there. And where are we right now? Is it back to the normal GML rate? Or again, with the margin improvement trajectory, is there any backward integration apart from what you mentioned in terms of sourcing benefit? Is there any other things what you are trying to achieve to improve your EBITDA margin going ahead? That would be my last question.

Ramesh Kalyanaraman: Yes. So GML levels are back to September levels. And interest rates have come down to 4%. So that's also almost back. Now what did you ask about backward integration, I just explained. So backward integration, I would actually do it in three steps. If you mean that backward integration is manufacturing. So manufacturing will not be there in the near term. Our primary focus for the near term will be to do a leaner credit for vendors, which will have a huge cost benefit. Already, the pilot is done and successfully over. Two will be the jewellery park, which I mentioned, that will not be a margin driver, but that will be an efficiency driver. Third will be the manufacturing, but that's not there in the near term.

Moderator: We take the next question from the line of Pallavi Deshpande from Sameeksha.

Pallavi Deshpande : Yes, sir. So just wanted to understand on this jewellery park and related to that, what percentage of our sourcing right now would be from non -corporate vendors? And yes, that would be my first question.

Ramesh Kalyanaraman: Yes. So for now, we deal with contract manufacturers. And predominantly about studded, for example, diamond, uncut, precious, Polki, those are all coming from what we call organized manufacturers. Even within gold, we have certain products which come from only organized manufacturers. Now our focus is on bringing the South -based small vendors who are ready to work exclusively with us and grow along with us, we want to move them to

the park, the

manufacturing park, which we are trying to create in Tirunelveli, our hometown.

Pallavi Deshpande : Right. So they would work on even the studded and the non -studded, is that right?

Ramesh Kalyanaraman: Predominantly plain gold, but yes, some of the studded.

Pallavi Deshpande : Right. And sir, my second question would be on the advertising marketing spend. What was it for this quarter versus similar last year same quarter?

Ramesh Kalyanaraman: There have been some leverage there because of the revenue growth.

Pallavi Deshpande : Right, sir. And sir, lastly, in terms of this vendor strategy for the South, that would not impact any of your current organized contract manufacturers or we could see an impact on them?

Ramesh Kalyanaraman: So even within the contract manufacturer, the pilot, what we did was we, on a particular SKU, we reduced the number of contract manufacturers and gave them more work, okay, and asked them for a better pricing. So that was what we did for our regionalized contract manufacturers. So the pilot project is a mix of all those.

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Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead

Aliasgar Shakir : Thanks a lot for the opportunity. Yes. I just wanted to follow up on this question, sorry, this point you made regarding the vendor credit lines. Can you just elaborate and what exactly we are doing there? And what kind of margin improvement that can bring?

Ramesh Kalyanaraman: So as I told you, wherein we did the pilot, okay, we could use the available resources which we have to implement that. The pilot project, the amount invested, if you look at the return on capital of this pilot project, it was more than our corporate ROCE in India. So more than that, I think it is too early for me to share.

Aliasgar Shakir : Got it. But basically, what you're saying is that this pilot will now be expanded to a larger vendor base basically.

Ramesh Kalyanaraman: Yes, now it is ready to surely start in the regional brand from day 1 because the pilot is done, and we know exactly the working, how it works, et cetera. To do it across Kalyan Jewellers, it needs a lot of planning because it needs INR1,500 crores, INR2,000 crores. So we have to make the funds ready partial or full or how, etcetera.

Whether it is debt, whether it is funding, whether it is equity, whether it is partial, whether it is full, there's no clarity as we speak now. That we will decide over the maybe next quarter or next couple of quarters, and we will come back with a clear plan as to what we intend to do. But the only takeaway is that the additional capital which we invested for this pilot fetched good ROCE.

Aliasgar Shakir : Understood. So basically, you are reducing the credit lines that the vendors are providing, which is kind of margin as well as ROCE accretive. Basically, that's the point you're saying,

Ramesh Kalyanaraman: Yes. Yes. So ROCE accretive for sure. If ROCE is accretive, then margin is going to surely go up meaning that's going to come to the bottom line.

Aliasgar Shakir : Understood. Got it. And can you just tell me right now what is the credit we take from vendors?

Ramesh Kalyanaraman: Maybe it depends upon , it's not a very vanilla easy question wherein gold comes with separate terms within gold, certain products in gold comes with separate terms, precious stones with separate terms, diamond again comes with separate terms. But average, the period of credit is around, 30 to 33 days.

Aliasgar Shakir : 30 to 33 days. Got it. Got it. Understood. And I mean, from 30, 33 days, whatever we are taking credit lines, generally what is the markup increase that happens because of that? Any broad idea ?

Ramesh Kalyanaraman: Again, it depends upon product to product. So studded comes with a high

er markup, gold comes

with a lesser markup. So tough to explain on a call. But the only limited point I want to again reassure is that if capital is invested in that region, what we did in the pilot, the returns, the ROCEs are higher than our company ROCE India.

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Aliasgar Shakir : Understood. Thank you so much for the elaborate insight.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please proceed.

Darshil Jhaveri: Firstly, congratulations on a great set of results, sir. A lot of my questions have been already answered. So just wanted to know like we had a fantastic Q1. So will we be able to continue this momentum in terms of growth of over 30% and a PBT of around 5% in the coming quarters as well? And like what's our overall guidance for PBT this year, sir?

Ramesh Kalyanaraman: Yes, so South demand looks robust. I told you the last couple of weeks cannot be compared because it had a larger base, meaning heavier base in the last financial year. We don't see anything which can change when compared to Q1. We are actually very positive on this quarter as well. And PBT should be upper side of 5%, For India.

Darshil Jhaveri: Yes, India only. And Just wanted to know in terms of Middle East, how is the market moving out there, sir? And like is there like a possibility of exporting more from the Middle East? Or how does it work out there, sir?

Ramesh Kalyanaraman: So if you look at the demand side, very strong. You look at Q1, the growth was around 27%, predominantly SSG and the July is also very strong. And we had actually achieved this 27% predominantly because of we renovating certain stores, relocating certain stores around 7, 8 showrooms in the last 6, 12 months. And even in July, the demand is very strong. Now coming to export, no, we don't export. As we speak, we don't have exports at all. We don't even export to our own stores , as we speak, even from India or from Middle East.

Darshil Jhaveri: Okay. Fair enough, sir. And sir, just wanted to know like our third format launch. So any kind of like what kind of investment are we going to be making in that, sir, in this current year ? And like how would that scale up, sir?

Ramesh Kalyanaraman: No, the initial investment for that regional brand will be in the range of INR300 crores. We will open around five showrooms in the next 12 months for that regional brand. But post that, it will be a FOCO model completely -- because we now sit with a lot of franchisees who wants to come on board with Kalyan.

And that model should really work because stock turns are higher, even though the margins are lesser. The ROCEs are good 18%, 20% in our model. So I think the franchisee expansion will be the way forward for that regional brand. But we wanted to do our own store, at least four or five with that regional brand before we give it to franchisees.

We already have indicated to some of our existing franchise and we are getting positive feedback, but we don't want to test out with them because it's a new brand. So we will launch the first five and then maybe even convert so that with that money, we can open the next regional brand.

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Darshil Jhaveri: Okay. So for five stores, INR300 crores capex will be on par or is it a bit higher side I like just wanted to get an idea like what does the INR300 crores capex also include?

Ramesh Kalyanaraman: Predominantly, it is inventory only. So that jewellery showroom, the initial one, first of all will be flagship for the brand, we cannot go for a small format and investments are predominantly in inventory.

Darshil Jhaveri: Okay. Fair enough, sir. And in terms of payback like whatever kind of something that we are modeling like the first -- I'm assuming the first year would

be similar to Candere and will take

time to grow its profitability, but what are our expectations from this brand, sir?

Ramesh Kalyanaraman: So here, it is unlike Candere because Candere you should understand that we were meaning it was what we call evolving segment. It was not an evolved segment where Candere was entering.

This segment we are entering, which has already evolved over years. And again, Kalyan as a brand was also same 15 years before. We actually came out from that positioning to a pan-India to more studded, higher margin, etcetera.

So this is not going to take time like Candere because Candere was an online platform where we had to pump in a lot of money on technology, manpower, etcetera, which was not our usual cup of cake. But here the first year itself, it will be PAT positive.

Darshil Jhaveri: Okay. That's really helpful to know, sir. That's it from my side. Thank you so much. All the best.

Moderator: Thank you. We take the next question from the line of Naveen Trivedi from Motilal Oswal.

Naveen Trivedi: Just one question from my side. How should we look at the India business ad spend considering first quarter, we have seen more flattish kind of spend, how should we look at for the full year?

Ramesh Kalyanaraman: The ad you are asking?

Naveen Trivedi: Yes.

Ramesh Kalyanaraman: India?

Naveen Trivedi: Correct, sir.

Ramesh Kalyanaraman: Yes, it should be in the range of Q1, yes, 1.5% meaning 1.5% range.

Naveen Trivedi: Okay. So last year, we spent close to 1.8%. So you're saying this year, we should take it more than 1.4%?

Ramesh Kalyanaraman: Yes. Operating leverage will also step in for ad also. So it will be in the range of about 1.5%.

Naveen Trivedi: Okay. Does it mean that as an absolute number, which last year we spent close to INR400 crores, it looks to us that given the size of the business, absolute number is already -- has reached to a level where we can keep capitalizing on the business growth?

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Ramesh Kalyanaraman: I think, absolute number, there can be a bit of a growth, but it will not grow with the revenue.

Naveen Trivedi: Sure, sir. Thank you so much. That's it from my side.

Ramesh Kalyanaraman: So the inflation is there. We will have to add some amount because inflation is there in all the sectors.

Naveen Trivedi: Perfect, sir. That's all from my side.

Moderator: Thank you. We take the next question from the line of Aditya Sharma from Shikhar Investments. Please proceed.

Aditya Sharma: Hi, sir. Thanks for the opportunity. Two questions from my end. One how is the pickup in the non-South geography? The question is stemming from the SSG. So the non-South geography is doing 16%, while SSG for South is 20%. So I'm kind of surprised how matured region is doing better SSG than non-matured stores as the large part of the store expansion was happening in non-South. So could you just highlight on that?

Ramesh Kalyanaraman: Yes. So again, if you look at the last three, four quarters, it has been like that some quarters, South will grow more than non-South. Certain quarters, non-South will grow more than South.

And even in matured stores, SSGs are strong because you know that the shift from unorganized to organized is increasing every year.

And once a customer comes into Kalyan, then it's like a lifetime. So they keep on coming to Kalyan. And the brand is also getting popular day by day because we are expanding. So these are all the reasons.

Aditya Sharma: Okay. Second question would be, can you throw some light on Candere, how the brand acceptance is taking place, how the unit economics for the stores shaping up? What are the plans for the brand, if you can throw some light on it?

Ramesh Kalyanaraman: Candere we had increased our footprint and then we started our campaign. Campaign

acceptance is good. We

see huge traction at the store level. The revenue uptick for June, July has been in the range of 75% plus at the store level. Of course, the base was low because Candere was a low revenue arm for us, but we see high positivity at the store level.

Aditya Sharma : Got it.

Ramesh Kalyanaraman: And Candere will end PAT positive neutral by the end of the financial year.

Aditya Sharma: Got it. Thank you.

Moderator: Thank you. We take the next question from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please proceed.

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Bhavya Gandhi : Yes. Congratulations on a very good set of numbers. Sir, first question is regarding the leaner payable days. So what would be the payable days because you mentioned it's currently around 30 to 33 days. So with the leaner structure, what would be the number like?

Ramesh Kalyanaraman: One-third of it, maybe 10 days, 12 days. That's what we did for a pilot project.

Bhavya Gandhi : Right. Sir, for incremental 10 days with the size that we operate, do we really require incremental 20 days also?

Ramesh Kalyanaraman: Yes, 23 days.

Bhavya Gandhi: Is it not possible to -- sorry to use this word, but squeeze our vendors, because with the size that we operate, we can even do that, right? I mean we can extend the payable days.

Ramesh Kalyanaraman: So that we believe or even without we doing all that, every vendor wants to work with us, right?

Bhavya Gandhi: Right.

Ramesh Kalyanaraman: Everyone has a capital, what you call the cost of capital is there for everybody, right? So everyone has to make money and we are here for the long run. So more than all that, we have to go and talk about the reality. We did the pilot. The credit period we brought it down to one-third. We got a huge cost efficiency there, and it's a win-win solution and why go to that direction.

Bhavya Gandhi: Okay. Okay. And sir, this pilot project and the regional brand strategy, are these two different strategies or they are a part of one strategy? Slightly got confused on that front. If you can throw some light?

Ramesh Kalyanaraman: it is actually two strategies. But...

Bhavya Gandhi: Okay.

Ramesh Kalyanaraman: For the regional brand, we have to have this linear, because regional brands usually go with more price-oriented, what you call customer base, wherein we will have to get the inventory at the maximum cost efficiency possible. So we wanted to do that for the regional brand from day one, for which we wanted to do a pilot, because we want to start it at the new brand.

When we did the pilot, we could again reassure that the cost efficiency is very high that we have to adapt it in Kalyan, and we see higher returns because if we do it in Kalyan fully. So then we thought we should work it better in Kalyan.

Bhavya Gandhi: Fair enough. And what would be the in-house versus third-party procurement at this point in time or everything is third-party procurement?

Ramesh Kalyanaraman: Yes. Mostly, because we work with contract manufacturers, you know. We don't have own manufacturing at all in India.

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Bhavya Gandhi: At all in India, right. And what would be the total debt figure that one should work out with for '26, '27 and '28?

Ramesh Kalyanaraman: So now because I will give you clarity, because now I told you we are taking a pause on the debt, okay.

Bhavya Gandhi: Okay.

Ramesh Kalyanaraman: And we are waiting for the collateral to come out. So if the collateral comes out, say, in next month, we might again start the next set of prepayments, okay? So give us some more time because there are multiple projects going on. We might need some capital for our new project, wherein we are trying to get exposure in the new project itself, okay?

Worst-case scenario, if the new

project, we are not able to get exposure, we might have used the buffer, which is there in Kalyan to open the regional brand there. So when we meet again, I will have a better answer is what I believe.

Bhavya Gandhi: Fair enough, sir. And one last question, if I can squeeze in. Sir, a very broad level question. Sir, organized has already reached 40% of the market share. even in the mature markets, I mean, penetrating beyond 50%, 60% is difficult for even for organized players. There will always be a certain component of unorganized. So on a maybe five -year view, I mean, do you still believe that there is a shift that will continue or largely the shift has already been taken place?

Ramesh Kalyanaraman: We believe that it will be 100% organized segment in the next five years.

Bhavya Gandhi: Okay. Okay. Fair enough.

Ramesh Kalyanaraman: And it does not mean that today's all unorganized people will close their stores and everyone will come to -- customers will come to people like Kalyan. When I say 100% is because we still believe that the unorganized segment will convert to organized themselves, because there are shopkeepers who were very unorganized maybe five years, seven years before. Now they are a semi -organized business today. And people in India, they will do business, you know. They cannot go out of their business. But even if it becomes... Fully organized that way, unfair practices will not be there. Unfair advantages will not be there, which is good for brands like Kalyan.

Bhavya Gandhi: Fair enough. Got it. Thank you so much. Really appreciate. Yes. That's it from my end. Thank you.

Moderator: Thank you. We take the next question from the line of Pallavi Deshpande from Sameeksha. Please proceed.

Pallavi Deshpande: Yes. You just mentioned about the platinum and silver. So I wanted to know what would be the share of non -22-carat gold in the revenue mix and what was it last year?

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Ramesh Kalyanaraman: So non -22-carat is a bit of a -- meaning because the diamond completely almost comes non -22-carat.

Pallavi Deshpande: Right.

Ramesh Kalyanaraman: But, yes, so uncut, precious, etcetera, comes with 22 -carat now. Some states in India, especially Bihar, UP, etcetera, the 18 -carat revenue is almost maybe 40% of the total gold revenue. But we as a brand are also trying to push 18 -carat in other states, because it will be easier for us to play in the ticket size, etcetera, because of the high gold price inflation over the last one year or two years. So very tough to tell you exactly about 18 -carat revenue share.

Pallavi Deshpande: Right. Sir, my second question would be just on the previous one when you mentioned about organized share, right, going to 100%. So if I want to look at organized as players who have a chain in more than one state, if I do that kind of a classification, then what would be the share of organized in the next five years?

Ramesh Kalyanaraman: Yes. So that calculation is a bit weird, you know. You can -- even as a single shopkeeper can be an organized player, you know. That should be the reality, right? You cannot expect everybody to have multiple showrooms and bucket that as organized. Organized means...

Pallavi Deshpande: No. So I'm bucketing it is because the organized guys get an advantage of shifting inventory from one place to one state if it doesn't work here to that state. And that's an advantage, right? So that's not an advantage a single shopkeeper has.

Ramesh Kalyanaraman: It's not an advantage. It's not, meaning you cannot simply shift product from showroom -to-showroom, because then that means that there is some issue with the planning, because that is not going to be the major driving factor for a jewellery showroom success. So even now as we speak, we have seen single jewellery showrooms. I don't want to name the brand who c

ompete

us more than other regional players in particular towns, because if they do things right in their particular town, it is very tough to compete them.

Pallavi Deshpande: Right. Right. And sir, what would be the share of old gold in exchange in your total revenue?

Ramesh Kalyanaraman: So we will -- yes, so you should look at B2C, it's 25.

Pallavi Deshpande: Right, sir. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we take that as the last question. And I would now like to hand the conference over to Mr. Ramesh Kalyan araman, sir, for closing comments. Thanks. Over to you, sir.

Ramesh Kalyanaraman: Thank you very much and hope to see you soon again. Thank you very much.

Moderator: On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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SEC/ 56/2025 -2026 November 10, 2025

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Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter and half year ended on September 30, 2025 is attached herewith.

Kindly take the same into your records.

Thanking You ,

For Kalyan Jewellers India Limited

Jishnu RG

Company Secretary & Compliance Officer

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"Kalyan Jewellers India Limited

Q2 & H1 FY26 Earnings Conference Call"

November 07, 2025

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MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
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Moderator: Ladies and gentlemen, good day, and welcome to the Kalyan Jewellers India Limited Q2 and

H1FY26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal. Thank you, and over to you, sir.

Rahul Agarwal: Good evening, everyone and thank you for joining us on Kalyan Jewellers India Limited's Q2 & H1FY 26 Earnings Conference Call. Today on the call, we have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone had a chance to view our financial results and investor presentation, which were recently posted on the company's website and stock exchanges. We will begin the call with opening remarks from management, followed by an open forum for question and answers.

Before we begin, I'd like to point out that some of the statements made during today's call may be forward-looking. A disclaimer to that effect was included in the earnings presentation. I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited, to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman: Thank you. Good evening, and We had an excellent all-round performance during the recently concluded quarter. Momentum on the ground remained robust for most part of the quarter with an exceptional 9 days of Navratri sale to end the quarter on a very strong note. The pickup in the momentum that we witnessed during Navratri continued to the ongoing quarter as well.

Same-store sales growth for the 30-day period ending Diwali was in excess of 30% on a like-for-like basis. As I mentioned during the previous call, we had consciously paused the repayment of debt in India as we were focused on getting the approval for the lease of the real estate collateral pertaining to the debt already repaid over the last 2 years. During the last quarter, we received approval from the lead bank of our consortium for the lease.

Subsequently, we have reduced INR130 crores of debt, taking the non-GML debt levels to INR550 crores as on 30th September 2025 and are on track to achieve the annual debt reduction target of INR300 crores. We have also initiated steps to monetize the noncore real estate assets. I'll now hand over to Sanjay. He will take you through the numbers. Thank you.

Sanjay Raghuraman: Thank you, Ramesh. Good afternoon, everybody. I'm really happy to be talking to you after a good quarter and an excellent festive season. In the just concluded quarter, our company reported consolidated revenue of INR7,856 crores, a 30% growth over the corresponding quarter of the previous year.

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Consolidated EBITDA came in at INR497 crores versus INR319 crores in the corresponding quarter of the previous year. And consolidated profit after tax came in at INR261 crores versus INR130 crores during the corresponding quarter of the previous year, a growth of 100%. Coming now to give you the breakup of the numbers, quarterly numbers between India and Middle East, starting with India. For the just concluded quarter, India revenue was INR6,843 crores compared to INR5,221 crores in the corresponding quarter of the previous year.

India EBITDA was INR432 crores versus INR257 crores in the corresponding quarter of the previous year. And India profit after tax was

INR262 crores compared to INR120 crores in the corresponding quarter of the previous year, a growth of 118%. Coming now to talk about our Middle East business.

Revenues in the Middle East for the quarter was approximately INR866 crores versus INR800 crores in the corresponding quarter of the previous year. EBITDA in the Middle East was INR61 crores versus INR59 crores for the same period of the previous year. The Middle East business posted a profit of INR15 crores for the quarter compared to INR14 crores in the corresponding quarter of the previous year.

Talking about Candere, the business posted a revenue of INR93 crores in the quarter versus INR41 crores in the corresponding quarter of the previous year. We recorded a loss of INR9 crores in the quarter versus a INR4 crore loss in the corresponding quarter of the previous year.

Talking about the first half of the year, consolidated revenue came in at INR15,125 crores, a 31% growth compared to the corresponding first half of the previous year. And consolidated profit after tax at INR525 crores, a growth of 70% compared to the first half of the previous year. During the quarter, we opened 32 stores, 15 in Kalyan India, two Kalyan stores in the Middle East and 15 Candere stores. I'm now done with the summary of the financials and we open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nillai Shah from Balyasny . Please go ahead.

Nillai Shah : Congrats on the results. A couple of questions from me. First is many of your peers have called out fairly precise numbers for the festive season sales. So could you throw some light on how Kalyan has performed?

Ramesh Kalyanaraman: Yes. So I told you we look at Diwali minus 30 days, and the same -store sales growth has been 30% plus. Because total revenue will misguide you because we have added a number of showrooms, et cetera. So it will not be a right, what you call, way to look at it is what we thought.

So Diwali minus 30 days every year, we tell you and SSGs are very strong, 30% plus.

Nillai Shah : Okay. And the other bit is that after Diwali, you tend to see a pretty significant drop off on this trend versus the normal sort of momentum. How is this year panning out? Is the same? Is it different ?

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Ramesh Kalyanaraman: No, it's going strong. SSG are very similar to what we saw pre -Diwali. And post Diwali also, weekends are very strong. And as we speak, things are moving almost in the same line.

Nillai Shah : Got it. And in terms of your full year guidance for the number of stores that you'll open up, what's the number now?

Ramesh Kalyanaraman: So we opened India, Kalyan, 25 till September. Before festive, again, Q3, we opened 15. So we are at 40 as we speak approximately. And yes, the plan is to open 84 for this year.

Nillai Shah : Got it, sir. And the final bit is on margins. The first half, the margins have been very healthy at the PBT level. Any sort of thoughts on how this trend will evolve into the full year?

Ramesh Kalyanaraman: So usually, if you have noticed Q3, the margins, PBT margins or the gross margins are always on the higher side in Q3 when compared to Q2, specifically because of the own store, what revenue share between South and non -South and the product share also. So that is how we should look at it. And the pilot is still on, and we get a margin growth in the gross margins. So that is how we should look at it. You know that the repayment of debt is also there. So interest saving can also be there. So with all this, PBT margins should be more in H2 than in H1.

Nillai Shah : Got. On the pilot bid, just to be clear, what is the plan going forward?

Ramesh Kalyanaraman: We are maintaining the same levels because now the debt reduction also has started.

So we will

maintain the same levels. And if you look at the next financial year, we have the remaining INR400 crores of debt to be reduced. And now the collateral release is also there. So that liquidation can also happen. So the debt repayment for the next financial year can be earlier than what we thought. And once that is done, then we might go into increasing the pilot phase.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Congrats on the strong set of numbers. Sir, my first question is with regards to the gross margin only. if you can quantify how much is the advantage in this quarter because of this pilot? And is there any other advantage in terms of the last time we had some non -hedge gain -- gains also on silver and the other metals. So if you can quantify that number?

Ramesh Kalyanaraman: You're talking about Q2, right?

Gaurav Jogani: Q2, yes.

Ramesh Kalyanaraman: Yes. So around the same range, so maybe 0.2%, 0.3% because of the pilot and the rest can be very minimal for other metals like platinum, silver, et cetera.

Gaurav Jogani: Sure. And this kind of a gain, at least can we expect for the next couple of quarters more to sustain given that now, although you are not incrementally doing this pilot, but at least it will sustain at the current levels?

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Ramesh Kalyanaraman: It should be in the same level. And as I told you before, pilot will continue at the current level for the financial year. So it should maintain at the same 0.2, 0.3% increase in gross margin. And usually, Q3 gross margins are better than Q2.

Gaurav Jogani: Sure. And just lastly, on Candere, we are seeing now losses in Candere it is coming out at a gradual pace. When can we expect profitability in that segment?

Ramesh Kalyanaraman: So Candere, if you look at even now, store EBITDA, we are already positive and positive means it is meaning strong double -digit EBITDA positive at the store level. And even if you look at

the corporate EBITDA, we are almost neutral now. Way forward, this financial year, we will end Cande re with PAT neutral PAT positive and the revenue target for the year will be around INR500 crores.

Gaurav Jogani: Sure. Sir, just one clarification. When you say PAT neutral it will be on the exit basis, not for the full year, right?

Ramesh Kalyanaraman: Full year.

Moderator: The next question is from the line of Nihal Mahesh from HSBC.

Nihal Mahesh: I had 3 questions. First was a clarification on the debt payment. So in your annual report, specifically for the non -GML part, I think you're looking at taking it from INR880 crores to INR400 crores. So just wanted to check this INR130 crore s reduction is specifically for that? And does that target stay?

Ramesh Kalyanaraman: Yes. So if you look at the non -GML, March non -GML was optically higher because of issues with GML. So what I told of INR130 crore s debt reduction was negating all that because if you look at only non -GML, we have reduced INR350 crores for H1.

Nihal Mahesh: Fair enough. So that target of INR400 crores or INR4 billion of non -GML loan a t the end of FY '26, that stays?

Ramesh Kalyanaraman: Yes. So it will be at the range of INR400 crores non -GML by March 31. And next year, it will be debt free.

Nihal Mahesh: Understood. That's absolutely clear. Sir, the second thing was that in the earlier call, you had mentioned about two parts to the pilot. One was obviously the local jewel lery brand, if you could give an update on that. And the second part is the pilot rela ted to changing the sourcing specifically for brand Kalyan. If I understand that is something you're pausing, but the pilot for the hyperlocal jewellery brand continues as per expectations for a launch in Q3 ?

Ramesh Kalyanaraman: So it is on track. And from day 1, procurement pattern will be

like the pilot for the regional

brand? For Kalyan Jewel lers, we will not increase the pilot. It will go in the same range for the financial year. And now about the launch of the regional brand, it shoul d be in Q4.

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Nihal Mahesh: Q4. Any further details you want to share other than the thought of 5 stores and investment of INR3 billion, INR3.5 billion more than that, that you want to clarify in case there is more details to that?

Ramesh Kalyanaraman: It remains the same. So we will do 5 showrooms in the next 12 months. And the investment will be around INR300 crores to INR350 crores. And we have also got franchisee inquiry for that, but maybe the first couple of stores will be our own store.

Nihal Mahe sh: Understood. Sir, the last question is generally with the kind of gold price movement that we've seen historically, it has seem to obviously see a lot of increase in the inquiries of franchisees that have happened historically. Have you seen that? And d oes that then give you a confidence not this year because there would be a pipeline that in FY '27, the store addition or the franchise addition could be much better in India than what maybe at this point we are thinking?

Ramesh Kalyanaraman: No. Even now, you know that franchisee capital availability is much more than the 84, 85 showrooms, which we want to open this financial year. And we are putting franchisees on hold even for the next year, right? So expansion scale cannot increase more than this. It is especially because we have to check the bandwidth very often . And again, interest level has increased, but interest level was already overboard for us. So some of them, have -- expressed interest for the regional brand, which we will surely evaluate.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on very good numbers in H1. Sir, you mentioned that 30% SSG for festive. I wanted to check i f you could also split this growth into number of buyers. Has that also sort of picked up in relation to whatever trends we have seen in H1 and within buyers, if you can comment on, say, coins, plain gold jewel lery and studded, that will also be useful.

Ramesh Kalyanaraman: Yes. studded ratios are going strong. And new buyer share is in mid -30s, and it is also maintaining the same level. And what else did you ask?

Devanshu Bansal: I was checking on the buyer growth, sir. So this 30%, how much is the buy er growth in this overall, overall bill cuts, maybe what is the bill cut growth in this 30% SSG?

Ramesh Kalyanaraman: Yes. So ticket levels have been the same, maintaining almost the same ticket level. And the SSGs have been 30%. So that's why I told you the new buyer share is almost 30% plus.

Devanshu Bansal: ticket level, you're saying versus last year, it is same if we compare this. So how can this be 50%, 60% increase in gold price.

Ramesh Kalyanaraman: Yes. So ticket customer does not increase their budget only because the gold prices are going up because they have their own budgets. But of course, our customers are okay to increase maybe

15%, 20% of their budget. But nowadays, why the ticket size is maintaining at the same level is because the number of times customers shop jewelry has predominantly increased now over the last if you look at 5 to 7 quarters, there has been customers who are coming more frequently

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than before. And new buyers are coming to again shop with a lesser ticket size than our own customers.

Devanshu Bansal: Sure. And second thing that I wanted to understand is on the inventory side. So I guess this is mostly related to inventory that is there at our stores. So last year, September, it was around INR7,000 crores on stand alone. Now it is about INR8,650 crore

s, so which is like 25% up. And from a growth perspective also, we have seen a similar number.

So I wanted to check, I think we have done a very good job that despite this 50%, 60% increase in gold price plus this 25% growth, the inventory has only grown by about 25%, right? So what exactly are we sort of doing? Are we light weighting? Are we introducing lower carat products? So any comments there?

Ramesh Kalyanaraman: Yes. So like I have mentioned before, when the inventory price goes up, we do decrease the volume at the store level also. But of course, it cannot be identically reduced wherein if gold prices go up by 50%, we cannot reduce volume by 50%. But we take initiatives to reduce volume at the store. It can be by way of reducing the caratage. It can be by reducing the volume of jewelry in plain gold, et cetera. It's what threefold, fourfold exercise, which we do.

Devanshu Bansal: Okay. And has there been a significant conversion also maybe from COCO to franchisee? Is that also a major reason here? Have we sort of over the last 12 months, so have we also sort of converted some of our COCO stores to FOCO stores so that this inventory may not have increased to that extent?

Ramesh Kalyanaraman: Yes. There has been a few conversions in South India, but that is not the major driver. The major driver is because we cut the volume at the store appropriately.

Moderator: The next question is from the line of Aliasgar from Motilal Oswal Mutual Fund.

Aliasgar: Congratulations, sir, on excellent numbers. Sir, question is gold prices have risen quite sharply.

So have you observed making charges see any pressure because of that? Otherwise, probably, if I think of it this way, maybe the industry profit pool would have doubled. So just if you can share some thoughts on how are the making charges trending with such a sharp rise in gold prices? And also a related question is there's some reduction in gross margin, which I understand probably could have been because of the higher mix of franchisee? Or do you think that has seen some impact because of also making charges?

Ramesh Kalyanaraman: Yes, it is only because of the franchisee share, which has moved up when compared to Q1, if you are talking about Q1 to Q2.

Aliasgar: Correct. And what about the making charges? Are you seeing any pressure on making charge because the gold price is going up or given that gold price doubling, if you assume the similar making charge, then basically the profit pool of the industry would have almost doubled?

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Ramesh Kalyanaraman: Yes. So when the price goes up, some benefit we pass on to the customers also, which is an industry norm, some tactical campaigns, et cetera. But otherwise, we don't see any competitive intensity increasing because of this.

Aliasgar: Okay. percentage making charges is more or less the same?

Ramesh Kalyanaraman: Yes, it's more -- but of course, we do some tactical making charge benefit or something, but the making charge remains the same as we speak.

Aliasgar: Got it. So that basically means that if the gold price have doubled probably in the last 1 year or so, then to that extent, the profit pool of the industry would have also doubled, right? Because if you are assuming the same making charges on the gold prices.

Ramesh Kalyanaraman: Yes. So even industry does the same. So it is like one player cannot decide what the industry should do, right? So industry players usually go like -for-like, wherein almost they do the similar tactics only for customers to come in.

Aliasgar: Understood. Got it. And just if you can talk about the store addition, you gave the number for, I

think, 80 stores, which is, I think, for Kalyan, right? Overall, if you can tell me across all different formats, what is the store addition we are building for this year?

Ramesh

Kalyanaraman: yes, 80 was for Kalyan. And to be precise, 84 Kalyan India, and we want to do 6 international, out of which 3 done. We opened 2 in Middle East and 1 in U.K. and 80 Candere is the plan for the year.

Aliasgar: Okay. And out of those 80 Candere, how many are already rolled out?

Ramesh Kalyanaraman: Candere is going a bit behind run, right? So Candere, we have opened only 30 as we speak.

Aliasgar: Okay. And we will meet the guidance or we will have a slower growth in Candere?

Ramesh Kalyanaraman: Still optimistic on the number because Candere, it is much easier to open a store than a Kalyan Jewellers, which you know, because inventory is the same and showroom size is smaller. So we are still optimistic to meet the number 80.

Aliasgar: Right. So the slower pace is not because of any issue in terms of the performance or any changes in the store economics, right? I mean it's just a matter of discounting for new properties?

Ramesh Kalyanaraman: Yes. In that vertical also, there has been upgradation by certain players. So we had to change certain locations to a bigger location, a better interior, et cetera. So that is why execution got delayed. But otherwise, everything is going on track, which you see on the numbers in Q2.

Aliasgar: Got it. And on the regional format that we are launching, what is the target on that for the full year? And how many have we opened so far?

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Ramesh Kalyanaraman: No, we haven't opened anything so far. So we will open the first couple of showrooms maybe in Q4 this year.

Moderator: The next question is from the line of Utkarsh Nopany from BOB Capital.

Utkarsh Nopany: Sir, my first question is regarding your Kalyan, Indian operation. So if we see stores revenue growth based on the data which you provided in the presentation, the Indian operation and the franchisee revenue share, then what we see that our COCO stores revenue growth has been consistently trending down for the past 5 consecutive quarters.

So earlier, we were doing around, say, 17%, 18% kind of a revenue growth, which fell down to around 7%, 8% growth in FY '25 and it fell down to 3% in Q1 of FY '26. And now if we see in this quarter, it appears that our revenue growth of COCO stores has degrown by 1% despite the steep rise in the gold prices. So sir, can you please explain the rationale for the same? And I wanted to understand from the context that are we losing market share in our COCO stores.

Ramesh Kalyanaraman: No. As I mentioned earlier, there has been conversions of owned store to FOCO and that is why you see that the revenue has degrown. But on a stand-alone basis, the SSGs are strong even in our COCO showrooms. Predominantly, you see South, mostly all the COCO showrooms in South. Our SSGs are about 15%, 16% consistently over the past 6, 7 quarters.

Utkarsh Nopany: Sir, can you please explain once again? I'm not able to understand. You are saying that we are seeing an SSG growth of 15%, 16% in our COCO stores. So how come the revenue growth is turning down to be negative in this quarter?

Ramesh Kalyanaraman: Yes. So there are conversions which has happened. As I told you before, there has been conversions of certain COCO to FOCO. That is why your revenue on a number basis is coming down.

Utkarsh Nopany: Okay. And sir...

Ramesh Kalyanaraman: Our earlier stated plan, we want to convert our South COCO to FOCO. That is where you see that the revenue is coming down. SSGs are strong, and we have strong revenue growth in COCO showrooms as well.

Utkarsh Nopany: It's not like your COCO stores have remained constant.

Ramesh Kalyanaraman: So what will happen as bigger showrooms would have been converted. And smaller showrooms, we would have opened COCO.

Utkarsh Nopany: Sir, what I was asking is that your Middle East operation has also posted a pretty subdu

ed

performance in September quarter on both revenue growth and margin. So what is the reason for it?

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Ramesh Kalyanaraman: So Middle East is mostly SSG. So again, it's 7%. It was, of course, performing better in Q1 than Q4, but 7% SSG on a higher base and overall growth is around 8%, but this quarter is performing really well. It's on track again. The festive, the vacation time if it changes, the revenue can switch quarters. That is why SSGs are 7% in Q2.

Utkarsh Nopany: Okay. And sir, lastly, like going through your annual report and there, what we see that your employee attrition rate has gone up sharply, which earlier it used to be around 20%, 23% in FY '23. Now it has gone up to around 52% and the female attrition rate is around 85%, 86% in FY '24. So can you please explain the reason why the attrition rate is going up so sharply despite rising employee base and what steps we are taking to bring it down to the controllable level?

Ramesh Kalyanaraman: It is predominantly My Kalyan, which we have. My Kalyan, you know that we have a marketing franchise. wherein it is more of door-to-door marketing job. in Kalyan Jewellers, if you see, they don't leave the group at all, right from managers to all senior levels, junior level. But My Kalyan people keep on moving. That is the industry norm of a marketing fieldwork what you call field-work division. For My Kalyan it should continue at the same levels only. We cannot do anything on that.

Utkarsh Nopany: So like is it correct, sir, like My Kalyan, the employee base is roughly around 20%, 22% of your total employee base, and that is only contributing to such sharp high attrition rate. Is that correct, sir?

Ramesh Kalyanaraman: Yes. That is the major reason for that.

Utkarsh Nopany: Okay. And sir, lastly, sir, like on the balance sheet side, can you just give us some sense like what should be the targeted peak net debt-to-EBITDA ratio for the next 2 to 3 year period?

Ramesh Kalyanaraman: I cannot guide you over that. But what you should understand is the gross margins for -- meaning the -- first of all, we'll have to look at the PBT because EBITDA margins are keep on degrowing, will be degrowing at least for the next year because our expansion will be predominantly FOCO where FOCO comes with a lesser gross margin, lesser EBITDA margin, And post the next financial year, we will start opening our COCO also wherein you will see margins increasing again. But since the debt levels will keep coming down and EBITDA will be growing. The ratio should improve meaningfully.

Mod erator: The next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia: My first question was on the demand side. So if you look at the last, say, 15, 20 days or so, gold prices have started to correct a bit. So last year, when there was a custom duty cut, we saw a preponement of demand and a spike in overall growth. I understand the correction is more gradual, but have you seen any change in consumer behavior in terms of just any preponement of demand, et cetera?

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Ramesh Kalyanaraman: that's why post Diwali also, the demand is trending the same levels of pre -Diwali. Maybe since the price has cooled off a bit, we don't know. But as we speak, the momentum is strong at the stores.

Ashish Kanodia: Sure, Ramesh. The second question was on the EBITDA margin side. Now given that there was an early festive this year, so any expenses which was preponed because last quarter, when I look at the EBITDA growth, it was more than your revenue growth. And this quarter, if I adjust for the base quarter where you had a custom duty impact, the revenue growth and EBITDA growth, both are broadly similar.

So just wanted to check like while there will be some contraction in EBITDA mar

gin because

of franchisee, but then you are also getting some benefit from operating leverage and the pilot you're running. So was there any expenses which got preponed this time, like higher marketing, et cetera?

Ramesh Kalyanaraman: Some ad expenses have got booked because the Diwali was early. Otherwise, everything remains the same.

Ashish Kanodia: Sure. And lastly, just on the collateral, I think you talked about release of collateral. Can you quantify & what is the value of collateral, which has been released? And broadly by when can we expect this non-core asset sale to be concluded?

Ramesh Kalyanaraman: So INR150 crores to INR200 crores of market value assets can be monetized. And we have already taken initiatives to liquidate . the next financial year, if you are being very conservatively, maybe the H2 of the next financial year, not very conservative, H1 of the next financial year.

Ashish Kanodia: This Will be the sale of the non-core assets, right?

Ramesh Kalyanaraman: Yes.

Ashish Kanodia: Okay. And just last bit is the balance, which is still kind of with the bank, the value would be roughly around INR300 crores. Is that the right number?

Ramesh Kalyanaraman: Yes, INR250 crores to INR300 crores.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha.

Bhavya Gandhi: Sir, my first question is regarding the store openings because for the full year, we've guided for 89 to 90 stores. And in the first half, we've opened closer to 22 Kalyan stores. So do you think that we'll be able to open the entire 90 stores by the end of this year?

Ramesh Kalyanaraman: No, India was 84, which had planned and out of which, as we speak, 40 have been done. 25 in H1 and 15 pre-Diwali. And rest 44 should be done within 5 months to go.

Bhavya Gandhi: Okay. Got it. And if you can just explain on a Q-o-Q basis, if you look at the PBT margins, over there also, we've seen some fall. So what is the reason? I understand gross margin obviously will

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dilute because of the FOCO mix. But on the PBT margins, what is the reason despite finance cost falling?

Ramesh Kalyanaraman: No, PBT margins have improved, wherein it was 4.5% vs 5.1%.

Bhavya Gandhi: If I look on a Q-o-Q basis, it's showing me almost 40 basis points lower.

Ramesh Kalyanaraman: Quarter-on-quarter, if you are looking at, it will be what you call your revenue mix. It will depend upon your ad expenses, et cetera. It is very seasonal. So we cannot look at quarter-on-quarter.

You can look at year-on-year

Bhavya Gandhi: Got it. And if you can just throw some light on the last 3 years, whatever FOCO stores we've opened, how utilized are they? Are we still where few stores are underutilized in terms of sales?

Are they still trying to get some traction? Just wanted to understand how much revenue potential is still possible from the new stores that you opened in the last 3 years?

Ramesh Kalyanaraman: Of course, all the stores perform the same way we want. So there have been what, 5% to 10% of the stores which are underperforming. Again, 5% to 10% of the stores which can -- or more than that, which can overperform and rest will be in the level which we want. And that happens in our COCO showrooms also.

Bhavya Gandhi: Okay. And just, say, for example, if the gold price becomes stagnated, obviously, our SSG will start showing normal growth or maybe negligible degrowth also. So if you can just help us explain what happens in a stagnated gold price scenario to SSGs? Will we still be able to push better product mix or what is the case when it comes to lower gold price scenario?

Ramesh Kalyanaraman: You should actually never relate the gold prices with SSGs because if you put last 6 to 8 quarters, constantly, the SSGs have been strong double digit. But all quarters, gold price increase or

decrease has not been double digit. So customers come with a particular budget, and it depends upon the occasion they buy. And volume will be low when the prices are high. When the prices are low, the volume will be high. So that is the way we should look at it. And gold price has no major impact on growth per se.

Moderator: The next question is from the line of Subhanu from 3Head Capital. Please go ahead.

Subhanu: My first question can you tell me a bit more about your major pilot project?

Moderator: Can you please come closer to the mic and ask your question.

Subhanu: Hello sir. Can you tell me a bit more about your two main pilot projects. Why you want to open regional brand? Because as I see franchise owner want to open a Kalyan showroom than your new any regional brand because Kalyan showroom is more popular than any of your new regional brand. And why you want to do backward integration because backward integration will help in overall margin?

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Ramesh Kalyanaraman: No. So like what you said, Kalyan Jewellers is a pan-India brand. We are there in almost all the states in the country. And we are a hyperlocal brand where 30% to 35% of our inventory will be local inventory, which will actually be an enabler for a customer to come in. But we focus on customers who are a bit aspirational rather than 100% local.

So now what we are trying to do is to open a new brand, which can be 100% local, 100% authentic to that region so that we can address to customers who are non-aspirational and are extremely happy with the regional/local/unorganized players. That is the new brand, which we

are going to launch. We will plan it to launch in Q4. We have not opened any of that kind of format store as we speak.

Subhanu : But why would franchisees would want to open any of your new local brands than any Kalyan brand?

Ramesh Kalyanaraman: The franchisee believes in Kalyan as a jeweller who can manage a store well. And because they are already with Kalyan, they have a journey with them, so they have a trust with the brand. So when the brand announced that it is going to launch a new brand, there are franchisee partners who wish to actually join this journey.

Subhanu : Okay. And my second question about your backward integration and how will this help your overall budget.

Ramesh Kalyanaraman: So you are talking about the new brand, how will it increase ? Actually , that has no connection with margin increase. Margin increase, what I told is because of the second pilot which we are doing, wherein backward integration, where we are trying to negotiate with vendors, and get a leaner credit period to increase our gross margin. That was the pilot which I mentioned earlier.

The pilot which you asked on the regional brand is what I explained now.

Subhanu : Regional brand margin will be same

Ramesh Kalyanaraman: Regional brand comes with a lesser margin.

Subhanu : ROCE will be high. ROCE.

Ramesh Kalyanaraman: The regional brand , Stock turn will be high. ROCE in the range of, what, 16% to 18% is what we target to achieve with the brand in the initial year.

Subhanu : Okay. Thank you.

Moderator: Thank you. Due to time constraint, that was the last question. I now hand the conference over to Mr. Ramesh Kalyanaraman for the closing comments. Over to you, sir.

Ramesh Kalyanaraman: Thank you very much and look forward for the next quarter. Thank you.

Moderator: On behalf of Kalyan Jewellers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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SEC/ 82/2025 -2026 February 10, 2026
1. National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex Bandra (E),
Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam,
Sub: Earnings Call Transcripts
Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter ended on December 31, 2025 is attached herewith.

Kindly take the same into your records.

Thanking You ,
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer

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"Kalyan Jewellers India Limited
Q3 & 9M FY26 Earnings Conference Call"

February 06, 2026

"E&OE – This Transcript is edited for factual errors. In case of Discrepancy, the audio recordings uploaded on the stock exchange on 6th February, 2026, will prevail."

MANAGEMENT : MR. RAMESH KALYANARAMAN -- EXECUTIVE
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MR. SANJAY RAGHURAMAN -- CHIEF EXECUTIVE
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MR. SANJAY MEHROTRA -- HEAD (STRATEGY AND
CORPORATE AFFAIRS)
MR. ABRAHAM GEORGE -- HEAD (INVESTOR
RELATIONS AND TREASURY)

MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH
ADVISORS

Kalyan Jewellers India Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the Kalyan Jewellers India Limited Q3 FY 2026 Earnings Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal for his opening remarks . Thank you, and over to you, sir.

Rahul Agarwal : Hi, thank you. Good evening, everyone and thank you for joining us on Kalyan Jewellers India Limited 's Q3 and 9 -M FY 2026 Earnings Conference Call.

We have with us Mr. Ramesh Kalyanaraman – Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan – CFO; Mr. Sanjay Mehrotra – Head of Strategy and Corporate Affairs ; and Mr. Abraham George – Head of Investor Relations and Treasury.

I hope everyone had a chance to view our Financial Results and Investor Presentation , which were recently posted on the Company's website and Stock Exchanges . We will begin the call with opening remarks from Management , followed by an open forum for question and answers. Before we begin, I would like to point out that some of the statements made during today 's call may be forward-looking. A disclaimer to that effect was included in the earnings presentation. I would now like to invite Mr. Ramesh Kalyanaraman – Executive Director of Kalyan Jewellers India Limited, to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman : Good evening. We had an excellent all -round performance during the recently concluded quarter. Momentum on the ground remained robust for most part of the quarter, with the festive period growth meaningfully higher than the rest of the quarter. As previously communicated, same -store sales growth for the 30 -day period ending Diwali was in excess of 30% on a like -for-like basis.

Over the last couple of years, we have been focused on transforming Candere into an omnichannel platform, and as you are aware, we have 110 Candere stores now. Candere recorded revenue growth of 117% for the nine months ended 31st December, and more importantly, Candere has turned PAT positive during the recently concluded quarter, with revenue growth of 144%.

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Going forward, in addition to new showroom launches, our efforts in Candere would also be on adding more inventory in the already launched showrooms and drive higher same -store sales growth.

Talking about the ongoing quarter, we have started off well despite continuing volatility in gold prices. We are upbeat about the ongoing wedding season across the country and expect to end the financial year on a very strong note.

I will now hand over to Sanjay, he will take you through the numbers in detail. Thank you.

Sanjay Raghuraman : Thank you, Ramesh, and good afternoon, everybody. I am really happy to be talking to you all again.

In the just concluded quarter, we reported a consolidated revenue of Rs. 10,343 crores, a growth of 42% over the corresponding quarter of the previous year. Consolidated profit before tax was Rs. 560 crores versus Rs. 294 crores in the corresponding quarter of the previous year. This is after the impact of changes in the Labour Code, an amount of Rs. 41.5 crores has been provided under exceptional items for the quarter.

Consolidated profit after tax was Rs. 416 crores versus Rs. 219 crores in the corresponding quarter of the previous year, a growth of 90% over the corresponding quarter of the previous year. Talking now about the numbers for the nine months ending December 2025, we recorded a revenue of Rs. 25,468 crores

on a consolidated basis versus Rs. 18,860 crores in the same period of the previous year, a 35% growth.

Consolidated profit before tax for the nine -month period stood at Rs. 1,263 crores versus Rs. 709 crores in the same period of the previous year, a 78% growth. And consolidated profit after tax for the nine-month was Rs. 941 crores versus Rs 527 crores in the corresponding nine-month of the previous year, a 79% growth.

Out of the free cash generated from operations, nearly Rs. 300 crores was used for our Candere

expansion and pilot showrooms in the U.S. and the UK And another Rs. 300 crores was used for debt reduction and dividend payments.

Now . I shall give you the break -up between the quarterly performance between India, the Middle East and Candere, starting with the India numbers. The India revenue was Rs. 9,048 crores versus Rs. 6,386 crores in the corresponding quarter of the previous year. And India Profit Before Tax was Rs. 541 crores versus Rs. 292 crores in Q3 of the previous year. India PAT was Rs. 401 crores compared to Rs. 218 crores in Q3 of the previous year , an 84% growth.

Moving now to the Middle East business :

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Revenues in the Middle East came in at Rs. 1,073 crores versus Rs 838 crores. Profit before tax in the Middle East was Rs. 26 crores versus Rs. 18 crores in the same period. The Middle East business posted a profit of Rs. 24 crores for the quarter compared to a profit of Rs. 15 crores for the corresponding period in the previous year.

Lastly, our e-commerce business Candere posted revenues of Rs. 135 crores versus Rs. 55 crores in the corresponding period of the previous year. And the quarter recorded a profit of Rs. 3 crores versus a small loss of Rs. 7 crores in the corresponding previous year period.

We are now done with the summary of the financials and would like to open the floor for questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gaurav Jogani from JM Financial . Please go ahead.

Gaurav Jogani : Hello. So, sir, my first question is with regards to the volatility in the gold prices. Because the gold price is almost risen by, I would say, almost near 100%. So, in this context, how is this impacting the new franchise addition for you , given that the newer guys would now almost require 80% or 90% higher, amount to put up the same kind of tonnage. So, how are you navigating this? Are you seeing any changes in your franchise to your addition plans because of this?

Ramesh Kalyanaraman : The franchise sign-ups, meaning, it has been very strong. And, again, the 80% - 90% is, like, one-year difference, which you are talking about. And we do not sign up franchise one year before with all the amounts, what you call, finalized. We always say that, the volume at the store should be in this range and you will have to be prepared for, XYZ amount. So, we do not see anything majorly changing for them, because everyone knows about how a jewellery store investment comes in and next year also everything is finalized franchisee.

Gaurav Jogani : Sure. So, no. So, Ramesh, what I meant was that, because initially, when they would have signed the agreements was last year maybe, so the prices would have been lower to that extent. So, would there be a recalibration in the tonnage that would probably be kept in the store, while the value could remain the same? I mean, what are the changes that you would need to make because of this sharp price in gold prices?

Ramesh Kalyanaraman : Two things here. One is that our franchisee have the financial ability to take multiple showrooms, and we give them only one store and ask them to start the journey with Kalyan. And then later, we might give them a couple of stores more. So, I have told you earlier that, our objective is to create

a good base of franchisee partners rather than only opening stores. That is point number one.

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Point number two is, yes, every market has a size. So, if that market size is maybe Rs. 60 crore, - Rs. 70 crore, with the stock turn of around 2 and 2.5 in the first three years , the inventory amount will not change too much, because then that market cannot absorb that kind of revenue. So, it is a mix, wherein our inventory levels, 18 karat percentage would, we will increase a bit, so that the volume does not get hurt too much.

We also keep a buffer of some inventory. When we tell the franchisee itself, we would have told them at least to keep 30% more than what is required. So, it is a mix of things, wherein we also know that these kind of situations can surely come down.

Gaurav Jogani : Sure. So one more thing, you also keep a certain inventory at your end for your existing FOCO stores, as well as some back-up inventory that you need to keep for the upcoming franchises as well. And given the prices have increased, would that mean that the debt or rather any changes rather because of this in your debt reduction plan that you might have because of this volatility in gold price?

Ramesh Kalyanaraman : So, in our own showroom also, we cannot keep the same volume of jewellery , when the price is going up. We will have to trim the volume not directly to the percentage of the price increase, but to some extent to manage our inventory, because our turns will also go bad otherwise. So,

what do you call, there is no major change in our cash flow planning for the years. And those showrooms do not need the level of inventory, at such rates. So, that is how we plan our cash flow.

Gaurav Jogani : Okay. Sure. And just lastly, on the initiative that you were supposed to launch in Q4, I mean, the third brand that is, where are we on that? What stages are we, did it launch? If not, the planning stages, etc., some color you can give on that.

Ramesh Kalyanaraman : It is yet to launch, but the region brand will be launched in the running quarter. And as I had mentioned previously, it is in one state in India at a go, wherein there will be only the region brand will come on ly in one state.

Gaurav Jogani : Sure. Thanks, Ramesh. That is all for me.

Moderator : Thank you. The next question is from the line of Yash Sonthaliya from Edelweiss Public Alternate . Please go ahead.

Yash Sonthaliya : Hi, team. Thank you for taking my question. So, my first question is on GML, with all the stress going on , on global economy or politics and the current rally in the gold prices , are we seeing any headwind or any risk of this GML going out of the books for us or maybe the interest cost on this increasing going ahead?

Ramesh Kalyanaraman : Nothing remains very consistent as we speak.

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Yash Sonthaliya : My understanding was for Candere , we were broadly growing through FOCO model, so I wanted to understand, where we spent Rs. 300 crores on the same brand, like it was more on advertisement or COCO stores or something else ?

Ramesh Kalyanaraman : No, so Candere , it is a mix of FOCO and COCO. It is not only FOCO. So, that is where this Rs. 300 crore amount investment is required. It is not only for Candere again, if you are asking about the Rs. 300 crore, which Sanjay was mentioning in his speech, it is including the pilot stores, which we opened in UK and U.S.

Yash Sonthaliya : Makes sense. And one last clarity, like with this gold price going up, our stud ded mix has increased. Ideally, what our understanding was with increasing prices, there will be some headwinds on the studded mix. Are we seeing the same in the upcoming quarters or the months?

Ramesh Kalyanaraman : No. So, studded has an organic growth al so these days, because of the social media and because

of the campaigns, which we do, because of the youngsters, who do a lot of research before buying jewellery . There is an organic growth for studded jewellery , and it becomes actually relatively easier f or us to upsell also during high gold prices, because the product looks bigger than the plain gold jewellery and it also comes in 18 -karat.

Yash Sonthaliya : Got it. Thank you. That is all from my side.

Moderator : Thank you. The next question is from the li ne of Srinivas from Pheonix Estate . Please go ahead.

Srinivas : Hello sir, good evening. My question is from last Q1, Q2 and Q3, I am continuously following the share. So, even though it has extremely good results, then why is it still underperforming, sir?

Ramesh Kalyanaraman : Underperforming in the sense?

Srinivas : Means, actually it is undervalue, means, the results were good and what are the things, everything is good. Even the stock was continuously downfall for past months.

Ramesh Kalyanaraman : So, our job is to keep focused on execution and delivering numbers on the ground and rest will not be our criteria to comment on.

Srinivas : Yes, I understood.

Ramesh Kalyanaraman : It is not under our control also.

Srinivas : Okay. Somewhere I feel like there is no proper update from management side, that is why investors are just panic thing .

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Ramesh Kalyanaraman : No, meaning, if there is anything relating to the Company , then we give constant updates for everything.

Srinivas : Yes, sir. And one more thing is, if the gold prices are still more up, is there anything like, in a buying prices for anything will be compared to accounted, there will be anything added for the persons, like employees or anyone, who in the marriage season, they have a lot of plans to buy the gold for marriage season. Due to the higher prices, , can Kalyan do anything for them ?

Ramesh Kalyanaraman : No, it is a very retail question, wherein we have constant promotions at the store level, which will happen, dull season, off -season drivers, exchange offers, etc., which is a constant driver for revenue at stores.

Srinivas : Okay.

Moderator : Thank you. The next question is from the line of Devanshu Bansal from Emkay Global . Please

go ahead.

Devanshu Bansal : Hi, sir, good evening. Thanks for taking my question. Sir, a bit on a conceptual line, in a high gold price environment, we are noticing that players are pushing on installment schemes as well as gold exchange programs, right? So, I just wanted to check how are we placed there in terms of mix, if you can share some data around the revenue from installment schemes or through gold exchange programs. What is it trending currently and how was it like a year before?

Ramesh Kalyanaraman : Our gold savings schemes are very active over the last many years, and we still continue to see traction on gold savings scheme at the store level. And it gives the customer an opportunity to fix the price on a monthly basis. And again, it will be easier for them to purchase jewellery also because they do not feel the pinch of spending money at a go.

And regarding the exchange of jewellery, old gold exchange, we have seen a bit more traction in Q3, when compared to last Q3 and that is also a constant driver for revenue. We have not done any specific activations around exchange, because SSGs were strong, we might do it in the future. But as we speak, for the full financial year for the nine-months, we have not done something very specific around exchange.

Devanshu Bansal : Yes. That was what I was intending, because we have seen players sort of marketing both these things very aggressively. Our performance has no doubt been very strong. But maybe, if you could just comment our sales from these two mix perspectives, what is it trending as of now and what was it like a year before would be helpful?

Ram

esh Kalyanaraman : Yes. Gold savings, the exchange gold usually is in the range of +30%; and it has been 1% or 2% more in Q3, when compared to last year. Again, gold saving scheme usually is in the range of 18% to 20%, which remains the same.

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Devanshu Bansal : Understood. And sir, secondly, I wanted to check the players or maybe because of this gold price increase, there is higher adoption of 18 -karat, 14 -karat and even 9 -karat now. I wanted to check from our inventory perspective, are we at a level which likely represent the consumer preference as of now? Or we need to do some more work to sort of maybe introduce more these lower karatage inventories in line with the consumer preference as of now?

Ramesh Kalyanaraman : So, some states have already accepted 18 -karat and in most of the other markets, we are slowly gradually increasing the share of 18 -karat products. Customers are accepting 18 -karat jewellery as it enables them more choice within their budget. So, two states - three states, which are predominantly 18 -karat markets still continue to be strong.

Devanshu Bansal : By when can we sort of expect that all the stores will be at this optimum level of reduced karatage inventory?

Ramesh Kalyanaraman : Again, it is a process. Meaning I told you two states - three states are very 18 -karat friendly, where we have increased our inventory for 18 -karat more than last year. But there are certain states especially South India, where 18 -karat acceptance will be much slower than outside South markets, where we have launched many collections in 18 -karat, which is attractive, so that people start trying out 18 -karat.

So, it is a process and it cannot be done overnight. But we are doing this, because customers will also be happier enough for 18 -karat, because the products can be bigger than a 22 -karat. It will be customer friendly. So, we are in that journey.

Devanshu Bansal : I understand that sir, but there is some religious perspectives as well, right? So, are we seeing a change in consumer behavior towards more acceptability for these lower karatages? Or maybe, if you could share some regional growth perspective here, since South is more 22 -karat, is it like seeing relatively slower growth, maybe the other regions are performing better, if you could just share some perspective here?

Ramesh Kalyanaraman : No, growth numbers will be very high, because the base is very low, right 18 -karat. So, the growth rate will be higher in 18 -karat than in 22 -karat, that is because the base is very low. So it will take you in the wrong direction, which is not the right way to do it. Acceptance is slower in South. North market's acceptance is much faster. And studded jewellery, 18 -karat acceptance is much higher than plain gold jewellery. And within studded, we are now focusing on launching 14-karat as well and 9 -karat.

Devanshu Bansal : Got it. And lastly sir, the LGD space is seeing a lot of investments, even some of the leading players have already announced plans and open stores. What is your view from investing into that space?

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Ramesh Kalyanaraman : No, we continue to watch the space very closely. But as of now, we do not have any immediate plans for a lab-grown brand. It will not be appropriate for me to comment on what the

competition which you mentioned is doing. But as of now, we do not have any immediate plans.

Devanshu Bansal : Fair enough. Sir, just last one, you can avoid answering if you have already answered, I joined the call late. Any color on how the trends have been so far in January have been improved or maybe because Q3 saw a very strong pick up towards festive in October. So, has that sort of trend sustained in Q4 as well?

Ramesh Kalyanaraman : Yes. Q4 so far has been good. Customer traction has

been strong. Even with this volatile gold

prices, the customer walk-ins, footfalls, the momentum at the store are running strong.

Moderator : Thank you. The next question is from the line of Awais Bakshi from Sundaram Mutual Fund .

Please go ahead.

Awais Bakshi : Hi, team. Sir, a couple of questions from my side. Firstly, just wanted some help with your current store structure. Are we also seeing some franchisee expansion in the South market? And if that is the case, then what would be the count of franchisees currently operating in the Southern market?

Ramesh Kalyanaraman : So, Southern markets, the franchisee number of stores or the demand for South market franchisees, when you compare to non-South, it is not as big as the non-South markets. And the number of South franchisees will be minimal, when compared to the non-South markets.

Awais Bakshi : Right. Why I asked this question is, because if I see your Y-o-Y growth, specifically on the South revenue side, specifically on this quarter, it has grown by around 34%. However, if I see your own store growth on the revenue side that is only grown by 16%. So, that is where I was trying to understand that possibly there are some franchises, which are also in the Southern market, which is why that discrepancy in the number.

Ramesh Kalyanaraman : Yes. For that case, there that maybe there will be 30 plus showrooms in South. I am only telling you, the non-South number of FOCO showrooms are much, much higher. That is what I am trying to say.

Awais Bakshi : That is right.

Ramesh Kalyanaraman : And South you know that the per-store revenue is higher than the non-South. That is also there. Overall, we have 200 plus franchisee showrooms and out of which, maybe 195 - 200, out of which, around 30 will be South.

Awais Bakshi : Understood, sir. That is very helpful. Secondly, sir, in terms of our gross margin construct, given the policy of hedging we operate with and also, the shift makes towards your franchisee store,

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what drove this gross margin expansion? And second part to this question, if you could help me understand the gross margin, which, say, accrues to Kalyan from a franchisee versus an own store?

Ramesh Kalyanaraman : Yes. So, margins have improved. Multiple factors have contributed. First being the encouraging improvement in our studded share across most of our markets, including South markets, during the last quarter. Then, as I mentioned in my previous call, the margin improvement because of the procurement changes that we had made also have ceased continuing to be benefitting on our side.

Also, you would have noticed the share of franchisee revenue, it has been improving. And more importantly, the share of revenue from the new set of FOCO showrooms has increased, which is also a contributor, and it will keep growing. Again, while the strong SSGs, maybe the operating leverage across COCO and FOCO is there.

Awais Bakshi : Understood, sir. Just pressing here a bit, apology, but you mentioned that increment a new franchisees contribution to the revenue. Are they coming on a different term structure, sir? Or they are still on the older structure?

Ramesh Kalyanaraman : Yes. So, it is not immediate. Meaning we have changed our franchisee, margin sharing was quite different a year before, if you remember. So, We have changed the terms on CAPEX, expense sharing, etc. And the margin for Kalyan will be better in the range of 0.25 % to 0.5%, maybe a year before we changed. So, revenues also started coming now.

Awais Bakshi : Understood. And sir, from the procurement changes part, that would be a sizable chunk in our overall procurement process now? Or, it is yet to materialize?

Ramesh Kalyanaraman : Procurement, meaning the pilot phase, which we started, we continue. We are not adding anything. But that is also a good contributor

for the margin growth, gross margin growth.

Awais Bakshi : And the hedging policy continues to remain, like it was in the past quarter?

Ramesh Kalyanaraman : Yes, yes. So gold, we do not take any margin benefit or what you call.

Awais Bakshi : Right, sir. Right.

Ramesh Kalyanaraman : We are fully protected. But yes, one more area, where the margin driver, of course not significant is some margin benefit due to the surge in silver and platinum prices in the last quarter, when compared to Q3 of last year. Not significant.

Awais Bakshi : Right. Just one last question on the cost structure. Nine-month basis Y-o-Y, while absolute growth is more or less similar, our cost structures have become more efficient. I am talking
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specifically on the A&P and the employee cost as a percentage of sales. So sir, how should one think about, as we go ahead in the upcoming quarter? How will those trends?

Ramesh Kalyanaraman : Yes, exactly, the leverage on advertisement and employee and other operating expenses are really helping and I think it should continue. Except for the silver and platinum, which is not in our hand. Otherwise, all the margin growth should continue, ideally.

Moderator : The next question is from the line of Nihal Mahesh Jham from HSBC. Please go ahead. Nihal, your line is unmuted. Please proceed with your question.

Nihal Mahesh Jham : Yes. Hi, team. Good evening. I had my first question on the land parcel that we were discussing that how are we progressing on the sale of that? That have we managed to liquidate some of it as we were mentioning about?

Ramesh Kalyanaraman : So, we have appointed mediators for finding out interested buyers for real estate, which we are planning to sell. Hopefully, should happen by H1 of the next financial year.

Nihal Mahesh Jham : Got it. And the second question was that, you mentioned that despite the increase in gold prices, you try looking at moderating the absolute inventory. So, do we still, say, target the asset on the 2.5x? And if that is the case, then how do we optimize the quantity of gold? Do we end up, letting go of the slow-moving inventory in that phase, when the prices of gold have increased in the store?

Ramesh Kalyanaraman : No. It cannot happen overnight. The optimization happens over a period of time and not immediately. So, that is why I told you, when the inventory price goes up by, say, X percent we cannot bring down the inventory by the same X percent. So it will be, 30% - 40% of the tax is where we reduce immediately, so that is our cash flow is taken care. And it cannot happen overnight. We will keep on monitoring. And, again, 18-karat is also helping us to maintain the volume of jewellery there. So, these kind of things we constantly do.

Nihal Mahesh Jham : Got it. Just one final question was that, on the store addition, you have obviously given a target of around 84 stores for FY 2026. For FY 2027, are we looking at a similar number of store additions or just was the same we were at?

Ramesh Kalyanaraman : Yes. So, the store count for the next couple of years may will be in this range of 80 to 90, KJ India.

Nihal Mahesh Jham : Got it. Sure. Thank you so much.

Moderator : Thank you. The next question is from the line of Naveen Trivedi from Motilal Oswal. Please go ahead.

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Naveen Trivedi : Yes. Good evening, everyone. Sir, my first question is for our FOCO stores. So, are we seeking, we started with expanding for our FOCO stores. And any sense, on the gross margin side, are we seeking gross margin expansion for our FOCO customers also, given that they are exponentially expanding in our figures?

Ramesh Kalyanaraman : Yes. So, the studded ratio has been growing across our markets, when you compare to Q3 last year, and the margin has also improved in

our own stores, South and North-South.

Naveen Trivedi : Okay. So typically, if you look at the franchisee store, what are the studded mix in the franchisee store side?

Ramesh Kalyanaraman : It should be in the range of what, 30% in the non-South markets, as they are mostly in our own store also. There is no difference between own and franchisee, which you know.

Naveen Trivedi : Sure, sir. And my second question is on our Middle East business. This quarter, revenue growth is close to 28%, while we added close to about 4 stores. How should we look at the demand side there and how should we look at the near-term trend in the Middle East side?

Ramesh Kalyanaraman : Yes. So, Middle East is also strong. If you look at our revenue growth has been strong, very strong quarter and still continues.

Naveen Trivedi : Sure. Any plans for the store expansion for another 6 months - 12 months time frame?

Ramesh Kalyanaraman : So, you know that franchise ecosystem in Middle East has not turned up the way like what we did in India. So, that is why we maintain overseas expansions in the range of about six to seven showrooms a year. That should be the target for the next couple of years. If there is anything drastically, which is going to change, because of franchisee demand, we will get back to you.

Naveen Trivedi : Sure, sir.

Ramesh Kalyanaraman : The only change is that, we are in active discussions with a few Arab investors for franchise and the interest level from Arab investors for a Kalyan franchise has now developed, when compared to the recent past. If that materializes, then the growth can be much higher, but better we only

target for six to seven showrooms in overseas.

Naveen Trivedi : Sure sir. Sure. That is all from my side. Thanks so much.

Moderator : Thank you. The next question is from the line of Ashish Kanodia from Citigroup. Please go ahead.

Ashish Kanodia : Yes, thank you, sir. Just on the FOCO stores in South, did I heard you correctly that there are 30, 30 FOCO stores of Kalyan Jewellers in South? Because I think the last quarter this number was around eight stores - nine stores.

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Ramesh Kalyanaraman : So, it is 30. We have converted a few stores in the last two quarters - three quarters.

Ashish Kanodia : Okay, got it. And then when I look at, you have made a store addition in 3Q also, it says, 18 made, while the gross was 21. So, what led to the three store closure in India?

Ramesh Kalyanaraman : It is not a closure, maybe wherein, for example, there have been stores, where like Jaipur or a South Ex, where we have shifted from our old premise to a new premise in a hybrid franchise model. That is where you see the net and gross number different and one conversion of Kalyan to Candere also.

Ashish Kanodia : Got it. And in terms of debt repayment, what is the total debt repayment in 3rd Quarter and what is the debt balance as of December end?

Ramesh Kalyanaraman : Debt, there is no major change from Q2 to Q3, because usually we do not repay debt in Q1 and Q3. Predominantly we do it in Q2 and Q4 only. So, it is in the same level.

Ashish Kanodia : Got it. And just last question is on the pledging, if you can highlight, what was the total borrowing which was taken for the purpose of pledge; and where are you in terms of the total outstanding balance?

Ramesh Kalyanaraman : Yes. First of all, the pledge was done only for buyback of Kalyan shares. And again, this might not be the right platform to discuss this, but since you asked, we have reduced our loans meaningfully over the last six months to enable us to manage situations effectively. And we have also drawn up plans to reduce the pledges over the next six months.

Ashish Kanodia : Sure Ramesh. Thank you.

Moderator : Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

G

Gaurav Jogani : Thank you for taking my questions again. Just on the CAPEX bid, if you can highlight the CAPEX bid for India for this year and the next year, and also, for the Candere in the international market?

Ramesh Kalyanaraman : Can you repeat the question once more?

Gaurav Jogani : The CAPEX plans, the amount of CAPEX that would be spent in India as well as outside India, including the new venture also that you are planning to do?

Ramesh Kalyanaraman : So, you are talking about this year, right?

Gaurav Jogani : Yes, 2026 and 2027 both, sir, if you can help me.

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Ramesh Kalyanaraman : Yes. So, this year should be in the range of what Rs. 175 crore for maintenance CAPEX India and the regional five showrooms might not come this year, it can come in the next financial year maybe, partly this year. And Candere around what 30 - 40 showrooms with around Rs. 2 crore - Rs. 2.5 crore of CAPEX. That should be the ballpark number.

Gaurav Jogani : So, Ramesh. For the regional five showrooms, how much CAPEX would be required for next year?

Ramesh Kalyanaraman : So, regional we will open only five showrooms in the next 12 months and the CAPEX should be in the range of what Rs. 4 crores to Rs. 5 crore per store.

Gaurav Jogani : Okay, sure. Thank you.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

Ramesh Kalyanaraman : Yes. So, thank you, everyone. And before I end the call, I just wanted to mention that this quarter has been started off very well, and we look for ending up this year on a very strong note. Thank you very much.

Moderator : Thank you, sir. On behalf of Kalyan Jewellers India Limited, that concludes this conference.

Thank you all for joining us today and you may now disconnect your lines.

Call: May 2026

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SEC/ 13 /2026 -2027 May 11 , 2026

1. National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block
Bandra –Kurla Complex Bandra (E),
Mumbai 400 051
Symbol: KALYANKJIL 2. BSE Limited
Corporate Relationship Dept.
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai 400001
Maharashtra, India
Scrip Code: 543278

Dear Sir/Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Audited Financial Results (standalone and consolidated) for the Quarter & Year ended on March 31, 2026 is attached herewith.

Kindly take the same into your records.

Thanking You
For Kalyan Jewellers India Limited

Jishnu RG
Company Secretary & Compliance Officer
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"Kalyan Jewellers India Limited
Q4 FY '26 Earnings Conference Call"
May 08, 2026

"E&OE – This Transcript is edited for factual errors. In case of Discrepancy, the audio recordings uploaded on the stock exchange on 8th May, 2026, will prevail."

MANAGEMENT : MR. RAMESH KALYANRAMAN –EXECUTIVE DIRECTOR
MR. SANJAY RAGHURAMAN – CHIEF EXECUTIVE OFFICER –
MR. V SWAMINATHAN – CHIEF FINANCIAL OFFICER
MR. SANJAY MEHROTRA – HEAD STRATEGY AND CORPORATE OFFICE
MR. ABRAHAM GEORGE – HEAD TREASURY AND INVESTOR RELATIONS
MR. V. SREEKUMAR – FINANCIAL CONTROLLER
MODERATOR : MR. RAHUL AGARWAL – STRATEGIC GROWTH ADVISORS

Kalyan Jewellers India Limited
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Moderator : Ladies and gentlemen, good day, and welcome to Kalyan Jewellers India Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you, and over to you, sir.

Rahul Agarwal: Thank you. Good evening, everyone, and thank you for joining us on Kalyan Jewellers India Limited Q4 FY '26 Earnings Conference Call. We have with us Mr. Ramesh Kalyanaraman, Executive Director; Mr. Sanjay Raghuraman, CEO; Mr. V. Swaminathan, CFO; Mr. V.

Sreekumar, Financial Controller; Mr. Sanjay Mehrotra, Head of Strategy and Corporate Affairs; and Mr. Abraham George, Head of Investor Relations and Treasury.

I hope everyone had a chance to view our financial results and investor presentation, which were recently posted on company's website and stock exchanges. We will begin the call with opening remarks from management, followed by an open forum for Q&A.

Before we begin, I would like to point out that some of the statements made during today's call may be forward-looking. A disclaimer to that effect was included in the earnings presentation. I would now like to invite Mr. Ramesh Kalyanaraman, Executive Director of Kalyan Jewellers India Limited, to give his opening remarks. Thank you, and over to you, sir.

Ramesh Kalyanaraman : Thank you. Good evening. And let me welcome everyone to the call. Q4 has been fantastic. The pickup in momentum we witnessed during the third quarter continued during the last quarter, and we ended up the financial year on an excellent note. While consolidated revenue and PAT growth for the quarter have been 66 % and 118 %, respectively, stand-alone business recorded revenue growth of 68% and PAT growth of 97%, respectively.

For the full financial year, we recorded a consolidated revenue in excess of INR35,700 crores and a PAT of INR1,350 crores. During the last financial year, we launched 129 showrooms across Kalyan and Candere formats, including the first Kalyan showroom in the U.K. The year also saw a reduction of debt in India by INR360-odd crores, in line with the already announced plan to pay down the non-GML debt in India completely.

Over the last 3 years, we have reduced the non -GML in India from INR1,300 crores to INR300 crores. FY 2026 also saw Candere growing its revenue by 160 % on the back of very strong same -store sales growth and aggressive network expansion. More importantly, Candere turned PAT positive from the second half of FY 2026.

Going forward, during the current financial year, Candere will focus more on driving SSSG, along with expanding its showroom footprint. In line with our announced dividend policy, Board of Directors has recommended a dividend of approximately INR257 crores, payout of around

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20% of the net profit generated during FY 2026. During the ongoing financial year, we plan to open 150 showrooms across Kalyan, Candere and the new regional brand.

And now talking about the ongoing quarter, we had an excellent start to the financial year. We witnessed strong growth in our Akshaya Tritiya sales this year, and we continue to see encouraging momentum in consumer demand, especially around the wedding purchases during the current quarter.

Thank you, and I will hand over it to Sanjay. He will read you through the numbers.

Sanjay Raghuraman: Thanks, Ramesh. Good evening, everybody. I'm happy to be talking to you again. In this just concluded quarter, our

company reported a consolidated revenue of INR10,275 crores, a 66% growth over the corresponding quarter of the previous year. Consolidated profit before tax was INR539 crores versus INR251 crores in the corresponding quarter of the previous year. And consolidated profit after tax came in at INR410 crores versus INR188 crores in the corresponding quarter of the previous year, a growth of 118%.

For the concluded 12 months of the financial year FY '26, we recorded a revenue of INR35,740 crores on a consolidated basis versus INR25,045 crores in the previous financial year, a growth of 43%. Consolidated profit before tax for the year came in at INR1,802 crores versus INR960 crores, an 88% growth. and consolidated profit after tax for the year ending March '26 came in at INR1,350 crores versus INR714 crores for the previous year ending March '25, a growth of 89%. Out of the free cash generated from operations, approximately INR350 crores was used for debt reduction and approximately INR150 crores was used for dividend payments.

Talking now about the breakup of the quarterly performance between India, Middle East and the Candere business, starting with the India business. The quarter just concluded, the revenue came in at INR8,990 crores versus INR5,350 crores. And the profit before tax for the quarter came in at INR495 crores compared to INR249 crores when compared with the corresponding quarter of

the previous year. And profit after tax for the India business came in at INR366 crores compared to INR185 crores in the corresponding quarter of the previous year, a growth of 97%. Moving on to talk about our Middle East business. Revenue in the Middle East came in at INR1,074 crores versus INR784 crores in the corresponding quarter of the previous year. Profit before tax came in at INR20 crores versus INR15 crores for the corresponding quarter of the previous year. The Middle East business posted a profit of INR21 crores for the quarter compared to a profit of INR12 crores for the corresponding quarter of the previous year. Lastly, moving on to talk about Candere. The business posted revenues of INR131 crores in the quarter versus INR28 crores in the corresponding quarter of the previous year. And in the just concluded quarter, the profits came in at INR3 crores for the quarter versus a INR12 crore loss in the corresponding quarter of the previous year. With this, we are now done with the summary of the numbers, and we open the floor for questions. Thank you.

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Moderator: First question is from the line of Nihal Mahesh Jham from HSBC.

Nihal Mahesh Jham: Congratulations on the strong performance. I had three questions. The first is that there is a big divergence in the South and non -South SSSG, not seen at least as you started reporting this data. So just if you can give clarity on what led to such a big divergence?

Ramesh Kalyanaraman : Yes. So South was lesser than non -South. And again, it comes every quarter, it is a bit different, but this time, it is having a significant change in the SSSG s of South and non -South. Maybe the base is also higher in South.

Nihal Mahesh Jham: The other way to look at it is that for South, it went from, say, 25% to 29%. But in case of non -South, the acceleration has sort of been much higher. So, any more color about maybe what led to that versus the Q3?

Ramesh Kalyanaraman : I think the shift is again further accelerated in the non -South region when compared to South. And we have been seeing it from Q3, but Q4 again was -- non-South was more interesting than the South.

Nihal Mahesh Jham: Got it. The other thing, Ramesh, is that generally, because of the initiatives that we had started in Q1, every quarter, gross margins were improving, given you said part of the sourcing had shifted to a new set of vendors. This quarter, there has been a slight reversal

of that trend. So

any more clarity on the GM side?

Ramesh Kalyanaraman : Gross margins have been improving and -- but it has been maintained also. Showroom level mix, again, South, non -South. So, you cannot compare a quarter -to-quarter. Q3 is always a better quarter in terms of standard, etc. Again, non -South revenue is also more in certain areas. So it is, again, depending on the type of product which is sold during Dhanteras, Diwali is different from Q4, FOCO mix. So, there are a lot of drivers to your margin, right?

Nihal Mahesh Jham: Sure, Ramesh. The last question was I just wanted to understand, you mentioned about Akshaya Tritiya being very strong for you. Generally, how have trends sort of been sustaining this quarter? Is it as strong as what, say, Q4 was for us? And as you look into the next year, given this has obviously been quite an exceptional year for the entire jewellery sector that -- would there be some moderation because of the high base that we'll have of last year?

Ramesh Kalyanaraman : So last year also Akshaya Tritiya was in Q1 only, no?

Nihal Mahesh Jham: No, I was referring to the full year.

Ramesh Kalyanaraman : Full?

Nihal Mahesh Jham: There were two parts to the question. First is that how are the trends in the Q1 quarter of FY '27. The second question was that for the full year of FY '27, given '26 was such an exceptional year for us and the entire jewellery space that is there a case that we can continue to deliver our historical growth rates for next year also after such an exceptional year of FY '26?

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Ramesh Kalyanaraman : Yes, yes. So again, if you look at H2 of the last financial year, the base was higher. And the current financial year, H2 will have a base high for sure. But again, it has been like that even in the previous year. But again, we could grow. So that we will not be able to completely tell you what's going to happen. But as we speak, April has started off very well. And even with high

basis, we have been able to grow.

Moderator: Next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my first question is with regards to the debt repayment. I mean you have so far paid approximately INR500-odd crores of non -GML debt, and you're planning to repay the debt entirely, the non -GML piece that is in FY'27. Given the strong profitability that you have witnessed in FY '26, is there a possibility that you might be able to pay that off entirely by, say, by H1 FY '27 end ?

Ramesh Kalyanaraman : Yes. So, we want to make it a non -GML debt -free in the running financial year. And yes, if things go really well, we might do it by H1 itself. But we don't want to guide you in that direction.

Wherein -- when it's possible, it is possible. That's it.

Gaurav Jogani: Sure. And just one more question with regards to the new -- the third brand that you are planning. I mean that south store was supposed to be launched somewhere in Q4. So, what's the update on the same? And is there any progress to it?

Ramesh Kalyanaraman : So, it is on, but the post -election dust has not been settled in the state where we want to open our new brand. So, we are just waiting for the dust to settle down, and we start our campaign.

Gaurav Jogani: Okay. So, it's prepared just that the timing is to be managed.

Ramesh Kalyanaraman : Yes. So, timing has to be managed according to the situation on ground.

Gaurav Jogani: Sure,. And just lastly, one bookkeeping question that I had. We had seen that the debt coming down sequentially from -- H1 to H1, debt has only come down. However, if we look at the interest cost, both on the stand -alone and the consol basis, it has moved up sequentially. So is there any one -off kind of an adjustment there? I mean, just wanted to understand and what has really led to this movement.

Sanjay Raghuraman: Sreekumar, you have

the number?

Ramesh Kalyanaraman : Yes. Just a second, I will hand over to Sreekumar.

Sreekumar Vengassery: So, you see the major reason for the increase is the -- increase in the processing charges as well there were some advanced tax which we had to pay. There were some estimate which we did for the full year, we couldn't budgeted correctly. So, then there was an interest which we had to pay for the advanced tax. That is a major reason in the increase in the interest cost.

Gaurav Jogani: Okay. So can you just one...

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Abraham George: Gaurav, one more -- Abraham here. One more point I want to make. During the first half of the year, our debt repayment had not happened for the year. So that debt level remained almost high for the first half. And the gold metal loan pricing also kind of tapered down by almost the first quarter. So that reason, along with the reason which Sreekumar mentioned that there is an interest that we have paid towards advanced tax payment. Otherwise, it's mostly on track.

Gaurav Jogani: Yes. So that is what I wanted to ask basically, if we adjust for that, what is the real interest cost so that we can build accordingly for the coming years in that context?

Abraham George: Yes. I would say about INR30 crores will be reduced from this number.

Gaurav Jogani: Okay. So, INR30 crores will be reduced. Okay, sure.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on very strong numbers. I wanted to check on the supply side issues that are sort of there, right, from Middle East tension perspective. A lot of gold is imported from that part of the region. And there was some news flow that renewal of licenses is also getting delayed from the GST's perspective. Do you foresee any kind of challenge from availability of gold as well as from the increase in maybe say, interest rate on gold metal loans?

Ramesh Kalyanaraman : No. So, there is abundant supply of gold in the country, and we continue to receive regular inventory from our banks. So, while the IGST notification for gold imports through the traditional bank, the channel spending, qualified jewellers like us, banks, importers are permitted to import gold through India International Bullion Exchange at GIFT City Gujarat.

So furthermore, according to our knowledge, the banks also procure gold from domestic sources such as samples and gold deposits scheme, etc So, we don't have any issue with the gold supply.

Devanshu Bansal: Got it.. And secondly, sir, you did provide some color on strong trends continuing in April. I wanted to check since our wedding -related salience is relatively higher and there is this extra month inauspicious days in Q1. So, will that for time being sort of lead to lower sales for us?

That was part number one. And secondly, Q4 has seen very strong growth. Has there been a preponement component also where, the Q1 weddings purchases related to Q1 weddings got preponed to Q4. So, I wanted to check on these two things .

Ramesh Kalyanaraman : Yes. So Adhik -Maas is there. And again, we have a good wedding share in our business. And business can get moved to either side of that month, okay? But again -- at the end of the day. It

can move in 2 quarters, but at the end of the day, revenue comes to us. It's not a loss of revenue.

Devanshu Bansal: No, fair enough. I just wanted to understand from a volatility perspective, obviously, I understand that from a full year perspective, that business will come back to you. But from a volatility perspective, can Q1 be a slower growth quarter is what I wanted to understand?

Ramesh Kalyanaraman : As we speak, things are on track. It is more than on track, but we'll have to see what plays out during the Adhik -Maas time. But yes, there is high possibility that those days can be slower than

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our usual wedding. But there are people who preponed their purchase also if there's an Adhik - Maas . So that's why I'm not able to guide you clearly whether there can be a loss of revenue in this quarter because there can be some revenue which is preponed and comes in this quarter itself.

Devanshu Bansal: Understood.. Sir, last question from my end. If we see the revenue mix for this year's Akshaya Tritiya, how has been the competition between, say, coins, plain gold jewelry as well as studded because there are certain players who are indicating that gold coin sales were relatively lower this time around. So, did that play for you as well in this current Akshaya Tritiya?

Ramesh Kalyanaraman : Yes, the coin sales were lower than estimated, unlike Dhanteras where it was more than estimated.

Devanshu Bansal: Okay. So that should ideally lead to better margin performance, right?

Ramesh Kalyanaraman : Again, too early now because it's only 1 month. There is two more months to go. Again, repeat, the first 30, 35 days have been very good.

Moderator: Next question is from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: So, the first question again is on the SSSG and specifically on the non -South. So, if you kind of split the SSSG trend between, say, the franchisee stores versus owned stores, do you see any -- broadly similar to what we have reported on an overall non -South basis? Because I think the non-South could also be benefiting partly because of the franchisee stores. So, I just wanted to understand, when you look at the SSSG non -South, FOCO versus COCO, is the trend broadly similar?

Ramesh Kalyanaraman : It is looking more or less same. But of course, you know that the first-year revenue growth for any store, be it franchise, be it non -franchise, it has a better SSSG than the showrooms, which are more than 5 years - 7 years because the gold savings scheme revenue also comes in. And region -wise, there are changes in non -South. Non -South is not the same in all South markets. That's what I'm trying to say.

Ashish Kanodia: Sure, Ramesh. Got it. And second question on the coin sales part. I think even if you look at the full quarter, the last, say, 40 days or so and compare it with maybe Q3FY26 as well as Q4FY26 , have you seen that the overall intensity of investment -led demand, which is your coin sales have actually come down? And is it partly because when you look at the gold price movement, at least in the last few days or a month or so, it has actually been on the lower side, right? So, is there a lower intensity of the investment -led demand?

Ramesh Kalyanaraman : The coins, we usually do not push coins, and we don't even sell bullion, which you know. During Q3FY26 , some customers' inquiry of gold coins, we saw it higher than usual. So we had to keep more inventory than usual for gold coins. Otherwise, it is a normal revenue which was there for coins still maintained. Q3 FY26 was a bit abnormal, especially during the Diwali time.

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Ashish Kanodia: Sure. And the next question is on the Middle East. So, if I look at the comment in the presentation, you have said that you have temporarily converted 4 FOCO showrooms to COCO as there is some discussion underway. So, if you can throw some light like what's happening there? What's the plan on that part of the business?

Ramesh Kalyanaraman : No, I mentioned in the last call that we are trying to work with a few Arab investors who are keen to open FOCO showrooms of Kalyan and for which we had to temporarily convert the FOCO to COCO to facilitate that so -called process.

Ashish Kanodia: So, I mean, just looking at...

Ramesh Kalyanaraman : so it's like it's the franchisee model, which we are working with Arab investors is not only to own or open only new store

es, but also conversion of old stores and the ticket size is bigger.

Again, I did not give you any guidance on that because it has not happened. So better not to budget on it. But we are focusing on a major franchisee expansion in the Middle East through Arab Investors. But nothing has materialized, but it's going in the right direction

Ashish Kanodia: Sure. And maybe just on the gross margin, I think someone asked and I will just kind of refill that question. See, when we look at the India gross margin, right, now we know that because of the franchisee model, normally, we should see a Y-o-Y decline on gross margin. And I'm talking on Y-o-Y because quarter-on-quarter, we will have seasonality, right?

So when I look at Q2FY26, and I'm adjusting the base for custom duty, etc Q2FY26 had a gross margin decline of 100 basis points. But in Q3FY26, the gross margin was broadly same on a Y-o-Y basis. And the discussion was that you have tried paying the vendors a bit early, which was giving you some benefit.

And at least in our mind, it was that because you have just started in maybe Q3FY26 or so, it should continue for 12 months, so we should see that benefit coming in. But when we look at the Q4FY26 gross margin, it has gone back to the normal level where we were seeing 100 basis point decline because of the franchisee model. So has there been any change in the vendor payment or is there anything which is changing this direction?

Ramesh Kalyanaraman: No,. So if you remember well, the pilot project, we started partially in Q4 of last year. So that is already embedded in the gross margin of the last quarter. So maybe that's why you see this change.

Ashish Kanodia: Sure. And the next question is on the divestment of the assets. So I see you have already secured the release of collateral for around INR180 crores. So 2 parts. One, what's the time line looking like on the sale of this INR180 crores? And second, on the balance release of the INR200 crores, what kind of a time line we are looking at?

Ramesh Kalyanaraman: The time line set for the set no 1 asset disposal was before September of this year, which I think is going in the right direction. And we have also started process to release the second set of assets

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from the banks, which I don't want to give you a time line, but I will give you more details when it reaches more closely.

Moderator: Next question is from the line of Adarsh from Enam Holdings.

Adarsh: Congrats on good numbers. Sir, just from a cash flow perspective, can you please talk about the next couple of years, what do you do with the cash flows, right? Strong profits growing still with a lot of franchisee models. So if you can just elaborate a little bit on capital management. You did INR1,350 crores of profit this year. It will grow with your store addition. So just wanted to understand how you're looking at capital post -- once you pay off your non-GML debt?

Ramesh Kalyanaraman: Yes. So close to 50% of the cash generated will be used for dividends and debt reduction, capex, etc. Balance 50%, we have to park some funds for Candere and the regional brand, which I was talking about. Again, we shall come back on the rest of the allocation in the due course of the year. And our expansion is predominantly franchise, which you know.

Moderator: Next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Yes, sir, just pardon my ignorance, but when I was trying to listen to you in the presentation about the repayment of MGL, but when I go to the balance sheet, I don't see it. So what is it that I'm missing actually?

Ramesh Kalyanaraman: So it is non-GML, not MGL, gold metal loan. Loan comes with a lesser interest rate.

Pritesh Chheda: And the aggregate debt, if you would have any comment there. So you give out an outlook on the non

-MGL reduction, but aggregate debt and its intensity with the growth, how should we look at that number?

Ramesh Kalyanaraman: So far as the Middle East is concerned, the gold -- the GML, the gold metal loan increases when the gold price goes up because there is no actual limit for a gold loan in the Middle East. But in India, the GML, we have a limit where banks can give us, and we always maintain that level. But we will, of course, focus on somehow increasing the GML whenever possible.

Pritesh Chheda: Okay. Increasing the GML whenever possible. Okay. With your growth strategy of FOCO-based growth and you have given an outlook of 70 stores. Based on that, if I have to look at a 2-year out or a 1-year out absolute debt number, is it fair -- is it possible to share that?

Ramesh Kalyanaraman: Yes. So it will be what only the metal loan, basic ally in India, non-GML will be zero.

Pritesh Chheda: And the extent of total debt, so MGL plus GML put together?

Ramesh Kalyanaraman: So non-GML is zero. So the goal -- the GML, which will be maintained the same levels unless until we get something more about it in case. So far, the focus has been always on reduction of non-GML in India. Going forward, we will also focus on increasing the GML, but this will depend on the sanctions available from banks, etc on the GML. So the easy answer for this

question will be, non -GML will be zero. GML will be almost in the limit where we are.

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Pritesh Chheda: So I'm just wondering in a FOCO expansion strategy, what drives the GML loan? What are the drivers for a rise in a GML loan?

Ramesh Kalyanaraman: No, GML loans comes with a very less interest rates, okay? And it also comes with a hedging instrument embedded in it. So that is the advantage of GML. And usually, banks keep a sanction limit for the same. we will not be able to increase the GML like in the Middle East, where Middle East is -- there is no limit with the banks. They keep on increasing GML when the gold price goes up. Not all banks in India also provide GML. That is the limitation of GML in India. But for expansion, we don't need any capital because it is a franchise model.

Pritesh Chheda: Correct, sir. so basically, then the GML loan should not go up, right? If you're not expanding, my question is, what is the driver for GML loan to go up, if any?

Ramesh Kalyanaraman: Only when you need more pipeline inventory for FOCO or when you need to open what you call high format stores where you want to stop your hybrid model on your franchise, etc, where it is what you call a minor chance. But again, availability of GML is also tough here. So that is why we don't budget for it.

Pritesh Chheda: And you haven't opened any store of yours when I'm just looking at the presentation and I'm looking at the bridge you have given for 5 years, FOCO store in our total store, it seems that you haven't opened any single COCO store, right, in the last 4 years numbers that I see FY'23, FY'24, FY'25, FY'26?

Ramesh Kalyanaraman: So when we would have opened an owned store, we would have converted an old store, especially in the south where we would have opened as own, but we would have converted an own into a FOCO. So the number of FOCO stores, meaning the additional number of stores will be same as FOCO.

Pritesh Chheda : Yes, the additional number of stores are the same as FOCO. Only thing could have happened is your own store, you would have reopened our own store and a bigger store. That should I put it?

Ramesh Kalyanaraman: Yes, that's what -- called hybrid, wherein we might have relocated our existing store to a newer location in a bigger format, wherein franchisee would have allocated his capital and we would have maintained our capital. That's called hybrid.

Pritesh Chheda: Okay. That's a hybrid How many stores would have gone through that in the last

4 years where

you would have relocated a store?

Ramesh Kalyanaraman: There are 7 or 8 hybrid stores.

Pritesh Chheda: Okay. 5 or 8 hybrid stores. Okay. Would that entail incremental capital from your side in inventory?

Ramesh Kalyanaraman: No, it's not incremental. What we do is when we relocate a store from a smaller premise to a bigger premise, our part of the investment will be the existing inventory, which we had in the old store. And the franchisee partner will bring the additional...

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Pritesh Chheda: Incremental for his share.

Ramesh Kalyanaraman: Yes. Capex we share also.

Pritesh Chheda: So the business per se wouldn't have needed incremental capital for you to deploy, right, since the last 3 years?

Ramesh Kalyanaraman: No. But that will be needed because we not only do this, we also renovate and open stores where the market has expanded and our stores have a scope of better revenue growth, wherein that would not have been converted. We ourselves renovate the stores and add inventory there. With such high SSSGs some showrooms will need additional investment also, inventory.

Pritesh Chheda: Okay. So when you mentioned the 50% payout number and debt repayment number, the residual 50%, should we say that it's going -- had gone or will be going into reinventorization of your existing stores, higher inventory in existing stores, some of...

Ramesh Kalyanaraman: we will have to budget some portion for additional inventory in stores where we need to add inventory. But usually, what happens is the savings scheme also, the SSSGs are high. So the money which comes in from the gold savings scheme, usually we allocate for inventory increase.

Pritesh Chheda: Okay. And did you mention that the reduction in interest cost for FY '27 is just INR30 crores is

what you mentioned from the base of FY '27?

Ramesh Kalyanaraman: , yes, because INR300 crores is what we have to now reduce the non -GML. So INR300 crores, if you put an approximate 9%, 10%, it's INR30 crores.

Pritesh Chheda: And in the INR430 crores that you reported in '26, you mentioned some element of interest on tax -- advanced tax or something that's what you mentioned, right? Also is there any one -off in that INR433 crores interest, which needs to be looked at?

Ramesh Kalyanaraman: Yes, yes, INR20 crores.

Pritesh Chheda: INR20 crores. So INR20 crores is one -off and INR30 crores reduction next year. So then the reduction is INR50 crores?

Ramesh Kalyanaraman: Correct. You are correct.

Moderator: Next question is from the line of Pallavi from Sameeksha.

Pallavi: Just wanted to understand on what are we seeing a lower competitive intensity because of which our ad spend increase seems muted in the current environment? And what would be our strategy going ahead given the influx of these digital-only players like BlueStone , etc, how do we plan to tackle that?

Ramesh Kalyanaraman: So I think somewhere I missed your question. Can you repeat the question?

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Pallavi: Just wanted to understand on it's been a good year. So I wanted to understand how much of increase in the gross margin would have -- benefited from the silver price and platinum increase. If you can give us the max amount so that we can better model this for next year?

Ramesh Kalyanaraman: Yes. So there has been some advantage because of the platinum and silver margin, which again cannot be sustained for the next financial year. Again, the inventory procurement pattern, which we changed also already is there in the last financial year, which again is not going to come for the next financial year.

But going forward, other things remaining the same, we can expect gains from operating leverage and the interest saving, which we just discussed. But again, of course, a lot will depend

upon how the year will unfold.

Pallavi: Right. So I was trying to understand on the gross margin side, right? Should we factor in a decline of 30 bps - 20 bps for this gain that we would have seen from silver and platinum this year? Should we factor in a year -on-year decline for next year for...

Ramesh Kalyanaraman: 2 points -- yes, there has been some portion which has come from silver and platinum. Again, everything cannot remain the same for the next year, meaning running year. There can be a change in standard ratio, there can be change in product mix, which we are selling. So this 0.2, 0.3, etc, it's very tough for us to go and budget, but operating leverage will come in and INR20-odd crores is what silver -- meaning it's not too high, right? So...

Pallavi: I know, I understand we can make it up in other areas . My second question was just on overall -- just trying to understand this employee expense. So when we got the franchisee, we just give him one employee, right, per store from our side. And so why is there -- I thought more operating leverage will play out on that front. So I just wanted to understand?

Ramesh Kalyanaraman: Can you repeat that question? -- Franchisee, we actually...

Pallavi: Yeah, so when we had franchise, we gave them 1 person I understood per store?

Ramesh Kalyanaraman: No., all the employees are done from Kalyan.

Pallavi: Kalyan, right.

Ramesh Kalyanaraman: We manage the store.

Pallavi: Right.

Ramesh Kalyanaraman: One employee is, again, maybe some franchisees employ accountant who are outside the store or inside the store, but that's also very rare. Otherwise, all the employees are done by us only.

Pallavi: Right, right. And sir, we have achieved our guidance on the PBT side. I'm looking at India stand-alone of 5.5%. So any new guidance for the next year on the PBT margin side?

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Ramesh Kalyanaraman: So now if you look at this financial year, meaning the previous financial year, the PBT India has been in the range of, what, 5.5% - 5.6%. I think that is here to stay. And some -- again, I told you, some operating leverage can come in and stuff.

Pallavi: So more or less, we look to maintain it and that would be good.

Ramesh Kalyanaraman: Yes, more or less, it should stay in this range, maybe some additional improvement of margin.

Pallavi: Last part would be on this inventory and the high rise increase in gold price, are we planning any other strategy to -- so that ROCE can be taken up further in terms of like last time we did lower the inventory per store or some -- or more lightweight jewellery, anything happening there?

Ramesh Kalyanaraman: So usually, when the gold price goes up by INR100, we increase our inventory at the store only by INR30 or INR40. We reduce our volume at the store. That is how we take care of our ROCE.

Moderator: Next question is from the line of Siddarth S. from NAFA.

Siddarth S.: , first of all, congrats on a great set of numbers. So my main query is that I would just like to get a hint on how the volume growth has been despite the -- very positive rally that gold has currently delivered. And if you look at the SSSG currently that the entire jewellery retailers demand, it's been doing really great.

And without factoring in the Akshaya Tritiya this quarter, we did a really great job. So how would you like to give me a hint on the volume growth that has happened currently and going forward? And what's the SSSG that's poised to be or would we be able to sustain the same considering the Akshaya Tritiya sales have been quite well in few select retailers in their business updates?

Ramesh Kalyanaraman: So again, because you asked about the volume, I will tell you, wherein customer comes with a particular budget, customer cannot increase the budget when the gold price goes up. Gold price have went up by about 60%

-70% over the last 1 year. Customer does not have the money to spend 70% more than what he budgeted.

So customer comes with a particular budget wherein when the prices are low, the volume will be higher. When the prices are high, the volume will be lower. Some segment of customers have, of course, the ability to expand. So we don't even look into that direction because customer comes with INR budget rather than volume budget.

And again, we also try to push them to studded jewellery. We also do more of precious, uncut, etc. Again, we ourselves reduce the quality of gold from 22 to 18, 18 to 14. everything is done for customers to -- not to feel the pain of buying jewellery when the gold prices are higher.

Siddarth S.: Understood. So if you could give me some clarity on the SSSG part as well in terms of the coming up positive Akshaya Tritiya trends, that would also be really helpful?

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Ramesh Kalyanaraman: So SSSGs for Q4 FY26, you mean?

Siddarth S.: Yes. So Q4 FY26 and going forward as an overall guidance, that would be helpful?

Ramesh Kalyanaraman: Yes. So again, SSSGs have been behaving very crazily positive over the last 2 - 3 years, okay? It has always been, what, 20% - 30% now last quarter was very high. If you are trying to put a number for the next 3 - 5 years, we usually don't guide more than 10% SSSG for next 3 to 5 years.

But I don't have any justice to tell you why you should put only 10% when it has been 20% -30% over the last 2 -3 years, okay, or more. But if you are trying to put a 3 to 5 -year projection, I always recommend only putting a 10% SSSG, even though I don't have a reason for it.

Siddarth S.: Understood. And my last set of question would be that we all know that South has been a major market when we specifically talk about jewellery. There has been a lot of store expansion when we look at this quarter. If I could get a bifurcation of how much store that has been expanded on net-on-net basis towards South for this quarter? And what region are you especially eyeing at going forward, that would also give me a helpful note. And that would be my final question as well?

Ramesh Kalyanaraman: So overall, we opened 13 stores in South India in the last financial year. And the markets where we have opened are more into metros like Bangalore, Chennai, where we want to add Hyderabad, etc where we want to add more stores in the metros where Kalyan is already present. Going forward also, we'll be in the similar region.

Siddarth S.: Okay, so you would target India as a whole than specific you know region wise classification from my assumption it would be targeting the Tier 1 cities again?

Ramesh Kalyanaraman: In south. But because in South, you know that we were already penetrated into Tier 2 -Tier 3 markets. And outside South India, our expansion is what more than 60 showrooms - 65 showrooms in outside South regions. South may we will restrict in 13 to 15 showrooms and which will be majority in the metros like Bangalore, Chennai, Hyderabad.

Moderator: Next question is from the line of Jenil Barad from Prudent Corporate Advisor. As there is no response from the current questioner, we'll move to the next question from the line of Ashish Kanodia from Citigroup.

Ashish Kanodia: The first question was on the FOCO showrooms in South. I think last quarter, there were 30 FOCO showrooms out of the 99. What is the number this quarter?

Ramesh Kalyanaraman: Meaning there is no more additional FOCO.

Ashish Kanodia: The second question is, again, on the Middle East part. So if I just do a simple exercise of your inventory consolidated minus stand-alone, which will largely be Middle East, some bit of other international markets and some bit for Candere, but largely Middle East. And if I also look at the gold metal loan, so Middle East has, give or take, around INR3,500 crores

worth of inventory

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and GML is around INR2,300 crores, which implies like a capital employed of -- and this is just purely your inventory related, not taking capex, but around INR1,200 crores.

So I mean, hypothetically, is it fair to say that whenever this Middle East conversion happens where you kind of convert the 38 stores into franchisee stores, maybe not INR1,200 crores because some of this will be with Candere, etc, as well, but broadly maybe INR800 crores to INR1,000 crores worth of cash flow gets generated?

Ramesh Kalyanaraman: No. So we have converted only 4 showrooms from FOCO to COCO, okay, which can be what, in the range of what INR250 crores to INR200 crores. . . Inventory, usually, when the gold price goes up, okay, inventory also goes up, but not to the same extent. But you should also note that we have opened 2 new showrooms there where the inventory went up, which has not done a full year revenue. And we also renovated 5 or 6 showrooms in that space into a bigger square feet with additional inventory.

Ashish Kanodia: My question was on the -- with the discussion you have highlighted, right, there is a discussion for potential conversion. I'm saying hypothetically, I know like this is still underway, but hypothetically, if that conversion happens?

Ramesh Kalyanaraman: Yes. I understand -- so hypothetically, if the conversion happens big time, of course, cash flows should come. But again, Ashish, I repeat, we will come back to you when it is very close to the happening. I don't want any budgeting from, the project which we are trying to plan.

Moderator: Next question is from the line of Chetan Phalak from Vihaan India Fund .

Chetan Phalak : Congrats on a great set of numbers. I want to ask about the revenue productivity of our franchisees. is there any plan to increase the revenue productivity per store of our franchisees? And do we see our COCO stores having better revenue per store than FOCO ? And how are you planning to bridge that or grow that?

Ramesh Kalyanaraman: No, revenue per store will be better for COCO than FOCO because all the owned showrooms in the initial times are bigger stores. FOCO comes with a lesser basket size of inventory and lesser basket size of revenue. It is more of a stock turn and profitability, which we will see for the franchisee rather than only revenue per store.

Chetan Phalak : Okay. And do we see the gap between us and the likes of Tanishq and other competitors decreasing from INR50 crores per store to higher?

Ramesh Kalyanaraman: No, no. Can you repeat the question once more?

Chetan Phalak : So, the revenue per store of our franchisees is about INR50 crores to INR52 crores. And do we see that rising in the future by increasing their productivity?

Ramesh Kalyanaraman: Yes, SSSGs are there for franchisees also. So the revenue keeps on increasing for them. Revenue keeps on increasing for our own store also.

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Chetan Phalak : Okay.. Sir, and can you give an update on the, unpledging of the pledge share?

Ramesh Kalyanaraman: Yes, nothing has changed. So -- but it's not a very right platform to discuss on the promoter pledging. But there is no change for the past, 15 months.

Moderator: Next question is from the line of Subhanu Bangal from 3 Head Capital.

Subhanu Bangal: Sir, I want to know a bit more about Candere, Candere is now profitable. And can you tell me a bit more about the margin profile for Candere?

Ramesh Kalyanaraman: So, margins are higher in Candere because the studDED ratio in Candere is more than 70%. So mid-30s are the gross margins in Candere.

Subhanu Bangal: Sorry, I missed the studDED profile .

Ramesh Kalyanaraman: The gross margin store level Candere is in mid -30s because the studDED ratio are more than 70%.

Subhanu Bangal: Okay. 7

0% studded. And out of your 150 -store opening guidance in FY '27, how many for Candere?

Ramesh Kalyanaraman: So, it will be in the similar line of the last financial year, 50 -55.

Subhanu Bangal: 50-55. Okay. This quarter, around -- we added gross level at 28 stores, but net level, we closed around 5 -- 4 store ?

Ramesh Kalyanaraman: So, as I mentioned before, no, it's not closure. It is relocating to a bigger premise.

Subhanu Bangal: Understood.

Ramesh Kalyanaraman: Only one showroom got closed. It was a very small showroom. It was the first showroom in Madurai, which was in a location where only 2 -wheelers are allowed to enter. But otherwise, there are no store closures.

Moderator: Ladies and gentlemen, due to time constraint, we will take this as the last question for the day. I now hand the conference over to Mr. Ramesh Kalyanaraman for closing comments. Over to you, sir.

Ramesh Kalyanaraman: Thank you very much, and see you again in the next quarter.

Moderator: Thank you, sir. On behalf of Kalyan Jewellers India Limited, that concludes this conference.

Thank you all for joining us, and you may now disconnect your line s.